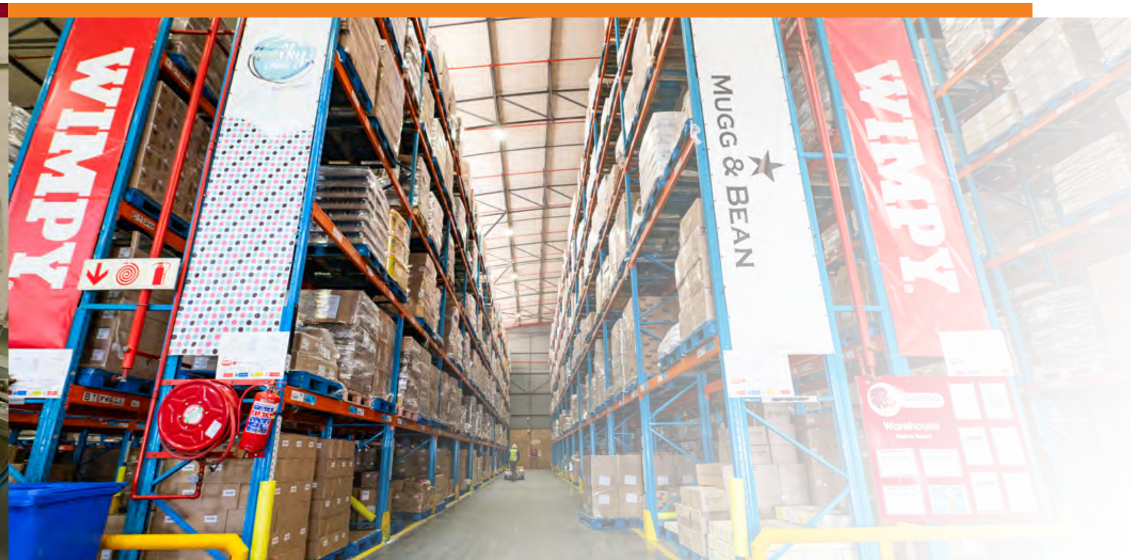
famous | brands
you're in good company

INTEGRATED ANNUAL REPORT **2025**

30 Years
LISTED ON THE JSE



2025 at a glance

This was a year of strong growth for our brand network, steady strategy execution and continued financial resilience. We invite you to read more about our strategy, performance, value created for stakeholders and outlook in this report.

Performance highlights

Commemorated our 30 years as a listed company

Refer to page 5

30 Years LISTED ON THE JSE

In November 2024, Famous Brands marked the 30th anniversary since its listing on the Johannesburg Stock Exchange (JSE). The listing provided vital funding to grow, transform and create value for stakeholders.

Financial resilience

Refer to page 49

We delivered a solid financial performance with revenue growth, improved cash generation and a well-managed debt profile. These results are despite challenging operating conditions, weak economic growth, and constrained consumer spending. We continued to invest towards the capacity of the business to deliver growth and operational efficiencies.

Strong strategic execution

Refer to page 43

We achieved important strategileasec objectives across our four divisions, with several highlights for 2025:

- Added **153** new restaurants
- Invested **R55.3 million** in our supply chain
- Revamped **289** restaurants
- Achieved a **Level 1** B-BBEE status
- Opened **3** new markets
- Introduced **4** retail products

Delivering on our ESG Framework

Refer to page 70

We are committed to reducing our environmental footprint, creating sustainable products and supporting the communities where we operate. In 2025, we operationalised our ESG Framework, which outlines our ESG targets.

Financial performance

Revenue
R8 283 million
(2024: R8 024 million)

Operating profit
R914 million
(2024: R812 million)

Cash generated from operations
R1 121 million
(2024: R1 086 million)

Headline earnings per share (HEPS)
520 cents per share
(2024: 465 cents per share)

Net debt to earnings before interest, tax, depreciation and amortisation (EBITDA)
0.89 times
(2024: 1.13 times)

Dividends
345 cents per share
(2024: 302 cents per share)

ESG performance

Reduced our plastic consumption by **93.5%**

No food waste to landfill from our Supply Chain operations

R2.6 billion spent with >51% Black-owned suppliers

Generated **1 971 MWh** from our solar installations

Invested **R19.3 million** in corporate social investment (CSI) initiatives

300 youth employed through the YES Programme

Contents

Navigating this report

Business processes and activities

We included icons for our four main business processes and operating activities, which are explained in our business model on page 20.

Brands | Manufacturing | Logistics | Retail

Key strategic matters

As explained on page 44, we track our performance against strategy using key performance indicators from our four key strategic matters.

- Create supply chain of the future
- Lead in the brand categories we compete in
- Prioritising franchise partners
- Optimising capital management

Navigation tools

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Introducing our 2025 Integrated Annual Report

Our Integrated Annual Report demonstrates how our vision – to be a leading innovative, branded, franchised and food services business – drives our strategy and influences stakeholder dialogue within our evolving operating context.

This 2025 Integrated Annual Report (IAR or this report) is our primary report to stakeholders. The report covers our 2025 financial year from 1 March 2024 to 28 February 2025.

Report scope

The report covers the operational activities of Famous Brands Limited (Famous Brands or the Company), its subsidiaries (together referred to as the Group), and its associates in all territories where the Company operates. These territories are South Africa (SA), the Southern African Development Community (SADC), the rest of Africa and the Middle East (AME) and the United Kingdom (UK).

Unless stated otherwise, the statistics in this report pertain to the SA business (excluding our associates). Statistics related to a specific geographic territory are denoted as such.

We describe our Environmental, Social and Governance (ESG) objectives and initiatives, including detailed reporting on the performance against our ESG Framework, environmental impact and CSI.

Materiality of information

The Board approved management's basis for determining materiality for selecting the information disclosed in this report. This report provides information on all matters that are material to our value creation process. This includes matters that are most material to the development and execution of strategy and our ability to create stakeholder value and contribute to the Group's continued success. Our operating context (Page 132 our strategy (Page 42 our key stakeholders' interests (Page 23 and our key risks (Page 32 were considered when selecting the information included in this report.

Reporting frameworks and compliance

This report was prepared according to relevant regulations, standards and best practices. Famous Brands aligns its reporting with the following reporting requirements and principles:

- The International Integrated Reporting Framework, 2021.
- King IV Report on Corporate Governance™ for South Africa, 2016 (King IV).
- IFRS® Accounting Standards as issued by the International Accounting Standards Board (IASB).
- The Companies Act, No. 71 of 2008, as amended (Companies Act).
- The SAICA Financial Reporting Guides as issued by the Financial Reporting Standards Council.
- The JSE Listings Requirements.

Performance against our ESG Framework is measured against a set of targets informed by our five selected United Nations Sustainable Development Goals (SDGs) and their associated targets. (Page 69)

Oversight and assurance

The Group's combined assurance model (Page 120) leverages the assurance obtained from management and internal and external assurance providers, while a strong ethical environment and internal controls ensure compliance. We rely on our internal controls and management review to assure our internal financial and operational information.

Our consolidated and company financial statements are independently audited annually by KPMG Inc. as required by laws and regulations with the objective of obtaining an opinion whether the financial statements are fairly presented and free from material misstatement. Our Broad-Based Black Economic Empowerment (B-BBEE) certificate is verified by Honeycomb BEE Rating. Our annual greenhouse gas (GHG) emissions are assessed and verified by The Carbon Report.

Improving our reporting

We invite you to let us know whether we have provided you with the information that you were looking for. We would like to hear from you about concerns or compliments. Please send an email to **investorrelations@famousbrands.co.za.**

Introducing our 2025 Integrated Annual Report *(continued)*

Board responsibility statement

The Board of Directors (Board), assisted by the Audit and Risk and Social and Ethics Committees, acknowledges its responsibility for ensuring the integrity of the IAR and has applied its collective mind in preparing it. We are confident that the report accurately reflects the Group's performance and outlook in the short term (less than one year), medium term (one to three years), and long term (beyond three years).

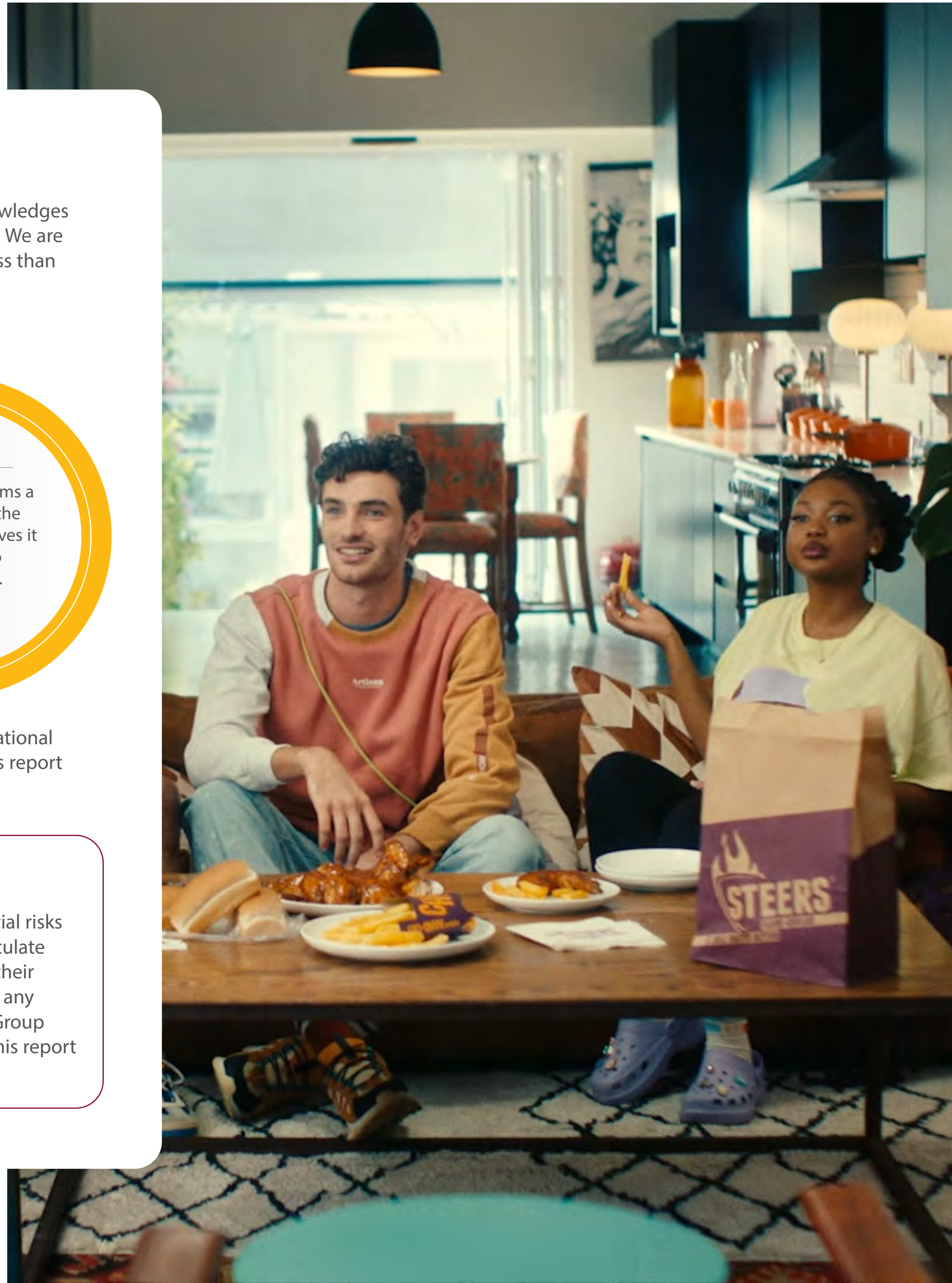
Our reporting process

1. This report is drafted from detailed internal management and Board reports and interviews with senior management and Board members.
2. Content owners and the Group Executive Committee (Exco) review the report before it is submitted to the Audit and Risk and Social and Ethics Committees for further review.
3. The Board performs a final review of the report and approves it for release to stakeholders.

The Board believes that the report has, in all material respects, been presented according to the International Integrated Reporting Framework and addresses the Group's material matters. The Board authorised this report for release on 20 June 2025.

Outlook

Throughout this report, we provide readers with forward-looking information on the Group's potential risks and opportunities we intend to pursue as part of our strategy. Where feasible, we aim to clearly articulate the implications of risks and opportunities on our expected performance. These statements are, by their nature, speculative, which may result in our future performance being different from that implied in any forward-looking statements. The Group's external auditors have not audited these statements. The Group neither accepts any responsibility for any loss arising from the use of the information contained in this report nor does it undertake to publicly update or revise its forward-looking statements.



Group overview

Famous Brands is Africa's leading food services franchisor, known for its iconic brands and reputation as a responsible franchisor. Our continued success lies in our ability to craft, grow and protect remarkable brands that meet the needs of an evolving consumer.

The Group began as a family business in the early sixties with the Steers brand. Today, our enterprise consists of an extensive, vertically integrated business model with 4 522 employees and operations across South Africa, selected African markets, the Middle East and the United Kingdom.

In November 2024, Famous Brands commemorated 30 years of being listed on the JSE in the Travel and Leisure sector. Today, our business model comprises four core pillars: Brands, Manufacturing, Logistics and Retail.

Guided by our purpose

We nurture our franchise partners to sustainably impact our communities.

Inspired by our vision

To be the leading innovative branded, franchised and food services business in South Africa and selected markets.

Driven by our strategic intent

To grow capability and capacity to create great consumer experiences in the branded franchise and food services space.

Supported by our core beliefs

Humility • Integrity • Agility • Speed • Innovation • Quality • Growth

Case study

30 Years LISTED ON THE JSE

While much has changed over 30 years, we have kept our entrepreneurial spirit, love of innovation and drive to serve franchise partners and consumers.

COMMEMORATING 30 YEARS AS A LISTED GROUP

The Famous Brands story originated in the 1960s when George Halamandres opened the first Steers restaurant. The business, owned and operated by the Halamandres and Halamandaris families, grew over the decades. In November 1994, the Group, then known as Steers Holdings Limited, initially offered its shares to investors at R1.65 per share, which equated to a market capitalisation of R41 million.

At the time of listing, the Group managed the Steers brand in South Africa with a limited supply chain component. Following the dawn of democracy in South Africa, the food services category expanded with strong consumer demand and the growth of the middle class. The Group expanded through strong organic growth and successful acquisitions. At the same time, the Manufacturing and Logistics operations expanded to offer franchise partners high-quality products at the same or lower prices.

Since listing, the business has transitioned from a family-owned company to operating in the highly regulated listed environment. Over time, the Group's governance structures matured, and new risk management disciplines were introduced. Today, the majority of our Board comprises independent non-executive directors.

Our growth story would not be possible without the commitment of our franchise partners. We have 1 055 franchise partners who have journeyed with us for over 30 years, with our longest tenure franchise partner joining us in 1973. Several of our franchise partners have developed multi-brand and multi-restaurant networks, benefiting from economies of scale and building generational wealth.

Group overview *(continued)*

Our Brands

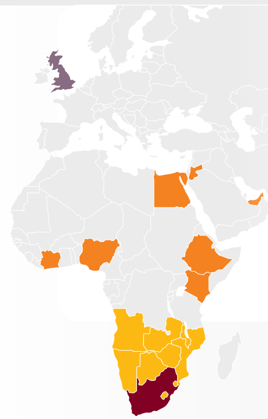
We have a strategic portfolio of 16 iconic restaurant brands that appeal to consumers across income and demographic bands, meal preferences, and value propositions.

Famous Brands operates franchised, master-licenced, and Company-owned restaurants. We use full business format franchising, in which our franchise partners use the franchisor's entire business concept, including the name, trademarks, copyright, expertise, and other intellectual property.

We manage and protect our brands and provide our franchise partners with ongoing support to ensure that they deliver consistent brand experiences. We earn sales-based royalty income (franchise fee revenue) based on a percentage of these restaurant turnovers. We have a stable portfolio of talented, resilient franchise partners with a proven ability to succeed in difficult trading conditions.

The portfolio is segmented into Leading Brands (mainstream) and Signature Brands (niche). Leading Brands are further categorised as Quick Service Restaurants (QSR) and Casual Dining Restaurants (CDR). Our QSR brands prioritise take away and delivery offerings with smaller sit-down areas, while CDR brand offers a full-service, sit-down experience. Our Signature Brands offer a wide range of bespoke CDR offerings.

Read more about the performance of our Brands from page 55



Our restaurant network

We have **2 979** restaurants across **20** countries.

Restaurants per region

SA	SADC	AME	UK
2 626	224	68	61

Leading Brands

Quick Service Restaurants

Steers
Debonairs Pizza
Fishaways

Casual Dining Restaurants

Mugg & Bean
Wimpy
Milky Lane

Signature Brands

Casual Dining Restaurants (in South Africa)

Lupa Osteria
Mythos
Turn 'n Tender Steakhouse
Salsa Mexican Grill
Coffee Couture
Vovo Telo Bakery & Café
Fego Caffé[2]
Paul[1]
NetCafé

1. Operated under licence.
2. We are in the process of converting the remaining Fego Caffé restaurants to Mugg & Bean and Vovo Telo restaurants.

Other brands

Quick Service Restaurant chain in Nigeria
Famous Brands owns a 49% shareholding. Mr Bigg's is known for its vibrant red and yellow colour scheme, meat pies, and excellent value.

Aqua Monte bottled water is sourced from a fresh spring and is offered in still and sparkling varieties.

Gold Seal produces frozen French fries offered to a wide range of food services businesses in the SA leisure and hospitality industry.

TruFruit is a range of bottled and bulk pack fruit juices that are sold by the SA franchise network and to food services businesses in the SA leisure hospitality industry.

Baltimore is a trusted soft serve and hard ice cream brand (including cassata and sorbets) serving a wide range of food services businesses in the leisure and hospitality industry in South Africa.

Group overview *(continued)*

Leading Brands

STEERS

Steers is a well-loved brand with a notable presence in the highly competitive QSR market. Steers is known for its 100% pure beef flame-grilled burgers, hand-cut potato chips, fresh ingredients and unbeatable flavours. Steers also offers breakfast options and a growing range of flame-grilled chicken meals.

Founded in 1961	**13** markets
735 restaurants	**21** net restaurant growth in 2025

DEBONAIRS PIZZA

Debonairs Pizza is a market-leading brand that owes its popularity to an ongoing focus on pizza innovation, generosity, quality ingredients and home delivery. Iconic crowd-pleasers include the Triple-Decker, Crammed-Crust and Double-Stack pizzas. Debonairs Pizza was the first African pizza brand to launch online and mobile ordering.

Founded in 1991	**16** markets
868 restaurants	**27** net restaurant growth in 2025

fishaways

Fishaways is South Africa's most popular seafood QSR restaurant brand. It offers affordable and nutritious seafood meals and sushi catering to discerning and health-conscious consumers. Meals are simple with generous portions.

Founded in 1998	**2** markets
242 restaurants	**6** net restaurant decline in 2025

MUGG & BEAN

Since day one, Mugg & Bean has been known for a spirit of generosity with ample café-style meals, giant muffins and decadent cakes, bottomless coffees and ongoing coffee innovation. The brand has a loyalty app that allows consumers to earn rewards with every visit.

Founded in 1996	**11** markets
322 restaurants	**36** net restaurant growth in 2025

WIMPY

Wimpy is a family favourite, built around consumers enjoying every moment in a warm and inclusive atmosphere. In South Africa, the menu is available in all 11 national languages. The brand is known for its famous Wimpy coffee, all-day breakfasts, burgers and grills, complemented by a delicious selection of shakes and desserts.

Founded in 1967	**6** markets
539 restaurants	**5** net restaurant decline in 2025

milky LANE

Milky Lane is South Africa's original soft-serve ice cream concept. Milky Lane is synonymous with constant innovation, seasonal specials and flavour collaborations with well-loved brands, including Bar-One, Oreo, KitKat and Nutella.

Founded in 1958	**5** markets
132 restaurants	**21** net restaurant growth in 2025

Group overview *(continued)*

Signature Brands

Fun Dining

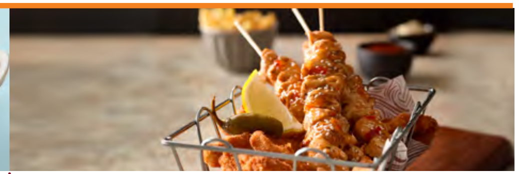
Mythos is a Greek restaurant with a traditional spirit, serving well-loved dishes with contemporary flair in a stylish Mediterranean setting.

Turn 'n Tender is a traditional South African steakhouse. The brand is loved for its steak, ribs, burgers, fine wine and relaxed setting.

LUPA Osteria offers modern yet comforting neighbourhood Italian food in a welcoming environment. We pride ourselves on making our pasta, pizza and sauce from scratch.

SALSA serves Mexican food with an unconventional twist. The cuisine is complemented by craft tequilas and beers, and vibrant Mexican hospitality.

Captive Markets



Our bespoke **NetCafé** brand caters to Netcare's hospital network. The offering comprises a full sit-down menu, a deli section and a retail convenience outlet.

Fego Caffé[1] offers café-style dining, sweet treats, and unparalleled coffee. With the finest coffee beans, the brand is the go-to choice for coffee connoisseurs.

Coffee Couture is a specialty coffee shop brand in the Mediclinic hospital network. Its menu includes tasty meals and a creative coffee offering. The brand also offers a range of gifts and other convenience retail items.

Luxury

Established in France in1889, **PAUL**[2] is a global family-owned artisanal bakery-café chain. The brand is known for its traditional French offering, chic restaurants and baked products.

Vovo Telo is a specialist artisan bakery known for its excellent baking, mouthwatering breakfasts and lunches and perfectly brewed coffee. The brand offers artisanal products, supporting local producers who share its respect for quality.

1. We are in the process of discontinuing the Fego Caffé brand and converting the remaining outlets to Mugg & Bean and Vovo Telo restaurants.

2. Famous Brands holds the licence agreement in South Africa from PAUL International.

Group overview *(continued)*

Our Supply Chain

Our vertically integrated Supply Chain unlocks economies of scale and provides stability and price management.

Our Supply Chain refers to our Manufacturing, Logistics and Retail operations. The primary goal of our Supply Chain is to offer our franchise partners a competitive advantage through efficient supply, price certainty, product innovation and margin management. Our Manufacturing and Logistics operations support our Brands in SA and selected countries. Retail operations earn revenue from product sales to retailers.

We are reshaping our Supply Chain to bolster the Group's long-term sustainability by improving efficiencies and incorporating leading technologies while reducing waste and the use of natural resources.

Manufacturing

Our 10 Manufacturing plants are wholly owned or partly owned subsidiaries. We own:

- Meat, serviette, sauce and spice, coffee and ice cream plants in Gauteng.
- A potato products plant in the Western Cape.

We have partnerships in the following plants:

- Cater Chain (Meat products).
- Famous Brands Cheese Company (Cheese).
- TruBev (Juice).
- Turn 'n Tender (meat products).

Logistics

Our internal Logistics capability ensures that restaurants and retail outlets receive ingredients and products. Our strong procurement capabilities ensure that we secure competitive pricing for commodities.

Our Logistics footprint includes:

- **Six distribution centres** in Gauteng (two), the Western Cape, Free State, Eastern Cape and KwaZulu-Natal, supported by **three cross-dock facilities** in the Eastern Cape, Polokwane and Mpumalanga.
- A fleet of **96** trucks.
- Supported by **33** owner-driver businesses and external logistics partners.
- Export capabilities to selected **SADC and AME** markets.

Retail

Our Retail products are manufactured in our Manufacturing plants and distributed using our Logistics infrastructure.

We sell condiments (sauces, dressings, spices), frozen meat products, coffee (ground and beans), frozen chips and other value-added products to major South African retailers.

- **110** products.
- Available in **2 893** retail outlets.

Read more about the performance of our Supply Chain on page 66.

Group overview *(continued)*

Group associates

Famous Brands has a strategic shareholding in the following entities:

UAC Restaurants Limited is based in Nigeria and operates the Mr Bigg's and Debonairs Pizza brands.

49%

Sauce Advertising provides the Group with enhanced marketing capabilities, leveraging marketing spend to improve the Group's digital capabilities.

37%

FoodConnect is a food and beverage sales and distribution business. It owns the Group's Baltimore ice cream brand rights and distributes the product to third parties, providing the Group with a strategic route to market.

49%

DHQ provides restaurant planning and design services to the Group and third-party clients.

48.5%

Munch Software caters to the hospitality industry with a POS solution and order management software that integrates with third-party delivery aggregators.

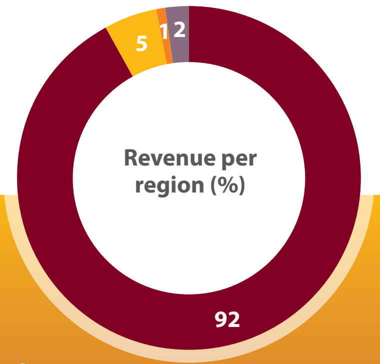
Read more about our Munch Software point-of-sale rollout on page 48.

45.5%

Shareholding owned by the Group

Geographic footprint

We are executing a focused strategy to grow locally and in other selected markets to enhance long-term, sustainable stakeholder value creation.



South Africa

SA is our primary market, with 88% of our restaurant network based in this market. We generated R7.6 billion (2024: R7.4 billion) or 92% of our revenue from our South African franchising operations.

SADC

We generated R451 million (2024: R409 million) from our SADC operations, with the largest contributions coming from Botswana and Zambia, where we have a substantial Company-owned restaurant footprint. We opened our first franchised restaurant in the DRC.

AME

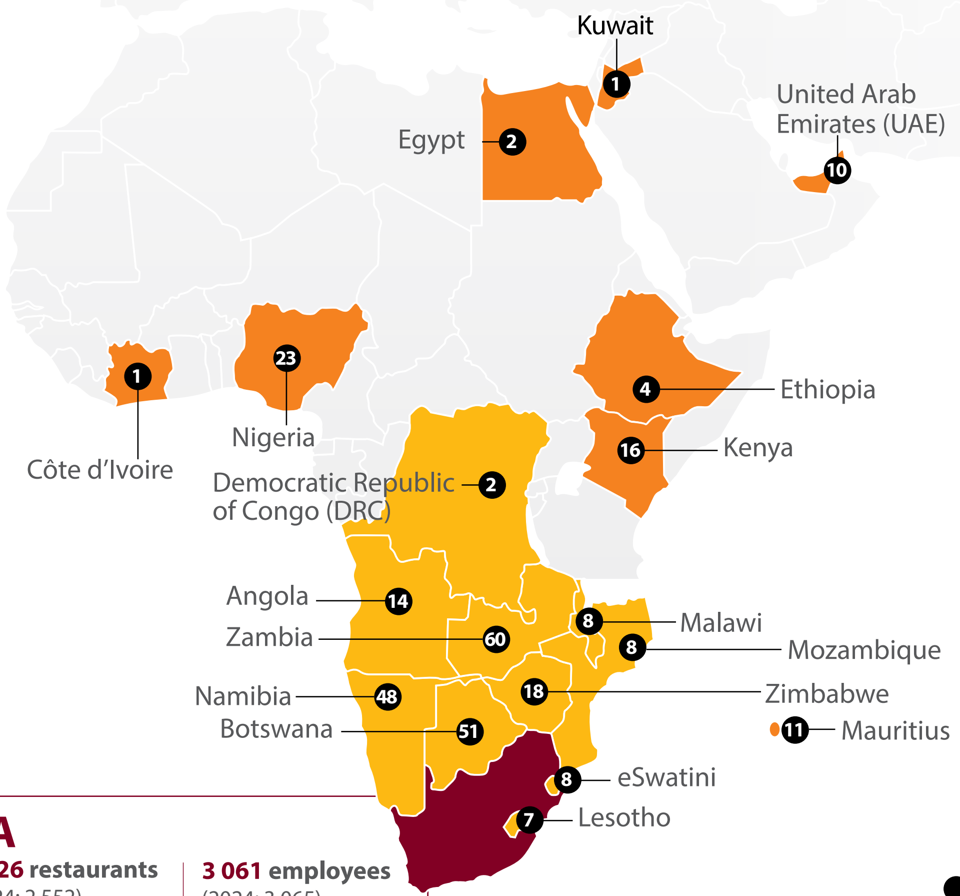
We see AME as a high-potential but challenging region. We generated R71 million (2024: R55 million) in AME. We opened our first franchised restaurants in Egypt and Kuwait and exited Saudi Arabia.

UK

We generated R132 million (2024: R161 million) from our Wimpy network in the UK. Revenue is under pressure due to ongoing economic uncertainty in the UK.

UK
61 restaurants
(2024: 63)
13 employees
(2024: 14)

We have 2 979 restaurants in 20 countries.
While SA is our primary market, the Group needs to diversify its revenue by finding new growth markets. We are expanding our Leading Brands footprint in SADC and AME through licensing, franchising and Company-owned restaurants.



AME
68 restaurants
(2024: 92)
178 employees
(2024: 170)

SADC
224 restaurants
(2024: 207)
1 270 employees
(2024: 1 175)

SA
2 626 restaurants
(2024: 2 552)
3 061 employees
(2024: 3 065)

● Number of restaurants

Investment case

Our portfolio of iconic brands supported by a vertically integrated business model enables economies of scale and predictability in difficult trading conditions. We have demonstrated sustained operational resilience through various macroeconomic cycles and an evolving operating landscape since our listing on the JSE in 1994.

A well-established market leader

- A strategic portfolio of iconic brands that appeals to consumers across income and demographic bands, meal preferences and value propositions.
- A strong trading track record, marking 30 years as a JSE-listed company in November 2024.
- A compelling value proposition for franchise partners and a quality offering for consumers.
- A geolocation analysis shows that 27% of Famous Brands' SA QSR network does not have a significant fast food competitor within a 5km radius[1].

Read about our brands on page 55.

South Africa's largest food franchisor with **2 626 restaurants**

21 brand awards won in 2025

153 new restaurants opened in 2025 including eight new drive thrus, seven in SA and one in Zimbabwe

Three new franchised markets opened in 2025

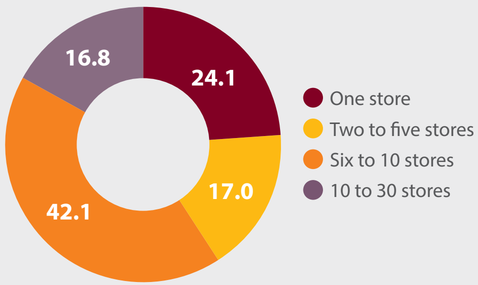
1. SBG Securities research available at https://thevault.exchange/?get_group_doc=275/1678176549-SBGSFamousBrandsInitiation-Preparingtofeast.pdf

The owner-operator edge

- A stable portfolio of dedicated, resilient franchise partners with a proven track record of success in challenging trading conditions.
- The average tenure of our SA franchise partners is 11 years, with some of these relationships extending beyond 30 years.
- Several SA franchise partners have developed multi-restaurant and multi-brand portfolios.
- A healthy pipeline of potential franchise partners and strong demand for our brands.

Read about our franchise partner management on page 25.

Number of restaurants per SA franchise (%)



Competent leadership and well-defined strategy

- Our experienced Board supports our entrepreneurial management team, which leads and operates in a high-performance culture.
- A focused strategy to grow in SA and in other selected markets, both organically and by acquisition, to enhance long-term, sustainable stakeholder value creation.
- Our effective corporate governance establishes the policies and practices for ethical behaviour and ensures that stakeholder interests are protected.

Read about our governance on page 108 and our strategy on page 42.

A stable Exco team with the **required and necessary skills and experience**

Investment case *(continued)*

Resilient business model

- A vertically integrated Supply Chain provides manufacturing and distribution capabilities to our South African franchise partners, and exports to capabilities in selected markets for the Rest of Africa.
- Reliable, competitive services lead to a strategic advantage, positioning our franchise partners to deliver like-for-like growth.
- Menu options provide diversification across food categories, shielding the Group from supply chain challenges in isolated food categories.
- A growing, high-potential Retail offering.

Read about our business model on page 19.

R41 million invested in manufacturing technology in 2025 to create capacity and realise operational efficiencies.

Rolled out 4 product offerings to consumers.

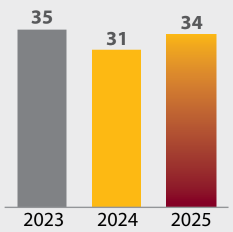
Sound financial position and prudent capital management

- A healthy balance sheet and an effective debt structure.
- A relatively capital-light business model.
- Cash-generative operations and sustainable earnings.
- Sustainable value is generated by ensuring strong returns on invested capital.

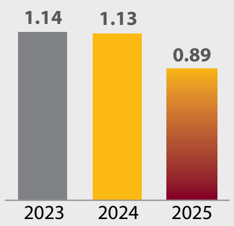
Read more in the Group Financial Director's report on page 49.

Management has **reduced debt levels by R1.8 billion** over the last eight years.

Return on capital employed (ROCE) (%)



Net debt: EBITDA (times)



Environmental, social and governance credentials

The Group is a responsible corporate citizen dedicated to continuous improvement and sustainable development through sound governance, regulatory compliance and global best practice transformation. By delivering against our ESG Framework, we contribute to a more sustainable environment for the benefit of all.

Read about our sustainability performance on page 71.

Eliminated single-use plastic across our brand network

No food waste to landfill in our Supply Chain operations

26 319 kilolitres in water savings through our water recycling plants

A message from our chairman

> Our financial and operational performance for 2025 demonstrates our resilience in a challenging social and economic context. Despite these pressures, we continued to make strides towards achieving our key strategic objectives.
>
> **Chris Boulle**

Operating environment

Our 2025 financial year was characterised by low consumer spending, especially in the first half, and an overall sales performance at restaurants that remained below expectations. We nevertheless grew our revenue by 3% to R8.3 billion and our operating profit by 12.6% to R914 million.

These constrained trading conditions demanded that we make careful trade-offs throughout the business. This involved determining which costs to absorb in our Supply Chain to provide competitive pricing to franchise partners and which costs to pass on. It also meant striking a balance between offering our franchise partners sustainable margins and ensuring that consumers receive value for their money. Our vertically integrated model combined with our scale and agility is what enables us to make these decisions. We also took a cautious approach to our investment decisions, considering both the immediate benefits and the potential long-term consequences of not investing immediately.

Our franchise partners face pressures from higher input costs, including electricity and labour, as well as infrastructure failures. Yet, they continue to demonstrate resilience and optimism about the future, as evidenced by pleasing new restaurant growth and revamp activity. We have a healthy pipeline of new restaurant openings planned for 2026. This investment by our franchise partners, despite unfavourable trading conditions, is testament to the enduring appeal and the investment case of our trusted brands over independent restaurants.

South Africa's elections were peaceful, with major political parties demonstrating maturity and a spirit of compromise and acceptance of an unusual result. It is the first time in the history of our country that there is not a single political party which is able to unilaterally govern. While the formation of the Government of National Unity (GNU) has improved business and investor confidence, South Africa still requires major structural reforms to overcome persistent low growth and lack of investment and create jobs and opportunities.

The electricity situation has improved; however the trajectory of expected electricity hikes will most probably dampen consumer spending and economic growth. A step change is required to bring new, affordable electricity generation online and lay the foundation for sufficient investment and economic growth to counter continued high unemployment numbers.

Strategy highlights

Famous Brands' vision is to be the leading, innovative, branded franchised and food services business in South Africa and selected markets. We have a focused strategy to achieve greater scale by building our core brands and growing our margins while ensuring the sustainability of the business. The Board reviewed the Group's strategy at the Board strategy day held in November 2024. We are confident that the strategy remains fit for purpose and will support the Group in delivering both growth and carving out greater operational efficiencies.

In June 2025, we opened the new cold storage facility at our Midrand Campus. The project, delivered on time and within budget, marks the culmination of our multi-year programme to optimise our Logistics footprint. We also completed the last implementation of the warehouse management system replacement project. The system has already yielded significant productivity and space utilisation benefits, allowing for greater insights and responsiveness.

Technology is a major strategy enabler. We continued to invest in technologies to enhance our back end, enabling us to deliver better support to our front end. Cost efficiencies unlocked at the back end will make our products more affordable and appealing to franchise partners. This is part of our broader initiative to modernise our Manufacturing plants, which will be delivered over the next three years in a measured approach.

A message from our chairman *(continued)*

We are also excited about the opportunities in consumer-facing technology. These include improving our e-commerce offering, simplifying our technology ecosystem to reduce costs and complexity and providing personalised engagement with consumers. This year, we determined the roadmap for building our data analytics and business intelligence insights. Over time, this will enable the provision of insight-led, differentiated offerings for franchise partners and consumers.

Read more about our strategy on page 42.

ESG performance

A highlight for 2025 was achieving a Level 1 B-BBEE status. This is a remarkable achievement, thanks to the considerable attention invested, which moved us from a non-compliant status in 2018. We do not have control over the B-BBEE scorecard's ownership pillar, which accounts for 27 points out of an overall 110 points. This means that our status may fluctuate between Level 1 and Level 2 depending on changes to shareholding. We must also carefully manage our performance across the other four scorecard pillars.

ESG remains a significant theme in a world grappling with climate change and severe environmental crises. Despite cost-of-living pressures, consumers increasingly seek to support sustainably produced and sourced goods. Since 2019, Famous Brands has been on a journey to enhance its ESG performance. We introduced new environmental policies, improved our natural resource management practices and embraced innovation to provide more environmentally friendly packaging options.

In 2024, we developed an ESG Framework that provides a structure and focus for our ESG activities, along with a set of key performance indicators (KPIs) linked to the SDG targets. This year, we operationalised the ESG Framework across the Group and began tracking our performance against the KPIs. Our SDG selection, SDG targets and related KPIs are well aligned with our core business activities and allow us to have a meaningful contribution to our chosen impact areas.

This report includes an expanded sustainability chapter, which provides greater detail on our ESG performance across the three major themes of environmental sustainability, social responsibility and corporate governance. We are committed to maintaining a focus on ESG, which we believe will support our business performance by reducing costs, particularly in energy and water, fostering innovation, and enhancing our reputation. Additionally, it safeguards the Group against anticipated regulatory pressures and compliance costs related to sustainability.

It is our view that in South Africa, investing in the 'S' in ESG is of paramount importance. South Africa faces a youth unemployment crisis with a 45.5% unemployment rate among individuals aged 15 to 34 years[1]. We take pride in our positive social impact both as a Group and through our franchise partners. Our brand networks in South Africa provide significant employment opportunities, including numerous entry-level positions. In 2025, through our fourth year of supporting the YES Programme, we are providing 300 work opportunities to young South Africans. This initiative provides vital first job opportunities and work readiness training for many young South Africans. We are particularly pleased with our absorption rate, or the success we have had in securing positions for young people. In our third year, which was completed in September 2024, our overall absorption rate was 87.86%, significantly higher than the YES Programme's average of 47%. The absorption rate for Leading Brands for restaurant positions was 92.78%.

Read more about our ESG performance on page 71.

Engaging shareholders on remuneration

At our AGM held in July 2024, some shareholders expressed concerns about our remuneration decisions, voting against the Remuneration Policy and implementation report. As the Remuneration Policy and implementation report resolutions did not achieve 75% shareholder support, we engaged shareholders extensively to understand these concerns and adapt our Remuneration Policy accordingly. We are committed to balancing the interests of various shareholders and making remuneration decisions that are supported by the majority of our investor base.

Read more in our remuneration report on page 130.

1 *This is according to Statistics South Africa's findings available at: https://www.statssa.gov.za/?p=17266*

Outlook

> **In these uncertain times, we must maintain streamlined, focused and nimble operations.**

PwC South Africa forecasts economic growth of between 0.5% (downside scenario) and 1.3% (upside scenario) for the 2025 calendar year[1]. This range reflects the many uncertainties for the year. Tailwinds include lower inflation, further interest rate cuts, improved business and investor confidence and a better national energy outlook. We look forward to increased public-private cooperation to address port and railway issues, deteriorating infrastructure and crime.

There are downside risks related to the souring of diplomatic relations between the United States and South Africa. The potential removal of South Africa from the African Growth and Opportunity Act (AGOA) could have significant economic repercussions for the country, including a weakening of the Rand and a decline in local exports to that market. In general, the global geopolitical landscape is fractured and tense, with the United States' pro-tariff stance and related responses by other nations, the ongoing Russia-Ukraine war and potentially escalating conflict in the Middle East. Geopolitical tensions frequently lead to higher inflation and potential supply chain disruptions.

We will continue to navigate this environment through responsive leadership, proactive risk management, and a keen eye on both local and international developments that could affect our sector. We remain focused on the matters under our control. We are intent on growing capability, capacity and scale across manufacturing, branded franchised food services and retail spaces. We will add value to the Group by building existing brands, Supply Chain enhancements and careful geographic expansion. Our scale and focus on efficiencies seek to improve our margins, ensuring that cost growth remains below revenue growth. We are committed to responsible and measured capital allocation, by investing in growth, paying down our debt, and improving shareholder returns.

Our Board is stable with an appropriate balance between long-serving directors and newer appointments. Our Nomination Committee has begun a formal process to identify potential new Board members. This includes a skills analysis to identify gaps and what further skills are needed.

Appreciation

> **We had a remarkable evolution over the past 30 years as a JSE-listed Group. Famous Brands was built on exceptional acquisitions as well as an ongoing investment in our brands, people and Supply Chain capabilities.**

During my time as a director, I witnessed a pleasing maturity of our governance structures, risk management disciplines and rigour with which the Board interrogates strategy. This is thanks in part to the outstanding leadership of Santie Botha, our former Chairman. We are grateful for her wise counsel and keen business instincts, which proved especially invaluable during the tumultuous COVID-19 pandemic. This year, we also bade farewell to Norman Adami, a long-standing director. We thank Norman for his immense contributions, including his extensive expertise in strategy and operations management.

I extend my heartfelt thanks to my Board colleagues for your commitment and robust discussions. I thank our CEO, Darren Hele, Group Financial Director, Nelisiwe Shiluvana, and the other Exco members for their capable and energetic leadership. I also thank our employees for their contributions to our successful strategic delivery in 2025.

To our valued franchise partners, we appreciate your continued confidence in our brands and in our ability to deliver on our brand promises to consumers. This support is especially notable in this constrained economy. We will continue to challenge ourselves to ensure our brands remain our franchise partners and consumers' first choice.

We also extend our gratitude to our shareholders, including newer shareholders, for their support and engagement throughout the year.

Chris Boulle
Chairman

1 *PwC South African Economic Outlook available at: https://www.strategyand.pwc.com/a1/en/press-release/south-africa-economic-outlook-january-2025.html*

Operating environment

We identified three broad trends in our operating environment that have varying levels of impact on our business. We are well-positioned to manage the risks and realise the opportunities associated with each of these trends.

1 Persistent poor economic conditions

THE CONTEXT

Local growth prospects are limited by significant infrastructure challenges, including unreliable electricity and water supply, logistics sector issues and high levels of crime and corruption. These conditions, together with bureaucracy, make South Africa a challenging economy in which to do business.

Economic headwinds in South Africa have significantly curtailed consumer spending. We also have high unemployment and a widening inequality gap. In recent years, salary growth has been eroded by high inflation. Less disposable income means consumers prioritise essential spending and seek value for money.

The rapid growth of online gaming platforms has further eroded disposable income. In 2023, R1.1 trillion was wagered by consumers in the South African gambling industry, 40.2% higher than in 2022. Total revenue generated from gambling was R59.3 billion. Of this revenue, 60.5% is attributed to betting, which is largely dominated by online players[1].

There were some green shoots in our 2025 operating context, including the cessation of load shedding, Rand stability, lower inflation, and the beginning of the interest rate cut cycle in September 2024.

Key economic indicators

In the fourth quarter of 2024, the number of employed people increased by 132 000, bringing the total number of employed persons to 17.1 million. The official unemployment rate was 31.9%[1]. The economy is forecast to create 115 000 jobs in 2025 compared to an expected increase of 340 000 in the labour force[2].

South Africa's GDP grew by 0.6% in 2024. Long-term growth is highly dependent on improving capacity in energy, freight rail and ports to remove the structural barriers to economic growth.

Households grapple with high levels of debt, with household debt as a share of disposable income estimated at around 62.2%[3].

In 2024, South Africa's average annual consumer price inflation (CPI) was 4.4%, a decrease from 6.0% in 2023, marking the lowest inflation rate in four years since the onset of the pandemic[4].

Implications for value creation

- Low levels of consumer spending impact the frequency of restaurant visits and average transaction sizes.
- Competition for limited consumer spending has intensified with competitors offering deep discounts to attract consumers.
- Many consumers have cut back on take aways and eating out and spend more time preparing meals at home.
- These economic conditions favour franchise operations over independents.
- Tough economic conditions have reduced the pool of potential new franchise partners.
- High interest rates make it more challenging for franchise partners to secure funding.

Capitals impacted

Our strategic response

We ensure that our brands' offerings meet the consumers' requirements for quality, service and price. Our offerings are accessible across every format and channel. We regularly enhance our ordering platforms and loyalty programmes to attract and retain consumers. We continuously refine our marketing strategies and invest in our brands to maintain and win market share.

As at-home consumption grows, our Retail brands are well-placed to give consumers a taste of their favourite brands at home.

We are deepening our strategic procurement capabilities to achieve the best pricing on key commodities. Where opportunities arise, we manage inventory levels to secure better pricing. We are always diversifying our supplier base to prevent shortages.

We continuously evolve our franchise value proposition to ensure that it will be appealing to current and prospective franchise partners. We also have several franchise partners developing multi-brand restaurant portfolios. 72% of new sites go to existing franchise partners.

1 *The Statistics South Africa Quarterly Labour Survey available at: https://www.statssa.gov.za/publications/P0211/Media%20Release%20QLFS%20Q4%202024.pdf*
2 *PwC's South Africa Economic Outlook 2025 available at: https://www.strategyand.pwc.com/a1/en/insights/south-africa-economic-outlook.html*
3 *Reserve Bank Quarterly Bulletin, December 2024, available at: https://www.resbank.co.za/en/home/publications/quarterly-bulletin1*
4 *Statistics South Africa's stats on inflation for 2024 available at: https://www.statssa.gov.za/?p=17968*

Operating environment *(continued)*

2 Evolving consumer demands

THE CONTEXT

Companies increasingly expect their employees to return to the office. This increased movement benefits the restaurant trade, with an uptick in demand for breakfast, lunch and quick snacks. Night trade remains depressed, and tourism, both local and international, has not recovered to pre-pandemic levels.

Consumers increasingly seek convenience. This includes delivery (own and third-party aggregators), collect ordering and drive thru orders.

While saving money remains important, consumers still want to treat themselves and socialise over a meal. Here, restaurants, especially CDR options, are viewed as an affordable luxury.

Some 26 million South Africans use social media[1]. These platforms, online reviews, and ratings are increasingly used to criticise and compliment brands.

Evolving consumer demands

Restaurants are incorporating plant-based options into their menus and offering more appealing meat alternatives. Many consumers are willing to pay more for vegan options.

Chicken is the largest fast-food category in SA and other African markets. South Africans consume about 28 million chickens each week[2].

Health-conscious consumers want to eat fresher food and reduce their intake of processed foods, sugar, fat, salt, and, for some, red meat. At the same time, consumers want restaurants to offer their favourite indulgent treats.

Consumers are more concerned about sustainability and climate change, and they use their purchasing power to support companies that share their beliefs.

Implications for value creation

- Brands that offer greater convenience will retain and win market share.
- In some instances, consumers will trade down to less expensive restaurants.
- Consumer demand for drive thrus is strong.
- The dining experience must cater to the need for shareable content through interesting décor and backgrounds.

Capitals impacted

Our strategic response

We have developed our delivery services (both own delivery and through third-party food aggregators) to extend our footprint. We continue to roll out smaller formats at convenient locations and expand our drive thru restaurant footprint. Our menus and packaging cater to the needs of at-home dining experiences, offering both exceptional taste and presentation.

Our menus offer plant-based options across several brands. We are also incorporating more chicken items on our menus to meet the increasing demand for this protein source among consumers.

We cater to more health-conscious consumers by providing easy-to-understand information about ingredients and kilojoules across our Leading Brands' menus. We comply with industry legislation regarding salt and sugar consumption and continuously monitor it. Some menus provide low-kilojoule meal offerings.

From a sustainability perspective, we are minimising food waste, reducing the use of single-use plastics, and adopting more environmentally friendly packaging.

We design restaurants to draw in more foot traffic from younger patrons. This includes expanding our social media presence, offering many ordering options, and, where possible, offering free Wi-Fi. We track our brands' social media activity and online reviews.

Read more about our sustainability journey on page 72.

1 Meltwater South African Digital & Social Media Statistics 2024 available at https://www.meltwater.com/en/blog/social-media-statistics-south-africa
2 Statistic available from https://www.news24.com/news24/bi-archive/sa-loves-chicken-2018-6

Operating environment *(continued)*

3 Technology becomes more pervasive

THE CONTEXT

Consumer expectations regarding digital engagement are shaped by their experiences in other sectors, including banking and retail. They increasingly expect a frictionless digital experience when interacting with restaurant brands, including finding restaurants, making bookings and ordering food.

App-enabled food delivery is now a major category. While AI is in the early phases of adoption in the food services industry, it will likely play a larger role in the future.

The South African food delivery industry, including the growing grocery category, is scaling as consumers seek convenience, speedy delivery and competitive pricing. Major retailers have made significant investments in this space and are capturing a share of meal delivery purchases from fast food delivery aggregators and restaurants. The growth of the grocery category is also impacting foot counts at malls as consumers forgo their weekly shopping trips.

As technology becomes more pervasive and advanced, big data analytics and digital technologies will be used to analyse complex datasets and extract actionable insights. These will allow companies to offer more personalised experiences at scale.

Our local digital landscape

In South Africa, online sales grew by 29.0% in 2023, while traditional retail sales declined in the same period. The study found that online sales now account for 6.2% of total retail sales[1].

The 2023 General Household Survey shows that 96.1% of South African households owned at least one mobile phone. The national percentage of households with access to the Internet through any means, including mobile, at work and fixed connections, increased from 28% in 2010 to 78.6% by 2023[2].

Implications for value creation

- Constant investment in the digital consumer experience is required to remain competitive.
- AI, big data analytics and other emerging technologies will become more important.
- The growth of the grocery delivery category is eroding consumer demand for food services delivery.
- Fewer consumers in shopping malls negatively affect sales for our mall-based restaurants.

Capitals impacted

Our strategic response

We participate in the delivery channel through own delivery and partnerships with aggregators. In 2025, we continued to scale the delivery hub model with 22 new delivery hubs opened in SA. This is where one franchise partner takes over delivery for several restaurants in a defined area. This provides an attractive business model for the delivery hub owner while removing the hassle factor of deliveries for other franchise partners.

We are investing in consumer-facing technology to improve the overall consumer dining and delivery experience. At our restaurants, we are implementing self-service terminals, digital menu boards and digital payment solutions. Kitchen display systems used in restaurant kitchens also improve preparation times. In 2025, we began rolling out Munch Software's cloud-based POS system to our CDR network. This offers us greater control and standardisation of POS.

We offer our consumers contactless payment solutions, including a pay-at-table option.

We must invest resources and work with technology partners to stay ahead of technology trends. In 2025, we began investing in our data warehouse capabilities.

Read more about our consumer-facing technology investments on page 40.

1 *World Wide Worx, Online Retail in South Africa 2024, available at: https://www.peachpayments.com/scale/world-wide-worx-2024-online-retail-report*

2 *Statistics South Africa General Household Survey 2023 available at: https://www.statssa.gov.za/publications/P0318/P03182023.pdf*

Business model

Our ability to create aspirational and iconic brands, which continue to be the consumer's choice, is essential to our success. We create sustainable long-term value for our stakeholders by using our inputs in efficient and responsible business practices.

	Financial	Intellectual	Manufactured	Human	Social and relationship	Natural
Capitals	The Group's sound financial position, cash generative and relatively capital-light business model, and strong relationship with our primary lender provide access to future capital.	We rely on well-developed capabilities in brand management, franchising and intellectual property development.	Our physical and digital infrastructure supports efficient operations and provides our franchise partners with a competitive advantage.	We have a high-performance culture, specialised skills, experienced management and a diverse Board.	Strong, mutually beneficial relationships with stakeholders protect our reputation and enable us to meet our growth objectives.	We are on a journey to improve our sustainability practices to reduce our environmental footprint.
Capital governance	• Audit and Risk Committee • Investment Committee	• Audit and Risk Committee • Investment Committee	• Audit and Risk Committee • Investment Committee	• Social and Ethics Committee • Remuneration Committee • Nomination Committee	• Social and Ethics Committee • Audit and Risk Committee	• Social and Ethics Committee • Audit and Risk Committee • Investment Committee
Inputs	• Net debt of **R997 million** (2024: R1 170 million) • Cash generated from operations **R1 121 million** (2024: R1 086 million) • Unutilised facilities of **R233 million** (2024: R219 million)	• **R709 million** (2024: R678 million) invested by franchise partners into marketing funds to develop and promote our brands • **3.10%** (2024: 1.4%) increase in Leading Brands' total media investment	• **10** Manufacturing plants • **Nine** Logistics distribution centres • **96** (2024: 97) trucks • **84** Company-owned restaurants (2024: 90) • A **Company-owned** head office in Midrand • **Online ordering** platforms and brand apps to support our own delivery channel • **R214 million** in capex (2024: R184 million) • **R22 million** invested in IT infrastructure (2024: R18 million)	• **4 522**[1] employees (2024: 4 424) • **R10.1 million** (2024: R7.6 million) in training and development for **732** (2024: 1 247) employees • **R1 144 million** in remuneration (2024: R1 097 million).	• **R19.3 million** invested in CSI (2024: R17 million) • **R3.3 million** in food donations in South Africa (2024: R17.2 million) • A transformation strategy to transform our business and maintain a high B-BBEE status • Our ESG Framework outlines our social development targets	• **31 361 MWh** of purchased electricity (2024: 28 286 MWh) • **1 971 MWh** generated from renewable energy (2024: 981 MWh) • Our ESG Framework outlines our practices and targets to reduce our carbon footprint, eliminate waste and reduce our water usage
Capital constraints	Constrained consumer spending and rising costs impact revenue, profitability and our margins, while elevated interest rates have made using debt more expensive. Read more on page 49.	A fiercely competitive landscape means that competitors are willing to cut prices to attract consumers. This demands an ongoing investment in agile marketing campaigns, value offerings, loyalty programmes and consumer experience. Read more on page 22 and 55.	Imported equipment and international technologies are expensive due to a weak Rand. Consumer-facing technology investments are expensive, and selecting the right platforms, partners, and software is challenging. Read more on page 47 and 66.	Attracting and retaining skills, including brand management, marketing and franchising skills is expected to remain difficult in the short, medium and long term. Read more on page 95.	Our social context and the business environment for franchise partners are constrained by high unemployment, inequality and social unrest. Read more on page 23.	Natural capital resources, including water, are constrained. Our Gauteng and Eastern Cape operations face regular water shortages. Climate change makes some commodities scarcer and more costly. Read more on page 69.

1. *The increase in headcount is due to due to the intake of learners, including interns, as part of the YES Programme.*

Business model *(continued)*

Business activities

THE FRONT END

THE BACKEND OF OUR BUSINESS SUPPORTS THE FRONT END

Branded food services

We are Africa's leading franchisor with a track record of developing and growing strong restaurant brands.

Our core competencies are:

- Franchise partner selection, onboarding, management and support
- Site selection
- Brand management and marketing
- Operations management
- Product, format and concept innovation
- Research and development

Supply Chain

We leverage our professional procurement capability and buying power to secure the best possible prices for goods and services. Our mature Logistics operations distribute ingredients and manufactured products throughout South Africa and across our borders.

Head office

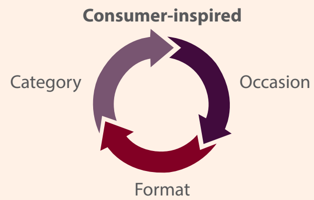
Our head office provides shared services across the Group.

Outputs

DELIVERING ON OUR PURPOSE OF NURTURING OUR FRANCHISE PARTNERS TO SUSTAINABLY IMPACT OUR COMMUNITIES

Restaurant brands

A portfolio of 16 iconic brands with good prospects across 2 979 restaurants (franchised, Company-owned and master licence)



Manufactured products

More than 495 manufactured products that are sold directly to franchise partners and supermarkets

Waste

- **50 509 tonnes** of carbon dioxide equivalent (tCO_2e) scope 1, 2 and 3 GHG emissions (2024: 53 347.61)
- **0 tonnes** of general waste to landfill (2024: 782 tonnes)
- **Food waste** generated in operations
- **Discarded product packaging**

Outcomes

Financial

Through disciplined capital allocation, we aim to unlock long-term value across the business and deliver returns for our shareholders.

- **R8 283 million** in revenue (2024: R8 024 million)
- **520 cents** per share HEPS (2024: 465 cents per share)
- **345 cents** per share in dividends (2024: 302 cents per share)

Intellectual

We developed our brands with franchise partners. This includes investing in both upfront and ongoing training for franchise partners and their employees, ensuring that all stores consistently deliver on their brand promise. We monitored our reputation across our brands and assessed the fair value of our brands.

- **21** (2024: 28) brand awards won
- **R346 million** (2024: R351 million) value of our trademarks, patents and brands
- **941 133** (2024: 761 208) consumers participating in our loyalty programmes

Manufactured

Our Supply Chain provided high-quality, competitive products to our franchise partners. We invested in technology to enhance our consumer experience and develop our IT infrastructure and cyber resilience.

- **153** new restaurants opened (2024: 137). Most of these restaurants are franchised
- **289** restaurants revamped (2024: 233)
- Capital expenditure of **R214 million**
- **100%** (2024: 100%) of our plants were certified through the Food Safety System Certification (FSSC) 22000 or Food Standards Agency

Human

Our business model relies on having the right people with the right skills in the right jobs to create value. Our core beliefs create a common purpose culture to nurture our franchise partners.

- Net promoter score (NPS) of **14.1** (2024: 22.3)
- **14.6%** (2024: 1.81%) average employee turnover rate
- **67** (2024: 71) lost time injuries and zero fatalities (2024: zero)

Social and relationship

We have mutually beneficial relationships with franchise partners. We maintain strong relationships with our non-controlling shareholders, associates, regulators and communities.

- **R1 million** (2024: R21.6 million) in load shedding relief to SA franchise partners
- **Level 1 B-BBEE** contributor status (2024: Level 2)

Natural

- We have reduced our annual plastic usage by **110.7 tonnes** per year by implementing more environmentally friendly packaging. This year, we eliminated all single-use plastic across our restaurant network.
- **R0.3million** (2024: R11.8 million) invested in solar installations
- **604 tonnes** (2023: 728 tonnes) of cardboard and paper recycled
- **48.2 tonnes** (2024: 144 tonnes) of plastic recycled
- **852.85 tonnes** of paper, metal and glass waste material recycled
- No food waste sent to landfill (2024: Nil)

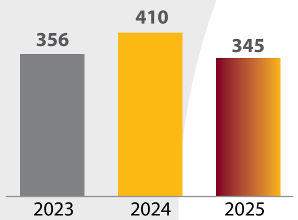
Business model *(continued)*

Shared financial value as an outcome

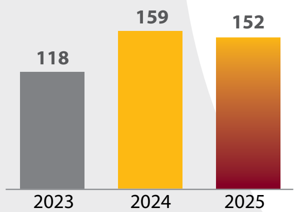
We share our success with our key stakeholders and contribute to economic development, income opportunities and wealth creation in the markets where we operate.

In 2025, we allocated R4 950 million (2024: R4 835 million) in shared financial value.

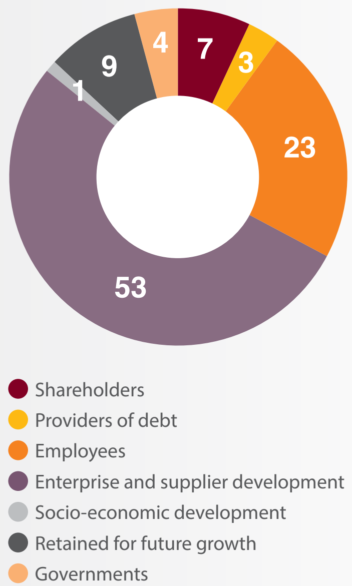
Dividends paid to providers of capital (Rm)



Repayments of interest (Rm)

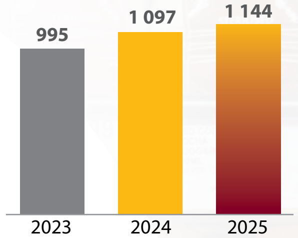


Percentage of wealth shared (%)

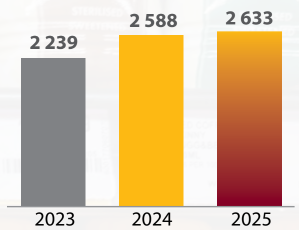


Employees

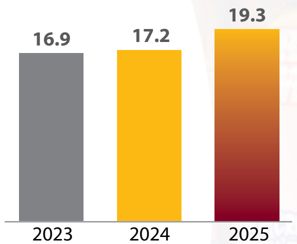
Remuneration and incentives to employees (Rm)



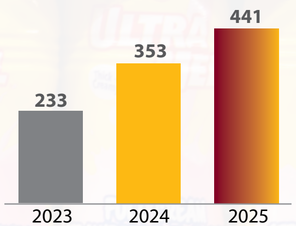
Spend with Black-owned businesses (Rm)



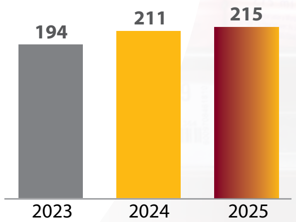
Investment in community upliftment (Rm)



Financial reserves to invest in operations and growth areas (Rm)



Responsibly paying tax in the markets where we operate (Rm)



Our brand custodian model

Our brand custodian model ensures that we manage and enhance four key elements: brand awareness, equity, consistency and loyalty. Our brand strategies are consumer-led, informed by research and tested before implementation.

Famous Brands has a well-established brand custodian model for Leading Brands, where internal brand development is considered a core competency. We have dedicated internal marketing and brand management resources with many years of relevant experience. A healthy competitiveness is fostered between the brand teams as they compete for similar consumers.

We track brand metrics as quantifiable indicators of brand health and strategy effectiveness. These provide insights into brand awareness, engagement, consideration (the likelihood that consumers will support the brand), consumer satisfaction and loyalty. Promotional campaigns are measured against sales figures to determine whether they are delivering results.

Signature Brands uses the same strategy planning process as the Leading Brands portfolio. With smaller brand networks, our brand plans are simplified with fewer strategic priorities. We rely on local marketing activities and restaurant-specific promotions to drive restaurant turnovers.

We consult with franchise partners on brand and marketing decisions, including major brand changes and marketing campaigns. They provide guidance on pricing, new menu items and promotions via our well-established National Franchise Forums (NFFs).

Franchise partners contribute a percentage of their turnover as a marketing fee and receive a detailed breakdown of how fees are spent in line with the Consumer Protection Act (CPA). We present our annual brand plans at the NFF. More details about their brand's proposition and story can be found in their operational manuals.

Our brand custodian model

Brand management team

Brands have a brand management team responsible for protecting and enhancing the brand's intellectual property (IP) and making marketing, advertising and communications decisions. They develop annual brand and marketing plans supported by customised brand strategies and activity plans. Brand strategies are informed by data, consumer research and insights from our product development team.

External marketing resources

Each brand uses a different advertising agency to execute brand strategies through advertising and promotional activities. This is supported by a specialised digital agency to amplify messaging. Our Group's media agency ensures a portfolio view of our media platform activities and leverages our scale to secure competitive pricing. We use a public relations and reputation management consultancy to proactively manage brand reputational risks or opportunities. Sauce Advertising, a Group associate, manages our website development, bespoke programmes and below-the-line marketing collateral. We work with several research partners to develop research, which always includes direct consumer feedback.

Operations team

A dedicated operations team manages each brand at the restaurant level and supports on-the-ground campaign execution. This includes interacting with franchise partners to ensure their restaurant teams are equipped to deliver memorable brand experiences for consumers.

Central marketing resources

We have a central marketing function with marketing professionals, including experts in social media, digital brand management, production innovation and local marketing. This function manages contractual arrangements with agencies, commissioning and developing consumer research and guiding the brand management teams. We test our ideas before implementing them and use an online consumer research portal to receive rapid feedback from a large sample size of consumers.

Stakeholder management

Our stakeholder management approach aligns with our core beliefs of humility and integrity. We listen to understand and respond to our stakeholders' needs, concerns and expectations.

We recognise that our stakeholders can impact the Group's ability to create and preserve value, and we strive to understand and respond to their needs and expectations. Our stakeholder engagement approach relies on the management principles of positive partnerships, consultation and teamwork.

Our Stakeholder Management Framework

Functional discipline representatives interact with stakeholders and monitor stakeholder engagement. Important issues and concerns are escalated to Exco.

Exco members are allocated responsibility for overseeing different stakeholder groups, and accountability per stakeholder group is typically shared across more than one Exco member.

The Social and Ethics Working Group supports the Social and Ethics Committee on an executive level to ensure effective stakeholder management within Famous Brands. The Working Group regularly reports to the Social and Ethics Committee.

Certain **Board committees** share the responsibility for overseeing stakeholder engagement. The **Social and Ethics Committee** is primarily responsible for overseeing stakeholder management, and in particular interactions with our communities, employees, consumers and regulators. The **Audit and Risk Committee** provides guidance on engagement with the JSE and SARS. The **Investment Committee** provides guidance on engagement with funder institutions, shareholders and investors. The **Remuneration Committee** interacts with shareholders and employees regarding remuneration decisions.

When required, **the Board** is notified of major concerns and opportunities to improve stakeholder communications. Board members may also directly engage with stakeholders on occasion.

Stakeholder engagement approach

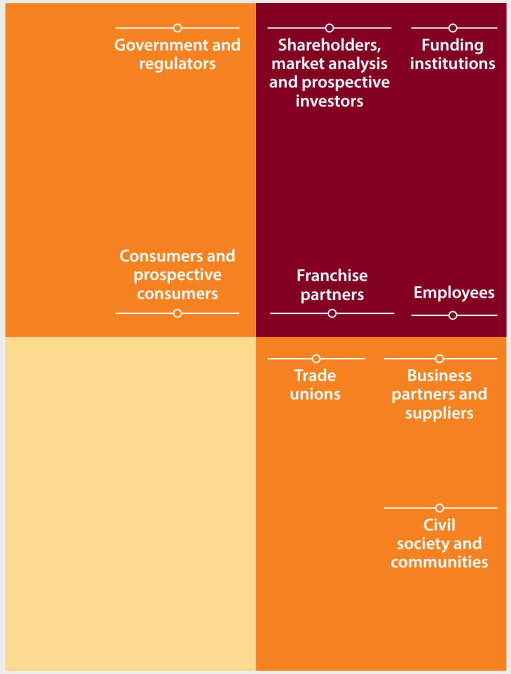
The Group's stakeholder engagement strategy guides interactions with stakeholders. Our engagement strategies are based on the degree to which our stakeholder relationships and contribution influence the Group's strategy execution.

We use the following criteria to prioritise the relative importance of our wide range of stakeholders:

- Our dependence on the stakeholder's support to achieve our strategic goals.
- The stakeholder's influence on our performance.
- The significance of risks and opportunities linking the stakeholder to the Group.
- The risks we face if we do not engage constructively with the stakeholder.

HIGH POWER, LOW INTEREST stakeholders have a great deal of influence on the Group, but have little interest in it. We aim to keep them satisfied.

LOW POWER, LOW INTEREST stakeholders have little influence on the Group and no interest in its activities.



HIGH POWER, HIGH INTEREST stakeholders have a great deal of influence and significant interest in the Group. We want to fully engage with and satisfy these stakeholders.

LOWER POWER, HIGH INTEREST stakeholders have little influence but are interested in the Group. We consult with them and keep them adequately informed.

Stakeholder management *(continued)*

Stakeholder relationship quality assessment

We follow an internal assessment of our stakeholder relationships and have the following three categories:

The relationship is established and generates value but can be improved	★☆☆
Mutually beneficial, good relationship, some opportunity for improvement	★★☆
Strong, mutually beneficial relationship	★★★

Level of influence on our decisions:

Low | Medium | High

Shareholders, market analysts and prospective investors

EXCO MEMBER ACCOUNTABLE	PERCEIVED RELATIONSHIP QUALITY	LEVEL OF INFLUENCE ON OUR DECISIONS	KEY RISK	CAPITALS IMPACTED
Darren Hele Nelisiwe Shiluvana Celeste Appollis	★★★	High	1	

Why we engage

Shareholders and potential investors provide financial capital for our growth while market analysts provide guidance on valuation and prospects. We communicate our investment proposition clearly and deliver on our Group strategy. Management has extensive industry experience and is guided by a highly competent Board.

Their needs and expectations

This stakeholder group seeks reassurance that Famous Brands offers sustainable growth. They are interested in:

- Prudent capital allocation and sustainable financial performance, and despite low economic growth, the financial health of franchise partners.
- An appropriate and well-considered remuneration structure.
- Strong corporate governance and ethical and competent leadership.

How we engage

- Annual and interim results presentations.
- One-on-one engagements.
- SENS announcements.
- AGM.

How we measure relationship quality

- Investor and analyst interest and feedback.
- AGM voting results.

Funding institutions

EXCO MEMBER ACCOUNTABLE	PERCEIVED RELATIONSHIP QUALITY	LEVEL OF INFLUENCE ON OUR DECISIONS	KEY RISK	CAPITALS IMPACTED
Darren Hele Nelisiwe Shiluvana	★★☆	Medium	1	

Why we engage

Funding institutions provide financial capital for growth and enable balance sheet support. They seek a mutually beneficial relationship where their funding supports our growth plans, which will build Famous Brands into a bigger and better customer.

We have long-term relationships with our bankers. We preserved our track record of meeting our funding obligations and complying with covenants. We proactively manage our debt maturity profile.

Read more about our debt profile in our Group Financial Director's report on page 49.

Their needs and expectations

Funding institutions expect:

- Famous Brands to apply responsible capital management.
- Timely payment of interest and capital.
- Compliance with debt covenants.

How we engage

- One-on-one engagements.
- Digital communications.

How we measure relationship quality

- Ongoing feedback.
- Funding terms offered.

Stakeholder management *(continued)*

Franchise partners

EXCO MEMBER ACCOUNTABLE	PERCEIVED RELATIONSHIP QUALITY	LEVEL OF INFLUENCE ON OUR DECISIONS	KEY RISK	CAPITALS IMPACTED
Darren Hele Derrian Nadauld Philip Smith	★★★		6, 7, 10	

Why we engage

Since our franchise partners are our principal revenue source and represent our brands, they are critical to our business. We regularly consult them, provide ongoing business support, and enhance our brands.

We see our partnerships as long-term engagements that require consistent attention, and our franchise partners' opinions and contributions are welcome. Our dedicated operations teams ensure that they receive support to run a successful business. Our Supply Chain operations focus on consistently and promptly supplying high-quality products.

We are committed to improving our interaction with them to allow us to take advantage of the exceptional and respected insights they provide.

Their needs and expectations

Franchise partners want a franchisor who recognises their needs and is committed to the relationship. They expect:

- Return on investment.
- Iconic brands, quality products and focused marketing spend.
- Efficient and effective Supply Chain.
- Sound input when selecting suitable locations for their restaurants.
- Regular business management support.

How we engage

- NFFs.
- Annual conferences.
- One-on-one engagement with franchise managers.
- Email communications and newsletters.
- Franchise partner surveys.

How we measure relationship quality

- Franchise partner retention statistics.
- Growth of franchise partners with multiple restaurants.
- Franchise partner survey results.

Case study

HOW WE SUPPORT FRANCHISE PARTNERS

Famous Brands employs full business format franchising, where the franchise partners use the franchisor's whole business concept, including the name, trademarks, copyright, expertise, and other intellectual property. We have several years of experience establishing strong brands and have well-developed franchise processes.

Franchise partner recruitment

We regularly receive franchise partner applications, largely through referrals from current franchise partners, landlords and our extended network. Potential franchise partners are drawn to our brands, long track record, and reputation for robust and ethical franchise network management. New sites are usually offered to existing franchise partners who seek to create a multi-franchise network.

We recommend that applicants interact with a minimum of three existing franchise partners to understand the brand and what is required to run a restaurant. Our franchise disclosure document has all the contact details of existing franchise holders for that brand.

While evaluating potential franchise partners, we look for people management skills, organisational ability, and financial and business management knowledge. Famous Brands completes criminal and credit checks on all new applicants. Franchise partners must have an entrepreneurial mindset but also be content to operate within the franchise system. We seek franchise partners who are owner-operators and not simply investors. While most potential franchise partners require bank funding, they need sufficient unencumbered cash to manage their monthly repayments and cover working capital requirements.

Lease negotiation

The correct site, floor space and favourable rental terms are all essential to ensure a business's initial and ongoing success. We provide support for site selection, negotiating and managing franchise partner leases, key landlord relationship management and rental benchmarking.

Stakeholder management *(continued)*

Case study (continued)

Developing a site

Using graphic information systems, we determine whether a site is viable. This technology gives us demographic data for an area, including population, age brackets and income, while providing economic activity, competitor activity and transport flows into the area. This allows us to evaluate whether the site is over or under-traded and has the consumer numbers to support the business case.

We support franchise partners by managing all new restaurant fit-outs. This ensures that the look and feel of all new restaurants meet our rigorous requirements. We have precise equipment requirements and work with the franchise partner to choose and manage equipment suppliers and contractors. Our longstanding industry relationships allow us to negotiate the best pricing for franchise partners. Restaurants do not open until Famous Brands signs off on the project.

We open a Company-owned restaurant at a site that meets our criteria, but we cannot find a suitable franchise partner and may sell it when an appropriate applicant is found.

Franchise documentation

A franchise partner applicant is given a disclosure document to allow them to evaluate the franchise business case. This document is only provided once they have signed a non-disclosure agreement. It contains extensive information about the franchisor, financial projections, full costs and fee breakdown.

Franchise partners sign a franchise agreement when joining a franchise. This legal document outlines the terms and conditions that apply between the franchise partner and the franchisor. Our franchise information system is a repository for legal documents, including franchise and lease agreements. The typical franchise agreement runs for five years, after which it is either renewed or lapses.

Franchise partners receive access to an online operations manual that includes information on our brand, operational standards and recipes.

Onboarding

Our comprehensive franchise partner onboarding process usually takes 14 weeks. It includes training the franchise partners and their employees and providing support when selecting and interviewing new recruits.

For Leading Brands, franchise partners have access to an online training platform with modules on operating the different brands. We also offer classroom training and practical in-store training, both at the new restaurant and at other restaurants. Before a restaurant opens, we host a soft opening event for friends and family to allow the franchise partner to test the systems.

Engagement

Franchise partners are paid a visit by their franchise manager at least once per month. During this visit, the franchise manager conducts an operational audit and consults with the franchise partner on the business's health. The franchise manager also discusses proposed menu promotions and incentives offered to franchise partners who achieve their targets.

Franchise managers support between 20 and 25 franchise outlets. Franchise partners can escalate their concerns to an operations manager or regional manager. Franchise partners receive a monthly newsletter with details of upcoming promotions and industry topics. Leading Brands franchise partners can access an online portal for material for local marketing activities. There are National Franchise Forums for each brand, which are consultative forums where franchise partners provide input. Through regional roadshows, Famous Brands shares its plans for the year ahead.

Margin support

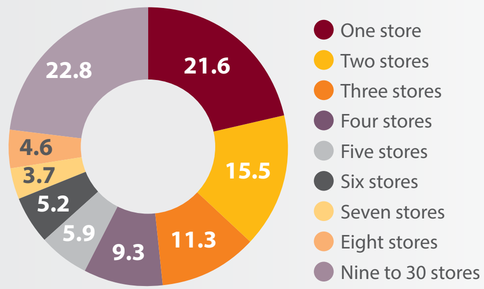
Franchise partners benefit from our vertically integrated Supply Chain. Famous Brands sources products, negotiates pricing and ensures that products meet our standards. We are acutely aware of keeping our price increases low and stable, not passing through frequent increases. Price certainty assists franchise partners with their planning. Product prices to franchise partners are the same, regardless of their proximity to our distribution centres.

Online reputation management

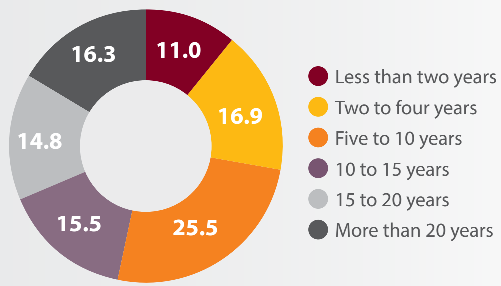
We use a leading platform to monitor our online reputation. This consultancy tracks all reviews across our brands on several platforms, including Google, TripAdvisor and Facebook. They assist our brand managers in ensuring that our restaurants are visible on these platforms and that all restaurant details are updated.

We manage social media activity for all brands for our franchise partners. Franchise partners have social media pages linked to our brand's main page, allowing for localised content, with national support. We have social media policies in place to guide franchise partners appropriately.

Number of restaurants per SA franchise partner (%)



Average tenure of SA franchise partner (%)



Stakeholder management *(continued)*

Consumers and prospective consumers

EXCO MEMBER ACCOUNTABLE	PERCEIVED RELATIONSHIP QUALITY	LEVEL OF INFLUENCE ON OUR DECISIONS	KEY RISK	CAPITALS IMPACTED
Darren Hele Derrian Nadauld Philip Smith			3 8	

Why we engage

Our consumers' continued support and trust are essential to our ongoing sustainability. We maintain and increase market share by meeting consumer demands and leading in our chosen categories. We value and act on consumer feedback. Our brands must remain relevant and accessible and offer value. We improve the consumer experience through innovation, flawless execution and constant improvement. We maintain our standards through:

- Innovation to keep up with developing trends.
- Investment in consumer-facing technology.
- The rollout of loyalty programmes.
- Prioritising food quality and safety across the Supply Chain.
- An ongoing restaurant refurbishment programme.

Read more about our brand management on page 22, respond to consumer trends on page 17 and our consumer-facing technology investments on page 47.

How we engage

- One-on-one engagement at restaurants.
- Advertising and public relations activities across all media types.
- Call centres.
- Consumer complaint channels.
- Brand apps and loyalty programmes.
- Regular restaurant reviews, audits and mystery shopping to guarantee our high standards are maintained.

Their needs and expectations

Consumers trust our brands to deliver:

- Strong value offerings.
- Location accessibility and convenience.
- Positive total experience with good service and hygiene standards.
- Menu innovation and variety.

How we measure relationship quality

- Number of consumer complaints.
- Restaurant turnover growth.
- Online reviews and ratings.

Civil society and community

EXCO MEMBER ACCOUNTABLE	PERCEIVED RELATIONSHIP QUALITY	LEVEL OF INFLUENCE ON OUR DECISIONS	KEY RISK	CAPITALS IMPACTED
Darren Hele Philip Smith Derrian Nadauld Andrew Mundell Jabulani Mahange			9	

Why we engage

Supporting the communities where we operate is a key component of brand building for our Leading Brands, who run programmes to support long-standing CSI partners. In addition, our franchise partners also support the communities where they operate, both in South Africa and beyond. In 2025, we contributed R19.3 million (2024: R17.2 million) to CSI programmes.

Our environmental policy outlines our commitment to responsible environmental practices. It identifies critical focus areas and objectives regarding reducing our environmental impact and contributing to a more sustainable operating environment.

Read more about our CSI on page 104, our sustainability journey on page 69 and our environmental report on page 71.

How we engage

- CSI activations.
- Public relations activities.

Their needs and expectations

Civil society and communities expect Famous Brands to:

- Provide sustained, meaningful support for our CSI programmes.
- Operate in a way that reduces our environmental footprint.
- Treat our consumers, employees, suppliers and communities responsibly.

How we measure relationship quality

- Feedback from CSI partners.
- Success in fundraising for CSI initiatives.

Stakeholder management *(continued)*

Suppliers and business partners

EXCO MEMBER ACCOUNTABLE	PERCEIVED RELATIONSHIP QUALITY	LEVEL OF INFLUENCE ON OUR DECISIONS	KEY RISK	CAPITALS IMPACTED
Darren Hele Philip Smith Derrian Nadauld Andrew Mundell	★★★		10	

Why we engage

Suppliers and business partners support Famous Brands in our commitment to meeting our obligations to franchise partners when they supply important products and services.

Our contractual arrangements enable quality and food safety adherence and transparent, robust relationships with suppliers. B-BBEE status and compliance are considered when selecting suppliers or business partners. Frequent interaction between our procurement and planning teams with suppliers ensures successful partnerships. B-BBEE compliant suppliers are eligible to participate in our annual supplier awards.

Read more in our transformation report on page 100.

Their needs and expectations

Many of our business partners are crucial contributors to the Group's strategy implementation and expect:

- Timely payment.
- Fair treatment.
- A long-term, mutually rewarding relationship.
- Opportunities to grow business opportunities with Famous Brands.

How we engage

- One-on-one engagement.
- Email communications.
- Annual supplier awards.
- Supplier inspections and audits.
- Supplier questionnaires.

How we measure relationship quality

- Service level delivery (SLA) levels met or exceeded.

Employees

EXCO MEMBER ACCOUNTABLE	PERCEIVED RELATIONSHIP QUALITY	LEVEL OF INFLUENCE ON OUR DECISIONS	KEY RISK	CAPITALS IMPACTED
Darren Hele Jabulani Mahange	★★☆		1	

Why we engage

We value our people, and our goal is to create a safe, harmonious and productive work environment. Employees expect Famous Brand to acknowledge their contributions and invest in their growth and development. They expect their leaders and managers to demonstrate ethical and competent leadership.

Our employees are suitably remunerated, incentivised and developed. We support the principles of transformation in South Africa, and our transformation policy and strategies aim to uplift historically disadvantaged individuals. We are committed to creating a culture of learning.

Read more in our human capital report on page 95, remuneration report on page 130 and transformation report on page 100.

Their needs and expectations

We offer our employees:

- Fair remuneration and recognition.
- Equal opportunities and career development.
- Training and development.
- Safe working environment and job security.
- Good corporate governance, ethical and competent leadership.

How we engage

- One-on-one engagement.
- Group-wide meetings and presentations.
- Email communications.
- Annual performance discussions.

How we measure relationship quality

- Voice your View results.
- Employee retention statistics.
- Ready now successor scores.
- Exit interview feedback.

Stakeholder management *(continued)*

Trade unions

EXCO MEMBER ACCOUNTABLE	PERCEIVED RELATIONSHIP QUALITY	LEVEL OF INFLUENCE ON OUR DECISIONS	KEY RISK	CAPITALS IMPACTED
Jabulani Mahange	★★½		1	

Why we engage

We safeguard employees' rights, including the rights to non-discrimination and freedom of association. We have recognition agreements with three trade unions, and 26.3% of employees are unionised.

We respect the role of trade unions and engage professionally and cordially to find common ground on all matters. By demonstrating that we are an employer of choice and a good-faith partner, we can continue to enhance our existing mutually respectful relationship.

Read more in our human capital report on page 95.

Their needs and expectations

Trade unions look for the following on behalf of their members:

- Sustainable earnings and job security.
- Fair remuneration and recognition.
- Equal opportunities, training and career development.
- Safe working environment.

How we engage

- Wage agreement negotiations.
- Meetings.

How we measure relationship quality

- Mutually beneficial wage agreements.
- Absence of labour unrest.
- Voice your View results.

Government and regulators

EXCO MEMBER ACCOUNTABLE	PERCEIVED RELATIONSHIP QUALITY	LEVEL OF INFLUENCE ON OUR DECISIONS	KEY RISK	CAPITALS IMPACTED
Darren Hele Celeste Appollis Nelisiwe Shiluvana Ntando Ndaba Jabulani Mahange	★★		1	

Why we engage

We are a responsible corporate citizen that pays tax, complies with legislation and regulations, and is committed to the principles of transformation. We also support the government's development agenda through our CSI activities and the responsible use of natural resources.

We have systems in place to monitor any change to legislation, assess the repercussions of these changes and communicate this to relevant stakeholders. Maintaining our B-BBEE status is a critical management priority.

Their needs and expectations

This stakeholder group seeks:

- Consistent and growing tax payments.
- Compliance with legislation.

How we engage

- Annual submissions.
- Engagement with local municipalities.
- Industry-level discussions facilitated through the Consumer Goods Council of South Africa (CGCSA) and the Federated Hospitality Association of South Africa (FEDHASA).
- Applications and reports to SETAs.
- Requests for information submissions e.g. Competition Commission.
- Regular guidance and updates on regulations and legislation (JSE Limited).

How we measure relationship quality

- Absence of fines and penalties.

Risk management

Effective risk management involves proactive risk identification and mitigation with the aim of controlling future outcomes as much as possible.

Famous Brands, like any other public company, faces several risks related to strategy, operations, people, IT, finance, and compliance. The Board and management are responsible for risk management and must balance taking calculated risks and exercising prudence. Overall, we have a cautious risk approach in the pursuit of strategic objectives.

The Group's risk management framework, which is aligned with the Committee of Sponsoring Organizations of the Treadway Commission Framework, has remained essentially unchanged over the past year. Our management approach and mitigation actions correspond with our business strategy and strategic choices, which are designed to facilitate growth and mitigate risks. (Page 42)

Our risk management framework

The Board	Audit and Risk Committee	Risk Forum	Group Risk Executive	Group entity Boards
Overall responsibility for the Group's risk management.	Oversees risk management and provides regular updates to the Board. Sets out the Group's risk appetite.	Comprises Exco members and representatives from Internal Audit and other divisions. Monitors emerging and potential risks.	Provides guidance on integrating risk management protocols effectively into day-to-day operations.	Local and foreign legal companies have Boards oversee entity risk management.

The Group Risk Executive and other risk specialists are involved in developing and executing the business risk strategy, including implementing key action plans. They collaborate in project teams and act as a sounding board on potential issues. Key risks are identified based on the following:

- **Risk-bearing capacity:** The capacity to absorb risk-related losses without threatening the Group's ongoing sustainability based on its current business model.
- **Risk appetite:** The amount and type of risk the Group is willing to accept in pursuit of its strategic objectives. We are careful to avoid subjecting the Group to risks that exceed the risk appetite.
- **Risk tolerance:** The acceptable levels of variation relative to achieving the Group's strategic objectives.

> **The Group risk stakeholders ensure that Famous Brands is not exposed to unnecessary risk. The Group confirms that there were no unexpected or unusual risks that materialised outside of our risk appetite.**

Risk management in 2025

Bolstering business resilience

Every operational site has business continuity and disruption plans in place. We have solar installations and backup generators to ensure efficiency and increased energy independence. In 2025, our business resilience plans focused on supporting water security for our Gauteng operations. This included addressing water interruptions, possible water quality and low pressure issues.

We are implementing a plan to safeguard our operating sites and assets against identified risk exposures including fire, flooding, crime and civil unrest. Our fire risk engineering programme, which will be completed in 2026, has enabled better negotiations and pricing with insurers. Our insurance renewal cycle for 2024/2025 proceeded smoothly with our year-on-year premium cost on all policies showing an overall 1% saving.

We continue to work with our broker and insurers to meet insurers' underwriting requirements. Our cell captive, which administers in the main our predetermined and agreed aggregates on motor and property damage and business interruption, was established in 2023. This year, we continued to optimise the cell captive and begun expanding it to cover other risk classes related to people and information technology.

Famous Brands supports its franchise partners in securing alternative power solutions during load shedding. We also provide advice on optimal solutions, energy efficiency and transitioning to gas equipment. Energy relief breaks are in place for sales generated during load shedding. However, load shedding was suspended for most of our financial year.

Reducing compliance-related risks

Famous Brands has a comprehensive Regulatory Compliance Framework that maps the relevant legislative universe across our markets and limits our compliance-related risks. In 2025, we operationalised a governance, risk and compliance (GRC) tool to enhance risk management and regulatory compliance in our markets. In 2026, we will implement a specialised software tool to manage our regulatory compliance in different markets (Page 119).

We track our compliance with the Protection of Personal Information Act (POPIA) and utilise the internal audit assurance process to identify areas for improvement. We monitor data protection laws across all our markets.

Developing our cybersecurity capabilities

The evolving cyber threat landscape presents growing risks, from AI-driven phishing and deepfake attacks to ransomware, insider threats, Internet of Things (IoT) vulnerabilities, and stricter regulatory enforcement, all of which demand stronger security measures and proactive defence strategies.

In 2025, we strengthened our cybersecurity capabilities through key projects focused on infrastructure protection, threat detection, and risk management. We enhanced our security governance and controls by aligning security frameworks with risk exposures across various markets and refining policies, compliance monitoring, and governance structures.

In 2026, we will focus on maturing existing security infrastructure and technologies to maximise protection while controlling costs. We will strengthen our foundation and address high-risk areas, improve detection, incident response, data protection and governance. We will also mature IT security in other key markets by implementing a structured three-year plan.

Read more about our technology governance on page 117.

Focus areas for 2026

Famous Brands continues to improve its risk management capabilities with the following priorities for 2026:

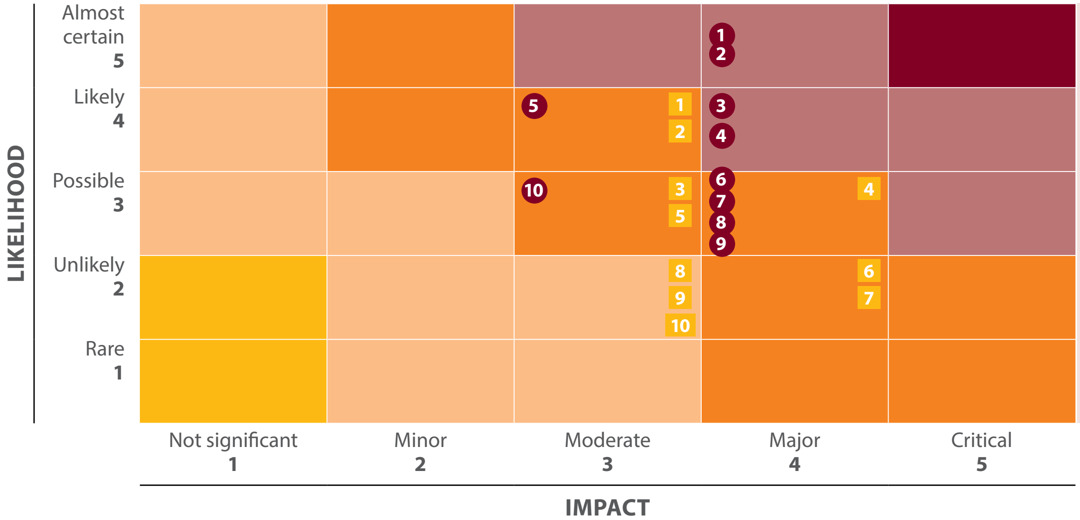
- Scenario planning and building business resilience for business interruption events, including water shortages and power failures in Zambia.
- Leverage our data analytics tool to deliver risk insights.
- Continue to optimise the cell captive by building up additional reserves.
- Implement IT security plan for 2026, including bolstering IT security capabilities in other key markets.
- Complete fire risk engineering projects.
- Deepen ESG and ESG risk management capability and reporting.
- Implement specialised software tool to manage our regulatory compliance in different markets.

Risk management *(continued)*

IRR Inherent risk rating
RRR Residual risk rating

Our key risks

The Group's top 10 key risks are defined below, along with their potential impact, the mitigating actions we have taken, and the potential opportunities they present. We have identified both internal and external risks. We consider impact categories based on the tolerance levels across the four areas: finance, reputation, consumer and employee. The likelihood is based on the probability of occurrence. In 2025, risks related to an increasing regulatory environment, inability to respond appropriately to business disruption and inefficient financial systems and processes moved out of our top 10 key risks.



1. Group revenue growth sensitive to market uncertainties
2. Information security breach through cyber-attack in key markets
3. Consumer-facing technology investments lagging consumer shifts and competition
4. Supply chain disruptions
5. Climate change resulting in business disruption*
6. Unreliable electricity supply negatively impacting Supply chain and restaurants
7. Uncertainty over franchise partner profitability and sustainability
8. Failure to prevent and appropriately respond to major health and safety incidents*
9. Loss of reputation and severe brand damage
10. Breach of food safety standards and regulations in Supply chain and restaurants*

* *New top 10 risks for 2025.*

1 Group revenue growth sensitive to market uncertainties

IRR 20 RRR 12

RELATED KEY STRATEGIC MATTERS:

RELATED CAPITALS:

Persistent economic headwinds in key markets, including SA, Botswana and the UK, negatively impact consumer confidence and spending. Geopolitical instability is likely to hurt global trade relations. In SA, our prospects will be influenced by GNU stability.

Competition in the restaurant sector is increasingly fierce, driven by convenience, value offerings and online delivery. Major retailers also compete with restaurants. Our AME restaurants and Signature Brands portfolio continue to perform below our expectations.

These conditions put pressure on our operating margin and market share, which could weigh down shareholder returns.

Our response

- We are driving new restaurant openings in SA and SADC to achieve system-wide growth.
- Our focused media spend for Leading Brands will generate new sales and customer acquisition.
- We continue to explore acquisitive or organic growth opportunities in our Leading Brands portfolio.
- We are pursuing growth for our Retail products, led by new product development.
- Capital allocated to our supply chain to drive efficiency through yields and effective labour management.

Opportunities

- Growth through agile trading formats, including drive thrus.
- Expansion of own home delivery capability through the delivery hub concept.
- Leverage insights from business intelligence and customer relationship management (CRM) technology.
- Innovation in menu and basket offerings.
- Improved Retail product offerings and investment in new product development capabilities.

Risk management *(continued)*

2 Information security breach through cyber-attack in key markets

IRR 20 RRR 12

RELATED KEY STRATEGIC MATTERS:

RELATED CAPITALS:

The cybercrime landscape continues to evolve with increasingly sophisticated threats. Failure to keep up with cyber security trends, address known security weaknesses, and manage third-party service providers' IT security could expose the Group to threats. The Group's IT infrastructure in SA and key markets is increasingly interconnected, which poses new vulnerabilities.

A cyber-attack could result in a loss of intellectual property, regulatory intervention and fines, system downtime and reputational damage.

Our response

- We are implementing an IT security plan in key markets.
- We have adequate risk transfer strategies.
- We make use of ongoing independent cyber assurance services.

Opportunities

- Investment in technology to enhance security.
- Increased business resilience.

3 Consumer-facing technology investments lagging consumer shifts and competition

IRR 16 RRR 9

RELATED KEY STRATEGIC MATTERS:

RELATED CAPITALS:

Our sector is experiencing an accelerated consumer shift to convenience through technology and competitors are investing to gain market share. We are also highly reliant on third-party technology providers.

Key consumer-facing technology threats include loss of market share, low return on capital investment and loss of revenue.

Our response

- A Group-wide enterprise architecture and structure strategy is in place to cover operating system architecture and consumer-facing technology.
- We are executing our roadmap of key consumer-facing technology projects with oversight from Exco and the Board.
- We are clearly articulating the Munch POS rollout to ensure we extract the maximum value from this solution.

Opportunities

- Market share gains.
- Greater insights to enhance consumer experience across multiple touchpoints.

Risk management *(continued)*

4 Supply chain disruptions

IRR 16 RRR 12 | RELATED KEY STRATEGIC MATTERS: | RELATED CAPITALS:

We are experiencing production inefficiencies due to shipping delays and higher input costs driven by geopolitical and security instability. In SA, local port infrastructure failure hampers the efficient delivery of products.

We face other potential disruptions due to changing weather patterns related to climate change, animal disease outbreaks, wage disputes and water shortages.

Supply disruptions could lead to margin erosion, operational inefficiencies, working capital pressures while negatively impacting service levels.

Our response

- We are building procurement capacity to focus on the strategic procurement of key commodities.
- We ensure supply chain resilience by diversifying our supplier base.
- We are redeveloping our Midrand Campus to provide more supply chain capacity and agility in the medium to long term.
- We are developing a water risk mitigation plan in SA operations to address water supply and quality issues.

Opportunities

- Invest in product innovation.
- Leverage our vertically integrated business model offering our franchise partners an increased competitive advantage.
- Technology implementation for operational efficiencies.

5 Climate change resulting in business disruption

IRR 12 RRR 9 | RELATED KEY STRATEGIC MATTERS: | RELATED CAPITALS:

Many of our markets experience climate change impacts, including severe weather events, drought and extreme heat. Climate change may be exacerbated should governments fail to introduce and enforce regulation to reduce carbon emissions.

Climate change threats to Famous Brands include major natural disasters resulting in business disruptions, damage to infrastructure and a hardened insurance market. If we do not maintain our emissions reductions pathway, we may lose the trust of our eco-conscious consumers.

Our response

- We are addressing climate risk as part of our ESG Framework and targets.
- We have planned energy and water recycling projects.
- We maintain adequate cover for natural disasters for our assets and business interruptions.
- We are lobbying the South African government through the CGCSA and other forums to drive local ESG commitment.

Opportunities

- Enhanced positioning as a sustainability leader.
- Invest in technology and machinery to improve cost savings.
- Increased business resilience.

Risk management *(continued)*

6 Unreliable electricity supply negatively impacting Supply Chain and restaurants

IRR 12 RRR 18

RELATED KEY STRATEGIC MATTERS:

RELATED CAPITALS:

In South Africa, we face an overdependency on a single energy provider with unreliable electricity generation and transmission infrastructure. In Zambia, our supply of electricity is threatened by drought, impacting hydro-power generation by the national utility.

Unreliable power supply and cuts result in operational inefficiencies, margin erosion and reduced day stock cover. These issues may result in lost revenue.

Our response

- At year-end, 96% of Leading Brands restaurants had some form of back-up power.
- We are converting kitchens to smart equipment, which is more energy efficient and implementing gas conversion of key equipment to mitigate risk.
- We are exploring hybrid energy solutions in Zambia.

Opportunities

- Alternative energy sources and energy efficiency drive will cut costs, reduce emissions and increase business resilience.

7 Uncertainty over franchise partner profitability and sustainability

IRR 12 RRR 8

RELATED KEY STRATEGIC MATTERS:

RELATED CAPITALS:

Franchise partners face an increasing cost of doing business, including onerous leases, higher input costs and energy and water insecurity. Poor economic conditions and high interest rates in South Africa and other markets have resulted in constrained consumer spending. Other pressures include uncertainty about the employment of foreign labour and a minimum wage increase in South Africa.

These trading conditions erode margins and make it difficult for franchise partners to reinvest in their businesses and may result in franchise failures. For the Group, this may negatively impact net restaurant growth.

Our response

- We provide business sustainability relief packages to franchise partners for the short to medium term when required.
- An energy relief package is implemented in South Africa for sales delivered during load shedding.
- We support our franchise partners with lease renegotiations.
- Our consumer-facing technology projects will ensure ongoing competitiveness.
- We are allocating media spend in Leading Brands to drive growth.

Opportunities

- Negotiate favourable rental terms and greater access to new sites.
- Innovation in menu and basket offerings.
- Innovative thinking around cost savings.
- Our vertically integrated business model offers our franchise partners a strong competitive advantage

Risk management *(continued)*

8 Failure to prevent and appropriately respond to major health and safety incidents

IRR 12 RRR 6

RELATED KEY STRATEGIC MATTERS:

RELATED CAPITALS:

Failure to implement or monitor measures to correct health and safety programme control weaknesses may result in a major health and safety incident. This threat could be exacerbated by inconsistent legal compliance and aging plant infrastructure. Our own delivery motorcycle drivers may be involved in accidents.

These issues may lead to a loss of life, regulatory fines and penalties and reputational damage.

Our response

- Continuous monitoring of health and safety issues by Exco and the Board's Social and Ethics Committee.
- An occupational health and safety risk specialist drives the Group-wide health and safety programme.

Opportunities

- Continual enhancements to health and safety protocols.
- An improved work environment for employees.

9 Loss of reputation and severe brand damage

IRR 12 RRR 6

RELATED KEY STRATEGIC MATTERS:

RELATED CAPITALS:

Unethical conduct by any key stakeholder, locally and abroad, or non-adherence to agreed procedures and escalation framework may result in a reputational fallout and severe brand damage. This may lead to trust deficit, a loss of confidence in management and market share declines.

Our response

- We promote ethical practices amongst our key stakeholders based on our ethics framework.
- We ensure that all business policies are regularly updated and communicated.
- We are implementing an ethics strategy and management plan to further entrench an ethical culture.

Opportunities

- Enhanced stakeholder value and strong ethical culture.

Risk management *(continued)*

10 Breach of food safety standards and regulations in Supply Chain and restaurants

IRR 9 RRR 6

RELATED KEY STRATEGIC MATTERS:

RELATED CAPITALS:

Failure to comply with our total quality and food safety management system and inconsistent application of legal compliance could result in unsafe food and widespread product recalls.

A food safety incident could result in reputational damage and poor consumer confidence and regulatory fines and penalties.

Our response

- We continue to drive compliance with our total quality and food safety management system and recognised food safety standards.
- We conduct regular food safety inspections at restaurants.

Opportunities

- Better food management practices result in less food waste.

Emerging risks

Our risk management process considers emerging risks and their potential impact on the Group. In 2025, we evaluated the potential impact of the following emerging risks:

Economic

- Low growth forecast for South Africa.
- The possibility that South Africa remains on the Financial Action Task Force's (FATF) grey list.
- Fiscal outlook deteriorating.
- Interest rates remain higher for longer, placing continued pressure on consumers.

Sustainability

- More severe weather conditions, including frequent droughts, which may lead to food shortages and higher prices, and a higher incidence of flooding, damaging infrastructure.

Infrastructure

- General collapse of local water infrastructure.
- Deterioration of South African port infrastructure leading to increased logistics costs and delays.

Political

- Higher tariffs on products exported to the United States affecting our economic growth.
- South Africa's current position in the United States AGOA remains precarious.
- Rising geopolitical tensions with the possibility of increased armed conflict and security confrontations.

People

- Retention of key human resources.
- Employees coping with increased financial stress and mental health issues.
- Uncertainty around the employment of foreign nationals in South Africa.

Other

- The potential for increased crime and a breakdown in the rule of law.
- Animal disease outbreaks, including foot and mouth and avian flu.

Chief executive officer's report

> Our financial results are thanks to strong cost containment measures, the enduring appeal of our Brands and the resilience of our business model.
>
> **Darren Hele**

This year, overall business and consumer sentiment remained mixed as South Africa and several other African countries faced pre-election uncertainty and the knock-on economic impacts of global geopolitical tensions. In South Africa, the formation of the GNU was welcomed as a sign of a maturing democracy, boosting confidence. It has, however, not translated into more supportive policies for business or economic growth.

Economic growth in South Africa remains depressed and nowhere near the rates required to boost employment, reduce inequality and grow a middle class.

Consumers are circumspect about their choices and may forgo local travel or eating out. As discretionary spend shrinks, South African consumers are becoming increasingly price-sensitive, shifting towards value offerings and promotions, and trading down to more affordable menu items.

There were several economic tailwinds as we benefited from the halt in load shedding for most of our financial year. South African inflation, unlike many countries across the continent, is under control, the Rand remained relatively stable, and the two-pot retirement system relieved indebted consumers.

While the marketplace is highly competitive, we have well-established and category-leading brands, and our consumers appreciate our value offerings, consistent quality, variety and record of innovation. While our financial performance was below our expectations, we achieved 3.2% revenue growth, maintained a stable operating profit and improved our HEPS. Across our regions, we opened 153 new restaurants, converted an additional five Fego Caffés to Mugg & Bean restaurants and revamped 289 restaurants. This high revamp activity indicates a willingness from franchise partners to reinvest in their businesses.

Impacts of poor infrastructure

South Africa is an increasingly tough market to operate in, with high costs of doing business and deteriorating infrastructure. In July 2024, Eskom's electricity pricing increased by 12.7%, and in July 2025, pricing is expected to escalate by an additional 11.32%. We expect a trend of higher electricity price increases in the future.

Logistics challenges at our ports directly impact our Supply Chain as we need to hold stock or buy from more expensive suppliers due to delays and disruptions. Additionally, deliveries to the franchise network and consumers are impacted by poor road conditions. While it is difficult to quantify, infrastructure failures, including potholes and broken traffic lights, also impact consumers, who are less likely to venture out. This is seen in the reduction of late night sales and earlier seatings at restaurants.

Key features of 2025

Innovation, value and convenience protect market share

Despite the consumer being under pressure, we experience steady demand for both our QSR and CDR brands.

Continued expansion of restaurant networks

We opened 153 new restaurants, including seven new drive thru restaurants in SA and one in Zimbabwe and converted an additional five Fego Caffés to Mugg & Bean restaurants. This takes our total restaurant numbers to 2 979.

Investing for future growth and efficiencies

We are growing capability, capacity and scale across the Manufacturing, branded franchised and food services spaces.

Chief executive officer's report *(continued)*

Having a consistent supply of quality water is becoming increasingly challenging in South Africa, which affects our Manufacturing plants and restaurants. We are investing in water filtration, recycling and storage solutions for our plants with a focus on our most water-intensive operations. We are also working with our franchise partners to secure alternative water solutions. At year-end, water solutions coverage across our South African restaurants is 56%.

Strategic highlights

Convenience and consumer technology

> **We seek to gain greater strategic control over key systems to enhance our ability to measure and act on consumer and franchise partner insights.**

The trend towards convenient consumption is well-established, with convenience formats such as drive thrus and delivery becoming more important. We have also seen some cooling-off of demand for third-party aggregators, which benefits Famous Brands due to our own home delivery capabilities. We also benefit from the attrition of smaller brands and independents, and more cash-strapped consumers selecting from a smaller range of trusted brands. However, the rapid rise in online supermarket retailers is disrupting the traditional food service category.

In 2025, we introduced 22 new delivery hubs, where a single franchise partner assumes delivery responsibilities for multiple restaurants within a designated area. This proven concept enhances consumer satisfaction and ensures on-time deliveries while minimising the 'hassle factor' for franchise partners. We have 51 delivery hubs in South Africa and three in SADC.

We are investing in consumer-facing technology to meet consumer expectations and deliver efficiency and customer experience gains in the medium term. The acquisition of a strategic shareholding in Munch Software, completed in 2024, is already yielding results. We are rolling out the Munch Software POS across our CDRs in South Africa. Munch is more than just a supplier – our investment enables us to influence their development pipeline. They are highly responsive to our needs, allowing for more frequent software updates and greater transparency and standardisation across the network. Our franchise partners also benefit from cost savings. We will continue to leverage Munch's capabilities, including exploring options for integrating their solutions with our Supply Chain.

Read more about our consumer-facing technology investments on page 47.

Expansion in AME

In several AME markets, urbanisation, combined with greater consumer interest in the QSR category, will continue to drive growth. Several of these countries have significantly stronger growth forecasts than South Africa. However, our performance in AME was disappointing, with restaurant closures, especially in Nigeria, and unprofitable operations in some markets. We have struggled with poor performance and quality in the UAE due to management issues with our franchise partner.

Our investment approach to AME remains cautious but optimistic – we plan to grow our brands and networks with a responsible, deep and narrow focus. This means investing ahead of revenue to develop on-the-ground capacity and scale. We opened nine new franchised restaurants across eight AME markets. This includes opening our first two Debonairs Pizza restaurants in Egypt and the opening of a Mugg & Bean in Kuwait, both markets are franchised. In the Middle East, we are experiencing renewed interest in our brands due to shifts in global trade.

Our revised AME management structure, introduced in October 2023, has provided a much-needed focus for the region, which is more challenging than SADC. It also provides our investors with greater transparency into the true costs and returns of our investment in these markets.

Read more about our performance in AME on page 64.

Supply Chain reinvention

In February 2025, we completed the last site implementation for our new warehouse management system. We now have a single system across our distribution centres. The implementation was not without its challenges, but we are leveraging the real-time insights on the performance of inventory holdings, employees and facilities. In June 2025, we opened our new cold storage facility at our Midrand Campus, completing the final phase of our programme to optimise our Logistics footprint. The new facility will increase capacity, reduce transport costs and result in cost savings from more energy-efficient refrigeration technologies.

Our Manufacturing Way programme is well-established and fosters a culture of continuous improvement. In 2025, we focused on optimising our plants' operating structures, deploying manufacturing technology to boost capacity and improve production yields, and developing our internal procurement capabilities to manage the costs of ingredients and develop strategies to overcome product shortages.

In the first half of 2024, we acquired the remaining 38% minority interest in the Famous Brands Coffee Company, making the business a wholly owned subsidiary. The transaction expands our asset base and provides us with increased exposure and operational control of a highly successful business. This also gives us better operational control over the important coffee commodity, including pricing.

Read more about our Supply Chain performance on page 66.

Cold storage facility under construction

Level 1 B-BBEE status

We support a more equal and inclusive South Africa through the ongoing transformation of our business and value chain. This year, we achieved a Level 1 B-BBEE status for the first time, increasing our overall score to 93.69 points from 90.37 in 2024. This is the result of concerted efforts across the five pillars of the B-BBEE scorecard, except for the ownership pillar, over which we have no control. In 2025, we purchased R2.6 billion from >51% Black-owned businesses, including R2.1 billion spent with Black women-owned suppliers. The Group's B-BBEE status has shown sustained improvement, having moved from non-compliance in 2018.

We see strong commercial value in our high B-BBEE status. A transformed and diverse workforce gives us deeper perspectives that allow us to understand and connect with consumers and other stakeholders. We also benefit from a diversified and increasingly localised supply base. Supporting transformation in the value chain has resulted in access to higher-quality products, including key products like beef and potatoes, and alleviates disruptions related to port infrastructure and geopolitical instability. South Africa is our core market and where we generate 92% of our revenue. We are committed to further local investment and making a difference to South Africa's people, including our youth, through the incredible **YES Programme**.

Read more about our transformation initiatives on page 100.

Trade-offs for 2025

Reducing the bonus pool: In December 2024, we made the difficult decision to reduce the bonus pool for administration employees. This decision was taken based on the Group's performance, persistent economic headwinds and the need to preserve capital for our growth initiatives.

Staying invested in Nigeria: Nigeria experienced another challenging year, marked by high inflation levels and a depreciating Naira. We still believe in the potential of this market and in UAC, our associate. In 2025, 19 restaurants closed in Nigeria and we fully impaired our invested capital. However, we believe that the costs associated with remaining in Nigeria with UAC would be lower than re-entering Nigeria in the future.

Exiting Saudi Arabia: In Saudi Arabia, the master licensee failed to meet its development plan objectives during the initial five-year term of the master licence, which expired in December 2023. We could not find a suitable master licensee replacement and decided to exit Saudi Arabia, which resulted in the closure of the restaurant opened.

Deferring investments: In some instances, we decided to defer or reduce the scope of some investments. These were not deferred due to funding constraints, but rather because of business considerations. We considered payback periods and preferred timing when making these decisions.

Other events

Dial n Dine disposal

On 28 February 2025, the Group disposed of its 60% shareholding inrerest in Dial n Dine (pty) Ltd to our non-controlling interest shareholder. The business offers a call centre service for consumer ordering, which will continue to be provided under contract.

Exiting the selling of coffee-related equipment

With effect from 1 May 2025, Famous Brands Coffee Company exited the activity of selling coffee-related equipment as well as servicing and managing the spares of this equipment. These activities were taken over by two private companies. This was a low margin activity and did not align with the Group's manufacturing focus.

Our next moves

Our strategy remains appropriate and resilient to the difficult business and economic conditions we face. There are some silver linings, including anticipated low levels of load shedding, further interest rate cuts and manageable food inflation.

We will continue with our new restaurant openings for Leading Brands, including a focus on growing our drive thru footprint. Our new restaurant pipeline is healthy, and we have continued interest from new and existing franchise partners. We are committed to sustainable franchising, which includes avoiding marginal sites. Around 72% of new Leading Brands restaurants go to existing franchise partners, strengthening the desired multi-restaurant ownership model. Supporting our franchise partners' profitability and sustainability remains paramount.

As our revenue comes under pressure, we must look to become a more efficient Group. We began refurbishing our Manufacturing plants with investments phased over the next three years. These include investments in modern manufacturing technology to improve capacity, processes, and yields and reduce waste. In many instances, these solutions have attractive payback periods mainly due to the operational savings they offer. We will invest to boost our resilience to energy and water challenges while striving to meet our ESG objectives.

While our Retail division did not meet performance expectations for 2025, we still believe in its potential to extend our brands into at-home consumption. We have appointed a specialist trade marketing agency to support us in market penetration.

Appreciation

> **"We recognise that our sustainability is intertwined with the success of our franchise partners. We appreciate their commitment, ongoing investment and faith in our brands. This year, they have demonstrated incredible determination and flexibility to respond to tough trading conditions."**

Thank you to our Chairman, Chris Boulle, for his decisive leadership of the Board and to our non-executive directors for their guidance, support and insight. The transition from Santie Botha to Chris Boulle was seamless, thanks to Chris's deep understanding of our business. I thank our Exco members and employees for their dedication and delivery against our strategy over another year.

I appreciate our shareholders and the broader investor community for their interest in Famous Brands and engagement with management over the past year. I also thank the Halamandaris and Halamandres families, who have remained shareholders throughout our Group's evolution, for their continued support.

Our success would not be possible without our long-serving suppliers. Thank you for your commitment to quality and service over the years. We look forward to another year of making a positive impact on our stakeholders, including the consumers we serve and the communities where we operate. This includes attracting new talented franchise partners and working with our dedicated franchise partners to grow our brand footprint in 2026.

Darren Hele
CEO

20 June 2025

Strategy overview and performance

Our Corporate Strategy provides a framework that guides our decision-making and resource allocation, ensuring we achieve our key objectives.

Vision	Strategic intent	Leading to
To be the leading innovative, branded franchised and food services business in South Africa and selected markets.	Grow capability and capacity to deliver great customer experiences in the branded franchised and food services space.	• Innovative branded food services solutions. • Mutually beneficial relationships with franchise partners. • Great consumer experiences. • Sustainable like-for-like growth.

Our key strategic matters direct our decision-making process and are represented in our executive KPIs. We monitor the Group and management performance in relation to meeting four key strategic matters.

- Create the Supply Chain of the future
- Lead in the categories we compete in
- Prioritise our franchise partners
- Optimise capital management

Strategy development

The Exco collectively develops a three-year Corporate Strategy (2026 to 2028) in conjunction with the annual Group Budget and Group Business Plan. Our strategy, at its core, remains largely unchanged, anchored by our four key strategic matters.

Board oversight in 2025

The progress against the Corporate Strategy (2025 to 2027) and the annual 2025 Group Business Plan was regularly reviewed by the Board. The Board endorsed the trajectory of the four divisions' strategies and confirmed leadership's actions to ensure the delivery of the stated strategic objectives by the end of 2025. In November 2024, at the Board strategy day, the three-year Corporate Strategy (2026 to 2028) was approved, and in March 2025 the annual Group Budget and Group Business Plan were approved.

Strategy and remuneration

Our four key strategic matters are taken into consideration in remuneration decisions, including the formulation of our annual Group Scorecard. Our executive directors and other Exco members have scorecards adapted from the Group Scorecard.

Read more about our Group Scorecard for 2025 on page 141.

THE OPPORTUNITIES WE PRIORITISE

Drive thrus are increasingly popular in SA due to the convenience and perceived security they offer. This year, we **opened seven new drive thrus** and have a strong pipeline for 2026.

Formats with a smaller footprint, lower capital investment, and operating costs are an important growth lever. This includes the Mugg & Bean On The Go and Debonairs Pizza Express concepts. Milky Lane uses ice cream carts to capitalise on vending opportunities at sporting events and festivals.

We continue to develop the AME region with a focused approach, concentrating on selected markets. We revised the AME management structure to lower costs and provide focus on more challenging markets. In 2025, we opened nine new restaurants in the AME region including expansion into Egypt and Kuwait.

Read more on page 64.

We promote frequency and loyalty among consumers with our brand apps and loyalty programmes. Wimpy and Mugg & Bean apps have an over 68% redemption of loyalty points.

Manufacturing technology is continually evolving, offering new possibilities for automation and increased efficiencies. **We continue to invest in our Manufacturing capabilities and capacity** to unlock cost savings, increased yields and reduced waste.

Read more on page 66.

Our Retail division revenue declined by 7% to R344 million due to competition. We introduced four new products. Our well-known brands give us a competitive edge, allowing us to benefit from the growing trend of at-home consumption.

Read more on page 68.

Strategic performance

Create the Supply Chain of the future

We are reshaping our Supply Chain through investing in our capabilities, systems and technologies to unlock efficiencies, cost savings and innovation. This will improve the Group's long-term sustainability while reducing waste and the use of natural resources.

PERFORMANCE IN 2025

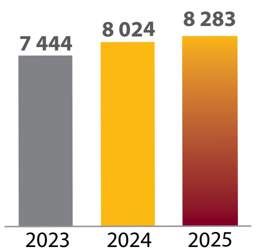
We continued to improve our Supply Chain, focusing on the rollout of technology and creating capacity:

- Developed a roadmap to revitalise our manufacturing plants.
- Completed the implementation of the new warehouse management system across all distribution centres.
- Reviewed and optimised our labour structures.
- Developed the Gauteng cold storage facilities in Midrand and exited our lease from the Crown Mines cold storage facility.
- Invested R41 million capex in manufacturing technologies that improve yield and efficiencies.
- Deepened our strategic procurement facilities of key commodities.
- Appointed a trade marketing consultancy to promote our Retail brands and drive store listings.

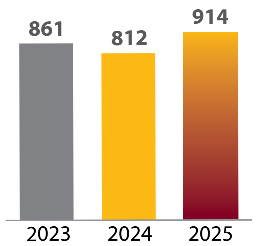
KEY METRICS

We gauge our performance by revenue growth and operating profit growth. As a measure, revenue demonstrates a strong demand for our Supply Chain products, while operating profit shows that our drive for operational efficiencies is successful.

Revenue (R million)



Operating profit (R million)



Link to remuneration

Our Long-Term Share Plan includes KPIs regarding efficient operating practices, such as reducing GHG emissions and water usage.

Read more on page 143.

PRIORITIES FOR 2026

- Complete the relocation of the Gauteng cold storage facility to Midrand.
- Leverage our warehouse management system to manage our inventory holdings for working capital.
- Explore and invest in leading and efficient manufacturing technologies.
- Complete solar installations at the Midrand Campus and Famous Brands Coffee Company.
- Explore solutions to insulate our Supply Chain from water interruptions and quality issues.

> **"As our revenue comes under pressure, we must invest further in improving the efficiencies of our Supply Chain to protect our operating profit and margins."**

Strategic performance *(continued)*

Lead in the brand categories we compete in

We create great consumer experiences through innovation, flawless execution, and continuous improvement. The food services industry is fiercely competitive, and we must ensure our brands are differentiated through consumer appeal, convenience and value offerings.

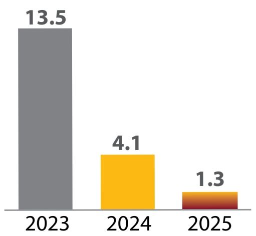
PERFORMANCE IN 2025

- We focused on organic growth for our Leading Brands portfolio in SA, SADC and AME markets.
- We invested in media spend and promotional activities to maintain and grow market share in SA.
- We received 21 consumer awards across the SA Leading Brands portfolio. Ten "Best of" consumer awards in QSR and 11 in CDR.
- Increased our drive thru presence in SA by opening seven drive thrus.
- Enhanced our own delivery capabilities through the delivery hub model in SA, Botswana and Zambia.
- Rolled out the Munch Software solution to 268 Casual Dining Restaurants in SA.
- Entered the Egyptian market with the launch of two Debonairs Pizza restaurants.
- Net Leading Brands store growth of 83 in SA.
- Grew Leading Brands in SADC (18 net new store growth) but declined in AME markets (24 net new store decline).

KEY METRICS

We measure our performance through internal research metrics and like-for-like sales growth.

Like-for-like growth SA (%)



Link to remuneration

We consider our Google rating across our brands and net store growth in South Africa, SADC, AME and the UK as KPIs in our 2025 Group Scorecard for STIs.

Read more on page 141.

PRIORITIES FOR 2026

- Increase our drive thru presence in South Africa.
- Expand our flexible and smaller formats to increase our footprint.
- Invest in own delivery capabilities.
- Complete the rollout of Munch in our CDR network in SA.
- Grow Leading Brands in SADC and selected AME markets.

Strategic performance *(continued)*

Prioritise our franchise partners

Our franchise partners represent our brands, and their success drives the sustainability of our front end and back-end. We develop close, mutually beneficial relationships with them.

PERFORMANCE IN 2025

We considered our franchise partners in every major strategic decision. We monitored our menu pricing closely to ensure that our franchise partners have viable operating margins and that consumers receive value for their money.

- We continue to close the alternative power gap, and 96% of SA Leading Brands restaurants have alternative power solutions.
- We explored opportunities for water solutions at the restaurant level.
- We supported franchise partners to comply with labour legislation in response to the Department of Employment and Labour's audits.

Read more on page 25

KEY METRICS

We have several KPIs to measure the health of our franchise partner relationships. We regularly interact with the national franchise forums for each brand, and set metrics are evaluated. These metrics are strategic and, therefore, not disclosed.

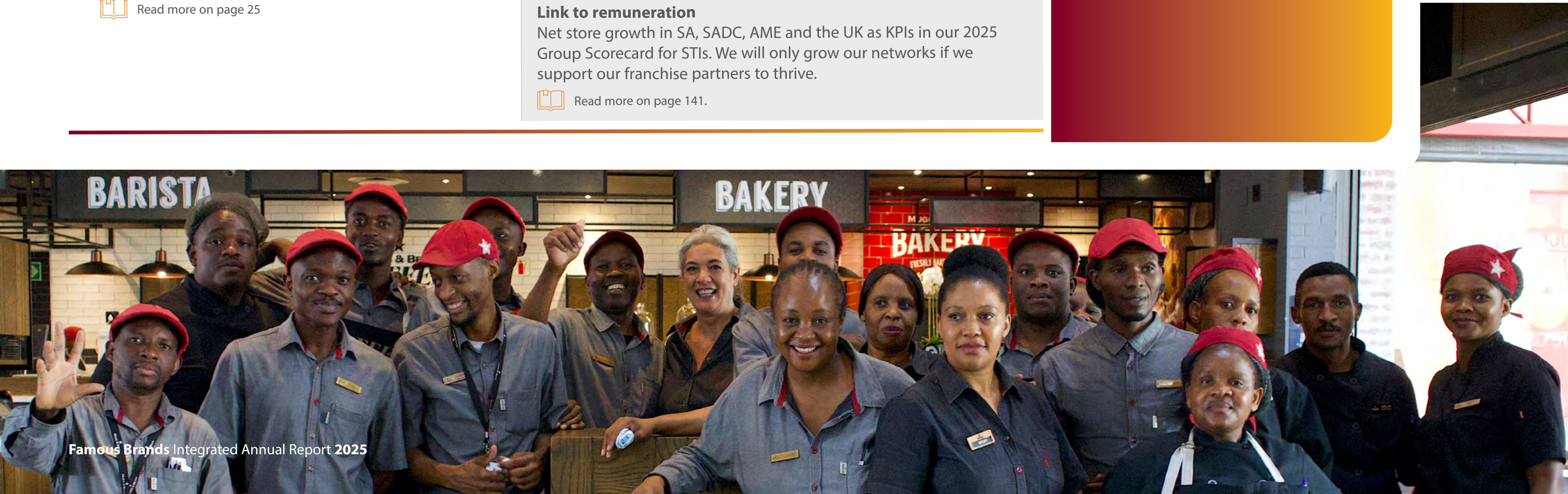
Net store growth	2023	2024	2025
SA	48	35	**74**
SADC	12	18	**17**
AME	5	24	**(24)**
UK	(2)	(2)	**(2)**

Link to remuneration
Net store growth in SA, SADC, AME and the UK as KPIs in our 2025 Group Scorecard for STIs. We will only grow our networks if we support our franchise partners to thrive.

Read more on page 141.

PRIORITIES FOR 2026

- Supporting franchise partners to secure alternative water solutions.
- Continue our rental rebasing programme with franchise partners and landlords, as lease anniversaries approach.
- Multiple operator business reviews in support of our clustering model.
- Continue the rollout of delivery hubs to drive efficiencies across our own delivery network.



Strategic performance *(continued)*

Optimise capital management

We focus on organic and acquisitive growth in SA and selected markets. We focus on ensuring capital is effectively allocated to execute on strategic goals to support future growth, to meet operational requirements, service debt and pay dividends to shareholders when appropriate.

PERFORMANCE IN 2025

Our financial and investment decisions are aligned with our strategic objectives, which include growing Leading Brands in SA and selected AME markets and enhancing our Manufacturing and Logistics capacity.

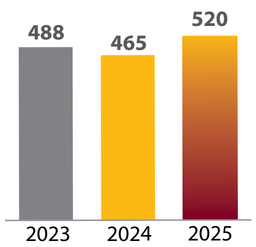
- Continued to service our debt, including making a voluntary payment of R20 million.
- Secured project financing for our Midrand cold storage facility.
- Allocated investment to refurbish our Manufacturing operations.
- Acquired 38% non-controlling shareholding interest in Famous Brands Coffee Company.
- Distributed dividends to shareholders.

Read more about our capital management in our Group Financial Director's report on page 49.

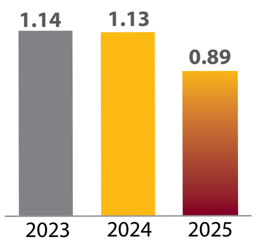
KEY METRICS

We consider several metrics as indicators of our financial health and ability to successfully deploy capital.

HEPS (cents)



Net debt:EBITDA (times)



Link to remuneration

HEPS is linked to both our STI and LTI as a financial KPI.

Read more on page 130.

PRIORITIES FOR 2026

- Refinancing our existing debt structure.
- Prudent capital allocation for:
  - Continuing to pay down legacy debt
  - Investing in various capability and capacity projects in line with our strategy
  - Dividend distribution to shareholders
- Improving working capital management.
- Maintaining a healthy balance sheet.

Consumer technology investments

Embracing technological advancements has enabled our restaurants to enhance efficiency and meet the evolving consumer demands of an increasingly digital age.

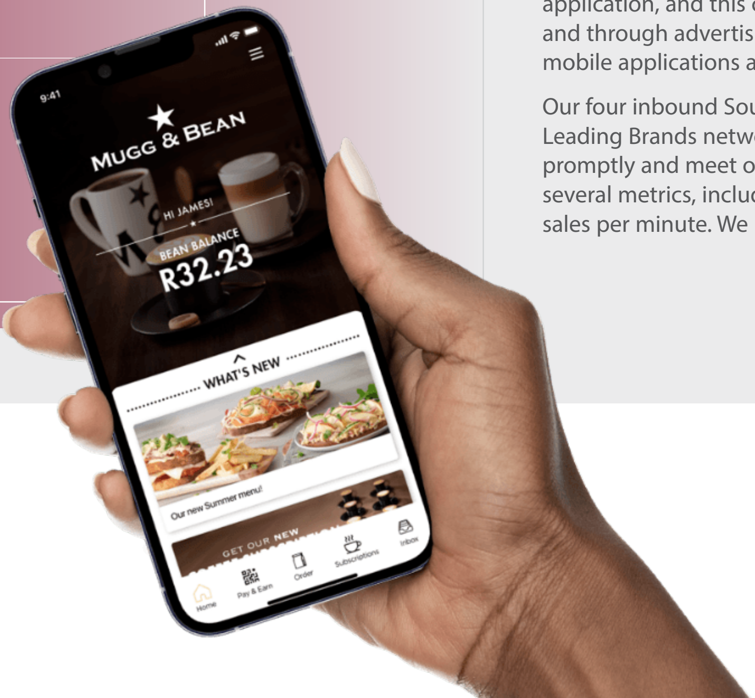
Changing consumer technology remains a key driver in the restaurant industry as consumers seek frictionless ways to interact with brands. Famous Brands is capitalising on consumer-facing technology to enhance the overall consumer experience while supporting franchise partners in running more profitable businesses.

Overseeing our technology investments

A cross-functional working group comprising senior management from different brands and disciplines manages consumer-facing technology initiatives, supported by Project Management Office (PMO), which sits within the IT function. With input from executive leadership and driven by technology leadership, this working group allocates the budget and ensures that projects are aligned with the company's overarching corporate strategy.

The Investment Committee reviews the returns of our technology projects and recommends capital allocation for Board approval.

The Audit and Risk Committee oversees the Group's technology governance, cybersecurity risks and risks associated with technology deployment.



Investment in own delivery capabilities

We continue to invest in the delivery channel to provide our franchise network with a competitive advantage and consumers with a seamless ordering experience.

Ordering channels

Ordering for collection or delivery is enabled through call centres, websites, and mobile applications. Consumers use the most convenient platform at the time and switch between different platforms as needed.

We consider a mobile-first approach as consumers increasingly engage with our brands using smartphones. All Leading Brands have a mobile application, and this channel is promoted in-store, on product packaging and through advertising activities. We continue to enhance our brands' mobile applications and websites to offer a seamless ordering experience.

Our four inbound South African call centres, which serve over 90% of our Leading Brands network, ensure that consumer ordering calls are answered promptly and meet our set standards. We measure their performance across several metrics, including call order rates, order abandonment rates, and sales per minute. We have introduced call centres in certain SADC countries.

Consumer technology investments *(continued)*

Delivery technology

We work with a technology partner that provides driver and route-tracking software to ensure that our deliveries are completed efficiently and on time. Drivers use Android devices that provide ongoing communication, map their delivery route, and accept payments. This significantly reduces costs for franchise partners.

Delivery hub model

Our delivery hub model has led to an overall increase in positive consumer reviews. This is a key differentiator in attracting consumers away from third-party aggregators.

The delivery channel incurs high input costs and is fiercely competitive, as consumers seek the lowest delivery fees. Established in 2023, our delivery hub model enables one franchise partner to fulfil deliveries for multiple restaurants within a designated radius. This results in cost savings and efficiencies for franchise partners while improving delivery times, consumer experience and driver productivity. The model allows for more flexibility in how drivers are paid and incentivised, resulting in additional savings. The hubs achieve an average on-time delivery rate of 82%, representing a significant improvement over the previous model, in which franchise partners handled their own deliveries.

In South Africa, we currently operate 51 delivery hubs to service Leading Brands across seven regions, serving 305 restaurants. We continue to roll out the delivery hub models in South Africa and are exploring additional opportunities in other SADC and AME markets. We have one delivery hub in Botswana serving seven restaurants and two in Zambia serving 10 restaurants.

Munch Software POS implementation

POS systems are a cornerstone technology in restaurants, integrating sales, stock management, and reporting functions into a single platform. In 2025, we continued to implement the Munch Software POS system across our CDR network. The system is more cost-effective for franchise partners; the monthly fees are lower, and being cloud-based, it does not require expensive hardware. It also offers more frequent software updates and greater standardisation across the franchise networks. At year-end, 318 restaurants had implemented the Munch Software POS system.

Importantly, our strategic shareholding in Munch Software elevates this from a simple supplier relationship. It allows us to have a stronger influence on the software development pipeline and improved responsiveness to our requests. The Munch Software POS model also offers additional options for vertical integration, spanning from our Supply Chain to e-commerce capabilities.

Other key technology focus areas

Simplifying payment processes	We review our **payment systems** to ensure proper integration into our POS systems. We aim to introduce a **payment gateway** to strengthen payment controls and improve operational efficiencies at the restaurant level for franchise partners.
Building our data capabilities	We began building a solid foundation for our **data analytics** and **business intelligence** capabilities. Here, we aim to improve our customer-centricity and enhance efficiency and productivity while better aligning our Supply Chain's production with demands from our Brands.
Customer engagement	**Loyalty programmes,** especially at CDRs, boost revenues by increasing customer frequency, providing upselling opportunities and offering greater convenience through app-enabled experiences. We continually review and enhance our customer loyalty programmes. In 2026, we will develop a new **consumer engagement platform** to enhance personalised communication with consumers. The platform is designed to drive frequency and retention while providing deeper insights into consumer behaviour. We continue to evolve our **e-commerce** capabilities to reduce transaction costs and improve the consumer experience.
Improving operational efficiencies at restaurants	We continued with our **self-service terminals** roll out in our QSR and CDR networks. These provide an intuitive digital experience, allowing for order customisation while eliminating errors. Currently, 435 South African restaurants have self-service terminals. Advantages include increased transaction sizes through upselling prompts, higher order volumes, shorter queues, and savings resulting from the reduction in the number of cashiers required. We introduced self-service terminals in Kenya, two at Debonairs Pizza and one at Steers. In South Africa, 89% of our QSR brands **feature digital menu** boards that provide a visually appealing food offering, agility in promotions and special offers. It also reduces the time to roll out menu changes from weeks to days. The rollout of **kitchen display systems** across the network has yielded tangible results, including improved preparation times, which enable quicker completion of orders.

Group Financial Director's report

"Against a challenging backdrop, consumers continue to choose our brands. Our financial position is sound and provides the scope to innovate, plan and invest in cementing our position as an iconic branded food services business."

Nelisiwe Shiluvana

Key features of 2025

Consistent financial performance

We made marginal revenue gains while protecting our operating profit and margins.

Improving our financial position

We noted improvement to our HEPS, BEPS and our leverage.

Investing for future sustainability

We allocated funds to achieve our strategic objectives and position the Group for future success.

First half of our financial year, consumer spending was weighed down by pre-election uncertainty and poor economic conditions. GDP growth for the first half of the calendar year 2024 was underwhelming: year-on-year, the first six months of the year saw the economy expanding by 0.5%[1]. Several markets outside of South Africa experienced challenges related to higher inflation and economic and political turbulence.

Second half, we were cautiously optimistic as consumer confidence rebounded, buoyed by the formation of the GNU, progress in halting load shedding, the introduction of the two-pot retirement system and the first interest rate cuts. Importantly, food inflation, a major theme for several years, began to moderate and generally remained within the 3% to 6% inflation target bracket between March 2024 and February 2025. Following a contraction of 0.1% in the third quarter of 2024, the South African GDP expanded by 0.6% in the fourth quarter[1].

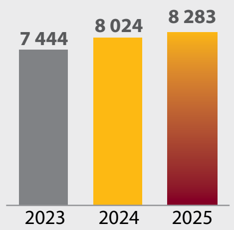
However, these tailwinds did not translate into higher expected consumer spending. In addition, local and international tourism in South Africa remains subdued. A weaker than anticipated Brands' revenue performance flowed through to both our Manufacturing and Logistics divisions' results. While our revenue grew marginally, operational efficiency gains made in our Supply Chain operations protected our operating profit and margins. We exercised prudence over our cost base but also continued to invest to secure future growth and further operational efficiencies.

1 GDP growth figures according to Statistics South Africa.

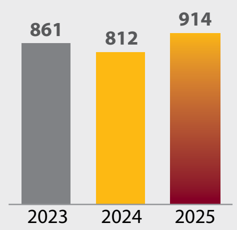
Financial performance overview

The key drivers of value creation for our shareholders showed positive momentum in 2025.

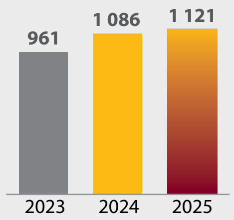
▲ 3.2%
Revenue (R million)



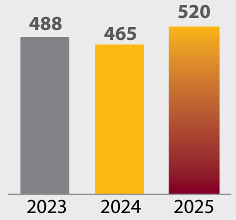
▲ 12.6%
Operating profit (R million)



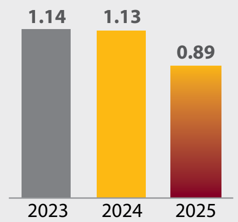
▲ 3.2%
Cash generated from operations (R million)



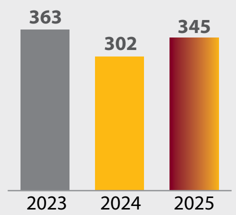
▲ 11.9%
HEPS (cents)



▼ 21.5%
Net Debt to EBITDA (times)



▲ 14.2%
Dividend (cents)



This report should be read with the AFS available online at:
https://famousbrands.co.za/investor-centre/

Revenue

Revenue increased by 3.2% to R8.3 billion (2024: R8.0 billion) despite constrained consumer discretionary spending. Revenue growth can be attributed to the continued strong performance of Leading Brands in South Africa and inflationary increases.

Group revenue	2025 R million	2024 R million	2024 vs 2025
Sales-based royalties			
Franchise fees**	**1 030**	1 152	(11)
Marketing fees	**691**	678	2
Revenue at a point in time			
Manufacturing*	**198**	166	19
Logistics	**5 358**	5 021	1
Retail	**344**	369	(1)
Company-owned restaurants	**617**	596	3
Joining fees	**12**	13	(11)
Revenue over time			
Services revenue	**33**	29	12
Revenue	**8 283**	8 024	3

* *Manufacturing revenue after intercompany eliminations.*

** *Franchise fee for F2025 excludes UK revenue which is now included in Logistics revenue.*

Segment revenue	2025 R'000	2024 R'000	2024 vs 2025
SA	**7 630**	7 399	3%
SADC	**451**	409	10%
UK	**132**	161	(18%)
AME	**71**	55	28%
Revenue	**8 283**	8 024	3%

Read more about the performance of our Brands on page 55 and our Supply Chain on page 66.

Leading Brands increased by 4% to R979 million (2024: R938 million) while Signature Brands achieved consistent performance at R52 million (2024: R52 million) due to restaurant closure and lower consumer spend. The decline was due to exclusion of Wimpy UK revenue in the current year.

Manufacturing revenue increased by 19.3% to R198 million (2024: R166 million). While revenue benefited from price inflation, this was negatively impacted by changes to the product mix.

Logistics revenue marginally increased from R5.0 billion. While price inflation and volumes growth supported revenue, Logistics was also affected by changes to the product mix.

Retail revenue decreased by 1% to R344 million (2024: R369 million). Revenue was negatively impacted by weaker sales volumes of frozen potato chips due to resurgent competitor activity.

We operate 84 Company-owned restaurants.

Operating profit

The Group's operating profit improved by 12.6% to R914 million (2024: R812 million). The operating profit was positively impacted by the cessation of load shedding. This reduced the financial relief offered to franchise partners to R1 million (2024: R21.6 million), and lowered our diesel and generator maintenance expenses. We also benefited from lower food inflation, although pricing remains high for several key commodities.

In April 2024, the price of electricity in South Africa increased by 12.7%, which drove up input costs for our Supply Chain. Higher electricity pricing offset some of the gains of lower diesel generator costs, with our electricity costs increasing 21% to R97 million (2024: R80 million). Our solar installations saved an estimated R3.9 million in energy costs in 2025. Our investments in improving efficiencies helped shield our Supply Chain from higher input costs, including electricity expenses. We were circumspect with capital investments and reduced our bonus pool to protect our performance results.

Our Retail operating profit declined 80% to R1 million (2024: R6 million) due to lower sales volumes of frozen potato chips, a major contributor to our Retail offering. A major competitor re-entered the market in early 2024, after a prior-year stock shortage. In addition, imported frozen potato chips entered the South African market in early 2024 at discounted prices. Retailers bought these in large quantities due to discounts, depressing Retail sales. This began to normalise at the end of the financial year. We experienced strong demand for other Retail products, including meat and sauce.

Operating profit margins

The Group's operating profit margin remained resilient at 11.0% (2024: 10.1%), supported by Leading Brands' growth, cost containment initiatives and Supply Chain efficiencies.

Our operating profit margins benefited from lower food inflation in South Africa but remain under pressure due to poor consumer spending. In SA, our margin improved to 11.8% (2024: 10.4%). SADC reported a margin of 11.2% (2024: 13.4%). The AME region's margin declined to (60.5%) mainly due to loss of revenue from exited markets. The UK operating environment remains depressed, with Wimpy UK reporting an operating profit margin of 5.4% (2024: 11.4%).

The Logistics' operating profit margin declined to1.4% (2024: 1.9%) due to changes in the product mix of the top line and costs associated to system implementations. Our Retail operating profit margin declined to 0.4% (2024: 1.7%) as lower sales volumes increased unit production costs.

Operating profit margins (%)

	2025	2024
SA	**11.8**	10.4
SADC	**11.2**	13.4
UK	**5.4**	11.4
AME	**(60.5)**	(26.0)
Group	**11.0**	10.1

	2025	2024
Leading Brands	**53.3**	50.3
Signature Brands	**(5.7)**	(1.9)
Manufacturing	**11.0**	9.0
Logistics	**1.4**	1.9
Retail	**0.4**	1.7
SA	**11.8**	10.4

Group Financial Director's report *(continued)*

Headline earnings per share (HEPS) and basic earnings per share (BEPS)

HEPS increased by 11.9% to 520 cents (2024: 465 cents), and BEPS increased to 547 cents (2024: 457 cents). This improvement in earnings was primarily driven by savings in operational expenses and the reduction in our finance costs and final GBK liquidation dividend.

Financial position

The Group has a robust balance sheet with net assets of R1 292 million (2024: R1 079 million). The Group's gearing ratio was 0.77 times (2024: 1.08 times) and leverage improved significantly by 21.5% from 1.13 times to 0.89 times and remains within our primary lender's covenants. Our return on capital employed was 34% (2024: 31%).

	2025 R'000	2024 R'000	2024 vs 2025
Non-current assets	**1 976**	1 956	1
Current assets	**1 664**	1 597	4.2
Inventories	**556**	573	(3)
Trade and other receivables	**611**	584	4.7
Other current assets	**497**	440	13
Total assets	**3 640**	3 553	
Total equity	**1 292**	1 079	20
Equity attributable to owners of Famous Brands Limited	**1 176**	952	24
Non-controlling interests	**117**	127	(8.1)
Non-current liabilities	**1 222**	1 410	13.3
Borrowings	**907**	1 076	15.7
Other non-current liabilities	**316**	334	5.4
Current liabilities	**1 125**	1 064	(5.7)
Borrowings	**233**	126	(85.6)
Trade and other payables	**768**	806	4.8
Other current liabilities	**124**	132	6.1
Total equity and liabilities	**3 640**	3 553	

Net working capital of R399 million (2024: R350 million) increased by R49 million (2024: R24 million). Our inventory holdings are similar to 2024 despite changes in the product mix. The levels also reflect our strategic procurement iniatives of our commodities. Trade receivables increased in line with our increase in revenue.

Our strategic choices have supported the growth of our asset base as we create capacity and capability in our business.

The Group's borrowings decreased by 5.1% to R1 140 million. We secured project financing to fund the development of our new cold storage facility in Midrand.

The decrease in trade and other payables was driven by lower levels of inventory holding.

Gearing and debt structure

We are focused on reducing our legacy debt in the medium term. This includes adhering to stringent working capital measures and funding our expansion through internally generated cash flow. Since 2018, the Group has reduced debt levels by R1.8 billion. In 2025, we made a voluntary additional payment of R20 million to our primary lender to further reduce our debt.

In October 2024, we secured project financing for the development of our new cold storage facility at our Midrand Campus.

We had R450 million due for repayment in August 2025. At year end, this was deferred for repayment in August 2026.

Brands, trademarks and impairments

Our sustainability and business models rely on healthy brands that generate attractive returns for Famous Brands and our franchise partners. Every year at annual and interim results, we assess each brand to determine that they are reflected at the right value. This comprehensive valuation process is guided by management and the Board. As at 28 February 2025, our brand portfolio carrying value is R346 million (2024: R351 million).

In Nigeria, our associate, UACR, is facing challenging conditions, including high inflation and a depreciating Naira. While steps have been taken to stabilise and protect the business, we have decided to impair the remaining R12 million capital advanced to the entity.

Group Financial Director's report *(continued)*

Cash flows

Our cash flow forecasts show that the Group has adequate overall liquidity to meet its working capital and capex requirements for the foreseeable future. At year-end, our liquidity headroom was R674 million (2024: R572 million), comprising R441million in cash balances and R233 million in committed, undrawn facilities.

Salient features	2025	2024
Cash generated by operations	**1 121**	1 086
Net cash outflow utilised in investing activities	**(167)**	(183)
Net cash outflow for financing activities	**192**	(48)
Cash realisation rate*	**100**	105

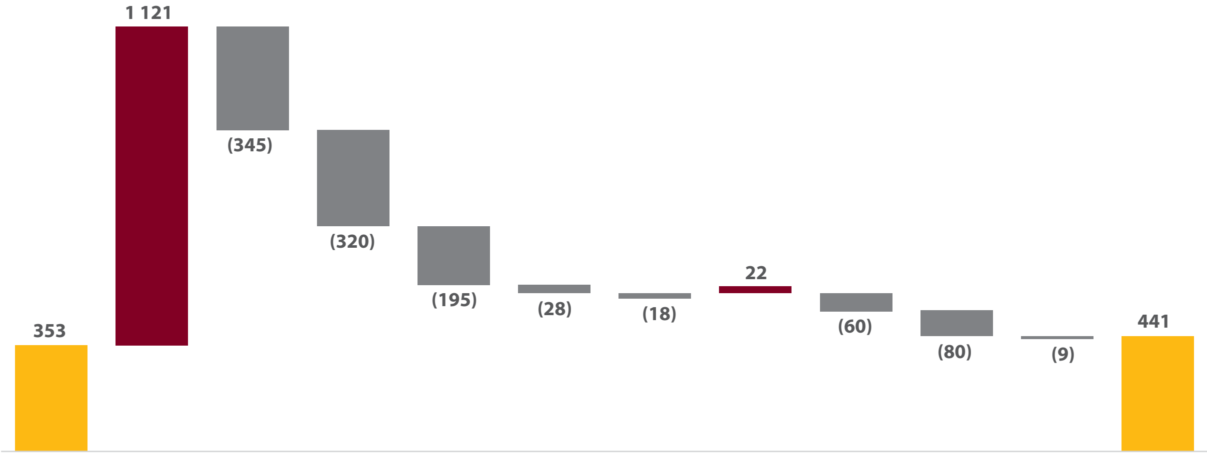
** Cash generated by operations as a percentage of EBITDA.*

The Group allocated capex across its markets in line with the Group strategy, including developing and expanding Leading Brands in SA, SADC and selected AME countries and enhancing our Supply Chain infrastructure.

The Group's finance costs decreased by 7%. We benefited from lower interest rates and from our focus on paying down debt. Some of our debt pricing is linked to the performance of sustainability KPIs, which we strive to achieve.

We continue to be a highly cash generative business. Net working capital of R399 million (2024: R350 million) increased by R49 million due to lower inventory holdings. Our warehouse management system provides greater insights to the business with inventory management benefits. Robust cash flow management procedures remain in place.

Cash flow movement in 2025



* *The opening and closing balances exclude restricted cash.*

Group Financial Director's report *(continued)*

Capital management

> **We continued to invest in growing capability and capacity across our Brands and Supply Chain, creating memorable consumer experiences through innovation, flawless execution and continuous improvement.**

The Group generated R1.1 billion (2024: R1.1 billion) in cash from operations, and this funded the following:

- Dividend payments of R345 million;
- Capex of R214 million;
- Debt repayments of R160 million, including a voluntary payment of R20 million;
- Acquisition of the non-controlling 38% shareholding in the Famous Brands Coffee Company (Pty) Ltd, making this a wholly owned Manufacturing plant.

The Group's free cash flow was R753 million (2024: R674 million). Our cash realisation rate, a measure of how EBITDA is converted into cash, was 100% (2024: 105%). Our cash realisation rate remains stable as our trade receivables have moved in line with our revenues. Our expected credit loss is in line with expectations and within reasonable levels.

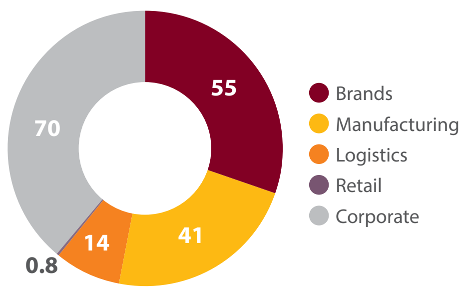
Capex

Our 2025 capex to revenue is similar to historical levels. The Group invested R214 million (2024: R184 million) in capex across its divisions to support strategic execution. In some instances, we deferred capital-intensive projects.

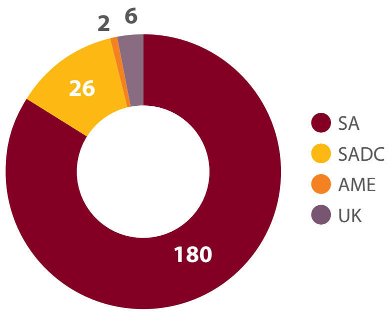
In our Brands division, we continued to develop our consumer-facing technology capabilities. We also invested in growing our Company-owned restaurants in Botswana and the Signature Brands portfolio. Outside of SA, we continued to invest to develop on-the-ground capabilities in AME.

We invested in enhancing our Supply Chain infrastructure to create capacity and secure further operational efficiencies. These included investment in manufacturing technologies that improve yields and production, introduce automation and reduce waste. We invested R69 million into our cold storage facility at our Midrand Campus. At year end, we spent R82 million of the total project budget of R183 million.

Capex per SA division (R million)



Capex per region (R million)



Read more in our Investment Committee report on page 127.

Dividend

The Board declared a final dividend of 195 cents per share (2024: 164 cents per share) to the amount of R195.4 million, reflecting the Group's stable financial position and cash flows. In light of the challenging economic environment in which our business currently operates, we acknowledge its impact on earnings growth. Nevertheless, we maintain an optimistic outlook for the future. The final dividend will be paid out of current year profits for a total amount of R345.7 million (2024: R302 million). In August 2024, the Board declared an interim dividend of 150 cents per share.

Group Financial Director's report *(continued)*

Outlook and priorities

We have the right brands and strategy to grow our footprint and maintain margins. We continue to invest in securing future growth while unlocking further efficiencies and cost savings.

Lower economic growth and uncertainty in South Africa and several other markets will continue to dampen consumer sentiment and spending. In South Africa, consumers will feel the impact of the fuel levy increase, no adjustments to the income tax brackets and 12.7% increase in electricity prices implemented. Downside risks include higher fuel costs, uncertainty on further interest rate cuts, increase in prices of protein and currency depreciation due to increasingly volatile global geopolitics. In this environment, we remain focused on our purpose of nurturing our franchise partners to sustainably impact our communities.

Capital investment of R373 million is planned for the 2026 financial year. Our capital allocation decisions align with our strategic objectives and position the Group to respond to difficult trading conditions. Investments in our Brands and Supply Chain will support our franchise partners' profitability and sustainability.

We have the following six key priorities for 2026:

1 Brand expansion

Leading Brands is the real engine of our business. We will continue to expand our Leading Brands footprint in SA, SADC and selected AME markets. This will be supported by investments in brand development and consumer-facing technology to enhance the overall consumer experience.

2 Unlocking greater Supply Chain efficiencies

As our topline comes under pressure, we must operate more efficiently and improve our margins. Investments in modernising our Manufacturing plants and introducing technologies to lower production costs, increase yields, boost capacity and reduce waste.

3 Reducing legacy debt

We are committed to reducing our debt over the medium term and maintaining a sustainable debt profile. We also strive to meet our ESG targets to benefit from better lending terms.

We will be undertaking a refinance process during 2026 with the objective of securing a debt structure that is aligned to the Group's strategy.

4 Enhancing financial management practices

Our strong procurement capabilities ensure that we secure competitive pricing for commodities. We continue to enhance our credit risk management process and to align the production levels in the Supply Chain with restaurant requirement.

5 Divest from non-core assets

In the medium term, we will divest from non-core assets to simplify our business and reduce distraction. We seek optimal disposal and/or acquisition opportunities to unlock value for shareholders.

6 Return value to shareholders

As always, we seek to provide reliable and attractive returns to our shareholders. This includes responsibly protecting and developing our assets and growing the cash available for dividends.

A word of thanks

I am thankful for the support from Darren Hele, my fellow Exco members and Finance colleagues across the Group. As a Finance team, we are driving a culture of continuous improvement, and I am pleased with the improvements in the quality and frequency of financial information. We are making progress in shifting finance to be a business partner. It is vital that Finance provides the business with insights, backed by data, to support strategy execution in difficult trading conditions.

I also thank our Audit and Risk Committee Chairman, Busi Mathe, for her ongoing support and guidance. We delivered our first annual results together for February 2025, and I look forward to future collaboration. Finally, I thank our Board members, shareholders, funders and auditors for their support and fruitful engagements.

Nelisiwe Shiluvana
Group Financial Director

20 June 2025

Brands performance

Famous Brands' continued success lies in our ability to build remarkable brands in a dynamic environment with evolving consumer needs.

Brands

Our Brands portfolio consists of Leading Brands and Signature Brands. The Leading (mainstream) Brands portfolio is split into Quick Service Restaurants and Casual Dining Restaurants, while the Signature Brands portfolio includes our bespoke Casual Dining Restaurant offerings. We have a network of 2 979 restaurants of which 2 895 are franchised and 84 Company-owned in SA, SADC, AME and the UK. Our Brands portfolio represents 14% of the Group's revenue (2024: 14%).

Our geographic footprint

	Start of 2025	New stores/ conversions	Stores closed	End of 2025	Revamped/ Relocated stores	Segment revenue (%)	Operating profit margin (%)
SA	**2 552**	127	(53)	2 626	269	64	43
SADC	**207**	21	(4)	224	15	25	11.2
AME	**92**	9	(33)	68	3	4	(60.5)
UK	**63**	1	(3)	61	2	7	5.4
Total	**2 914**	158	(93)	2 979	289	100	–

Important definitions

System-wide sales refer to sales reported by all restaurants across the network, including new restaurants opened during the year.

Like-for-like sales refer to sales reported by all restaurants across the network, excluding restaurants opened or closed during the year.

Leading Brands' sales refer to sales of the Leading Brands trading in SA.

Signature Brands' sales refer to franchises and Company-owned restaurant sales in SA.

Brands performance *(continued)*

Leading Brands – SA

SA Leading Brands – Salient features	2025	2024
Like-for-like sales growth (%)	**1.4**	4.3
Operating profit margin (%)	**53.3**	50.3
Total number of restaurants	**2 504**	2 421
New restaurants opened	**117**	86
Number of restaurants converted	**5**	10
Number of restaurants revamped	**266**	213
Number of restaurants closed	**39**	47

Performance for 2025

Growth

Leading Brands' system-wide sales increased by 3.9% while like-for-like sales grew by 1.4%. This growth can be attributed to the strong consumer appeal of our brand portfolio, competitive value offerings and carefully considered menu price increases. Consumers remain under pressure, as evident in the subdued festive sales and like-for-like performance.

Companies increasingly requiring employees to return to the office resulted in the higher demand for the lunch occasion. Consumer demand for convenience and quick snacks delivered strong breakfast and mid-morning growth.

Convenience remains a core consumer need, and we recorded strong growth for delivery, including own delivery. Drive thru restaurants, which provide convenience and access, delivered a robust performance. We invested in our own home delivery capabilities, including enhancing our call centre experience and operational and backend systems. This improved efficiency, speed, and the overall consumer experience. We continued to roll out self-service terminals as a hassle-free ordering option.

The Leading Brands' footprint grew by 3.5% with 117 new restaurants opening. This was below our annual budget, with delays primarily due to unforeseen development setbacks from landlords, franchise partners' funding challenges and council approval bottlenecks. We expanded our drive thru presence by opening seven new drive thru locations (six of these were for Steers and one for Wimpy). We converted an additional five Fego Caffés to Mugg & Bean restaurants.

We revamped 266 restaurants and relocated 23 in SA (11% of the network) to ensure that our restaurant experience remains fresh and relevant to consumers.

We closed 39 restaurants largely due to changes in economic nodes and other external factors. We build relationships with landlords to secure new sites and attractive rental arrangements. Where required, we renegotiate rentals on behalf of franchise partners.

Energy management

While load shedding was halted for most of our financial year, we continued to support franchise partners to secure alternative power solutions. At year-end, 96% of our franchise partners had access to these solutions, which improves their resilience to load shedding and power outages. We have integrated alternative power solutions in new restaurants. This includes a mix of municipal power, gas, generator, inverter and solar installations.

We also seek to protect franchise partners from expected high electricity price increases. We have an energy project to assess energy efficiency opportunities, and we provide franchise partners with a best practice efficiency guideline per brand. We continue to explore more efficient equipment and gas alternatives.

Challenges

The year was characterised by weak disposable income availability and cautious consumer spending. The introduction of the two-pot retirement system in September 2024 did not appear to positively influence sales.

Competition for market share, especially within the QSR space, remains fierce, with higher levels of advertising spend, major competitor restaurant revamps and increased frequency and depth of value deals and promotions. We continue to compete through our value offerings and aggressive marketing campaigns. Competition in the home delivery space is also increasing from grocery retailers.

While food inflation moderated significantly, coffee prices continued to rise, with the greatest cost pressure impacts on Mugg & Bean and Wimpy. Other cost pressures for restaurants included higher electricity prices and costs to secure water during water outages. We are working with franchise partners to secure alternative water solutions and our alternative water solutions coverage across our restaurants at year-end was 56%. Access to alternative water solutions will be a consideration when selecting sites for new restaurants and relocations. Our regional teams continue to negotiate with landlords to provide alternative water solutions for their centres.

Consumers are shifting away from major malls to local convenience centres. This trend has been amplified by the rapid expansion of the grocery delivery market. This is a risk as many of our restaurants are situated in major malls and benefit from weekly grocery shopping.

Outlook

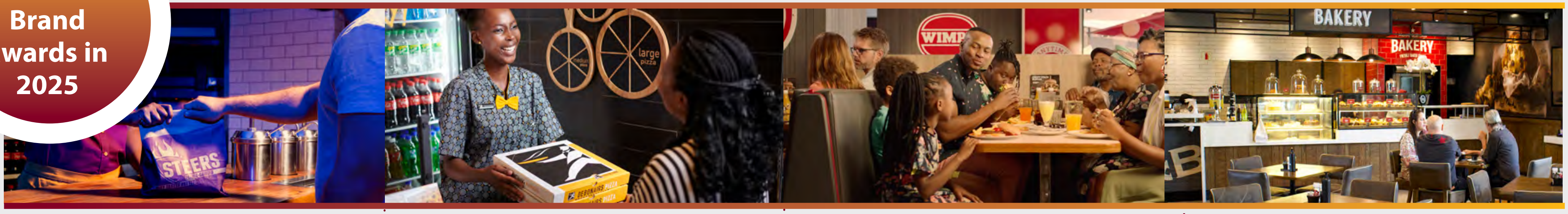
Economic conditions in South Africa may not improve materially in the 2025 calendar year, with economic growth expected to come in below 2%. However, economists do expect lower inflation and a decline in interest rates to support better business and investment consumer conditions for the year. We are optimistic about our restaurant rollout in 2026, including our plans to expand our drive thru presence.

Franchise partner profitability remains a priority through menu engineering and marketing and promotional activities to drive demand. We will continue to leverage a digital-first approach by rolling out digital menu boards and self-service terminals.

Read more about our operating context on page 132, our consumer-facing technology investments on page 47 and our brands' CSI activities on page 104.

Brands performance *(continued)*

Brand awards in 2025



Steers

- **Winner** of the best chips and **best takeaway burger** categories in the Best of Pretoria Awards 2024
- **Winner** of the **best chips category** in the Best of Joburg Awards 2024
- **Placed second** for the **coolest sauces** category in the 2024 Sunday Times Next Gen 20th Anniversary issue

Debonairs Pizza

- **Awarded** a **platinum award** in the City Press Readers' Choice Awards 2024
- **Awarded** a **gold award** in the Beeld Leserskeuse[1] Awards 2024
- **Winner** of the **pizza category** in the Daily Sun Readers' Choice Awards 2024
- Received **several rankings** in the 2024 Sunday Times **Next Gen 20th Anniversary issue** (fourth place for coolest delivery app, fourth place for coolest sit-down restaurant and fifth place for coolest fast food place)

Wimpy

- **Winner** of the **breakfast restaurant** category in City Press Readers' Choice Awards 2024
- **Winner** of the **breakfast restaurant** category in the Rapport Leserskeuse Awards 2024
- **Winner** of Gauteng's **best breakfast** category and runner-up in the best coffee shop in the Star Readers' Choice 2023 (published in April 2024)
- **Placed** in the **top 10 coolest sit-down** restaurant category and the top five coolest coffee shop category in the 2024 Sunday Times Next Gen 20th Anniversary issue
- **Wimpy's advertising campaigns received the following:**
  - Two Loeries awards
  - Three Pendoring awards
  - One Creative Circle Ad of the Month
  - Three New Gen Awards
  - Nine Assegai awards

Mugg & Bean

- **Runner-up** in the **casual dining** category in the 2024/2025 Ask Africa Orange Index
- **Winner** in the **coolest coffee shop** and coolest hot beverage in the 2024 Sunday Times Next Gen 20th Anniversary issue
- **Winner** of the **best coffee** category in the Ekurhuleni Readers' Choice Awards 2024
- Winner of the best breakfast category in the Best of Joburg Readers' Choice Awards 2024
- **Winner** of the **best breakfast** in the Best of Bloemfontein Readers' Choice Awards 2024

1 *Afrikaans for readers' choice.*

Brands performance *(continued)*

Leading Brands – QSR portfolio

	Start of 2025	New stores	Stores closed	End of 2025	Revamped/ relocated stores
Steers	**652**	27	(8)	671	83
Debonairs Pizza	**710**	29	(7)	732	79
Fishaways	**242**	2	(8)	236	28
Wakaberry	**1**	–	(1)	0	–
Total	**1 605**	58	(24)	1 639*	190

* *Excludes 2 Giromundo restaurents*

Focus areas for 2025

- Addressing the need for **affordability through value offerings.**
- Investing in **growing the own delivery channel.**
- Rolling out **self-service terminals and digital menus.**
- Increase **marketing campaigns to build brand affinity.**
- **Expanding our drive thru restaurant footprint** to meet consumer demand for convenience.

Key developments and initiatives

We ran national promotions to drive frequency for our value offerings, including burgers at unbeatable price points. The grilled chicken category remained a focus with promotions for single and family meals. We implemented two price increases, balancing affordable pricing and protecting margins in the indulgent categories.

We exceeded our budget for new restaurants by opening 27 new restaurants, which contributed to system-wide sales growth for the year. This included six new drive thrus, increasing our total drive thru footprint to 58.

Steers continued to introduce self-service terminals and digital menu boards to improve the consumer experience. By year-end, 177 self-service terminals were operational, and 91% of our Steers footprint had digital menu boards. The delivery channel continued to grow across own delivery platform and through third-party aggregators.

The brand's sponsorship of the Varsity Cup supported brand affinity, provided access to vending opportunities, and resulted in significant media coverage through SuperSport and digital and social media platforms.

Focus areas for 2026

- Promotional activities will address value offerings, the need for a quick bite and family-sharing occasions.
- Meeting the consumer need for convenience through expanding our drive thru footprint and improving our own delivery capabilities.
- We are exploring ideas for a modern restaurant design to improve the consumer experience and address on-street visibility.
- We will continue to implement digital menu solutions and offer simplified and consumer-centric menu design and pricing.

Brands performance *(continued)*

DEBONAIRS PIZZA

Focus areas for 2025

- Offering consumers **exceptional value meals.**
- Implementing **carefully considered menu price increases** to keep pace with inflation.
- Rolling out **delivery hubs to reduce delivery costs** and improve efficiencies.
- **Investing in technology** to support the consumer experience and operational efficiencies for franchise partners.
- Supporting our **own delivery channel and strengthening partnerships** with third-party food delivery aggregators.

Key developments and initiatives

In response to consumers seeking affordability, Debonairs Pizza strengthened its value offerings. We offered Real Deal pizza meals and pizza wraps at a price point below R30 to attract new consumers and drive transactions. We also introduced chicken shots and wings as pizza accompaniments to boost transaction value. Messaging around savings was emphasised. We implemented two minimal price increases to stay ahead of inflation.

The successful rollout of kitchen display systems across the network has delivered tangible results in improving preparation times and allowing consumers to receive their orders faster. These contributed to an increase in delivery orders and higher customer ratings. The full brand network moved from offering free delivery to charging for the delivery service in October 2024. As expected, we experienced a decline in own delivery transactions, but volumes have shown signs of recovery by year-end.

All recently revamped restaurants now offer self-service terminals, and every newly opened and revamped restaurant has digital menu boards.

Focus areas for 2026

- Engaging current consumers with marketing promotions, community engagement and customer relationship management to drive frequency while developing tactics to gain new consumers.
- Leveraging technical solutions to drive operational efficiency and position the brand to thrive in a competitive market.
- Enhancing our e-commerce platforms to promote own delivery and encourage app usage.
- Drive innovation and relevance through strategic partnerships, including beverage manufacturers.

fishaways

Focus areas for 2025

- **Growing the delivery channel** through own delivery and partnerships with third-party delivery aggregators.
- **Promoting the under 500-calorie menu** offerings and exploiting the market opportunity for healthier choices.
- **Building the Fishaways brands through advertising campaigns** that emphasise the value of fish as a component of a healthy lifestyle.
- Rolling out the **elevated eat-in experience and sushi offering.**
- Launching the **SHOOSHI branded offering.**

Key developments and initiatives

We continued to focus on healthy options and offering value, including sharing meals, platters and entry-level price points. Providing affordable single meals, including the under 500-calorie menu offerings, has assisted in growing lunchtime trade. We also grew transaction sizes through sharing meal promotions and offering value on higher-priced menu items. Our procurement team has managed to secure stable pricing for hake, allowing the brand to make two modest menu price increases. A focus on local marketing has boosted consumer awareness around our restaurants.

We launched the exclusively online branded SHOOSHI offering in November 2024 to complement our existing sushi menu and attract new consumers. Our sushi rollout gathered momentum, with 170 restaurants participating by year-end. Sushi sales are growing with consumers enjoying this menu item at an affordable price point.

Our delivery drive continued, and 80% of restaurants deliver through own delivery and third-party aggregators. By year-end, 85% of our restaurants had digital menu boards, improving flexibility in-store for menu items displayed. We are also implementing kitchen display systems to reduce food preparation time.

Focus areas for 2026

- Growing sales through local marketing initiatives and upselling at the till point.
- Leveraging sharing promotions to offer consumers value and variety.
- Expanding the number of restaurants offering delivery, including through the delivery hub concept.
- Implementing the sushi offering across 100% of the network.
- Converting all restaurants to digital menu boards.

Brands performance *(continued)*

Leading Brands – CDR portfolio

	Start of 2025	New stores and conversions	Stores closed	End of 2025	Revamped/ relocated stores
Mugg & Bean	**254**	35	(4)	285	44
Wimpy	**458**	10	(11)	457	23
Milky Lane	**102**	19	–	121	9
Total	**814**	64	(15)	863	76

MUGG & BEAN

Focus areas for 2025

- Managing **menu price increases** carefully.
- Offering **freshness and menu innovation** to attract consumers.
- Growing our network with a **focus on the On-The-Move format.**
- Promoting and enhancing our **loyalty app.**
- Converting **Fego Caffés to Mugg & Bean restaurants.**

Key developments and initiatives

Consumers' low disposable income is evident in the performance of our sit-down restaurants compared to our One-The-Move formats. The smaller On-The-Move restaurants experienced strong system-wide sales growth, largely driven by the opening of 20 new restaurants.

The high coffee price, due to adverse weather conditions in major coffee-producing regions, supply chain disruptions, and rising production costs, was a major challenge for the brand. This meant that we had to increase overall pricing above inflation to maintain margins.

We experienced sustained interest and uptake of the Mugg & Bean coffee subscription launched in February 2023.

Mugg & Bean's partnership with leading plant-based chef Mokgadi Itsweng delivered tangible benefits in its third year. We added additional plant-based dishes to our menus and experienced consumer engagement with our digital and social content. The partnership is an important pillar for the brand.

Our partnership with Discovery Vitality also provides excellent benefits with continued growth and members increasingly selecting Mugg & Bean as a preferred partner to redeem their points. The Vitality Healthy Dining items have outperformed expectations.

Focus areas for 2026

- Balancing menu price increases with the need to maintain margins.
- Enhancing the coffee subscription offering.
- Expand our network with an emphasis on the On-The-Move format.
- Enticing consumers through menu innovation.

Brands performance *(continued)*

Focus areas for 2025

- Reinforcing Wimpy's positioning as a **family restaurant** that welcomes all South Africans.
- **Enhancing the consumer experience** through technology, including our loyalty app.
- Promoting our **value-for-money products** and kids' value proposition.
- Ensuring franchise partners' profitability by **improving operational efficiencies**, including energy efficiencies.
- Opening **sustainable restaurants** in the right locations.

Key developments and initiatives

The repositioning of the Wimpy brand continues to deliver strong sales results, despite the squeeze on disposable income. Our partnership with Engen continues to cement Wimpy as the go-to pit stop for travelling consumers. Wimpy secured vending opportunities at local and cultural sporting events, which expanded our brand presence.

In October 2024, we launched a new menu with a completely refreshed design and new products and flavours across the coffee, breakfast, grills and dessert categories. The menu makes use of simple yet impactful food innovation to meet consumer needs, including the need for value. The overall menu price increase was marginal to support franchise partner profitability while acknowledging the difficult economic conditions.

The loyalty app continued to deliver impressive results, with our active user base growing each month. Average transaction sizes are higher on the app and features such as order and pay at table help to drive this.

Focus areas for 2026

- Supporting franchise partners' profitability and sustainability.
- Expanding the brand through increased penetration of prime locations.
- Driving app registrations and using promotions to increase loyalty and active users.
- Rolling out kitchen display systems and digital menu solutions.

Case study

WIMPY: A BRAND OF COMMUNITY AND CONNECTION

Wimpy has a long history of providing families and friends with memorable occasions. While the brand was founded in the United States in the 1930s, it found its success in South Africa and the UK. In 1954, the first "Wimpy Bar" was established at the Lyons Corner House in Coventry Street, London, UK. In 1967, the first Wimpy opened in Murchies Passage, Durban, where 1 000 people visited the restaurant on its opening day. In the 1980s, Wimpy partnered with Mobil (now Engen) to ensure that a Wimpy pitstop is part of every road trip. Wimpy SA and Wimpy UK were acquired by Famous Brands in 2003 and 2007, respectively.

In 2021, we repositioned the Wimpy brand in South Africa to resonate with a wider audience and reflect a more modern and dynamic image while still retaining its original essence. The revitalised brand has a strong association with a warm South African welcome, with a menu in all the country's 11 official languages. The sponsorship of EthiKids, an independent publisher of children's books in their home languages, further cements this positioning as a local champion. The brand has been consistently recognised in consumer surveys and annual awards as a preferred brand for customer satisfaction, experience and product offering.

The Wimpy Cups initiative is an important brand pillar. It provides a platform to connect with consumers, rewarding them with a cappuccino or hot chocolate to show their support towards a topic of national interest. This includes encouraging consumers to vote, getting them to support their national teams.

The brand's customised Hospitality Ambassador Training programme, launched in 2022, has elevated service standards by empowering restaurant teams to deliver excellent guest experiences. This focus on ensuring every consumer feels welcomed, valued and respected has contributed to an uptick in positive consumer feedback, particularly on Google, where the brand's average rating has improved from 3.9 to 4.5 over the past three years.

We have experienced continued growth in new and existing user segments, which supports frequency and higher transaction sizes. The app has a 67% redemption rate for loyalty points.

In South Africa, Wimpy remains a family favourite, with 457 stores nationwide and strong demand from franchise partners. In 2025, we opened 10 new restaurants, relocated five and renovated 23 to align with our expansion and repositioning strategy. We will expand the brand through securing prime locations supported by the right format to meet consumer demands for both convenience and accessibility.

Focus areas for 2025

- Expanding the hub-and-spoke model to **boost revenue opportunities** for franchise partners.
- Enticing consumers with **new products and promotions**.

Key developments and initiatives

Milky Lane continues to provide consumers with convenience through the hub-and-spoke model. Our mobile carts are an extension of our stores and brand and function as spokes for our impulse indulgent category. Our mobile carts offer a limited menu, and value-driven impulse products priced under R30. This boosts franchise partner profitability through vending opportunities at events and strategic locations. We have 67 mobile carts nationwide and two Nice Cream trucks.

This year, we partnered with well-known brands Lotus Biscoff and Nutella to introduce new variants. In February 2025, the brand capitalised on the bubble tea trend by offering a new boba craft soda range.

We continue to leverage third-party delivery partnerships to conveniently take our product to consumers.

Focus areas for 2026

- Securing locations for the new container concept.
- Growing our footprint of mobile carts.
- Developing menu innovation to attract consumers and drive frequency.

Brands performance *(continued)*

Signature Brands

There are 122 Signature Brands restaurants in South Africa. Except for PAUL[1], with a non-controlling shareholder, Signature Brands are 100% owned by Famous Brands. There are eight Company-owned restaurants within the portfolio.

Read more about our Signature Brands portfolio on page 7.

Salient features	2025	2024
Like-for-like sales growth (%)	**(0.5)**	6.0
Operating profit margin (%)	**(5.7)**	(1.9)
Total number of restaurants	**122**	132
New restaurants opened	**5**	5
Number of restaurants revamped or converted	**3**	3
Number of restaurants closed	**14***	19**
Company-owned restaurants	**8**	8

* *Included in this figure are the five Fego Caffés that were converted to Mugg & Bean restaurants.*

** *Included in this figure are the 10 Fego Caffés that were converted to Mugg & Bean restaurants and one Fego Caffé that was converted to a Vovo Telo.*

Performance and trading conditions

Signature Brands' system-wide sales declined by (1)%, (including Pick n Pay), and like-for-like sales decreased by (0.4)% (including Pick n Pay). These declines can be attributed to restaurant closures and declining consumer spending on eating out. The reduction in disposable income can also be seen in lower transaction sizes as consumers who do eat out select affordable options. Consumers in middle to higher income brackets are under increasing pressure due to higher than inflation increases in living expenses, including electricity, municipal rates, medical aid and school fees.

The overall profit margin declined to (5.7)% (2024: (1.9%)). Pressures on input costs include higher electricity pricing, staff salary increases and securing alternative water solutions during water outages. However, the portfolio benefited from lower diesel costs due to the cessation of load shedding.

We began the Munch Software POS implementation across the portfolio with seven restaurants onboarded by year-end. We continued to leverage partnerships with third-party aggregators to drive delivery volumes. The order and collect channel is also gaining momentum.

In May 2024, we launched digital gift cards that can be redeemed across the portfolio.

We have a solid pipeline of restaurant openings, including several new openings that were postponed due to development delays.

Fun Dining

Growth of the Fun Dining category continues to be hampered by low consumer discretionary spend. Turn 'n Tender delivered the strongest growth in the category due to its well-placed locations. Late night trade remains depressed, which can be attributed to deteriorating road infrastructure and security concerns. The festive season was subdued as companies cut back on end-of-year party expenses. We experienced several delays in receiving liquor licences for our new restaurants, which impacted alcohol sales.

Captive Markets

Our hospital brands, NetCafé and Coffee Couture, continued to perform well, driven by strong foot traffic in hospitals. The brands have benefited from simplified menus and an expanded retail offering. We continue to explore other opportunities to expand these brands, including through smaller hospital groups and independents.

We converted five Fego Caffés to Mugg & Bean restaurants, with the remaining five, four to Mugg & Bean and one to Vovo Telo, to be converted in 2026.

In February 2025, Pick n Pay and Famous Brands mutually agreed to end the contract for The Roastery, an in-store coffee kiosk within the Pick n Pay supermarket network.

Luxury

While PAUL's differentiated and elegant offering continues to attract higher-income clientele in Johannesburg and Cape Town, the brand faces the same consumer pressures felt by the Fun Dining category. We continue to reengineer the menu and refine the business model to reduce costs and improve gross margin. In 2025, many of our restaurants with large outdoor seating areas were negatively affected by South Africa's severely cold winter weather. PAUL opened a new restaurant in Alberton in Gauteng.

Focus areas for 2026

We will continue to grow selected brands in South Africa with a focus on securing premium sites at attractive rentals. Managing franchise partner profitability and sustainability remains a priority. We will continue to implement the Munch POS solution. In 2026, the conversion of Fego Caffés to Mugg & Bean restaurants will be completed

Brand awards in 2025

Turn 'n Tender Steakhouse

- Best Steakhouse in the Best of Johannesburg Awards 2024

MYTHOS

- Best Greek Restaurant in the Best of Johannesburg Awards 2024

SALSA Mexican Grill

- Best Mexican Restaurant in Best of Pretoria Awards
- SALSA Sun City was awarded the Best Restaurant in Resort in the Sun City Sun Heroes Awards
- SALSA Menlyn Maine received a RASA Rosetta Awards Service Excellence Awards

LUPA Osteria

- Best Italian Restaurant in the Best of Durban Awards 2024
- Best Italian Restaurant in the Best of Pretoria Awards 2024
- Best Restaurant in the Best of Midstream Restaurant Awards 2024

1 *Famous Brands holds the licence agreement in South Africa from PAUL International.*

Brands performance *(continued)*

SADC

The SA Leading Brands team manages the Leading Brands' SADC market, which includes Angola, Botswana, DRC, Eswatini, Lesotho, Namibia, Malawi, Mozambique, Zambia and Zimbabwe. There are 224 restaurants in this region. While Mauritius is a SADC country it is managed by the AME team.

	Start of 2025	New stores	Stores closed	End of 2025	Revamped/ relocated stores
Steers	**49**	7	–	56	3
Debonairs Pizza	**94**	8	–	102	6
Fishaways	**6**	–	–	6	–
Mugg & Bean	**21**	3	–	24	2
Wimpy	**23**	–	2	21	4
Milky Lane	**9**	2	–	11	–
Keg	**4**	1	1	4	–
Turn 'n Tender	**1**	–	1	0	–
Total	**207**	21	4	224	15

Salient features	2025	2024
Operating profit margin (%)	**11.2**	13.4
New restaurants opened	**21**	22
Number of restaurants revamped or converted	**15**	15
Number of restaurants closed	**4**	4

Trading conditions

In several SADC markets, franchise partners face significant pressure due to sharp increases in food input costs, electricity, diesel expenses and drought.

We have a large presence in Botswana (51 restaurants), Namibia (48 restaurants) and Zambia (60 restaurants). Botswana's economy contracted primarily due to a downturn in the global diamond market, a major export for the country. Other challenges included government restrictions on fresh product imports, affecting food costs and supply, adverse weather resulting in temporary restaurant closures and increased competitor activities.

Namibia's growth prospects have improved on the back of major oil and gas discoveries and optimism about the country's prospects. However, the economy faces challenges from weakened diamond demand and drought-affected sectors, resulting in dampened consumer demand. The country experienced inflationary pressures, which eased somewhat by year-end.

The drought in Zambia reduced hydropower, particularly the availability of water from Lake Kariba, resulting in load shedding for extended periods and severely affecting crop yields. Food inflation in Zambia expanded by an estimated 20%. Several SADC economies are susceptible to climate change impacts, and this year, economic growth in Angola, Botswana, Lesotho, and Zimbabwe was impacted by drought.

Angola experienced a more stable trading environment with a positive currency outlook, inflation easing and excitement about the potential of the new airport in Luanda to boost tourism.

Mozambique experienced political instability leading to the presidential elections and post-election results, which were challenged by voters claiming election fraud. This violent political crisis resulted in border closures and the suspension of operations by logistics companies, which had a significant impact on trade.

Performance and focus areas

Revenue for the region increased by 10% to R451 million (2024: R409 million). Operating profit declined to R51 million (2024: R55 million), while the operating profit margin was 11.2% (2024: 13.4%). Despite economic challenges and inflationary pressures in several markets, our brands continue to demonstrate resilience and strong consumer appeal. In countries with high inflation, we need to implement more frequent menu price increases to maintain gross profit margin and enable sales growth to keep pace with inflation.

The lower sales volumes in Zambia impacted restaurant profitability and resulted in franchise partners deferring their new restaurant expansion plans. The Zambian network relied on alternative power solutions to keep trading. To assist, we offered franchise fee (0.5%) and marketing (0.5%) breaks to selected restaurants to safeguard their ongoing sustainability.

Despite some setbacks in the DRC development, we successfully launched a franchised Steers and Debonairs Pizza combination store in Lubumbashi in December 2024. This location is serviced and supported by our Zambia team. We opened our first Steers drive thru in Zimbabwe.

Technology

We continue to grow our own delivery capability for our QSR, including introducing outsourced call centres and implementing delivery hubs. We launched the first outsourced call centre in Zambia, which serves 51 restaurants and has resulted in an improved consumer experience and the removal of phones from restaurants serviced. We also opened our first delivery hub in Zambia, handling deliveries across six restaurants, with the hub's performance exceeding expectations. Our SADC restaurants will follow the same digitisation strategy that has been entrenched in SA to bring the same efficiencies to franchise partners and benefits to consumers across the region. This includes digital menu solutions, kitchen display systems and self-service terminals.

Focus areas for 2026

We plan to grow our network in SADC through high-potential sites with attractive rentals. Where appropriate, we will expand our drive thru footprint. We will also develop and enhance our own delivery capabilities and consumer-facing technologies to improve the overall consumer experience.

Brands performance *(continued)*

AME

The Group operates in eight countries in the AME markets, including Egypt, Côte d'Ivoire, Ethiopia, Kenya, Kuwait, Nigeria (an associate), Mauritius and the UAE.

	Start of 2025	New stores	Stores closed	End of 2025	Revamped/ relocated stores
Debonairs Pizza	**37**	5	(8)	34	2
Steers	**13**	1	(6)	8	1
Mugg & Bean	**11**	3	(1)	13	–
Subtotal	**61**	9	(15)	55	3
Mr Bigg's*	**31**	–	(18)	13	–
Total	**92**	9	(33)	68	3

Salient features	**2025**	2024
Operating profit margin (%)	**(60.5)**	(26.0)
Total number of restaurants	**68**	92
New restaurants opened	**9**	13
Number of restaurants revamped or converted	**3**	2
Number of restaurants closed	**33**	37*

* *High restaurant closures can be attributed to closing operations in Nigeria due to the scaling down of the Mr Biggs brand, as well as the closure of operations in the UAE due to legal challenges.*

Trading conditions

Inflation has trended downward in several markets, including Côte d'Ivoire, Kenya, Mauritius and the UAE. However, in Ethiopia and Nigeria, it remains highly elevated. Notably, the Ethiopian Birr and Nigerian Naira depreciated against the USD by 83% and 40.9%, respectively, during the 2024 calendar year.

Several markets experienced political tensions. In Kenya, anti-tax demonstrations were a regular occurrence in Nairobi and Egypt is in conflict with neighbouring Sudan. Nigeria experienced widespread protests fuelled by growing public anger over soaring inflation and worsening economic insecurity.

Nigeria's persistent inflationary pressures were exacerbated by currency depreciation and food supply disruptions. At year-end, Nigeria's central bank interest rate was 27.5%, which makes it difficult for business owners to access bank funding.

Performance and focus areas

Revenue increased by 28% to R71 million (2024: R55 million). The operating loss was R43 million (2024: (R14 million)), while the operating loss margin was (60.5%) (2024: (26%)).

Côte d'Ivoire's economy has proven resilient this year, with GDP growth of around 6%. With the West African CFA Franc pegged to the Euro the exchange rate has been stable, with low inflation experienced throughout the year. The first Debonairs Pizza restaurant in Abidjan has experienced solid sales during its first year and the second site in the capital is scheduled to open in 2026.

In Ethiopia, economic growth improved due to post-Tigray war reconstruction efforts. Our four Debonairs Pizza restaurants continued to achieve double-digit sales growth and maintained strong operating profit margins.

Famous Brands has 10 Company-operated restaurants in Mauritius after we acquired a 51% shareholding of a franchise partner's business in 2024. We stabilised the business and continue to invest in brand awareness, operational standards and employee training. While inflation steadily declined, employee input costs increased as the Mauritian government introduced two minimum wage increases and now stipulates the payment of a 14th cheque[1] to employees in December. The island's economy has an ongoing hospitality labour shortage, and the lack of delivery drivers is affecting the home delivery channel.

We continued to grow the Mugg & Bean brand in Kenya with the opening of one Mugg & Bean On-The-Move and a second On-The-Move self-service outlet. We now have 11 Mugg and Bean restaurants in Kenya. Our delivery sales for Steers and Debonairs Pizza declined as third-party aggregators cut advertising support for their platforms. We continued to increase our capacity to support own delivery sales.

In Nigeria, UACR focuses on restructuring the business and enhancing operational efficiencies, with the aim of scaling its QSR outlets. The company focused on high-performing locations with 18 Company-owned restaurants (Seven Debonairs Pizza, 11 Mr Biggs). Rising costs and currency volatility disrupted supply chains. This was mitigated through a just-in-time inventory management strategy and investing in a diesel management and tracking system. While sales volumes and operating profit margins improved due to enhanced cost management and efficiency measures, financial performance was eroded by inventory shortages, energy and inflationary costs. We closed 18 non-performing Mr Biggs restaurants and one Debonairs Pizza restaurant.

In July 2024, we entered the Egyptian market with a Debonairs Pizza in Cairo, and in September 2024, we opened a second location. In December 2024, we opened a Mugg & Bean in Kuwait City, the capital of the Gulf nation Kuwait.

In Saudi Arabia, the master licensee did not meet its development plan objectives during the initial five-year term of the master licence agreement. When the agreement expired in

1 *A 13th cheque payable in December is already a statutory requirement in Mauritius.*

Brands performance *(continued)*

December 2023, the market reverted to operating as a franchise market, with support from the Famous Brands team in the UAE. In 2025, we were not able to secure a new master licence arrangement, and we exited Saudi Arabia. In July 2024, we closed the Debonairs Pizza restaurant in Jeddah. Saudi Arabia remains a significant market opportunity, and we continue to look for new franchise and licence partners for the Debonairs Pizza, Steers and Mugg & Bean brands.

We experienced legal challenges in UAE with our multi-unit franchise partners. This contributed to the closures of 10 restaurants and significant sales declines experienced across the remaining network. This deterioration is operational in nature and does not reflect brand potential.

Technology

The home delivery channel appeals to consumers, and we continued to make this channel more accessible in 2025. We progressed our strategy of implementing consumer-facing technology projects in AME markets. We launched a centralised call centre and introduced self-service terminals for our QSR brands in Kenya. We also launched an online ordering platform in Egypt.

Focus areas for 2026

We will grow our brands in selected AME markets through strategic partnerships with master licensees, franchising and Company-owned restaurants. Every country demands a different approach. We will invest in supporting the delivery channels through centralised call centres and delivery technology. The AME team continues to explore adding new value offers to menus and diversifying our supplier base for competitive pricing.

UK

Famous Brands operates Wimpy, a Casual Dining Restaurant in the UK.

Salient features	2025	2024
Operating profit margin (%)	**5.4**	11.4
Total number of restaurants	**61**	63
New restaurants opened	**1**	1
Number of restaurants revamped or relocated	**2**	–
Number of restaurants closed	**3**	3

Trading conditions

The UK experienced an extremely challenging year due to economic uncertainties. In 2024, GDP grew by 0.9% following 0.4% growth in 2023. Inflation at the beginning of our financial year was at 3.2%, reducing at year-end to 3%. The Bank of England interest rate trended downwards, closing at 4.5% by year-end. The supply chain remained relatively stable throughout the year.

Performance and focus areas

The UK's revenue decreased by 18% to R132 million (2024: R161 million), supported by a slight Rand weakness against the Pound. The operating profit declined to R7 million (2024: R18 million). The operating profit margin for the year was 5.4% (2024: 11.4%).

The ongoing cost-of-living crisis continued to affect consumer confidence and spending patterns, resulting in a decline in retail spending and footfall. There was also a sharp drop-off in home delivery sales. However, in-store sales performed slightly better as consumers replaced deliveries with in-store dining.

The relatively high interest rates continue to dampen franchise partners' appetite for new restaurant growth or investment in revamps for existing restaurants. We continue to implement energy-efficiency initiatives at restaurants and support franchise partners in securing the best pricing for ingredients.

Focus areas for 2026

In April 2025, employers must contribute more to the country's national insurance fund while also managing an increase in the minimum wage. This will place more pressure on businesses in an already difficult environment. We continue to work with franchise partners to explore ways to boost sales volumes and improve operational efficiencies.

Supply Chain

Our Supply Chain provides franchise partners with a competitive advantage through margin management, product innovation and an efficient supply of products and ingredients.

Our integrated Supply Chain, which supports our Brands pillar in South Africa and a few other SADC countries, consists of our Manufacturing, Logistics, and Retail activities.

Most of our Manufacturing plants are wholly owned, however we do operate certain partially owned subsidiaries. The Retail business sells condiments (sauces, dressings, spices), frozen meat products, coffee (ground and beans), frozen potato chips and other value-added products.

Salient features	Manufacturing 2025	Manufacturing 2024	Logistics 2025	Logistics 2024	Retail 2025	Retail 2024
Segment revenue (R million)	**3 371**	3 288	**5 226**	5 021	**344**	368
Segment operating profit (R million)	**371**	297	**71**	94	**1**	6
Operating profit margin (%)	**11.0**	9.0	**1.4**	1.9	**0.4**	1.7
Capex (R million)	**41**	53	**14**	22	**0.86**	2

Manufacturing

Performance

Manufacturing revenue increased by 2.5% to R3.4 billion (2024: R3.3 billion) despite weaker front-end demand, including volumes for core products. Operating profit improved by 25% to R371 million (2024: R297 million). Our investments in equipment to improve production yield and output, while managing input overheads, helped to improve our profitability.

The operating profit improved to 11.0% (2024: 9%). The halting of load shedding for most of our financial year resulted in reduced diesel costs. These savings were somewhat eroded by Eskom's 12.7% electricity price increase introduced in July 2024. Our insurance premiums for the 2024/2025 cycle increased by 15%, a dramatic improvement from the 246% escalation experienced in 2024. Gauteng was affected by regular water shortages, which meant we needed to buy alternative water supplies to top up our storage tanks.

Focus areas

Cost-saving initiatives were a major focus for Manufacturing in 2025. We reviewed our plants' operating structures and made changes to reduce management layers, the use of casual labour and overtime. The reduction in administrative and executive employee expenses helped protect profitability in a challenging year. Our investments in manufacturing technology are enhancing production yields for our key products.

We have a continuous focus on managing our ingredient input costs. Food inflation slowed substantially during 2025 compared to prior years and is expected to remain below 5% for 2026.

Supply Chain *(continued)*

Key inflation drivers

Coffee	Coffee prices rose as frost and subsequent droughts affected the supply in coffee-growing countries. Changing weather patterns due to climate change, combined with global growth in coffee demand. We have decided not to purchase green coffee beans until prices stabilise. We currently have good stock holdings of this commodity.
Soft serve	Soft serve prices increased due to higher costs of imported whey, buttermilk and specialised imported oils. Some of this pricing was alleviated by sourcing locally produced whey.
Cheese	Cheese prices lifted sharply over the winter months but have since moderated.
Hake	Hake pricing remains challenging due to poor catches, quota reductions in both South Africa and Namibia, and increasing global demand for Namibian Hake. We manage supply by ensuring large inventory holdings.
Pork	There has been a shortage of prime pork cuts, resulting in higher prices for pork bellies. This has been alleviated with our redeveloped streaky bacon.

Our efforts to develop our internal procurement capabilities enable us to manage the costs of core ingredients, including chicken and potatoes, and develop strategies to mitigate product shortages.

This year, we developed the Competence Acquisition Process (CAP) programme, which aims to provide employees with greater detail on their roles and responsibilities. Each responsibility has been defined, documented and converted into work instructions and assessment tools. This is supported by an online training system that provides employees with opportunities for continuous learning. We trialled this at one plant in 2025, with pleasing results as employees feel more empowered, resulting in fewer maintenance call-outs and improved morale. This will be rolled out across the Manufacturing and Logistics divisions.

Our food safety risk is well-managed, and no plant stoppages occurred during the financial year. We have achieved 100% food safety accreditation across all our plants. The Group monitors complaints across all plants, and the complaints remain low.

Several plants faced water shortages and quality issues in 2025. All plants have water filtration systems in place, and water testing is done regularly to ensure that our water meets the required standards. All our plants have backup water on site, and we will allocate funds to increase backup capacity over the next year.

From May 2025, the Famous Brands Coffee Company stopped selling coffee-related equipment and servicing and managing the spares for this equipment. These activities were taken over by two private companies. This was a low margin offering and did not align with the Group's manufacturing focus.

Capex

Digital transformation is reshaping the manufacturing sector, enhancing efficiency, reducing costs and improving product quality. Adopting newer manufacturing technologies will result in more sustainable operations.

We spent capex of R41 million (2024: R53 million) on improving our plants. Major capex projects for 2025 included:

- Newer manufacturing technologies to improve production yields. This includes a thawing unit at our meat plant and a specialised piece of equipment that improves the yield and processing of potatoes.
- Upgrading an access control system at our Cater Chain plant to improve plant security.
- Upgrading our ammonia plants at Cater Chain to improve refrigeration performance.
- More efficient generators at the Famous Brands Cheese Company to provide increased resilience during load shedding or power outages.

Read more about the acquisition of the remaining minority shareholding in the Famous Brands Coffee Company on page 128.

Focus areas for 2026

- **Introducing newer manufacturing technologies to increase production capacity, improve yields and reduce waste.**
- **Extracting greater value from our Manufacturing data.**
- **Investigating the feasibility of a water recycling plant at the Famous Brands Cheese Company.**
- **Investing in solar plants at two sites to improve our energy resilience.**
- **Implementing the CAP programme across our plants.**
- **Increasing our access to additional backup water supplies.**

Supply Chain *(continued)*

Logistics

Performance

Logistics revenue increased 4.1% to R5.2 billion (2024: R5.0 billion) while operating profit declined to R71 million (2024: R94 million). We made significant savings in diesel due to the cessation of load shedding for most of our financial year. The operating profit margin was marginally lower, due to changes in product mix, higher staffing costs, fleet expenses and stock losses. We experienced a decline in product categories with higher revenue per case and an increase in categories with lower revenue per case.

Our case volumes grew by 3.7% year-on-year. We continued to benefit from our upgraded route planning system and improved driver behaviour, resulting in fuel consumption (28.63 ℓ/100 km) that was 5% less than budgeted and 3% less than in 2024.

Focus areas

We continued to benchmark our processes, costs, and margins to ensure efficiencies and reduce operating costs. This included closely managing expenses related to employee allowances and overtime. In 2025, we aligned our delivery time windows to industry standards and are tracking our performance against industry standards for on-time delivery, in full, with no errors.

We implemented the new warehouse management system at the Crown Mines Distribution Centre in September 2024. This completed the rollout of this system across all sites. We experienced stock losses associated with transitioning to the new warehouse management system. Corrective measures, including warehouse management system enhancements, have been implemented to address these issues. Although the implementation had teething issues, it has improved productivity and enhanced business insights. Our focus is on using the system to improve productivity, including through automation, improved stock controls and labour reporting.

The new cold storage facility, commissioned in June 2025, will significantly reduce transport and energy costs by using more efficient refrigeration technologies. We exited our Crown Mines Distribution Centre lease at the end of May 2025.

We began upgrading our bespoke franchise partner online ordering system to improve the user experience and boost purchasing from franchise partners. This project is expected to be completed by 2026. We expanded the range of products offered to franchise partners.

We improved our fire protection and smoke detection systems to meet our insurer's requirements. Three of our sites are now fully certified by the Automatic Sprinkler Inspection Bureau (ASIB), with three sites in progress. All six of our sites are fully certified by the Fire Systems Inspection Bureau (FSIB). These certifications have helped to reduce our insurance costs.

All six distribution sites achieved five-star ratings from Nosa for safety.

Capex

Capital expenditure of R14.0 million (2024: R22.1 million) was incurred, with the largest allocation for the refurbishing our truck fleet and investing in fire sprinklers and detection equipment. To improve our operational resilience, we invested in water harvesting at our Western Cape Province Distribution Centre. We harvest approximately 144 litres per day. The development of our new cold storage facility is not included in the capex figure as Logistics is a tenant.

Focus areas for 2026

- **Optimising our operations with the new warehouse management system to improve productivity, insights and efficiencies.**
- **Extracting greater value from our Logistics data.**
- **Expanding floor capacity at our Gauteng and Eastern Cape Distribution centres.**
- **Exporting products to Angola and Namibia from June 2025.**
- **Better forecasting of our labour and shift requirements with the use of a resourcing tool.**
- **Implementing the CAP programme across our distribution centres.**
- **Complete the upgrade of the franchise partner online ordering system.**

Retail

Performance and focus areas

The division's revenue declined by 6.6% to R344 million (2024: R368 million), and operating profit decreased to R1 million (2024: R6 million). These weaker financial results are due to substantially lower volumes of frozen potato chip sales. A competitor re-entered the market following product shortages in 2024 and offered discounted prices. Retailers purchased these in large quantities and are now clearing this stock at a discount due to its poor quality, which is depressing our sales. This situation normalised in the second half of our financial year. There were no material product write-offs for 2025.

With lower disposable income, consumers are becoming increasingly price-sensitive and seeking better deals. Our reputable brands and competitive pricing have supported our Retail division in growing its sales and distribution network. We have appointed a specialist trade marketing agency to support the development of our marketing strategy and secure additional retail listings. We have also invested in boosting our product development and innovation capabilities through hiring dedicated resources.

In 2025, the division launched four new products and plans to introduce additional products in 2026.

Focus areas for 2026

The Retail division will expand its product range, promote existing products and grow its retail footprint by securing new listings. The division will invest in retail marketing initiatives to build consumer demand for its products.

Our ESG Framework

The food services industry has a significant environmental footprint. We seek to operate in a manner that considers and reduces our impact throughout our value chain. This includes sourcing, processing, transportation and distribution.

ESG Framework

Our ESG purpose

We seek to build a sustainable and inclusive future by living our core beliefs, empowering our people and nurturing our franchise partners. We are dedicated to fostering a thriving ecosystem where every stakeholder can succeed while actively reducing our environmental footprint and championing responsible business practices that honour our commitment to integrity, collaboration, and long-term stewardship.

The strategic outcomes we seek

Preserving the planet by reducing our environmental impact

Promoting social equity through our transformation, diversity and development initiatives

Ensuring sustainable operations through health and safety and food safety practices

Upholding good governance through enhanced governance practices.

Enabled by our ESG focus areas

Environmental sustainability

Achieving measurable reductions in carbon emissions, energy, water consumption, and waste generation, leading to a more sustainable business model.

Social responsibility

Impacting transformation through community engagement and workforce diversity, equity and inclusivity. This also includes investing in health and safety and responsible practices to drive long-term sustainability.

Corporate governance

Strengthen governance structures, Board independence, transparency, ethics and accountability.

While supporting our selected SDGs

Environmental sustainability: 12 Responsible consumption and production

Social responsibility: 2 Zero hunger; 3 Good health and well-being; 4 Quality education; 5 Gender equality; 8 Decent work and economic growth

Corporate governance: 5 Gender equality

View our four-year performance against our SDG targets on page 72.

Our ESG Framework *(continued)*

Remuneration supporting ESG

The successful implementation of our ESG Framework relies on all employees delivering on its objectives and targets. The Group has non-financial performance KPIs for executive and senior management remuneration incentives, including transformation, health and safety and the overall delivery of the five-year sustainability plan, which was launched in 2022.

Read more about our Remuneration Policy and its implementation in the remuneration report on page 137.

ESG governance

The Social and Ethics Committee is responsible for reviewing performance against our ESG Framework. They are supported by our Social and Ethics Working Group. The Audit and Risk Committee oversees our ESG-related risks.

SDG selection

"The SDGs support Famous Brands in aligning our practices with global goals addressing social, economic and environmental issues. By integrating the SDGs into our ESG Framework, we position ourselves for long-term sustainability."

The 2030 Agenda for Sustainable Development, adopted by all United Nations Member States in 2015, provided a shared blueprint for peace and prosperity for people and the planet. At its heart are the 17 SDGs, which call on countries to end poverty and inequality, improve the overall wellbeing of humanity while addressing climate change and preserving our natural environment.

The private sector plays a crucial role in addressing major global challenges. We contribute to the SDGs through responsible business practices, reducing our environmental footprint, providing economic development opportunities, and supporting our employees and communities.

Reviewing our SDGs

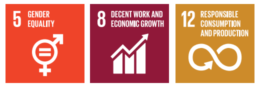
In 2020, we committed to contributing to the five SDGs and defined their accompanying targets and sustainability KPIs. In 2023, we began reporting against these targets.

In August 2023, we commissioned a consultancy to review our selected five SDGs and reaffirm whether these were aligned with our business. The review proposed that Famous Brands adopt three additional SDGs and remove two SDGs. In addition, SDGs are now categorised as primary or secondary goals. In May 2024, the Social and Ethics Committee approved the revised SDG selection, SDG targets and sustainability KPIs.

Primary goals

What we must achieve to support our vision

These refer to those SDGs that are strongly aligned with the Group's core business and vision.



Secondary goals

How we operate as a good corporate citizen

These relate to important activities to meet our societal obligations but are not related to core business activities.

ESG performance

Environmental sustainability

As a food services business, we recognise our responsibility to evaluate our practices and create sustainable products while minimising waste and resource consumption.

Our Environmental and Climate Change Policy outlines our commitment to continually reducing our environmental footprint by incorporating sustainable practices. We have initiatives to limit air pollution, utilise more environmentally friendly packaging, invest in renewable energy sources, and reduce water and energy consumption. We track our environmental sustainability performance against the following areas:

- **Carbon footprint**
- **Energy consumption**
- **Water usage efficiency**
- **Waste management**
- **Sustainable sourcing**
- **Environmentally friendly packaging**

Since the policy was operationalised in 2022, we have made notable progress against our environmental objectives. Our biggest environmental opportunities lie in lowering energy consumption through energy efficiency initiatives and renewable energy, and reducing our water usage through water recycling and recovery initiatives. We have a Group-wide utilities savings awareness programme to encourage employees to adopt environmentally responsible practices.

Our environmental focus areas

Brands

- Maintaining the use of environmentally friendly packaging.
- Offering fully biodegradable and compostable take away coffee cups.
- All brand packaging ranges are 100% recyclable.
- Reduction in food waste through portion control and made-to-order practices in our restaurants.
- Responsible reuse or redistribution of food through the donation of excess food products.

Manufacturing

- Investigating alternative cleaner fuel and energy options (with lower GHG emission factors), including planned renewable energy projects.
- Enhancing plant efficiencies to produce more units per hour of plant time.
- Efficient refrigeration processes to reduce electricity usage.
- Efficient water usage and effluent management pursued against a target for continuous improvement.
- Cultivating potatoes closer to the Lamberts Bay Foods processing plant, reducing travel emissions.
- New plant design focused on responsible consumption.
- Responsible sourcing of sustainable food products for processing.

Read more on page 78.

- Maximising recycling opportunities for our general waste.
- Responsible re-use or redistribution of food through the donation of excess food products.

Read more on page 77.

Logistics

- Investigating alternative cleaner fuel and energy options (with lower GHG emission factors), including planned renewable energy projects.
- Optimising transport efficiencies in our Logistics fleet.
- Better route planning and reduction in the number of trips.
- Close monitoring and evaluation of new generators, as well as monitoring electricity usage by refrigerators.
- Responsible redistribution of near-expiry date stock to identified non-profit organisations.
- Use of high-quality refrigerants to reduce electricity consumption.

Retail

- Controls in place to donate unsold products to non-profit organisations before they expire.

ESG performance *(continued)*

Carbon footprint

At Famous Brands, we recognise the importance of addressing climate change. We are evolving our operations, practices and partnerships to reduce our carbon footprint.

We aim to reduce our carbon footprint through energy efficiency initiatives, improving our Supply Chain practices to reduce emissions during production and distribution, and increasing our reliance on renewable energy. We acknowledge our responsibility in supporting South Africa in achieving its net zero by 2025 ambitions.

We aim to achieve the following:

Emissions reduction	• Implementing energy-efficient technologies and processes to lower direct and indirect emissions. • Enhancing Supply Chain management to reduce emissions across all stages of production and distribution.
Sustainable practices	• Transitioning to renewable energy sources and optimising energy use in our facilities. • Adopting low-carbon technologies and practices in product development and operations.
Improved operational efficiency	• Engaging in regular carbon footprint assessments to track progress and identify areas for improvement.

SDG target	KPIs	Performance in 2025	KPIs for 2026
12 RESPONSIBLE CONSUMPTION AND PRODUCTION **12.2** **By 2030, achieve the sustainable management and efficient use of natural resources.**	Total GHG emissions (Scope 1, 2 and 3) per year in metric tons of CO_2 equivalent: 43 406 tCO_2e	Not achieved We reduced our GHG emissions by 5% and produced 50 509 tCO_2e. (53 348 tCO_2e in 2024).	40 693 tCO_2e
	Total GHG emissions (Scope 1, 2 and 3) per year in metric tons of CO_2 equivalent, per case manufactured and shipped (tCO_2e/case): 0.00197	Not achieved We reduced our GHG emissions per case by 6%. Our GHG emissions per case were 0.00215 tCO_2e/case. (0.00231 tCO_2e/case in 2024).	0.00185 tCO_2e

Our carbon footprint report

Our footprint assessment method is aligned with the GHG Protocol Corporate Accounting and Reporting Standard, the global standard for companies to measure and manage GHG emissions. This method allows us to prepare for potential carbon tax requirements while building more efficient and resilient operations.

Our operations fall below the threshold for paying carbon tax. We conducted a detailed annual assessment of the Group's carbon footprint for its Manufacturing and Logistics divisions. This assessment focused on:

Scope 1: Identifying and quantifying direct GHG emissions that will require reporting to the Department of Environment, Forestry and Fisheries and be liable for carbon tax. Direct emissions include mobile fuel combustion (own fleet) and stationary fuel combustion (on-site equipment).

Scope 2 and 3: Understanding the primary sources of indirect GHG emissions that contribute to the Group's overall carbon footprint. Indirect emissions include purchased electricity, water supply and waste disposal.

Performance and focus areas for 2025

In 2025, we prioritised the following:

- Investigating alternative cleaner fuel and energy options, including those with lower GHG emission factors.
- Executing planned renewable energy projects.
- Transitioning to modern, more efficient refrigeration processes and refrigerants to reduce electricity usage.
- Implement plant design practices focused on responsible consumption.
- Optimising transport efficiencies in our Logistics fleet through better route planning and a reduction in the number of trips.

ESG performance *(continued)*

The Group's total GHG emissions for 2025, by scope and division, are detailed below.

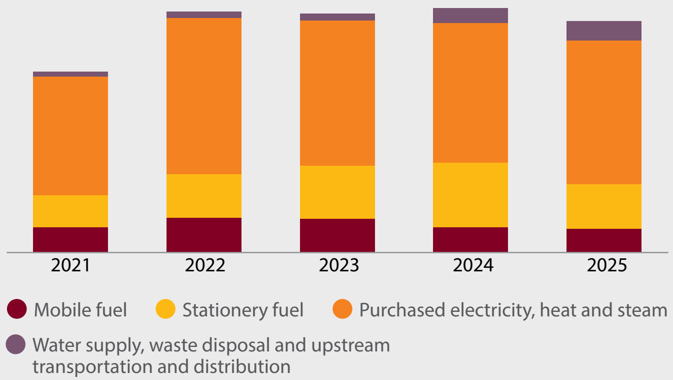
SCOPE 1 – 30%	SCOPE 2 – 62%	SCOPE 3 – 8%
Mobile fuel combustion Manufacturing: 208.38 tCO_2e Logistics: 5 011.31 tCO_2e: **Total: 5 219.69 tCO_2e**	**Purchased electricity, heat and steam** Manufacturing: 24 821.88 tCO_2e Logistics: 6 565.95 tCO_2e **Total: 31 387.83 tCO_2e**	**Purchased goods and services (water supply)** Manufacturing: 403.85 tCO_2e Logistics: 18.57 tCO_2e **Total: 422.42 tCO_2e**
Stationary fuel combustion Manufacturing: 9 617.20 tCO_2e Logistics: 65.44 tCO_2e **Total: 9 682.64 tCO_2e**	**Total Scope 2 emissions** Manufacturing: 24 821.88 tCO_2e Logistics: 6 565.95 tCO_2e **Total: 31 387.83 tCO_2e**	**Waste generated in operations** Manufacturing: 701.14 tCO_2e Logistics: 198.83 tCO_2e **Total: 899.97 tCO_2e** **Upstream transportation and distribution** Manufacturing: 0 tCO_2e Logistics: 2 896.53 tCO_2e **Total: 2 896.53 tCO_2e**
Total Scope 1 emissions Manufacturing: 9 825.58 tCO_2e Logistics: 5 076.75 tCO_2e **Total: 14 902.33 tCO_2e**	**Total Scope 1 + 2 emissions** Manufacturing: 34 647.46 tCO_2e Logistics: 11 642.70 tCO_2e **Total: 46 290.16 tCO_2e**	**Total Scope 3 emissions** Manufacturing: 1 104.99 tCO_2e Logistics: 3 113.93 tCO_2e **Total: 4 218.92 tCO_2e**
	All scopes Total Scope 1, 2 and 3 emissions Manufacturing: 35 752.45 tCO_2e Logistics: 14 756.63 tCO_2e **Total: 50 509.08 tCO_2e**	**Division contribution (%)** Manufacturing: 71% Logistics: 29%

Total emissions across Scope 1, Scope 2 and measured Scope 3 in our Supply Chain decreased by 5% year-on-year. Stationary fuel combustion emissions decreased due to eased load shedding and migration to a lower country-specific emission factor for Lamberts Bay Foods' coal use. Reduced load shedding, in turn, increased the use of grid electricity and reduced purchased electricity emissions. Increase in waste emissions is driven by significant changes in emission factors.

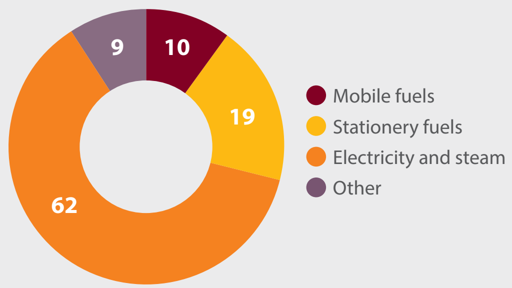
- Mobile fuel usage decreased by 5%, while stationary fuel decreased by 31%. The decrease in stationary fuel is attributed to the reduced diesel required in our generators due to lower levels of load shedding.
- Purchased electricity usage increased by 3%, also due to less load shedding.
- Water supply emissions decreased by 19%.

The waste generated in our operations was 791.16 tonnes, a mix of industrial and commercial waste, to landfill. Emissions related to waste increased by 112% calculated at metric tonnes of CO_2e. We recycled 852.85 tonnes of waste material, including paper, plastics, metal and glass. We composted 933.99 tonnes of organic waste material.

Carbon footprint by type for Supply Chain (2020 to 2025) (tCO_2e)



Emissions source tCO_2e (%)



Looking forward to 2026

In 2026, we will prioritise the following:

- Completing two planned solar installations.
- Ensuring responsible electricity usage at our largest plants.
- Explore the potential role of a virtual wheeling partnership for green electricity.

ESG performance *(continued)*

Water usage efficiency

> **Famous Brands is committed to optimising water usage across its operations to ensure sustainable and efficient water management.**

Our approach to water usage efficiency involves adopting advanced technologies, implementing best practices, and fostering a culture of conservation to minimise water consumption. Our water recycling plants also provide cost savings and water security in a country that contends with water insecurity.

We aim to achieve the following:

Reduced water consumption	• Implementing water-efficient technologies that offer long-term financial benefits. • Lowering water utility expenses through efficient use and conservation measures. • Conducting regular audits to identify and address areas of excessive consumption.
Enhanced water recycling and reuse	• Installing systems to capture and reuse wastewater where feasible. • Developing processes for recycling water within facilities to reduce overall consumption.
Improved operational efficiency	• Streamlining processes to minimise water waste and maximise efficiency. • Integrating water-saving measures into everyday operations and maintenance routines.
Environmental impact reduction	• Minimising the strain on local water resources and contributing to overall water conservation efforts. • Supporting initiatives that enhance the health and sustainability of local water ecosystems.

Performance and focus areas for 2025

We achieved a significant reduction in our water consumption during 2025, both in kilolitres of water consumed and kilolitres of water per case produced and distributed. The bulk of the savings was attributed to the implementation of the water recycling project at our Lamberts Bay Foods' processing plant.

This year, we focused on the following:

- We instilled a culture of water conservation through regular communications.
- We considered proposals to install a water recycling plant at the Famous Brands Cheese Company. Due to excessive capital requirements, we are considering options for a smaller plant.
- Vigorous monitoring of water consumption and the early detection and fixing of water leaks.

SDG target	KPIs	Performance in 2025	KPIs for 2026
12 RESPONSIBLE CONSUMPTION AND PRODUCTION **12.2** **By 2030, achieve the sustainable management and efficient use of natural resources.**	Total litres of water withdrawn from the ground and used from the municipality: 294 696 kilolitres	Not achieved We used 337 527 kilolitres from boreholes and municipal water sources. (393 612 kl in 2024).	276 278 kilolitres
	Total volume of water per case: 16.31 litres per case	Achieved We used an average of 14.66 litres per case. (17.17 l/Case in 2024).	15.50 litres per case
	Total litres of water recycled and reused: 24 000 kilolitres	Achieved We recycled and reused 26 319 kilolitres of water.	43 000 kilolitres

ESG performance *(continued)*

Water usage performance (Kilolitres)	2025	2024
SA operations: Manufacturing and Logistics divisions	**337 527**	393 612
SA operations: Brands		
Signature Brands: All Company-owned restaurants		1 591
Leading Brands: All Company-owned restaurants	**13 546**	12 992
Botswana		
All Company-owned restaurants	**25 434**	22 654
Headquarters	**11 433**	9 873
Kenya		
All Company-owned restaurants	**1 259**	1 380
Mauritius		
All Company-owned restaurants	**4 186**	1 713
Total water usage	**393 385**	443 815

Looking forward to 2026

In 2026, we will prioritise the following:

- A water recycling project at our sauce plant that will deliver 1 800 kilolitres in water savings per year.
- Water quality monitoring and back-up storage at each plant and distribution centre to mitigate outages.
- Continue to drive behavioural disciplines across all manufacturing plants to meet water-saving KPI targets.

Energy consumption

Famous Brands is enhancing energy efficiency by adopting innovative technologies and optimising operational procedures.

Our approach focuses on integrating sustainable practices into our facilities and processes to reduce energy consumption and minimise our environmental impact.

We are focused on achieving the following:

Reduced energy consumption	• Implementing energy-efficient technologies and equipment. • Conducting regular energy audits to identify and address inefficiencies.
Cost savings	• Decreasing operational costs by lowering energy bills. • Investing in energy-saving initiatives that provide long-term financial benefits.
Improved operational efficiency	• Streamlining processes to optimise energy use. • Training employees on best practices for energy conservation.
Environmental impact reduction	• Contributing to environmental sustainability goals. • Supporting broader industry efforts to combat climate change.

Performance and focus areas for 2025

This year, we focused on the following:

- Solar installation at the Midrand Head Office campus.
- Solar installations at the Midrand cold storage distribution centre, commissioned in May 2025.
- The implementation of new technology at Lambert's Bay Foods in June 2025 will reduce water heating requirements of the main production line.

ESG performance *(continued)*

SDG target	Performance in 2025	Target for 2026
Total electricity MWh generated from renewable sources: 1 950 MWh	Achieved We generated 1 971 MWh from our six solar installations.	2 400 MWh

Energy consumption	2025	2024
SA operations: Manufacturing and Logistics divisions		
Energy		
Electricity (MWh)	**31 361**	28 286
Electricity – solar (MWh)	**1 971**	981
Diesel (kl)	**2 162**	3 095
Petrol (kl)	**729**	716
Paraffin (kl)	**114**	85
Liquefied petroleum gas (tonne)	**36**	39
Natural gas (GJ)	**31 860**	31 313
Coal (tonne)	**3 204**	3 564
Steam (coal tonne)	**983**	1 059
SA operations: Brands		
All Company-owned restaurants electricity (MWh)	**1 691**	1 591
Botswana		
All Company-owned restaurants (MWh)	**4 039**	3 632
Headquarters	**84**	391
Kenya		
All Company-owned restaurants (MWh)	**150**	253
Mauritius		
All Company-owned restaurants (MWh)	**451**	188

* *Supplied from a third-party coal user.*

Looking forward to 2026

In 2026, we will prioritise completing two solar installations (Famous Brands Coffee Company and Midrand cold storage facility).

Waste management

Famous Brands is committed to responsible effective waste management and reduction.

Our approach focuses on minimising waste generation, maximising recycling and reuse and ensuring responsible disposal practices.

We are focused on achieving the following:

Waste reduction	• Implementing measures to reduce waste at the source through improved product design and process optimisation. • Training employees and adopting best practices to minimise waste generation in all areas of operations.
Enhanced recycling and reuse	• Implementing systematic waste segregation practices to ensure proper sorting of recyclables, compostables and non-recyclables. • Educating employees on effective waste segregation and recycling practices to enhance program effectiveness.
Responsible disposal	• Collaborating with licensed waste management providers to ensure responsible and compliant disposal of hazardous and non-recyclable waste. • Adhering to local and international waste management regulations and standards to ensure environmental and legal compliance.
Monitoring and reporting	• Conducting regular waste audits to monitor waste generation, recycling rates and areas for improvement. • Tracking key performance indicators related to waste management and reporting progress to stakeholders.
Sustainability integration	• Integrating waste management goals into broader sustainability objectives to drive ongoing improvements. • Exploring new technologies and methods to reduce waste, promote recycling, and recover resources.

ESG performance *(continued)*

Performance and focus areas for 2025

We donated R7.6 million in food products to SA Harvest to distribute to feeding schemes across South Africa. We have partnered with Don't Waste Services in all our manufacturing plants to manage our waste streams. Our waste is sorted at our manufacturing sites and taken for recycling or conversion to compost. No waste is taken to landfill.

This year, we focused on the following:

- Maintaining full diversion of all food waste away from landfill (achieved).
- Reducing operational waste by 20% off 2023 baseline (not achieved).

SDG target	KPIs	Performance in 2025	KPIs for 2026
12 RESPONSIBLE CONSUMPTION AND PRODUCTION **12.3** **By 2030, halve per capita global food waste at the retail and consumer levels and reduce food losses along production and supply chains, including post-harvest losses.**	Reduce food avoidance waste from operations (excluding Lamberts Bay Foods and Famous Brands Cheese Company): Reduce food waste by 176.8 metric tonnes	Not achieved Target not achieved based on defective raw material from a supplier that needed to be safely disposed.	165.8 metric tonnes reduction in food waste
12.5 **By 2030, achieve the sustainable management and efficient use of natural resources.**	Total volume of food waste not recycled/sent to landfill: 122.24 metric tonnes	Achieved We sent no food waste to the landfill, and all food waste was either converted to compost or used as animal feed.	Maintain zero food waste to landfill.

South Africa Food Loss and Waste Agreement

Famous Brands has been a core signatory to the South Africa Food Loss and Waste Agreement since 2021. This agreement was developed by the CGCSA, the Department of Trade, Industry and Competition, and the Department of Forestry, Fisheries and the Environment. As a signatory, our commitments include:

- Contribute to achieving SDG target 12.3: "By 2030, halve per capita global food waste at the retail and consumer levels and reduce food losses along production and supply chains, including post-harvest losses."
- Adopt the food utilisation hierarchy, which prioritises increased food utilisation and waste reduction by redistributing edible, nutritious surplus food for human consumption and creating secondary markets for surplus food, while considering food safety.
- Confidentially report our annual quantities of food waste and quantities diverted to food surplus redistribution, in accordance with the agreed-upon reporting protocol.

Partnership with SA Harvest

We have a strong partnership with the charitable organisation SA Harvest, which was established with the goal of ending hunger in South Africa. This relationship began during the COVID-19 pandemic when Famous Brands management worked closely with the organisation to distribute stock that our hibernated operations could not use. We continue to work with them and other non-profit organisations to distribute food close to its expiry date. This not only helps reduce food waste but also has a positive impact on vulnerable communities.

Looking forward to 2026

In 2026, we will prioritise the following:

- Significant reduction in operational food waste to meet planned targets through focused interventions in plants that contribute significant volumes of operational food waste.
- Interventions in production processes to support the reduction of waste as per the target.
- Diversion of near end of shelf life products to food donation.

ESG performance *(continued)*

Sustainable sourcing

We ensure that the products and materials we procure are obtained in a manner that supports environmental stewardship, ethical practices and economic sustainability.

We aim to minimise our environmental impact and promote responsible practices across our operations by integrating sustainable sourcing principles into our supply chain. We work with local suppliers to support economic development, create jobs and reduce our environmental footprint.

We aim to achieve the following:

Ethical sourcing practices	• Establishing and enforcing rigorous ethical standards for suppliers, including fair labour practices, safe working conditions and non-discrimination. • Prioritising suppliers who hold recognised certifications.
Environmental stewardship	• Sourcing materials that are renewable, recyclable, or sustainably managed to reduce our environmental footprint. • Collaborating with suppliers to enhance their resource efficiency and reduce waste throughout the production and supply processes.
Transparency and traceability	• Enhancing transparency and traceability throughout our supply chain to ensure accountability and responsible sourcing practices. • Conducting regular audits and assessments of suppliers to verify adherence to sustainable sourcing criteria and address any issues. • Evaluating the environmental impact of products throughout their entire life cycle, from production to disposal, to make informed purchasing decisions.
Local and community support	• Where possible, sourcing from local or regional suppliers to support local economies and reduce transportation-related emissions. • Engaging with communities to promote sustainable agricultural practices and support local development initiatives.
Continuous improvement	• Regularly reviewing and updating our sustainable sourcing policies and practices to reflect new standards, technologies, and best practices. • Encouraging feedback from suppliers and stakeholders to drive innovation and continuous improvement in sourcing practices.
Partnerships and collaboration	• Collaborating with industry groups, NGOs, and other stakeholders to promote and advance sustainable sourcing practices across the sector. • Partnering with suppliers to enhance their capacity and capability in sustainable practices through targeted training and ongoing support. • Developing long-term relationships with suppliers that prioritise sustainability, which can lead to collaborative improvements in processes and innovations.
Impact measurement	• Establishing KPIs to measure the effectiveness of our sustainable sourcing initiatives and track progress over time. • Providing transparent reporting on our sustainable sourcing efforts and achievements to stakeholders.

Performance and focus areas for 2025

We allocated significant time and financial resources to support and develop SMMEs and Black-owned businesses.

Read more about our enterprise and supplier development projects to procure from local farmers on page 102.

ESG performance *(continued)*

SDG target	KPIs	Performance in 2025	KPIs for 2026
12.7 **Promote public procurement practices that are sustainable, in accordance with national policies and priorities**	Spend with SMMEs, revenue between R0 to R50m (percentage of total spend): 15%	Achieved We spent 17.79% of our total procurement spend with SMMEs. This is for an amount of R872 million.	18%
	Spend with >51% Black-owned companies (percentage of total spend): 40%	Achieved We spent 44.54% of our total procurement spend with >51% Black-owned companies. This is for an amount of R2.6 billion.	40%
	Spend with >30% Black women-owned companies (% of total spend): 12%	Achieved We spent 31.23% of our total procurement spend with >30% Black women-owned companies. This is for an amount of R2.1 billion.	12%

Our FOOD Philosophy

We create food that is good for our consumers, employees, franchise partners, local communities and the environment. We believe in FOOD with thought and menu choices that consider wellness, sustainability and community aspects.

We recognise the need to regularly assess our food philosophy practices to ensure they align with best practices. This means we will:

- Frequently review and update our goals and timeframes.
- Assess and respond to emerging health and wellness trends, sustainability and our communities.
- Consider our stakeholders' evolving interests and expectations.
- Be accountable for our actions.

ESG performance *(continued)*

Supporting better food choices

When creating our menus, we consider the Department of Health's objectives of reducing obesity and promoting healthy living. Our brands' menus accommodate dietary needs, food allergies, intolerances, and lifestyle preferences.

Our Leading Brands' menus offer "Better for You" options, including vegetarian and vegan options. Our sugar-free sodas are priced lower than regular sodas. Steers allows consumers to swap sweetened beverages for bottled water.

All Leading Brands have full kilojoule counts on their menus, while full nutritional guidelines, including allergen information, are available on their websites. Consumers have indicated that having kilojoule counts available is helpful and guides their decision-making.

Fishaways promotes a variety of "Healthier for you" meals under 500 calories. Our bun and sauce recipes exclude eggs, making them allergen- and vegan-friendly. Our TruFruit juice range was reformulated to reduce sugar below the sugar tax threshold.

In 2023, draft amendments were made to Regulation 146 relating to the Labelling and Advertising of Foodstuffs. The proposed regulations aim to increase transparency in the labelling of foodstuffs. The outcome of this will impact Famous Brands' retail products.

Responsible sourcing

Famous Brands only procures from reputable suppliers that have undergone our stringent vetting process. Most suppliers have service level agreements that outline expected quality and service standards. We schedule site visits to ensure that suppliers continue to meet our standards.

Local sourcing

We have placed significant emphasis on purchasing from local suppliers. Approximately 88.63% of food products purchased are from local suppliers.

Seafood

All our seafood is sustainably sourced. We procure seafood from well-managed populations, where these species can handle current fishing pressure or are farmed in a manner that does not harm the environment.

Cage-free eggs

All our brands and our Supply Chain only use cage-free eggs in their recipes.

Looking forward to 2026

In 2026, we will prioritise the following:

- Develop our pipeline of enterprise and supplier development projects.
- Maintain 100% food waste to "Don't Waste" ensuring zero waste to landfill.

Environmentally friendly packaging

> **We monitor plastic use across our operations and continue to introduce eco-friendly solutions. This includes adapting brand packaging materials to align with best practices and continuously reducing our reliance on plastic.**

In 2019, Famous Brands introduced a packaging initiative to provide better, more environmentally friendly packaging across the brands. Over the last few years, these improvements have seen Famous Brands reduce plastic consumption by 443.1 tonnes per year.

We aim to achieve the following:

More sustainable materials	• Sourcing materials that are renewable, recyclable, or sustainably managed to reduce our environmental footprint. • Where possible, reducing the amount of plastic and other materials required in packaging. • Remaining abreast of the latest technologies, practices and materials.
Impact measurement	• Establishing KPIs to measure the effectiveness of our packaging initiatives and track progress over time. • Providing transparent reporting on our environmentally friendly packaging efforts and achievements to stakeholders.
Comply with legislation	• Complying with Extended Producer Responsibility legislation in South Africa and similar environmental legislation in other markets.

Performance and focus areas for 2025

This year, we achieved our commitment of ensuring that all our brand packaging material is 100% recyclable, biodegradable and compostable by 2025. We introduced new measures to make our packaging more environmentally friendly. The following improvements will reduce our total plastic consumption by 137.7 tonnes annually:

- Replacing current polystyrene hot lids with a moulded fibre bagasse sip lid for all brands.
- Mugg & Bean trialled a bagasse domed lid to replace the current polystyrene domed lid and a paper cold cup in place of a plastic cup. This option will be rolled out in 2026.
- Steers replaced the current plastic grill box with an eco-friendly solution.
- Debonairs Pizza trialled an eco-friendly solution to the current plastic flop stopper. The trial was successful, and the plastic flop stopper will be discontinued. In its place, a polylactic acid-lined board flop stopper will be implemented. The replacement flop stopper is recyclable, biodegradable and compostable.

SDG target	KPIs	Performance in 2025	KPI for 2026
12.6 **Encourage companies, especially large and transnational companies, to adopt sustainable practices and to integrate sustainability information into their reporting cycle.**	Total plastic usage reduction percentage: 93.5%	Achieved We achieved a total reduction in plastic use of 93.7%.	94.0%

ESG performance *(continued)*

Extended Producer Responsibility

The Section 18 Extended Producer Responsibility regulations were introduced by the Department of Forestry, Fisheries and the Environment in May 2021 as part of the Waste Act. These regulations aim to ensure producers take greater responsibility for the lifecycle of their products. This includes managing waste correctly through recycling and circular economy activities.

Famous Brands has registered with several producer responsibility organisations that manage the Extended Producer Responsibility schemes for various packaging schemes. We are 100% compliant with the Extended Producer Responsibility regulations as legislated by the department.

Looking forward to 2026

In 2026, we will prioritise the following:

- Introducing more biodegradable packaging options.
- Trial bagasse solutions.

ESG performance *(continued)*

Social responsibility

Our social responsibility theme encompasses strengthening our transformation strategy, supporting community initiatives, promoting workplace diversity, equity and inclusion, and upholding high standards of health and safety.

- **Human capital strength**
- **Diversity and inclusion**
- **Health and safety**
- **Community investment**

Human capital strength

> **We promote practices that develop a highly engaged, committed and capable workforce.**

We aim to achieve the following:

Understanding overall employee satisfaction	• Measuring the general satisfaction levels among employees across different departments and locations. • Gaining a comprehensive understanding of overall employee morale and engagement.
Identifying key drivers of employee satisfaction	• Determining the factors that significantly influence employee satisfaction, such as work environment, leadership, compensation, and career development. • Isolating areas that contribute to high satisfaction and those that need improvement.
Evaluate communication and management effectiveness	• Assessing how effectively management communicates with employees and how well leadership is perceived in terms of support and guidance. • Identifying strengths and weaknesses in communication and leadership practices.
Understanding employee needs and expectations	• Gathering insights into employee needs and expectations regarding benefits, work-life balance, professional growth, and other aspects of their work experience. • Aligning organisational practices with employee needs to enhance satisfaction and retention.
Monitoring changes over time	• Tracking changes in employee satisfaction over time to gauge the effectiveness of previous initiatives and adjustments. • Measuring progress and identifying trends in employee satisfaction.
Promote a culture of continuous improvement	• Fostering a culture where feedback is actively sought and acted upon, encouraging continuous improvement in the workplace. • Creating an environment where employees feel their opinions are valued and used to drive positive changes.

Performance and focus areas for 2025

Read more about our people initiatives and achievements in our human capital report on page 95.

ESG performance *(continued)*

Diversity and inclusion

"We aim to create a diverse and inclusive workplace where employees feel valued and respected."

Our approach focuses on enhancing diversity across all levels of the organisation and implementing inclusive practices that support a culture of equity and belonging. By monitoring our diversity and inclusion ratios and taking proactive measures, we aim to build a workforce that reflects diverse perspectives and experiences.

We aim to achieve the following:

Increased diversity representation	Achieve a higher representation of diverse groups within our workforce, including gender, race, ethnicity and other key demographic factors, to better reflect the communities we serve.
Enhanced inclusion practices	Implement and continually improve inclusive practices that ensure all employees feel welcome and supported, fostering a more equitable and respectful work environment.
Improved diversity, inclusion and equity metrics	Track and analyse diversity and inclusion metrics, such as the ratio of diverse employees to total employees, to measure progress and identify areas for further improvement.
Expanded recruitment strategies	Develop and execute recruitment strategies that attract a diverse pool of candidates, including partnerships with diverse professional organisations and targeted outreach efforts.
Effective training and education	Provide comprehensive training on diversity, equity, and inclusion (DEI) to all employees, including leadership, to raise awareness and promote inclusive behaviours and practices.
Supportive workplace culture	Cultivate a workplace culture that embraces and celebrates diversity, encourages open dialogue, and provides support for all employees to thrive.
Fair and equitable opportunities	Ensure that all employees have equal access to career development opportunities, promotions, and rewards, promoting fairness and reducing disparities.
Leadership commitment	Demonstrate visible commitment from leadership to diversity and inclusion goals, including setting measurable targets, regularly communicating progress, and holding leaders accountable for results.

Performance and focus areas for 2025

This year, we focused on the following:

- Gender equality and women empowerment.
- Promote sustained, inclusive and sustainable employment and decent work for all.

ESG performance *(continued)*

SDG target	KPIs	Performance in 2025	KPIs for 2026
5.5 **Ensure women's full and effective participation and equal opportunities for leadership at all levels of decision-making in political, economic and public life.**	Increase the amount of female representation at: • Junior management (50%) • Middle management (48%) • Senior management (36%)	Not achieved We achieved a 48.4% female representation rate at the junior management level. We are working to overcome the historic gender imbalances in the talent pipeline. In 2025, there were not enough vacancies to create new opportunities for women, and internal promotions for the year came from male-dominated departments.	50% female junior management representation
		Achieved We achieved a 48.5% female representation rate at the middle management level.	50% female middle management representation
		Achieved We achieved a 37% female representation rate at the senior management level.	40% female senior management representation
	Ensure 49% of female employees participate in development programmes that assist them to grow, perform, and be recognised and promoted: 45%	Achieved 49% of our female employees participated in development programmes.	50%
8.5 **By 2030, achieve full and productive employment and decent work for all women and men, including for young people and persons with disabilities, and equal pay for work of equal value.**	Promote the hiring and promotion of disabled people within our Group at large: 3% of the workforce	Achieved 4.41% of our workforce are disabled people.	3%
	Increase the absorption of unemployed people trained into our workforce, where possible, and linked to business requirements: 50% absorption rate	Achieved Our YES Programme achieved an 87.86% absorption rate.	55%
	Equal work for equal pay exercise to ensure all women are being remunerated equally: Target of less than 3% of employees impacted.	Achieved We completed our annual equal pay exercise and found that women were being remunerated equally. We made upward adjustments to the salaries of 11 female employees. Read more on page 138.	Target of less than 3% of employees impacted

ESG performance *(continued)*

SDG target	KPIs	Performance in 2025	KPIs for 2026
8.6 **By 2020, substantially reduce the proportion of youth not in employment, education or training.**	Drive talent and development programmes (Learnerships, internships, persons with disabilities) to focus on having youth represented: 80% of our training and development spend was allocated to youth (under 35 years old)	Achieved 88% of our talent and development spend was allocated to youth.	80% of talent and development spend allocated to youth

Looking forward to 2026

In 2026, we will prioritise the following:

- Inclusive culture for growth where all employees feel seen, heard and valued.
- Women and gender equity at all management levels.
- Youth empowerment through the various programmes we offer, such as YES and learnerships.

ESG performance *(continued)*

Health and safety

Famous Brands maintains the highest standards of health and safety across our operations to protect our employees, consumers and other stakeholders.

Our approach involves implementing comprehensive health and safety protocols, fostering a culture of safety awareness, and ensuring compliance with regulatory requirements. By prioritising health and safety, we aim to create a secure work environment that supports the well-being and productivity of our workforce.

We aim to achieve the following:

Reduced workplace incidents	Achieve a measurable reduction in workplace accidents and injuries through proactive safety measures, risk assessments and incident prevention strategies.
Compliance with regulations	Ensure compliance with health and safety regulations and standards.
Enhanced safety training	Provide comprehensive and ongoing health and safety training for all employees, including managers, to promote awareness, develop essential skills, and ensure compliance with safety practices.
Effective risk management	Implement robust risk management processes, including regular safety audits and hazard assessments, to identify and mitigate potential safety risks.
Improved emergency preparedness	Develop and maintain effective emergency response plans, conduct regular drills, and ensure employees are well-prepared to handle emergency situations.
Transparent reporting and communication	Foster an environment where health and safety concerns are openly reported and addressed, ensuring transparent communication and prompt resolution of issues.
Engaged and informed workforce	Engage employees in health and safety initiatives and encourage their active participation in maintaining a safe work environment.
Continuous improvement	Regularly review and update health and safety policies and practices based on feedback, incident analysis, and best practices to drive continuous improvement.

Performance and focus areas for 2025

We prioritised the following activities and actions to improve our health and safety performance:

- We monitored our leading indicators for health and safety to identify trends and potential issues.
- We introduced an enhanced safety monitoring programme across all ammonia plants.
- We implemented stringent measures to curb minor cuts and injuries.
- We introduced awareness campaigns and defensive rider training to reduce the unacceptable incidence of motorcycle accidents in Botswana.
- Improved our health and safety performance at our Mauritius Company-owned restaurants.

ESG performance *(continued)*

HEALTH AND SAFETY PERFORMANCE FOR 2025

Zero major incidents or fatalities.

100% reduction in year-on-year reportable injuries (2024: 1).

Zero workplace reportable illnesses and diseases.

254 lost work days (2024: 484).

71 first aid incidents (2024: 73).

27 medical treatment incidents (2024: 29).

Nine of our Supply Chain sites achieved a NOSA 5-Star grading and five sites maintained **4-Star grading.**

67 lost time injuries (2024: 71).

0.76 lost time incident rate (LTIR) (2024: 0.74).

Occupational health and safety

Famous Brands complies with the Occupational Health and Safety Act (OHSA), a legally enforceable act managed by the Department of Employment and Labour. The act, first enacted in 1993, aims to ensure the health and safety of individuals at work, including those who work with machinery and equipment. Famous Brands designates senior managers to manage health and safety responsibilities in each facility in accordance with section 16(2) of the OHSA. The management representatives assume statutory health and safety responsibilities, which they accept in writing.

We use an independent consultancy to verify that the work environments across our operations are safe, suitable and hygienic. This consultancy ensures that employees have the correct protective clothing and receive safety training. Management reviews feedback on suggested improvement areas based on the audit results.

We provide induction programmes for new employees and contractors, including health and safety education. The training we provide for employees includes firefighting and first aid. Should an incident occur, it is recorded and reviewed by the OHS Risk Specialist. The OHSA Committees across all business units meet regularly.

ESG performance *(continued)*

Our health and safety achievements over five years

Injury and illness reduction

- Reduced lost-time incidents through improved safety incidents observation and hazard reporting.
- Reduced LTIR rate by 44% since 2022.
- Zero fatalities for five consecutive years.

Safety programme and initiatives

- Implemented a comprehensive OHS management system, including an incident reporting and investigation process.
- Developed 11 leading indicators that are tracked monthly.
- Implemented a safety incident observation reporting system to identify and address hazards, to reinforce safe behaviours and foster culture of awareness.
- Implemented a permit-to-work system for high-risk activities.
- Conducted regular emergency response drills.

Compliance and certification

- Conducted external annual OHS management system audits.
- Conducted an internal bi-annual inspection on ammonia plants.
- Conducted SANS 10147 ammonia plant compliance assessment.
- MHI five-yearly risk assessment reviewed.
- Conducted bi-annual independent fire inspections and certifications on sites with sprinkler systems.
- Conducted regular risk assessments and implemented mitigation measures.

Training and awareness

- Trained employees in the safe handling of hazardous materials.
- Conducted regular refresher training for forklift, reach trucks, powered pallet jacks and order picker operators.
- Conducted regular employee occupational health and safety (OHS) awareness and standard operating procedure (SOP) training programmes.

Employee participation and engagement

- Established a monthly Sites Safety Health and Environment (SHE) Committee to promote employee participation.
- Established monthly meetings with all employees and contractors to discuss health and safety issues.

Innovation and technology

- Installed and implemented a drive-cam tool to monitor driver behaviours while en route.

ESG performance *(continued)*

Community investment – CSI

> **"Famous Brands is committed to leveraging our brands' strengths to drive meaningful community investment."**

Our approach integrates our brand values and identity into our community engagement strategies, focusing on initiatives that resonate with our brand's mission and enhance our connection with local communities. We aim to make a positive impact while reinforcing our positioning as a responsible corporate citizen.

We aim to achieve the following:

Brand alignment and impact	Ensure that community investment initiatives align with and amplify our brands' values and mission, creating a cohesive narrative that strengthens our presence and influence within the community.
Strategic partnerships with community organisations	Forge partnerships with local organisations and non-profits that align with our brands' focus areas, maximising the impact of our investments and enhancing community engagement.
Enhanced brand loyalty and reputation	Build stronger brand loyalty and a positive reputation by demonstrating our commitment to community welfare and aligning our actions with our brand's values.
Sustainable and long-term impact	Ensure that our community investments yield sustainable and long-term benefits, thereby contributing to the ongoing development and resilience of the communities we serve.

Performance and focus areas for 2025

We spent R19.3 million on our CSI initiatives across our focus areas of health, education, environment, sport and social development.

ESG performance *(continued)*

SDG target	KPIs	Performance in 2025	KPIs for 2026
2 ZERO HUNGER **2.1** **By 2030, end hunger and ensure access by all people, in particular the poor and people in vulnerable situations, including infants, to safe, nutritious and sufficient food all year round.**	Percentage of total CSI spend to promote social development in communities: 10%	Achieved We spent 14.5% of our CSI spend on promoting social development in communities.	10%
2.2 **By 2030, end all forms of malnutrition, including achieving, by 2025, the internationally agreed targets on stunting and wasting in children under five years of age, and address the nutritional needs of adolescent girls, pregnant and lactating women and older persons.**	Percentage of total CSI spend to promote a better environment, better education and sport to support communities: 55%	Achieved We spent 61.5% of our CSI spend to promote a better environment, better education and sport to support communities.	55%
3 GOOD HEALTH AND WELL-BEING **3.8** **Achieve universal health coverage, including financial risk protection, access to quality essential healthcare services and access to safe, effective, quality and affordable essential medicines and vaccines for all.**	Allocate 31% of CSI spend to promote access to quality healthcare services, medicines and vaccines.	Not achieved We spent 24% of our CSI spend on improving access to healthcare services. The reason for this underspend was a purposeful shift of redirecting 6% toward environmental care, education and sport to support our broader community well-being.	31.2%

Read more about our CSI activities in our CSI report on page 104.

Looking forward to 2026

In 2026, we will prioritise the following:

- Community development initiatives.
- Ensure healthy lives and promote wellbeing for all at all ages.

ESG performance *(continued)*

Corporate governance

Our commitment to Board diversity is a cornerstone of our governance strategy. By setting clear targets, monitoring progress, and continually striving to enhance diversity, we aim to build a more effective and representative leadership team.

SDG target	KPIs	Performance in 2025	KPIs for 2026
5A **Undertake reforms to give women equal rights to economic resources, as well as access to ownership and control over land and other forms of property, financial services, inheritance and natural resources, in accordance with national laws**	Have a female representation of 40% or more at the Board Level	Not achieved Our female representation at year-end was 33.33%.	40%

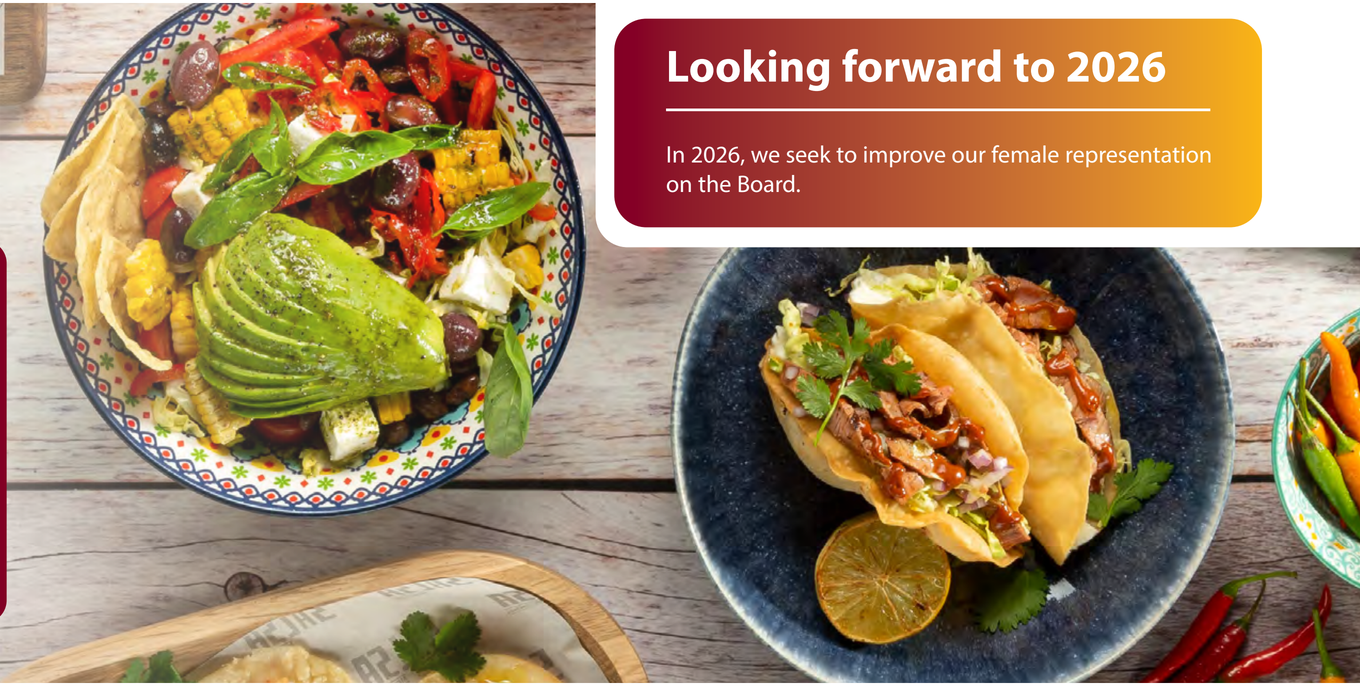
- **Board structure and diversity.**
- **Ethics and anti-corruption.**
- **Compliance.**

Board structure and diversity

Performance and focus areas for 2025

Our commitment to ethnic and racial diversity involves actively seeking diverse candidates and ensuring that our Board represents a diverse range of backgrounds. This diversity enhances our ability to understand and effectively respond to the needs of our customer base.

Our Legal Department ensures compliance with relevant legislation, regulations and anticipated regulatory changes. We have a Legal and Regulatory Compliance Framework that maps legislation across each of our business units. Read more about our compliance focus areas for 2025 on page 63.



Looking forward to 2026

In 2026, we seek to improve our female representation on the Board.

ESG performance *(continued)*

Ethics and anti-corruption

> **Famous Brands strives to adhere to good governance principles and practices, fostering a culture of transparency, integrity, and ethical decision-making.**

We aspire to be a trustworthy organisation in every market and community where we operate. We consider the effects of our decisions and actions, and avoid causing harm to the economy, society, and the environment

We aim to achieve the following:

An understanding of our core beliefs	Ensuring that our seven core beliefs are entrenched in every market and community where we operate Read more on page 4.
Ethics commitment and accountability	• Ensuring that employees understand and internalise the ethics message and vision of Famous Brands and recognise the importance of ethics in the Group's operations. • Ensuring that management buys into the ethics vision; are visibly committed to ethics, support employees in making better ethical decisions, enforce policies, rules, and procedures, and visibly model ethical behaviour. • Ensuring that Famous Brands and its management hold employees fairly and consistently accountable for their behaviour and decision-making in an open and transparent manner.
Ethics awareness	• Ensuring that employees are exposed to the values, convictions, and Code of Ethics and conduct through formal and informal training interventions, and that they are sensitised to ethics and ethical conduct. • Ensuring that Famous Brands and its employees can openly discuss ethics without fear of reprisal, feel safe to raise ethical concerns, and are encouraged to speak openly about right and wrong within the organisation by leadership at every level.
Ethical treatment of employees	• Ensuring that management treat employees with respect, fairness and dignity. • Ensuring that decisions or actions that may affect employees are tested for their ethical impact with the purpose of creating beneficence.

ESG performance *(continued)*

Performance and focus areas for 2025

Famous Brands has a Code of Ethics that is reviewed each year. Employees are required to comply with the Code of Ethics. The following policies and practices are in place to foster an ethical culture:

- A Gift and Hospitality Policy.
- A Whistle-blowing Policy.
- Conflict of Interest Declaration Policy.
- Anti-occupational Fraud policy.
- Supplier Code of Ethics.
- Training and awareness.
- Due diligence processes.
- Effective reporting.

Famous Brands has an Ethics Management Programme facilitated by The Ethics Institute. The programme aims to foster ethical conduct, due care and compliance with our Code of Ethics. In 2025, 82 employees participated in this programme (2024: 43). Additionally, 92 and 182 employees received e-learning training on workplace ethics and whistleblower induction, respectively. Our ongoing ethics focus areas include:

- Measures to entrench Famous Brands' core beliefs.
- Measures to improve ethics commitment and accountability.
- Increased focus on the topic of ethics, including channels for employees to ask questions.
- Ethics awareness training for new and existing employees.
- Improving the fairness and perceived fairness of certain people practices.

In 2025, our ethics priorities aligned with our ethics programme. These included:

- Further entrenching the Famous Brands' core beliefs conversations.
- Implementing ethics management campaigns, including in the Company-owned stores in Mauritius.
- Reviewing and redistributing the Code of Ethics.
- Embedding the Supplier Code of Ethics.
- Ongoing ethics awareness and training for all levels, including management.
- Reinforcing conflict of interest disclosures.

Famous Brands provides all employees with training on ethical behaviour and major workplace issues. Training modules include:

- Meeting etiquette.
- Workplace ethics.
- Workplace professionalism.
- Dealing with bullying.
- Sexual harassment.
- Risk management.
- POPIA and Data Privacy.
- The Labour Relations Act.
- The Basic Conditions of Employment Act.
- Occupational health and safety.

Famous Brands has an anonymous ethics hotline in South Africa and selected African markets (Botswana, Kenya and Mauritius). In 2025, we received five disclosures, two concept queries and 348 dropped or no response calls. All disclosures were investigated and closed appropriately.

Looking forward to 2026

In, 2026 we will continue to embed all the initiatives implemented in 2025.

Compliance

Read more about our compliance practices in our corporate governance chapter on page 108.

Human capital report

We view our HR professionals as strategic business partners who contribute to strategy development and identify the human capital levers that enable its execution. They also develop efficient HR practices and enhance employee capacity while leading change management initiatives.

Human capital achievements for 2025

- Leveraged new HR technology and systems.
- Redeveloped and launched the employee value proposition (EVP).
- Broadened our succession pool and activities.
- Secured SETA funding of R4.6 million (2024: R3.5 million).
- Introduced eight new cyber centres to enable eLearning for bargaining unit employees.
- Access to ESS for our BU employees.
- Career paths project developed to support employee mobility.

Human capital priorities for 2026

- Continue our HR digitalisation journey.
- Implement a fit-for-purpose remuneration approach for roles in key functions.
- Relaunch Employee Wellness Programme.
- Achieve an NPS of above 21 (2025:14.1).
- Improve the ready now succession score to 25%.
- Secure SETA funding of R4.2 million.
- Conclude the two-year wage agreement with bargaining unit employees.
- Automate the salary review process.

Employee value proposition

We strive to create a supportive environment where employees receive the right tools and training and are rewarded and recognised for their performance. Our EVP addresses the Group's main human capital challenges, which include attracting and retaining talent in a competitive market, upskilling and reskilling employees for new work requirements and ensuring effective succession planning. We regularly review and update our EVP to ensure it remains relevant. In 2025, we relaunched our EVP to educate our employees about our holistic offering through visually appealing and effective storytelling.

Our **EVP elements** are as follows:

- **Driving a** winning culture
- **Focusing** on the world of work
- **Career** development
- **Benefits** and well-being
- **Rewards** and recognition

The Famous Brands **People Promise**

Thrive • Shine • Succeed • Grow

Human capital report *(continued)*

1 Driving a winning culture

Entrenching our core beliefs

We seek to cement our position as the leading, innovative, branded franchise and food services business in South Africa and selected markets. This vision is anchored by our core beliefs (Page 4), which shape our organisational culture and values-driven leadership.

We communicate our vision, purpose and core beliefs across the Group and ensure that they are entrenched in every aspect of people management. Our core beliefs are integrated into our performance management and influence reward and recognition across the Group.

Our annual employee survey, Voice your View, provides an opportunity for employees to give feedback on how we uphold these core beliefs.

Cascading our strategy

In December 2024, Exco introduced monthly online Lekgotla sessions that are available to all administration employees[1]. The session provides an opportunity for Exco to explain strategic initiatives and business performance and for employees to provide suggestions and ask questions. These sessions foster two-way communication, employee engagement, and increase understanding of our strategy and how employees can support its delivery.

Grow and Lead Awards

The Grow and Lead Awards is an annual recognition platform that acknowledges our administration employees' outstanding achievements. Employees with excellent performance and behaviours that demonstrate the Group's core beliefs are nominated from each business unit or department.

1 *Administration employees refer to our non-unionised employees in South Africa and our other markets.*

Voice your View Employee survey

The Voice your View Employee Survey, launched in 2015, is an annual survey that provides our South African administration employees with a platform to give personal feedback on the Group's culture, leadership and communication. Employees respond to 67 statements related to culture, leadership, happiness, and communication and rank each statement on a five-point scale.

When calculating the report, the scale is converted to a percentage, and each statement's scores are averaged to give an overall score. The Group's overall score is 77% (2024: 78%), which places the Group in the top company category. The NPS is based on the question: How likely are you to recommend Famous Brands to your friends and family as a place to work? It is calculated by taking the percentage of employees who are promoters and subtracting the percentage who are detractors. In 2024, the NPS declined to 14.1, which can be attributed to employee dissatisfaction with a delay in receiving increases (moved from March 2024 to June 2024) and a 20% reduction in the overall annual bonus pool.

The overall response rate was
93%
(2024: 94%)[2]

The overall score declined slightly to
77%
(2024: 78%)

The NPS declined to
14.1
(2024: 22.3)

2 *In 2024, this was incorrectly reported as 84%.*

2 Focusing on the world of work

Our world of work cascades the Group's business strategy into divisional and business unit strategies down to personal scorecards, aiming to optimise business outputs and results. It also includes comprehensive onboarding and induction programmes, flexible working hours, and the option for some employees to apply for four days per month of work from home.

HR digitalisation

We continue to automate and digitalise the HR environment to remove repetitive, manual HR tasks and improve our analytics capabilities. In 2024, we introduced SAGE 300 People, which offers HR and payroll and an employee self-service (ESS) portal. This was first implemented for administration employees. In August 2024, we rolled out the ESS portal to all bargaining unit employees. Bargaining unit employees can access free Wi-Fi at work to interact with the portal on their mobile devices.

In 2026, we will implement HR solutions to further digitalise our HR processes. These include:

- A cloud-based and scalable solution to digitally manage our recruitment, employee onboarding and exiting processes.
- A digital remuneration management solution.
- A mobile-based employee communications platform that allows us to distribute content, stream webcasts and conduct surveys. This will allow us to communicate with the bargaining unit and administration employees simultaneously.

Human capital report *(continued)*

3 Career development

Upskilling and supporting our employees is crucial to developing a robust talent pipeline and enhancing employee retention. We assist employees in identifying personal development goals through a Personal Development Plan, which the employee and manager review annually. Our career development opportunities include:

- Leadership development and sponsored courses.
- Technical and job-specific training and a comprehensive eLearning offering.
- Financial assistance for approved studies.
- The opportunity to work on innovative projects.

We have established a strong relationship with FOODBEV SETA and have rolled out SETA-funded learning and development offerings. These offerings cover technical skills for our Supply Chain, including the supervisory level.

Key career development indicators

732 total employees trained in South Africa
(2024: 906)

R10.1 million total training spend in South Africa
(2024: R7.5 million)

27 internships completed
(2024: 41)

68 Ethics Programme delegates
(2024: 88)

180 total employees trained outside South Africa
(2024: 341)

628 African, Coloured and Indian (ACI) employees trained
(2024: 793)

15 employees assigned mentors
(2024: 15)

30 People with Disabilities Learnerships
(2023: 66)

Recruitment and retention

We have recruitment and retention strategies to attract and retain top talent. This includes initiatives for key and specialised skills in our franchising division. We are developing our internal recruitment capabilities and have appointed an internal recruitment specialist for Leading Brands in addition to the Group recruitment specialist hired in 2024. We offer a referral reward process to motivate employees to refer candidates. We work with major online recruitment platforms to advertise positions. Bolstering our internal recruitment capabilities allows us to better match skills and culture fit with business needs and has resulted in significant savings on recruitment fees. We are comfortable with our retention statistics for 2025.

Recruitment and retention statistics

85.4% retention rate
(90.7%)

84 internal promotions
(2024: 101)

615 external appointments
(2024: 536)

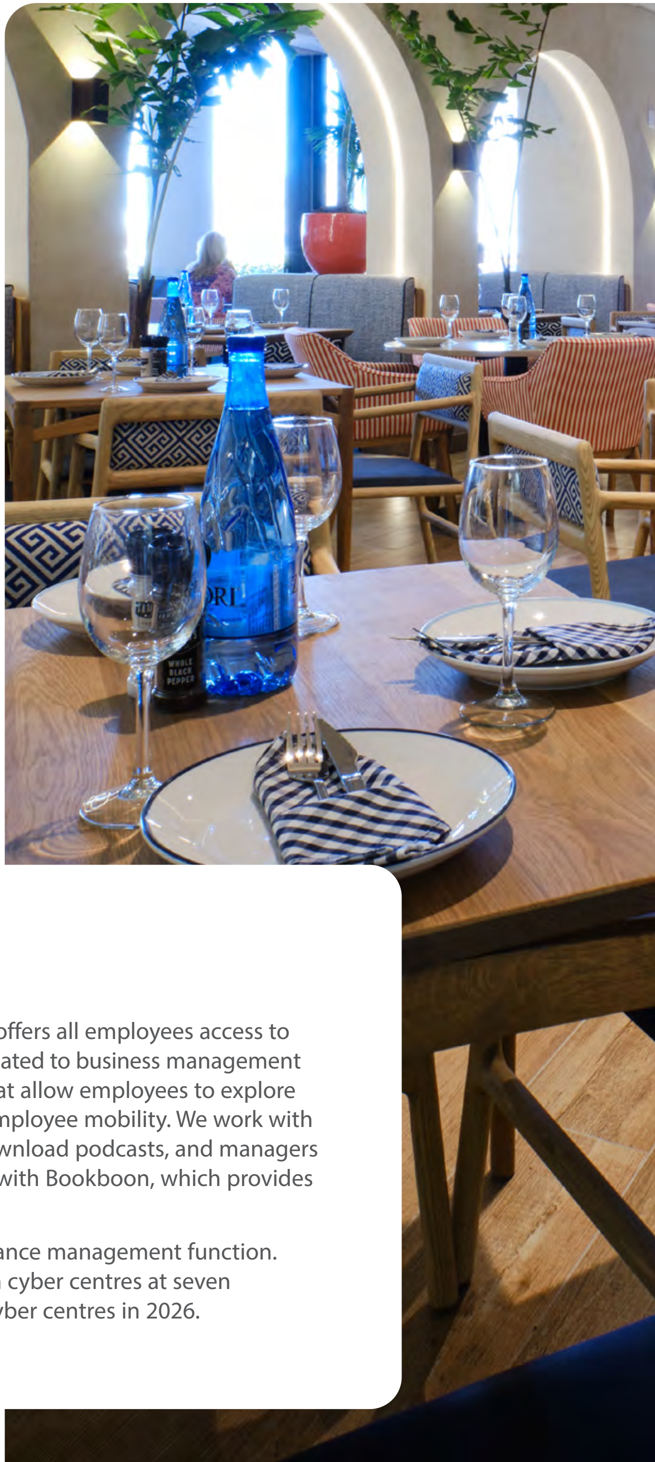
6 – 8 weeks average time to hire
(2024: 6 – 8 weeks)

88% of internal promotions were Black
(2024: 92%)

7.7 years average tenure
(2024: 8.3 years)

97% of external appointments were Black
(2024: 96.6%)

Human capital report *(continued)*



Succession and leadership development

"We are broadening our leadership and succession programmes to more high-potential employees to reinforce our strategy of growing our own talent."

In 2025, our ready now succession score dropped to 22% (2024: 32.50%). This drop is not attributed to poor performance of our succession planning, but rather a broadening of our identified successor pool from 33 to 73. We have increased the number of employees with leadership potential and have introduced management panels to evaluate these individuals. The panels, which consist of Exco members and their direct reports, meet throughout the year to discuss the progress made by identified successors.

Famous Brands has several programmes to develop leaders and support succession at all levels of the Group.

International Executive Development Programme (IEDP)	This programme is tailored for Exco members and other executives who would benefit from international exposure. We sponsor candidates to complete a four-to-17-week leadership course from leading international universities.
Executive Development Programme (EDP)	The EDP supports senior management in developing the skills required to lead at an executive level. Managers complete a short leadership course from a top university.
Managers Challenge (MC)	The MC exposes middle management to best practices in leadership. This includes a mix of classroom training and action learning. Approximately 18 managers are selected to participate in the challenge each year.
Junior Management Programme (JMP)	Our JMP develops employees in junior management positions who have demonstrated leadership potential. Approximately 15 managers undergo this 12-month programme each year.
Supervisory Development Programme (SDP)	The SDP is for Supply Chain supervisory employees. Approximately 15 supervisors undergo this 12-month programme each year.

iPerform statistics for 2025

2 829 courses completed.

1 612 courses completed by women.

2 509 courses completed by ACI employees.

100% average course completion rates.

Our eLearning offering – iPerform

The iPerform online training and performance system, launched in 2021, offers all employees access to over 3 000 eBooks, online courses, audio learning and learning journeys related to business management and Famous Brands-specific training. We offer a wide library of courses that allow employees to explore areas of interest outside of their roles or training. This supports internal employee mobility. We work with business units to develop and arrange course content. Employees can download podcasts, and managers can easily share learning content with their teams. The system integrates with Bookboon, which provides audio learning and eBooks.

This year, we released a newer version of iPerform to improve its performance management function. Bargaining unit employees can now also access iPerform training through cyber centres at seven Manufacturing and Logistics sites. We plan to roll out an additional two cyber centres in 2026.

Human capital report *(continued)*

4 Benefits and well-being

Key employee well-being indicators

67 lost time injuries
(2024: 71)

1 427 employee visits to the on-site clinic
(2024: 1 264)

0.76% LTIR
(2024: 0.74%)

8.75% of employees use the employee wellness provider
(2024: 7.95%)

1.14% absenteeism rate
(2024: 1.19%)

We support employee well-being by providing the following:

- Medical aid, medical insurance and provident fund.
- On-site clinic at Head Office and Lambert's Bay.
- Access to an employee wellness provider offering counselling.
- Group risk cover, including disability benefit (three times annual salary tax-free) and dread disease protection.
- Death benefit and education death benefit to pay school fees and tertiary education.
- Special rates across FNB and Nedbank's banking products.

Employee wellness

Employee wellness, including mental health, is an increasingly important focus area for Famous Brands. Employee feedback indicates that anxiety, depression and stress are the major wellness issues we face. In some instances, these are exacerbated by financial issues and indebtedness. We are working with Nedbank to offer employees budgeting and financial wellness training.

We work with Lyra (formally known as ICAS) to provide employee health and wellness services. The Lyra-facilitated Employee Wellness Programme gives employees access to mental health services and counselling. The programme's overall engagement rate, including uptake of all services provided, was 2.2% (2024: 5.1%). The individual usage of the core counselling and advisory services was 8.7% (2024: 7.9%). In 2026, we will relaunch the Employee Wellness Programme to drive awareness and adoption. Together with Lyra, we will implement mental health training for line managers to help them identify and respond to employees' mental health challenges. We will also communicate the value of our medical aid and affordable medical insurance offering to increase employee health coverage.

5 Rewards and recognition

Rethinking remuneration for scarce skills

We are developing a bespoke remuneration approach to attract and retain key skills for Leading Brands. We have identified key roles and skills to be retained and have analysed exit interviews to understand how we can better cater for these individuals.

Employment Tax Incentive (ETI) programme

In October 2024, Famous Brands joined the South African Employment Tax Incentive (ETI), a government programme to incentivise businesses to hire and retain young employees (between 18 and 29 years of age). At year-end, the Group has saved R1.6 million in Pay-As-You-Earn (PAYE) taxes.

Read more about our Remuneration Policy on page 137.

Trade union engagement

Famous Brands maintains a positive relationship with trade unions. Employees have the right to associate with relevant trade unions. The unions mainly represent members who are employed in our Logistics and Manufacturing divisions. We recognise three unions: Food and Allied Workers Union (FAWU), Security, Cleaning, Manufacturing and Allied Workers Union (SCMWU) and National Union of Public Service and Allied Workers (NUPSAW). Our two-year wage agreement expired in February 2025. In April 2025, we concluded a new two-year wage agreement with the three unions.

Transformation

Promoting an inclusive economy fosters a more equitable and sustainable business environment, benefiting all stakeholders, including companies, employees and communities.

Famous Brands strives to be an organisation that truly reflects South Africa's diverse population. We have established policies and practices to ensure the inclusion, equality, and fair treatment of all employees. The Department of Trade and Industry's B-BBEE Codes of Good Practice serve as the guiding objectives for our B-BBEE transformation strategy.

B-BBEE is a South African policy aimed at promoting economic transformation and empowering previously disadvantaged groups, particularly Black South Africans, to participate more fully in the economy. Achieving a high B-BBEE rating of between 1 and 2 has become a licence to trade.

Our Group Transformation Manager, supported by our executive leadership team, executes and monitors our B-BBEE transformation strategy across our South African operations.

The Board's Social and Ethics Committee and Social and Ethics Working Group oversee our transformation initiatives. We follow best practices and align our activities with the 10 Principles of the United Nations Global Compact to ensure we operate according to high standards of responsibility, ethics and accountability.

This year, we achieved a Level 1 B-BBEE rating, a significant achievement and the result of many years of focused attention. This was achieved by:

- Using the YES Programme to improve our B-BBEE Level by two levels.
- Improving our employment equity score by achieving our five-year employment equity targets.
- Executing our disability programme and other initiatives for disability.
- Focusing on enterprise and supplier development by enhancing existing projects and identifying new projects. This includes maintaining our Owner-Driver Programme as our flagship enterprise development programme.
- Replacing non-compliant suppliers where possible.
- Focusing on improving the absorption of learners under skills development (meeting the 15% absorption target).
- Collaborating with the Department of Trade, Industry and Competition to unlock B-BBEE opportunities in our sector.

We will strive to maintain a high rating, despite changes to the B-BBEE legislation.

Our transformation journey

Year	B-BBEE rating
2018	Non-compliant
2019	Level 7
2020	Level 4
2021	Level 4
2022	Level 4
2023	Level 2
2024	Level 2
2025	Level 1

Transformation *(continued)*

B-BBEE scorecard performance

We are proud to announce that we achieved a Level 1 B-BBEE rating for the 2025 verification period. A significant milestone in our transformation journey and a clear reflection of our sustained commitment to inclusive growth and empowerment.

We actively monitor and manage our performance across all five B-BBEE scorecard elements. While we are unable to influence the ownership pillar as a listed entity, we have developed and implemented targeted strategies to enhance and maintain strong performance across the remaining elements.

This report outlines our progress, performance, and outlook as we continue to drive meaningful transformation. Over the years, we have made significant strides in building a diverse and representative South African workforce and Board, and supporting Black-owned businesses across and within our value chain.

Composition of our B-BBEE scorecard	B-BBEE Target points	2025	2024
Ownership	27.00	**9.48**	8.41
Management control	19.00	**17.69**	16.89
– Board representation	6.00	**6.00**	5.83
– Employment equity	13.00	**11.69**	11.06
Skills development	20.00	**22.54**	20.82
Enterprise and supplier development	40.00	**38.98**	39.24
– Procurement	25.00	**21.98**	23.24
– Supplier development	10.00	**10.00**	10.00
– Enterprise development	5.00	**5.00**	5.00
Socio-economic development	5.00	**5.00**	5.00
Total	110	**93.69**	90.37
		Level 1	Level 2*

* *In 2024, we achieved a Level 3 B-BBEE Contributor status, reflecting our ongoing commitment to transformation. Through our active involvement in the YES Programme, we further enhanced our rating and proudly advanced to Level 2.*

Ownership

The ownership element measures the effective ownership of enterprises by Black people, including how they are entitled to the voting rights and economic interest associated with the equity holding. Voting rights afford the rights to influence the strategic and operational policies of an enterprise, while economic interests result in wealth creation for Black people.

Based on an analysis of mandated investments, Black ownership increased slightly to 12.08% (2024: 10.02%). Famous Brands' shares are publicly traded on the JSE, and many of our shareholders are ordinary South Africans who own shares through their pension funds and other investments.

Management control

Management control is exercised through the Group's governing bodies, including the Board and executive management. At the time of verification, in July 2024, the Board comprised 66.67% Black non-executive directors, with Black women making up 33.33%.

Read more about our Board and Exco composition on page 112.

Employment equity

The employment equity element tracks the Group's plans to increase the representation of Black people in the workplace and management positions. Of our South African employee base, 91.2% (2024: 91.3%) of our employees are Black.

	Male				Female				
Occupational levels	**African**	**Coloured**	**Indian**	**White**	**African**	**Coloured**	**Indian**	**White**	**Total**
Executive management	–	–	–	1	1	–	–	–	**2**
Other executive management/Senior management	8	3	6	23	4	2	3	13	**62**
Middle management	33	4	11	38	35	4	9	36	**170**
Junior management	149	30	14	27	115	17	15	34	**401**
Semi-skilled	750	80	6	13	379	26	3	19	**1 276**
Unskilled	259	36	0	7	85	44	0	0	**431**
Total	1 202	153	37	111	620	94	30	102	**2 342**
People with disabilities	17	14			48	6			**85**

Skills development

The skills development element measures the investment that Famous Brands makes in training and developing its Black employee base to improve their skills and access career progression opportunities. In 2025, our score for skills development improved to 22.54 (2024: 20.82).

In 2025, we allocated 94.79% of our total skills development budget to developing Black employees across all levels. Of this, 5.50% was spent at senior and executive management levels. The HR teams play a critical role in developing employees and supporting the Group in achieving its objectives. Training initiatives include the programmes described on (Page 97), learnerships and internships.

Transformation *(continued)*

Supporting people with disabilities

In 2024, we reviewed and modified our learnership programme for people with disabilities to manage costs, reduce the dropout rate and improve the absorption of learners into the workplace. The programme is now run in-house, and we use specialist recruitment agencies to select interns with disabilities. We also have relationships with higher education institutions, serving as a potential referral channel for interns.

In 2025, we hired 40 interns with disabilities. Finding the right interns increases our overall base of employees with disabilities and lowers the number of learnerships for people with disabilities required each year. In 2025, 4.4% (2024: 4.63%) of our South African employee base are people with disabilities.

Case study

THE YES PROGRAMME – A CORE COMPONENT OF OUR SKILLS DEVELOPMENT APPROACH

We became a contributor to the YES Programme in February 2022 and launched the Famous Brands Academy.

The YES Programme is a skills development programme that aims to provide career opportunities for unemployed youth. Our partnership with YES allows young South Africans to gain work experience while also developing a talent pipeline of trained baristas for our restaurants.

The fourth YES Programme launch took place in October 2024 with an intake of 300 learners. We provided a workplace experience to 300 young Black South Africans, up from 195 in 2024. Of this, 173 learners were placed at 151 franchised restaurants nationwide. In 2024, the YES Programme enabled us to achieve two B-BBEE levels of enhanced status recognition. This is thanks to the level of job creation achieved against the prescribed targets and the high absorption rate (87.86%) of youth into full-time employment.

YES Programme fourth year: Our impact in numbers

65.86% of female youths were placed. This is above the YES average of 57%	75% of youths come from grant recipient households	81% of youths have dependents	R15.2 million into the community through youth wallets. This is a significant contribution from a single entity

Enterprise and supplier development

The enterprise and supplier development element comprises:

- **Preferential procurement:** The extent to which Famous Brands procures goods and services from suppliers with strong B-BBEE credentials.
- **Enterprise and supplier development:** Providing financial and non-financial support to develop new or existing small and micro Black-owned enterprises.

This element aims to improve market access for Black-owned businesses by incentivising corporates to support and purchase from these businesses.

In 2025, our score for preferential procurement decreased to 21.98 (2024: 23.24) out of a maximum of 25 While this reflects a slight decrease, it is the result of our deliberate shift toward partnering with emerging Black, Black women-owned, and qualifying small and micro-enterprises. These suppliers, which may be still developing their B-BBEE credentials, offer long-term transformation potential. This approach demonstrates our ongoing commitment to inclusive growth and the meaningful diversification of our supply chain. We remain focused on working with suppliers who align with our transformation goals, understanding contributor status across our network, and investing in initiatives that expand and empower the supplier ecosystem.

Our procurement impact in numbers

+2 250
suppliers supported

R7.54 billion
spent with qualifying B-BBEE suppliers
(2024: R7.2 billion)

R791 million
spent with small and medium enterprises
(2024: R1.09 billion)

872
small and medium enterprises supported
(2024: 955)

R2.6 billion
spent with >51% Black-owned suppliers
(2024: R2.6 billion)

R2.1 billion
spent with Black women-owned suppliers
(2024: R1.9 billion)

Transformation *(continued)*

Enterprise and supplier development projects

Our enterprise and supplier development projects are designed to diversify our supply chain while offering competitive and high-quality goods and services.

Owner-Driver Programme: Established in 2010, the Group's Owner-Driver Programme supports Black drivers in running their own delivery businesses. The project contributes points to our B-BBEE scorecard while providing efficiencies and enhancing consumer service levels within our distribution network. We have 27 owner-drivers in the programme, which has created 60 direct jobs. In 2025, Famous Brands invested R36.1 million in enterprise and supplier development spend into this initiative.

Labels: Bonang Projects and Packaging, a 100% Black-owned and 50% Black female-owned business, has grown to become our main supplier of labels for the front end of our business. In 2025, we spent R1.7 million on labels from the business. We are working with the business to expand their range of labels used for our Retail products and back-of-house labels. This arrangement also includes providing financing to allow the business to purchase the right equipment to service our needs.

Chemical products: Famous Brands is working with Themzak, a 100% Black-owned company, to support the business to become our primary supplier of cleaning chemicals for our manufacturing plants and facilities. In 2025, we assisted Themzak to ensure all its products are SABS-approved and meet our stringent food safety requirements. We aim to collaborate with the business to list cleaning products for our restaurants. During the cleaning product trial period, our spend with Themzak was R250 000, but this is set to grow in 2026 as the necessary SABS approvals have been achieved.

Potatoes: We have appointed Bradley Jeena Farming, a 100% Black-owned company, as a key supplier of potatoes for Lamberts Bay Foods. Famous Brands provided financial support in the form of upfront payments and mentoring by specialist agronomists and the Lamberts Bay Foods Potato Procurement Manager.

Muffins: Mc More Muffins, a 100% Black-owned and 50% Black women-owned business, has been listed as a vendor for Wimpy biscuits and muffins. A multi-disciplinary team comprising procurement, manufacturing, quality, and planning experts was formed to support this project.

Clothing: Eyami is a 100% Black female-owned business based in Midrand. We appointed Eyami to supply our bespoke uniform requirements for conferences and YES Programme uniforms for our next intake. We will continue to seek opportunities for this business to meet our short-run uniform requirements.

Socio-economic development

Socio-economic development refers to financial and non-financial contributions to individuals or communities where at least 75% of the beneficiaries are classified as Black. Our socio-economic development initiatives help alleviate poverty and hunger while supporting local investment in our communities. In 2025, Famous Brands spent R19.3 million on its South African CSI activities (2024: R17.2 million).

Read more in our CSI report on page 104.

Focus for 2026

We are committed to maintaining a high B-BBEE contributor status (at least a Level 2 B-BBEE status) through continually monitoring and enhancing our transformation strategy. Our focus areas for 2026 are as follows:

- Responding to changes in B-BBEE legislation for Employment Equity, which became effective 1 January 2025.
- Tracking our performance against our five-year Employment Equity plan.
- Focusing on internal and external learnerships across the Group.
- Encourage non-compliant suppliers to comply with B-BBEE regulations.
- Continue to assist and develop a pipeline of new enterprise and supplier development projects.
- Maintain a high absorption level for the YES Programme.

Corporate social investment

Our CSI programme makes a meaningful contribution to the communities in which we operate, while fostering a sense of purpose and consumer connection with our brands. We also provide our employees with a platform to represent our brands and enrich their own lives by doing good for others.

Our CSI programme is managed in line with its policy framework and is considered a key brand-building activity for our Leading Brands portfolio in South Africa. Some of our CSI activities qualify for recognition under the B-BBEE scorecard's socio-economic development pillar.

The Transformation Office coordinates CSI activities, guided by the Social and Ethics Working Committee and overseen by the Board's Social and Ethics Committee. The management team of Leading Brands, supported by franchise partners, is responsible for developing and executing CSI activities.

Franchise partners may also implement their own community-based CSI activities with guidance from Famous Brands. These contributions are acknowledged at annual brand conferences.

Our CSI objectives

Our CSI policy and activities focus on:

- Long-term partnerships with reputable and effective CSI partner organisations.
- Supporting initiatives that enjoy broad-based stakeholder appeal to improve relationships with existing stakeholders and engaging new stakeholders.
- Avoiding unsustainable relationships and handout tendencies.
- Programmes that actively consult the beneficiaries in the programme design, implementation and evaluation.
- Quantifying the costs and benefits of programmes in how they contribute to capacity building, improving quality of life and sustainable development.
- Defining the roles and responsibilities of stakeholders and beneficiaries, with an emphasis on financial controls and corporate governance compliance.
- Gaining buy-in and commitment from franchise partners.
- Contributing to the socio-economic upliftment of historically disadvantaged communities.

CSI overview

Each brand within the Leading Brands portfolio has a flagship CSI initiative that ties to its unique brand story. We tend to have long-term relationships with CSI partner organisations that benefit from our financial contributions and the opportunities for enhancing profile and visibility. In 2025, we spent R19.3 million on our CSI initiatives across the following focus areas.

Our CSI focus areas

Health	Education	Environment	Sport	Social development
R4.6 million	R540 000	R25 000	R11.3 million	R2.8 million

Our CSI approach has evolved from being about 'what we do' to becoming 'who we are'. We emphasise franchise partner involvement in CSI activities, including training restaurant employees to embrace CSI campaigns. Supporting CSI activities at the restaurant level boosts employee morale and a sense of teamwork.

We showcase CSI promotional material at restaurants, including posters and T-shirts. Most of our fleet of trucks includes CSI messaging in their branding. We also activate CSI campaigns through digital media on the brands' social media pages and websites.

Corporate social investment *(continued)*

Group initiatives

IFA Lethu

In 2022, Famous Brands established IFA Lethu, meaning 'our legacy', a CSI initiative that covers franchise partners' registered home delivery drivers in the event of accidental death or disability while on duty. Famous Brands fully funds the premiums for both the death and disability insurance products.

Tembisa Feeding Scheme

- Initiative established in **2020**
- **135** beneficiaries
- **R1.0 million** contribution (2024: R745 000)

The Famous Brands Head Office canteen in Midrand supplies the organisation with meals for a daily feeding scheme for 100 children and 35 staff members.

Founded in 1986, the Tembisa Child and Family Welfare provides a haven for abandoned, abused, neglected children and HIV/AIDS infected orphans. While the organisation aims to secure foster or adoptive families, children are placed in two children's homes where this is not possible. The organisation also creates local employment through projects such as a sewing school, a bakery, food gardening, soap, recycling and a beauty salon.

In 2025, Famous Brands employees participated in several activations and donated 75 hours of their time. This included:

- Collecting eggs for an Easter egg hunt.
- Painting two boys' dormitories.
- Hosting a lunch for the children, including pizza donated from Debonairs Pizza.
- Collecting warm clothes for winter.
- Hosting a Christmas party for over 100 children and 35 care workers in December 2024.
- Handed over our back-to-school donation to the value of R20 000.
- Collecting toys for the babies.

Your team came in full force to make all the children smile. Thank you once again for giving our children a generous Easter egg hunt. For most, this experience was a first, and it will go into their special place of memories.

Lindi from Tembisa Child and Family Welfare

Steers

Sports sponsorships

- Partnership established in **2016**
- **985** beneficiaries
- **R11.3 million** contribution (2024: R9.2 million)

Steers sponsors the Varsity Cup and Varsity Shield. These university contests showcase the best emerging rugby players while supporting them in building a rugby career and offering scholarship programmes to ensure they continue their education.

Steers ROUNDA

- Initiative established in **2018**
- **>400 000** meals served
- **R1.4 million** contribution (2024: R1.2 million)

Steers supports the ROUNDA initiative established by the Nikela Charity Funding and Development Trust. Nikela means 'to give' in Zulu. The trust focuses on alleviating poverty and hunger in South Africa. ROUNDA, which runs both in-store and online, encourages consumers to donate an additional R2 when making a purchase.

The proceeds from its 2025 'Feed the Flame' campaign support the trust's feeding schemes. The trust collaborates with FoodForward South Africa, a national non-profit organisation, to distribute the funds to feeding schemes across the country. Thanks in part to the recurring revenue generated through ROUNDA, FoodForward South Africa distributes 22 000 tons of food per year and serves 180 million plus meals to 1.2 million daily beneficiaries.

Corporate social investment *(continued)*

Debonairs Pizza Doughnation

- Initiative established in **2012**
- **R106 000** contribution (2024: R745 000)

Debonairs Pizza's Doughnation initiative aims to transform excess pizza dough into flatbreads, which are then delivered to community organisations that support children, the elderly, and families in need. The franchise partners and their employees select and partner with community organisations and are responsible for preparing the dough and making weekly deliveries. Doughnation operates in South Africa and Botswana, with over 680 franchise partners participating. The brand supports Doughnation through a dedicated newsletter, where franchise partners' CSI stories are showcased.

Wimpy

Reach for a Dream Foundation

- Partnership established in **2013**
- **>1 500** dreams made a reality to date
- **R1.7 million** contribution (2024: R1.3 million)

Wimpy has been a longtime supporter of the Reach for a Dream Foundation since 2013. For 35 years, Reach for a Dream has offered children a magical moment to regain their childhood while fighting a serious illness. Wimpy and other corporate sponsors support the foundation's annual Slipper Day event in May. Wimpy consumers can purchase a Slipper Day sticker for R20 or make a donation. For every sticker purchased or every donation over R20, Wimpy rewards consumers with a free coffee to be enjoyed on Slipper Day.

Ethnikids

- Partnership established in **2022**
- **>170 000** books distributed
- **R540 000** contribution (2024: R659 000)

Wimpy partnered with Ethnikids to celebrate National Literacy Month by launching five children's books celebrating diversity. In 2024, Wimpy allocated R659 000 to this initiative which was distributed to South African authors and illustrators. The books showcase the vibrant heritage of local folk tales in all 11 official languages.

South Africa faces a literacy crisis, with 80% of 10-year-old children unable to read in their native languages. Ethnikids, an online bookstore was founded by five mothers in 2016 to overcome this challenge. The bookstore sells books featuring characters in various South African languages. In South Africa, mother-tongue books are not easily available, and most children's books lack our cultural context. There is a profound psychological and educational benefit to children reading books in their first language and being able to relate to the content of African stories.

Children receive a free book with every Wimpy Kids Combo meal. The translated versions are in 11 official languages, and in Khoe/ Nama (the language of the Khoisan people) including audiobooks, are available for free download on Wimpy's website.

Mugg & Bean and Cupcakes of Hope

- Partnership established in **2013**
- **+2 200** requests from families with cancer-affected children fulfilled
- **50** activations took place at 50 different shopping malls fulfilled by Cupcakes of Hope
- **R2.7 million** contribution (2024: R3.1 million)

Mugg & Bean partners with Cupcakes of Hope, a non-profit organisation that assists between 100 and 130 families each month by covering their medical expenses or providing support with everyday costs. The Mugg & Bean brand's ethos of generosity perfectly aligns with the generous contributions that Cupcakes of Hope makes to families in need. As Cupcakes of Hope expanded, Mugg & Bean also increased its annual support.

Mugg & Bean offers a donation portal on its website for Cupcakes of Hope, enabling consumers to donate any amount through a secure online form. The portal can even generate a customer tax receipt if required.

In 2023, Mugg & Bean expanded its support of Cupcakes of Hope from one month to a full year. This includes promoting Cupcakes of Hope in-store and through digital media, as well as ramping up awareness for Childhood Cancer Awareness Month in September through outdoor and television advertising. Mugg & Bean donated R1 to Cupcakes of Hope for every giant muffin sold. In September, the brand donated R2 for every giant muffin purchased.

With support from Mugg & Bean, Cupcakes of Hope delivered almost 650 care packs to oncology doctors and nurses.

Milky Lane and the Smile Foundation

- Partnership established in **2018**
- **R403 000** contribution (2024: R253 000)

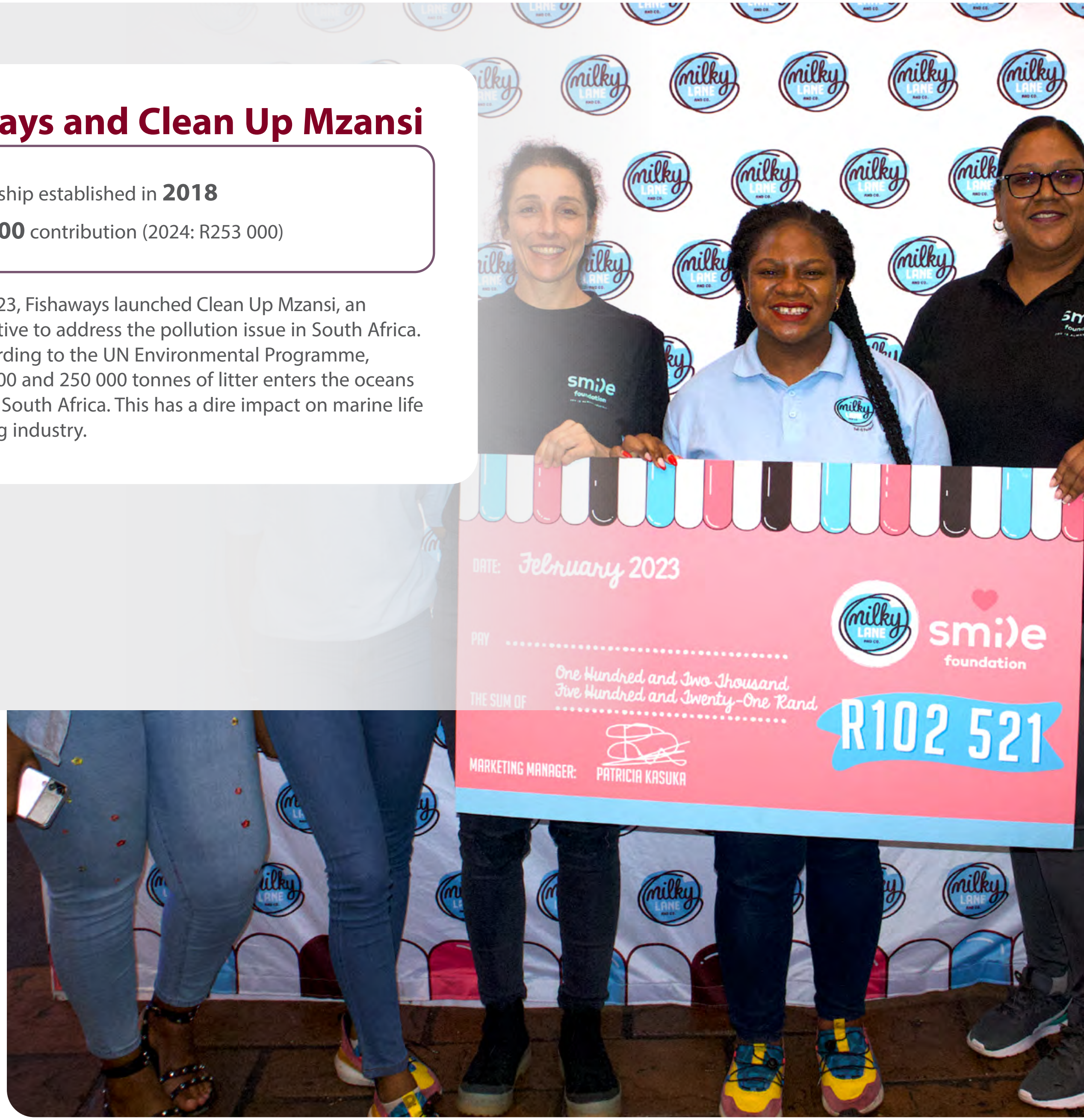
Milky Lane supports the Smile Foundation to offer life-changing plastic surgery for disadvantaged children with facial abnormalities, including cleft lip and palate, facial paralysis and burns. Each surgery can cost up to R95 000 at a public hospital. For over 25 years, the foundation has transformed the lives of more than 5 000 children and their families.

Milky Lane franchise partners host fun events, including cycling challenges, to raise funds for the foundation. Franchise partners actively participate in these events and provide Milky Lane vouchers as prizes. The brand provides children who have just undergone the procedure with a gift bag containing a teddy bear and blankets. The brand matches the franchise partners' contributions.

Fishaways and Clean Up Mzansi

- Partnership established in **2018**
- **R25 000** contribution (2024: R253 000)

In 2023, Fishaways launched Clean Up Mzansi, an initiative to address the pollution issue in South Africa. According to the UN Environmental Programme, between 95 000 and 250 000 tonnes of litter enters the oceans that surround South Africa. This has a dire impact on marine life and the fishing industry.



Corporate governance

Sound corporate governance provides the bedrock of policies and practices to guide ethical behaviour and protect stakeholder interests.

ESG performance

100% Board and Committee meeting attendance

174 years Board members' aggregate years of experience

66% Board independence

33% female gender diversity

Major Board decisions

- Approved the acquisition of the remaining 38% minority shareholding in the Famous Brands Coffee Company.
- Approved the February 2025 Group Budget and Business Plan.
- Approved the appointment of the Board Chairman successor and the consequent changes to the Board and Committees' composition.
- Approved a final dividend of 164 cents resulting in a full dividend of 302 cents for February 2024.
- Approved an interim dividend of 150 cents for 2025, an increase of 9%.
- Approved the deferral of F2025 administrative and executive staff salary increases to June 2024.
- Approved the project finance for the Midrand cold storage facility.

Compliance statement

The Board confirms that for the year ended 28 February 2025, the Group complied with the provisions of the Companies Act and operated in conformity with its Memorandum of Incorporation.

The Board further confirms the application of the King IV™ Code of Corporate Governance. The Group's King IV application register is available at https://famousbrands.co.za/governance/king-iv-register/

The Board and its Committees have Charters that are reviewed each year. The latest reviews took place in 2024, and where necessary, the Charters were amended or updated in line with the Companies Amendment Act, King IV recommendations and the JSE Listings Requirements.

Corporate governance *(continued)*

Governance structure and framework

The Board is satisfied that it has fulfilled its responsibilities in accordance with its Board Charter for 2025.

BOARD

The Limits of Authority sets the limits between Group executives and the Board and its Committees. The limits for subsidiaries with non-controlling shareholders are determined by the shareholders' agreement.

COMMITTEES

Audit and Risk | Remuneration | Social and Ethics | Nominations | Investment

EXCO

Employment Equity and Skills Development Committee (EESDC) | Social and Ethics Working Group | Risk Forum

SUBSIDIARY BOARDS

The Group Board committees provide oversight of subsidiary Boards

Famous Brands may appoint non-executive directors from the Group Board to be members of subsidiary Boards

All wholly owned subsidiaries must comply with the Group issued policies

A Famous Brands executive can also be a subsidiary executive

Dotted lines represent Group governance framework arrangements

Solid lines represent Group governance structures at various level in the Group

The Board is satisfied that the Limits of Authority Framework contributes to role clarity, accountability and the effective exercise of authority and responsibilities.

Our corporate governance philosophy

The Board confirms that responsible corporate governance principles are integral to the Group's DNA. As set out in the Board Charter, Board members demonstrate integrity, competence, accountability, and transparency.

Our seven core beliefs (Page 4) shape our governance philosophy and, together with King IV, guide the Board and management in their leadership decisions and behaviour. This results in the four good governance outcomes of ethical and effective leadership, sustainable value creation, effective controls and oversight and trust and confidence in the Group.

Board composition

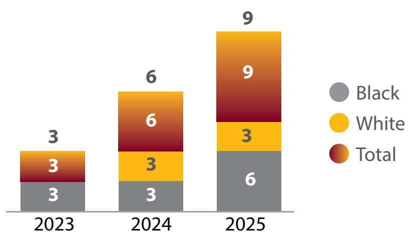
The Board is satisfied that its composition reflects an appropriate mix of knowledge, skills, experience, diversity and independence.

The Board comprises a majority of independent non-executive directors (6), one non-executive director and two executive directors, the CEO and the Group Financial Director. The Board is appropriately sized to meet the needs of the Group.

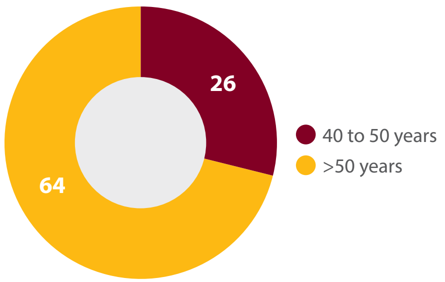
The Board is aware of the importance of diversity, encompassing factors such as gender, race, age, experience, and expertise. The Board's Diversity Policy is incorporated in the Nominations Committee Charter. Although the Board did not achieve its target of 40% female gender representation as part of its commitment to contributing to SDG 5 (gender equality), gender equality remains a key focus in considering any new appointments to the Board. There are currently no targets for race representation.

Succession plans are in place for the CEO and other key executive positions.

Board demographics and gender



Board age (%)



Board skills

The Board has 174 years of combined business experience at both the executive and non-executive levels. This includes exposure to and skills in strategy, finance and auditing, procurement and HR. In addition, some Board members have highly specialised skills in franchising, legal, property management and digital transformation. The Board has:

- Three members who are Chartered Accountants.
- One member who is a CD (SA) Charter holder.
- One member with an MBA.
- Two members with an LLB degree qualification.
- Two members with an LLM degree qualification.

Rotation, independence and changes to the Board

Chris Boulle replaced Santie Botha as Chairman, effective from the AGM on 26 July 2024, while Alex Maditse became the lead independent director at the same time. Santie Botha and Norman Adami retired from their positions at the AGM.

When appointing non-executive directors, we are guided by our Nomination Committee Charter. The Nomination Committee recommends the appointment of non-executive directors to the Board for approval. The following changes to the composition of the Board took place during the year and became effective from July 2024:

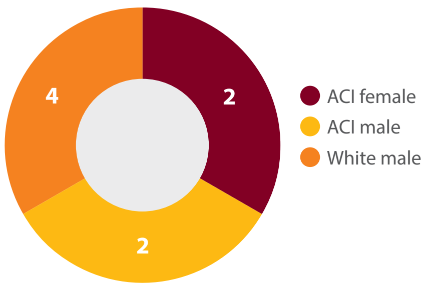
- Chris Boulle became Chairman of the Nomination Committee and stepped down as Chairman of both the Audit and Risk Committee and the Remuneration Committee. He remains a member of the Remuneration Committee.
- Fagmeedah Petersen-Cook was appointed as the Chairman of the Remuneration Committee. She remains the Chairman of the Investment Committee and a member of the Audit and Risk Committee.
- Busi Mathe was appointed as the Chairman of the Audit and Risk Committee and as a member of the Nomination Committee. She remains a member of the Social and Ethics Committee.
- William Mzimba was appointed as a member of the Remuneration and Investment Committees. He remains a member of the Social and Ethics Committee.
- Thabo Mosololi was appointed as a member of the Investment Committee. He remains a member of the Audit and Risk Committee.

Corporate governance *(continued)*

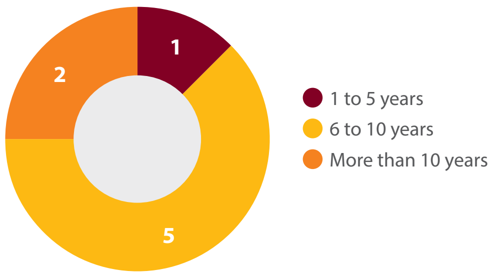
Chris Boulle is the only independent non-executive director who has served on the Board for more than nine years. In terms of good corporate governance, the Board has, in accordance with the recommendation of Principle 7 of King IV, assessed his independence and is satisfied that, notwithstanding his tenure on the Board, he remains independent.

Exco composition

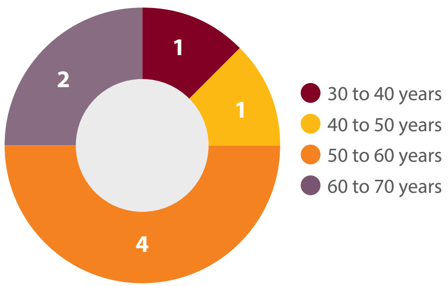
Demographics



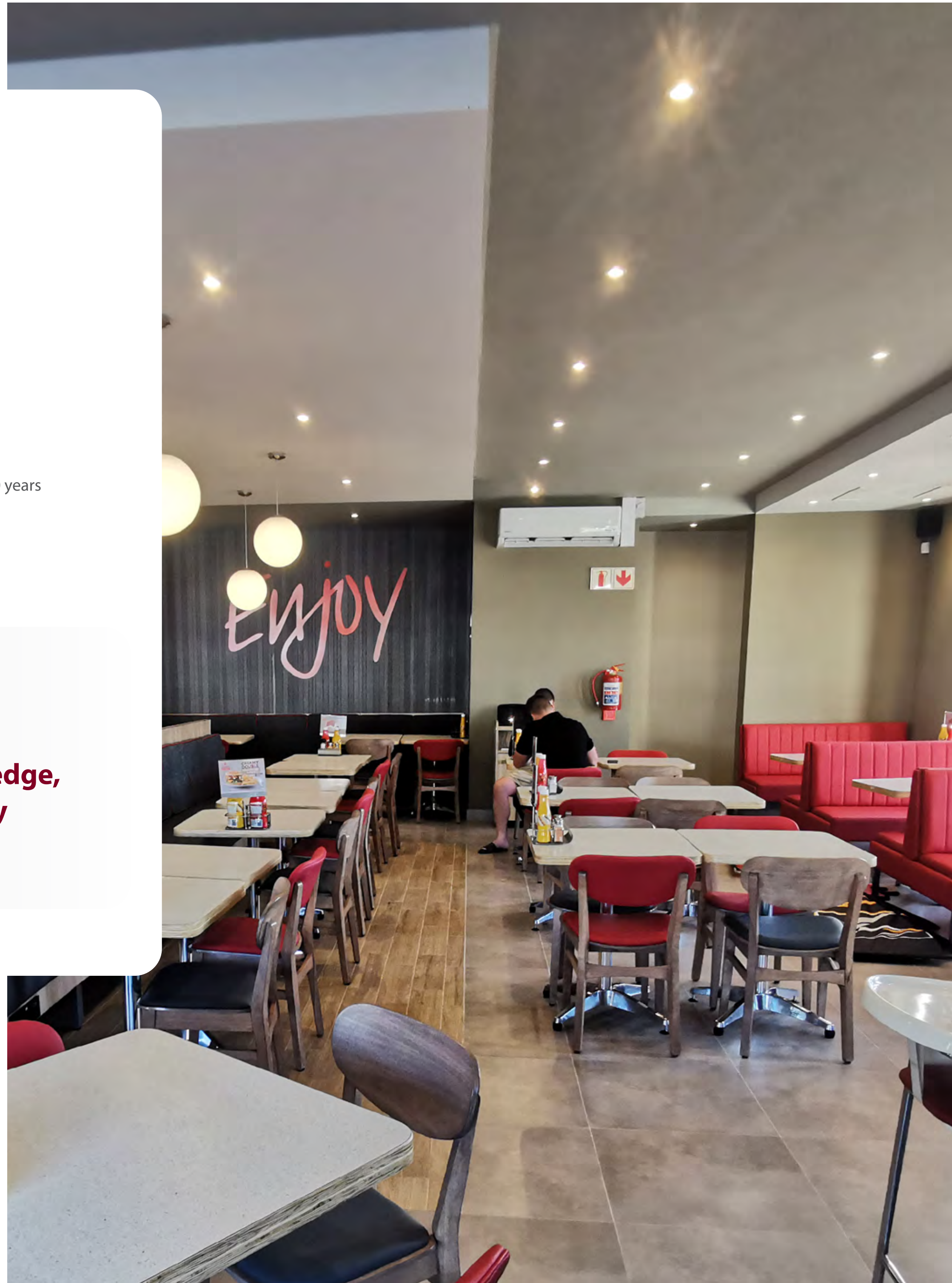
Tenure



Age



"The Board is satisfied that its composition reflects an appropriate mix of knowledge, skills, experience, diversity and independence."



Corporate governance *(continued)*

Board of directors

as at 28 February 2025

Committees:
AR Audit and Risk IC Investment NC Nomination REM Remuneration SEC Social and Ethics

Non-executive directors

Christopher Boulle (53)
Independent non-executive Chairman
BCom, LLB, LLM

Chris is a commercial, corporate finance, tax and trust attorney. His expertise includes cross-border transactions, mergers and acquisitions, Black economic empowerment transactions and advising on local and international stock exchange listings. His experience as a non-executive director of listed companies spans over two decades.

Areas of expertise

Law, business, governance, strategy, risk and corporate finance.

Alexander (Alex) Komape Maditse (62)
Lead Independent director
BProc, LLB, LLM, H.Dip (Company Law)

Alex is an admitted attorney and is the CEO of Copper Moon Trading Pty Limited. He serves as a director on several boards and committees of listed companies. He previously held the positions of Country Manager of Coca-Cola East and Central Africa and Franchise Operations Director of Coca-Cola SA.

Areas of expertise

Law, business, governance, strategy, franchising, management and operations

Other directorships

- African Rainbow Minerals Limited (Lead independent) director
- The Bidvest Group Limited
- Murray & Roberts
- Netcare Limited

Nicolaos (Nik) Halamandaris (50)
Non-executive director
B.Bus Science (Hons), MBA

Nik has extensive experience in the food services industry, having served as a franchise partner for many of the Group's mainstream brands over the past two decades, until 2010. He is currently the executive director of several non-listed property development and construction companies, where he is primarily responsible for strategy and new business development.

Areas of expertise

General management, strategy, franchise management, food services and property management

Busisiwe Mathe (45)
Independent non-executive director
B Com (Hons), BCom (Acc), CA(SA)

Busisiwe is a chartered accountant, with experience in consulting. Her expertise include audit (internal and external), risk management, digital/technology transformation, cybersecurity and data privacy consulting to local and global clients across diverse sectors. She is currently the CEO of Orirori Consulting and a faculty member at the Henley Business School.

Areas of expertise

Governance, risk management, technology, cyber security, data privacy, stakeholder management, financial management and audit.

Other directorships

- Curro Holdings Limited
- MTN Côte d'Ivoire

Thabo Mosololi (55)
Independent non-executive director
BCom (Hons), MAP, EDP CA(SA)

Thabo has held several leadership positions at organisations, most notably Tsogo Sun and Sun International, and Audit Committee and Board memberships at Edcon Holdings, Telkom and MC Mining Ltd. He is the Managing Director of the Mala Mala Game Reserve company.

Areas of expertise

Governance, risk management, financial management, audit, stakeholder engagement

Other directorships

- Truworths Limited
- Pan-African Resources Limited

Corporate governance *(continued)*

Board of directors

as at 28 February 2025

Committees:

AR Audit and Risk | IC Investment | NC Nomination | REM Remuneration | SEC Social and Ethics

Non-executive directors

William Mzimba (56)

Independent non-executive director

MBA, BA (Hons) Business, Diploma in Datametrics (Computer Science)

William was the CEO of Vodacom Business, a member of the Vodacom Group Executive Committee, and a Board Member of Vodacom South Africa and IoT.NXT as well as Chairman of Nexio. Prior to that, he was the CEO and Chairman of Accenture in Africa for 12 years.

Areas of expertise

Governance, strategy, financial management, stakeholder engagement, management and operations, technology

Fagmeedah Petersen-Cook (49)

Independent non-executive director

BBusSc (Actuarial Science), CD(SA) Actuary

Fagmeedah currently serves as a non-executive director for a diverse range of companies, where she applies her strategic thinking and well-developed understanding of risk. She is a CD(SA) Charter holder, a certified director, and an experienced investment professional. She has held C-suite roles in the public and private sectors. Fagmeedah's professional career as an actuary spans 26 years.

Areas of expertise

General management, actuarial science, risk management, strategy, investments, and governance.

Other directorships

- ABSA Financial Services Group
- Pepkor
- Escap
- Africa Re
- 3SixtyLife – Curator

Executive directors

Darren Hele (54)

Chief Executive Officer

BCom

Darren began his career at Pleasure Foods Limited while completing a BCom. After participating in the management buy-out of Pleasure Foods in 1996, he held executive roles at Whistle Stop and Wimpy before joining Famous Brands in 2003. He was the Managing Director of Wimpy in SA and later in the UK.

Darren was appointed Chief Operating Officer for the franchising division in 2011 and subsequently became the Chief Operating Officer of the Group in 2013. In 2014, Darren assumed the role of CEO of Food Services and was appointed CEO of the Group in 2016.

Areas of expertise

General management, franchise management, marketing, strategy and stakeholder relationships

Nelisiwe Shiluvana (45)

Group Financial Director

BCom (Honours), CA(SA), ACMA, CGMA

Nelisiwe has experience in commerce and consulting. She joined Famous Brands in 2021 as Group Finance Executive.

Before joining Famous Brands, she was a partner in consulting for six years at a big four audit firm. Prior to her consulting role, she was a Senior Manager at Telkom SA in statutory reporting and operations finance.

Areas of expertise

Financial management and accounting, financial controls, audit and stakeholder management.

Corporate governance *(continued)*

Executive management

as at 28 February 2025

Celeste Appollis (53)
Company Secretary and Head of Legal
BA LLB H.Dip. (Company Law)

Jabulani Mahange (64)
Group HR Executive
BA, BED (Wits), PDM (Wits), MBL (SA)

Andrew Mundell (56)
Group Executive – Supply Chain
BSc Agric (Hons), MBA (UCT)

Derrian Nadauld (51)
Chief Operating Officer – Leading Brands
NDip Catering Management and Certificate Marketing Management

Ntando Ndaba (39)
Group Risk Executive
BTech

Philip Smith (62)
Managing Director – AME
A Levels (UK)

"Famous Brands has a highly experienced and stable executive management team."

Corporate governance *(continued)*

Operational	• Considered and approved the February 2025 Group Budget and Group Business Plan.
Strategy and financing	• Reviewed and approved the 2025 to 2027 corporate strategy, focusing on simplifying the business. • Considered the 2026 to 2028 corporate strategy, business plan and financial roadmap. • Approved the capital allocation for consumer-technology projects and logistics. • Approved the project finance for the Midrand cold storage facility development and monitored the progress. • Approved the purchase of the remaining 38% non-controlling shareholding in the Famous Brands Coffee Company.
Risk management, internal control and compliance	• Reviewed compliance of AFS with the JSE's proactive monitoring recommendations. • The Internal Financial Controls Programme was reviewed to support the attestation statement of the CEO and Group Financial Director. • Monitored our compliance with legislation. • Monitored the implementation of new legislation, including the Companies Amendment Act 2024, which is now partially effective. • Considered changes to the JSE Listing Requirements.
Succession and talent management	• Approved CEO, Group Financial Director and Exco performance scorecards for February 2025. • Approved the performance conditions and targets for the 2025 LTI allocation. • Approved executive director remuneration, including salary increases and STI allocations, and approved executive LTI allocations. • Approved a 5% increase of non-executive director fees, subject to shareholder approval. • Reviewed Executive Management succession plans. • Reviewed Board succession and composition in line with the Board skills profile and Diversity Policy as well as the ongoing training of Board members.
Corporate and performance reporting	• Reviewed and approved the annual Board work plan and evaluated the performance of the Board and its committees. • Approved the 29 February 2024 AFS and IAR, as well as market communications relating to the 29 February 2024 annual results and the 31 August 2025 interim results.
Corporate citizenship	• Monitored progress against the ESG Framework. • Reviewed progress made with transformation and the B-BBEE scorecard. • Monitored the Group's safety performance. • Reviewed the Group's CSI initiatives.

Performance evaluations

The Board is satisfied that its evaluation process is improving its performance and effectiveness.

In October 2024, Famous Brands conducted a formal internal evaluation of the Board's overall effectiveness across several categories. The Board evaluation results indicate that the Board is effective in facilitating in-depth discussions of important topics and the expression of diverse perspectives. Improvements were noted in:

- Having robust debates on topical issues with management as the business develops and the regulatory environment keeps changing, including the prevalence of ESG and climate change.
- ESG reporting.

Key focus areas for 2026 include:

- Review of more regular benchmarking and industry reports.
- A more structured approach to succession and Board appointments.
- Promote sustained, inclusive and sustainable employment and decent work for all.

Corporate governance *(continued)*

Meeting attendance

Board	Board	Audit and risk Committee	Social and Ethics Committee	Nominations Committee	Remuneration Committee	Investment Committee
Board/Committee members	11	4	5	3	3	5
Number of meetings	5	4	3	4	4	2
Meeting attendance						
NJ Adami	2	–	–	2	–	1
SL Botha	2	2[#]	–	2	2	1
CH Boulle*	5	4[#]	–	2	4	2
N Halamandaris	5	4[#]	3	–	–	2[#]
DP Hele	5	4[#]	3	4[#]	4[#]	2[#]
AK Maditse	5	–	3	4	–	–
BS Mathe	5	4	3	2	–	–
PW Mzimba	5	–	–	–	2	2
TF Mosololi	5	4	–	–	–	2
N Shiluvana	5	4[#]	–	–	4[#]	2[#]
F Petersen-Cook	5	4	–	–	4	2

* *Appointed Chairman of the Nomination Committee on 26 July 2024 and resigned as Chairman of Audit and Risk Committee.*
** *Resigned from the Board at the AGM on 26 July 2024.*
[#] *By invitation.*

Ethical and effective leadership

The Board is responsible for ethical and effective leadership in line with the King IV, its Charter, and through annual performance evaluations. At each Board meeting, potential conflicts of interest are noted, and the members' declarations of interest are periodically reviewed and updated as necessary. The Nomination Committee assesses potential conflicts of interest. The Committee expresses its concerns to the Board Chairman or the Chairman of the pertinent Committee tasked with speaking with the director in question.

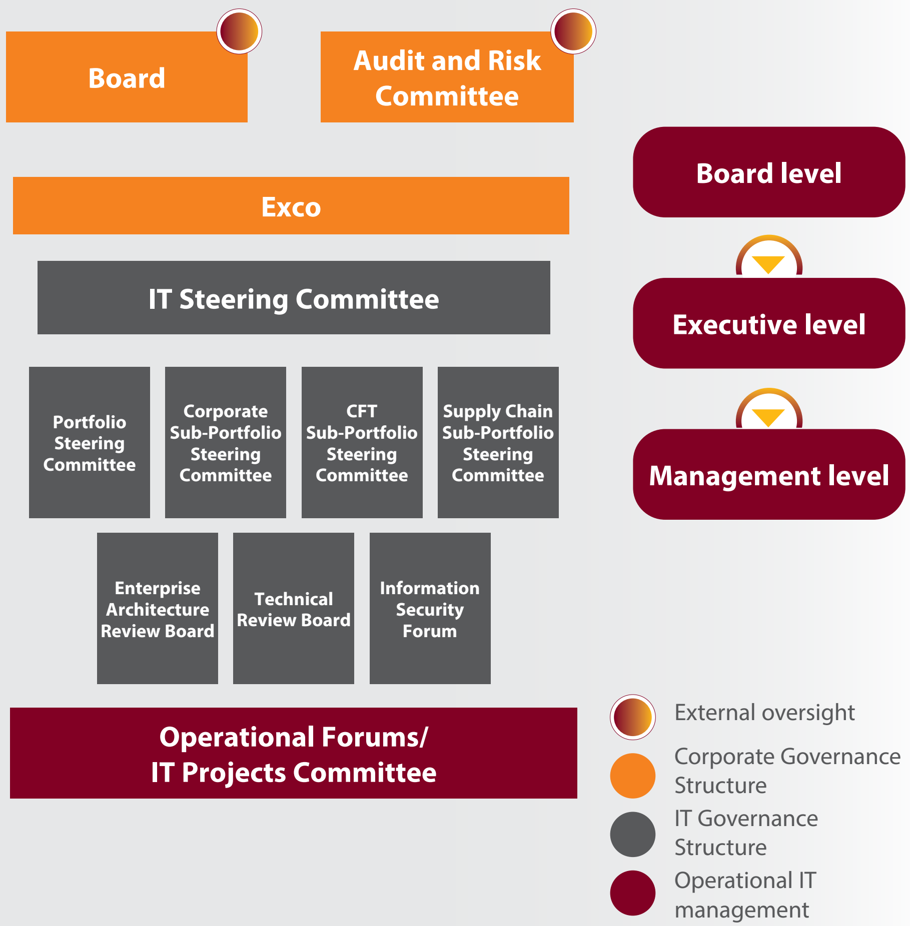
Read more about our ethics and anti-corruption initiatives in our sustainability report on page 93.

"Famous Brands conducts its business with integrity and provides sound leadership grounded in an ethical foundation."

Corporate governance *(continued)*

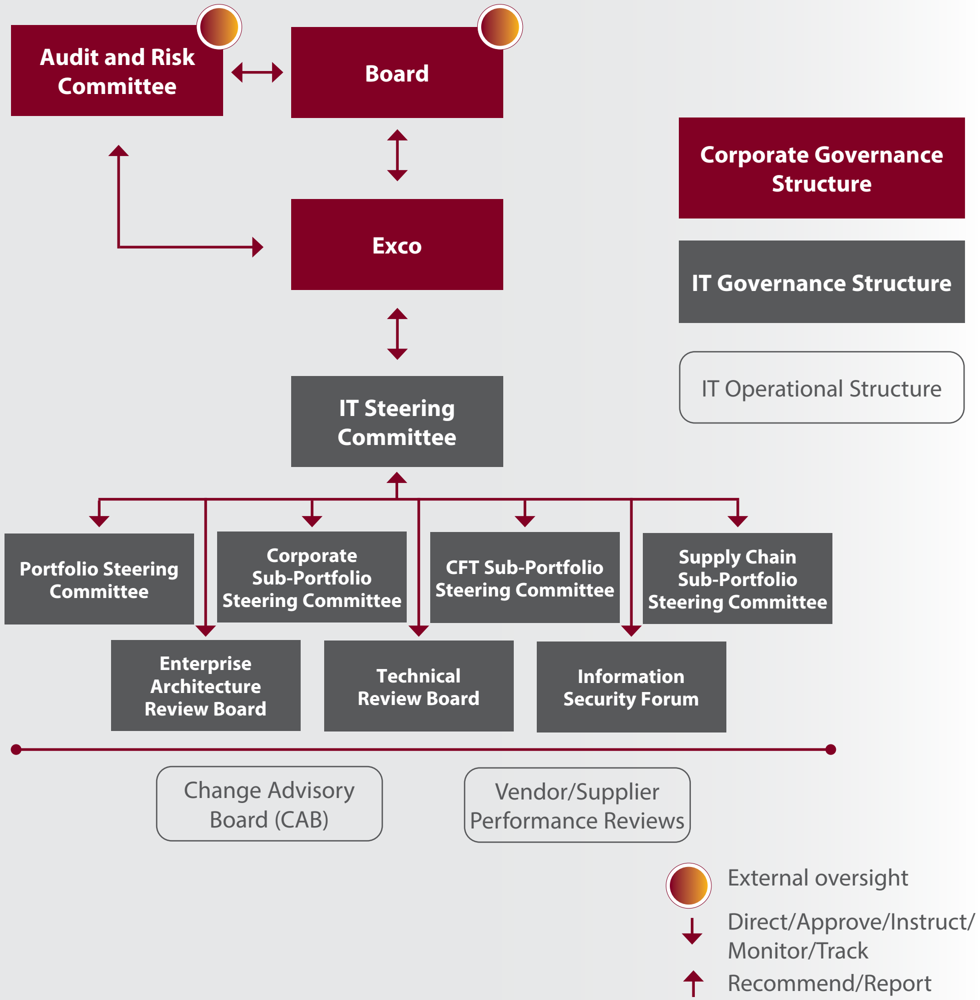
Technology governance

Famous Brands leverages technology as a key enabler across all areas of the business - enhancing operations, driving digital innovation, and delivering customer-centric experiences. Our IT governance framework ensures that strategic alignment, executive oversight, and portfolio prioritisation are in place to support this vision. Learn more about our consumer-facing and enterprise technology initiatives on (Page 47).



Governance hierarchy model

The IT governance model provides structured oversight across strategic, portfolio, and operational levels. Anchored by the Executive Committee, the framework includes tiered steering committees and specialist boards to drive alignment, manage risk, and ensure value delivery. It is supported by robust planning, project management, and cybersecurity practices.



Corporate governance *(continued)*

In 2025, we reviewed our governance hierarchy model and will be introducing the following committee and boards, which will report to the IT Steering Committee in 2026:

Portfolio Steering Committee

Oversees the project pipeline, resource allocation, risk assessment, and project health, ensuring that investments deliver maximum business value. Ensures that the selection and prioritisation of IT projects are aligned with organisational strategy and resources.

Enterprise Architecture Review Board

Provides a forum for stakeholders to assess and align on architectural decisions, ensuring that proposed solutions support the Group's strategic goals and adhere to established standards.

Technical Review Boards

Evaluate technical proposals and solutions, enabling stakeholders to ensure alignment with best practices, mitigate risks, and support the Group's overall technical strategy.

Processes and procedures

Several policies govern what constitutes the appropriate use of IT resources and infrastructure. They include rules for using the internet, email, company systems, buying and disposing of IT equipment, and creating passwords.

The Group's IT Steering Committee oversees IT governance, with the Board providing direction through the Audit and Risk Committee. This committee meets quarterly to discuss subjects outlined in its Charter document, including the alignment of annual IT strategic objectives with overall business objectives, prioritisation of projects, IT policy reviews and implementation, and our annual IT Security plan, among other matters. It also performs bi-annual reviews of the disaster recovery plans and business resumption contingencies.

In addition, the IT Steering Committee holds weekly IT feedback sessions with Exco to facilitate better alignment, update them on current technology team projects, and inform them about the IT security plan, including any potential IT matters that may disrupt business operations. Our IT teams have the following core responsibilities:

- Application development and support.
- Data and information.
- Technology infrastructure and support.
- IT security and governance.
- Enterprise architecture and integration.
- Project management office.

Technology projects for 2025

In 2025, the Audit and Risk Committee monitored the implementation of the following critical technology projects:

- Execution of the 2025 IT security plan to enhance the Group's cybersecurity profile.
- Conversion of Wimpy UK to SAGEX3 and the SAGE300 HR system.
- Conversion of several manufacturing plants to SAGE 300.
- Implementation of the new warehouse management system in the last distribution centre.
- Introduction on a high-availability data centre solution to build data resiliency.
- Rolling out consumer-technology initiatives.

Read more on page 47.

The Audit and Risk Committee will monitor critical technology projects planned for 2026. These include:

- The implementation of the 2026 IT security plan, with a focus on improving the cybersecurity profile in key African markets.
- Building our data analytics and business intelligence capabilities by introducing best-practice data warehousing.
- Monitoring the project to review and improve our franchise partner online ordering system.
- Improve our data resiliency by implementing backup technology enhancements.

> **Famous Brands will continue to consolidate and simplify its IT environment to enable innovation and scale. We are working towards becoming a Gartner Level 4 organisation, with a focus on being project-capable, with the expectation that our technology projects and programmes will contribute significant business value.**

Corporate governance *(continued)*

Compliance

Our Legal Department ensures compliance with relevant legislation and regulations, as well as anticipated regulatory changes. Famous Brands has a Legal and Regulatory Compliance Framework that maps legislation across each of its business units. The Social and Ethics Committee approved the framework in May 2024. Famous Brands has registered with the Compliance Institute Southern Africa and now receives regular updates on legislative developments. We are implementing a compliance software tool to support our compliance assessments and monitoring of compliance levels.

The Legal Department provides regular reporting (monthly, quarterly, bi-annual and annual) to advise management on:

- The status of compliance and effectiveness of the compliance programme.
- Efficacy of controls in high-risk business areas.
- New, or changes to, regulatory obligations.
- Identify control issues or potential problems and recommend remedial measures.

The Social and Ethics Committee oversees the Group's governance and compliance matters. In 2025, the Committee considered the implications of the Companies Amendment Act and potential mandatory sustainability regulations.

Read more on page 124.

Department of Labour and Employment and Department of Home Affairs inspections

In September 2024, the Department of Employment and Labour and the Department of Home Affairs conducted unscheduled nationwide labour inspections of more than 2 000 restaurants. The focus of the inspections was to identify possible employee exploitation and employment of illegal non-South African employees.

Leading Brands stores made up 15.7% of the restaurants inspected and had a compliance rate of 99.2%. A key challenge highlighted during the inspections was the high incidence of identity fraud. Support and awareness training on labour compliance was provided to franchise partners. Remedial action was taken with the restaurants that were non-compliant. We also commissioned a third-party to conduct an annual audit of labour practices to improve compliance levels.

JSE Listings Requirements

The Board considered the following changes to the JSE Listings Requirements:

- Boards are required to conduct a fit and proper assessment of potential Board appointments, including an independent investigation into the background and qualification verification of each person prior to their election to the Board.
- Trading statements – Listed companies can now approach the JSE to permit a wider range of financial forecasting in trading statements, provided the range translates into a small number.

POPIA compliance

We have processes and procedures to ensure ongoing compliance with POPIA and monitor our POPIA compliance through Data Protection Agreements (DPAs), training and regular reviews. We have implemented data protection activities across all SADC and AME entities' territories, including training. This is supported by a Retention of Records Policy. There are POPIA information officers at all South African subsidiary entities, who are registered with the Information Regulator.

Promotion of Access to Information Act (PAIA)

We reviewed and updated our PAIA manual. There were no requests for information in terms of PAIA recorded for 2025.

Extended Producer Responsibility

South Africa's Extended Producer Responsibility regulations came into effect in May 2021. Famous Brands has registered various producer responsibility organisations and is paying over levies as per the schedules (refer to page 82).

NOSA compliance

Famous Brands achieved 100% NOSA compliance across all plants, with no plants receiving a rating lower than three stars.

Focus areas for 2026

Our planned future focus areas include:

- Implement and roll out the Legal and Regulatory Compliance Framework and Governance, Risk and Compliance tool within the Group.
- Develop and implement a legal and regulatory compliance programme.

Corporate governance *(continued)*

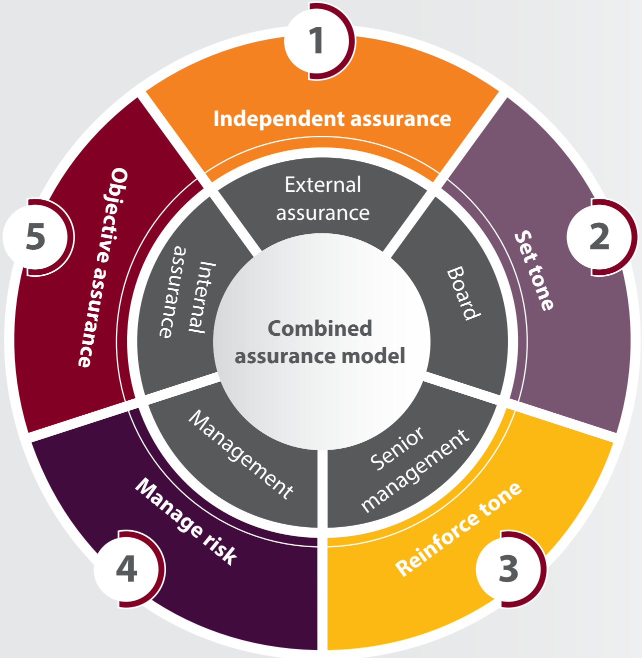
Combined assurance

The Audit and Risk Committee supports the Board in implementing the combined assurance model across the Group.

The Committee monitors Famous Brands' internal control system, which is designed to assess, manage, and offer reasonable assurance against significant misstatement and loss. The Audit and Risk Committee works with the Group Risk Executive to ensure that risks and opportunities are accurately recognised, evaluated and quantified. Divisional management supports the Board through the Group Risk Forum.

The Group's combined assurance model enhances the assurance obtained from management and internal and external assurance providers, while developing a strong ethical environment and mechanisms to ensure compliance.

The Internal Audit and Risk departments ensure adequate controls are in place. As part of the annual external audit, KPMG Inc evaluates certain key controls and the accounting treatment of significant transactions and account blances, as determined per their risk assessment and approved audit plana. The Group uses a GRC tool with a built-in combined assurance reporting module.



Internal audit

In 2025, Famous Brands conducted 14 internal assurance audits across the Group (2024: 10). Internal resources were responsible for 71% of these audits (2024: 90%).

The audit approach for the year was narrow and deep, with a key focus on key strategic projects, general financial controls and subsidiaries. Internal audit adopted the new Global Internal Audit Standards that came into effect in January 2025.

Company Secretary

Celeste Appollis, the Company Secretary, ensures that the Board is aware of its fiduciary duties and that the Board and management execute their functions in accordance with the Limits of Authority Framework. The Board and each director have unfettered access to the Company Secretary. She also facilitates the appointment, induction and ongoing training of all directors.

The Board has evaluated the Company Secretary function as set out by the JSE Listing Requirements and the Companies Act. It is confirmed that Celeste has the required experience and expertise to fulfil the role. The Board is confident that there is an arm's-length relationship between her and the Board, allowing her to execute her role properly. The Board has trust in the arrangement for accessing professional governance services. As the Company Secretary, Celeste can contact the Chairman to express any concerns.

Audit and Risk Committee report

We operate in a complex evolving business landscape that demands an agile, proactive, but cautious approach in managing risk. The Committee plays a vital role in assisting management in assessing and maintaining an appropriate balance between risk and reward to preserve and create value for all stakeholders.

Busisiwe Mathe
Chairman

Mandate

The Audit and Risk Committee assists the Board in discharging its oversight responsibilities, including safeguarding the Group's assets, ensuring robust risk management and control processes, and preparing financial statements in compliance with all applicable legislation and regulations.

Attendance and composition

Members	Invitees	Relevant skills profile of members
• BS Mathe* (Chairman) (4/4) • CH Boulle** (4/4) • TF Mosololi (4/4) • F Petersen-Cook (4/4)	• CEO • Group Financial Director • Chairman of the Board • N Halamandaris • Group Risk Executive • Internal Audit Manager • Company Secretary • Representatives from KPMG Inc. (external auditors)	Committee members are highly skilled in finance, accounting, audit and risk.

* *Appointed as Chairman in July 2024.*
** *Resigned as Chairman and committee member in July 2024.*

Focus areas for 2025

General

- Reviewed and approved the Committee Charter.
- Reviewed and recommended the annual consolidated and company financial statements and Integrated Annual Report to the Board for approval.
- Reviewed and approved an updated Limits of Authority Framework.
- Reviewed the outcomes of the committee evaluation and undertook to implement all recommendations.
- Reviewed the annual work plan.
- Reviewed and recommended the Group's 2026 budget to the Board for approval.

Annual assessments

In a closed session with the external and internal auditors, the Committee reviewed and considered the following assessments:

- The Group Financial Director.
- The finance structure.
- The Head of Internal Audit.

Overall, the Committee confirms that it is satisfied with the expertise and competency of the Group Financial Director and the finance function and identified areas for improvement. The Committee found that the Head of Internal Audit was knowledgeable and provided strong leadership to the department. The Chairman of the Committee provided feedback directly to the parties concerned.

Financial statements, accounting practices and other financial matters

- Reviewed the assessment prepared by management of the Group's going concern status and made recommendations to the Board. The Committee concurred that the adoption of the going concern is appropriate for the preparation of the annual financial statements and interim financial statements.
- Reviewed the financial covenants applicable to the Group based on the lending and capital structure, which were found to have been appropriate and complied with.

Audit and Risk Committee report *(continued)*

- Considered matters raised relating to financial reporting and accounting practices, internal audit, contents of the Group's and the Company's financial statements, internal financial controls, and any related matters.
- Reviewed and recommended the consolidated and company financial statements and Integrated Annual Report to the Board for approval.
- Reviewed the processes for reporting matters relating to financial reporting and accounting practices, internal audit, contents of the Group's and the Company's AFS, the Integrated Annual Report, internal financial controls and any related matters and agreed on matters that required improvement. The Committee can confirm that there were no matters of concern noted.
- Reviewed and recommended the short-form announcements, interim results and AFS to the Board for approval.
- Considered accounting treatments, significant unusual transactions and key accounting judgements.
- Considered the reports of the internal auditors on the Group's systems of internal control, including financial controls, business risk management and maintenance of an effective internal control system.
- Received assurance from management that proper and adequate accounting records were maintained and the systems safeguard the assets against unauthorised use or disposal.
- Reviewed the Group tax report.
- Considered the JSE Proactive Monitoring Report dated 7 November 2024 and assessed how the issues raised impact the Group's financial statements.
- Reviewed and recommended to the Board the Group's 2026 budget.
- Reviewed and recommended to the Board management's submission for the dividend declaration.

The Committee is of the opinion that there were no material breakdowns in internal controls, including financial controls, business risk management and the maintenance of effective material control systems.

External audit

- Considered the quality controls and processes of the external auditor, specifically, audit quality reviews conducted over the designated auditor, including those performed by the Independent Regulatory Board for Auditors (IRBA) as part of its routine review process in terms of the Auditing Profession Act.
- Considered the appropriateness of the other auditors engaged to perform audits within the Group, being D.R.E & Co. Chartered Accountants in the UK and PKF Botswana and deemed them appropriate.
- Reviewed the external auditors' report on the consolidated and Company AFS and the key audit matter.
- Approved the proposed audit fees for the year under review.

Our external auditor was appointed in 2020, and the Committee is of the opinion that the firm remains independent. Our lead external audit partner was appointed in July 2024. A policy and controls are in place to address the provision of non-audit services from the external auditor. The Committee has executed its responsibilities, conducting the required assessments in terms of section 3.84(g) of the Listings Requirements.

Internal audit and internal financial reporting controls

- Reviewed and approved the internal audit business plan and budget.
- Performed the annual review and approval of the Internal Audit Charter.
- Reviewed the internal audit reports and processes.
- Reviewed the ongoing commitments to ensure that the CEO and Group Financial Director can make a positive statement on the adequacy and effectiveness of internal financial reporting controls.
- Oversaw the ongoing drive to improve internal financial reporting controls, focusing on revenue and payroll.
- Reviewed the readiness assessment performed by management on the new Global Internal Audit Standards.

Risk management

- Evaluated and reported on the effectiveness of risk management controls and governance processes to the Board.
- Reviewed and approved the risk management business plan and budget.
- Performed the annual review and approval of the Risk Management Charter.
- Reviewed the Group risk register, IT governance and the progress made to close insurance gaps.
- Monitored the implementation of the 2025 IT security plan.
- Reviewed and considered changes to legislation and regulations that could have an impact on the Group.

Risk management improvements for 2025

The Committee supports the Board in overseeing our principal risks and monitoring risk mitigation practices while keeping abreast of emerging risks. Our 2025 review and ongoing supervisions indicate that the Group's risk management and internal control systems function effectively.

Following decades of relative stability, today's world is marked by increased geopolitical conflicts. Rapid policy decisions in the US heighten volatility and have negative impacts on emerging markets, including South Africa. These could include higher inflation, currency weakness and fluctuations and a decline in business and consumer confidence. On the African continent, several markets face challenges related to social and political unrest, unemployment, inflation and depreciating currencies. In South Africa, while business and markets welcomed the GNU, coalitions can be fragile, leading to government instability.

New uncertainties in our environment necessitate a cautious yet proactive approach to risk management in South Africa and our key markets. We recognise that every market is different, and we adopt a country-specific approach to risk management. The revised management structure for Africa and the Middle East, implemented in September 2023 (read more on page 39), has provided increased transparency and focus for risk

Audit and Risk Committee report *(continued)*

management in our SADC and AME regions. Our combined assurance model, with input from audit, compliance, risk and business management, provides a coordinated and agile approach to risk management. As revenues come under pressure, we must continually evaluate our financial planning and carve out operational efficiencies.

Cybercrime remains an elevated global risk due to the growing prowess of cybercriminals, rapid advances in emerging technologies and the pervasiveness of tech-enabled solutions. Since 2021, Famous Brands has significantly bolstered its cybersecurity capabilities. The Committee is comfortable with management's delivery of the 2025 IT security plan, with most planned projects completed. The Committee reviewed and approved the 2026 IT security plan, which focuses on improving our cyber resilience in a business environment that is increasingly tech-enabled. As we invest in technology, we must also ensure that we do not introduce new cyber risks. This year, we also evaluated the cybersecurity maturity of key markets outside of South Africa (Botswana, Zambia and the UK) and oversaw the development of a three-year plan to address the identified gaps.

In 2025, climate change was elevated to a top principal risk as severe weather events such as flooding can have a crippling impact on logistics both in deliveries to restaurants and port delays. We are addressing our climate and ESG risks and opportunities through our ESG Framework, which is overseen by the Social and Ethics Committee.

We are pleased with the maturity level of the finance function at both the Group and divisional levels. An emphasis on improving our finance skills, tools and processes has resulted in higher quality financial information for decision-making. We continue to benefit from the financial consolidation tool, which was implemented in 2023, and have successfully standardised and integrated our ERP and payroll systems across the Group. While we are comfortable with our current measures to enhance our internal control environment, we will continue to focus on continual improvement to ensure that appropriate controls are in place as our reliance on technology increases.

Our regulatory compliance function is supported by our regulatory and compliance framework, our GRC tool and a specialised compliance software tool. We aim to expand the scope of the GRC tool beyond the risk function to establish a broader risk culture within the Group.

Read more about our combined assurance model on page 120 and our risk management process on page 30.

Going concern

The Committee supported management in monitoring the Group's budget on a monthly basis. This included reviewing actual results versus the budget and acting as a sounding board for management on where to reduce expenses or defer spending. The Committee considered management-prepared going concern assessment and the Group's outlook for trading conditions, which are expected to persist for the foreseeable future. This evaluation is based on various scenarios. They include the impact of anticipated geopolitical volatility, poor economic conditions in several markets, our loan service and covenant requirements, and working capital requirements. The Committee is satisfied that the Group is a going concern for the foreseeable future based on the information available at the time of approval of the Group AFS.

Priorities for 2026

Our focus areas for 2026 are as follows:

- Providing ongoing guidance on the annual budget to ensure costs are contained, given anticipated economic pressures.
- Reviewing measures to enhance the internal control environment as the Group becomes increasingly tech-enabled.
- Monitoring the ever-evolving risk landscape, including climate and ESG-related risks.
- Overseeing the implementation of the 2026 IT security plan, including measures to improve cybersecurity maturity in key markets outside of South Africa.
- Gaining an understanding of the financial modelling, accounting and auditing implications of IFRS S1 and S2.
- Monitoring regulatory and reporting requirements, including those related to the Companies Act Amendments and King IV.

Conclusion

Having considered all the material factors and key audit matters, the Committee recommended the AFS for the year ended 28 February 2025 for approval to the Board. The Board approved the AFS and IAR, which will be open for discussion at the upcoming AGM. The Committee is satisfied that it has fulfilled its responsibilities in accordance with its terms of reference for the year.

I will be available at the AGM to answer any questions regarding the Committee's activities.

Busisiwe Mathe
Chairman

20 June 2025

Social and Ethics Committee report

Our commitment to ESG performance provides a strong competitive advantage by entrenching responsible and resource-efficient practices, supporting diverse thinking and positioning the Group as a responsible corporate citizen.

Alex Maditse
Chairman

Mandate

The Social and Ethics Committee supports the Board in discharging its oversight responsibilities regarding how the Group does business according to its values, ethical standards and social responsibility. As per the Companies Act, the Committee's duties include overseeing social and economic development, good corporate citizenship, the environment, health and public safety, consumer relationships, and labour and employment.

The Committee, assisted by the Social and Ethics Working Group (consisting of Group executives), considers best practices as recommended by the IoDSA. This includes King IV, the Companies Act, the 10 Principles of the UNGC and relevant legislation related to fraud and corruption, workplace matters and the environment.

Attendance and composition

The Companies Second Amendment Act, 17 of 2024, is now in force with effect from 27 December 2024. This means that members of the Social and Ethics Committee of a listed company must be elected by the shareholders at the AGM, as opposed to being appointed by the Board.

Members	Invitees	Relevant skills profile of members
• AK Maditse (Chairman) (3/3) • DP Hele (3/3) • N Halamandaris (3/3) • BS Mathe (3/3) • WP Mzimba (3/3)	• Group HR Executive • Group Executive Supply Chain • Group Risk Executive • Group Transformation Manager • Company Secretary • Group Financial Director	Committee members are highly skilled in governance, risk, law and sustainability reporting.

Oversight areas

At Famous Brands, we consider social and ethics matters in five major categories, namely:

- Social, health and the environment.
- Governance and compliance.
- Human capital and employment equity.
- Preferential procurement.
- Community development and CSI.

Focus areas for 2025

The Committee and the Social and Ethics Working Group worked on the following matters:

General

- Reviewed and approved the Committee Charter and annual Committee workplan.
- Reviewed and accepted management's feedback (based on relevant legislation and best practice) regarding the Group's activities relating to:
  - Social and economic development.
  - Good corporate governance.
  - ESG matters.
  - Consumer relationships.
  - Labour and employment.
- Reviewed and recommended non-financial disclosures contained in the IAR to the Board for approval.

Social, health and the environment

- Reviewing performance against the health and safety framework, which focuses on leading indicators.
  - Reviewing safety reports related to injuries and near-miss incidents.
  - Recommended that management address a rising incidence of motorcycle accidents in Botswana.
  - Monitored enhanced food safety measures across the business against the food safety effectiveness system.
  - Monitored our health and safety procedures against globally accepted best practices.
- Monitored performance against our ESG Framework and selected SDG targets. Key ESG projects included:
  - Measures to monitor and improve our water and electricity consumption and report this data.
  - Planned projects to recycle water at our water-intensive plants.
  - More environmentally friendly packaging options.
  - Initiatives to reduce food waste.

Governance and compliance

(Read more on 108)

- Approved the Legal and Regulatory Compliance Framework.
- Noted the implementation of the GRC tool to improve compliance across the Group.
- Monitored POPIA compliance and increased POPIA awareness among employees and actions to improve consumer data protection compliance in other markets.
- Monitored the Group's compliance with the Extended Producer Responsibility legislation.

Human capital and employment equity

(Read more on 95)

- Reviewed and reported to the Board on the Group's employment equity performance relative to the Group Employment Equity Plan, which was set out in the annual Employee Equity Report submitted to the Department of Labour.
- Monitored the progress of ethics training across the Group.
- Whistle-blowing cases monitored and investigated.
- Noted results of the annual employee survey (Voice your View).

Preferential procurement

(Read more on 100)

- Oversaw implementation of the Group's transformation strategy, including enterprise and supplier development projects and preferential procurement.
- Reviewed and reported to the Board on the Group's detailed B-BBEE strategy, targets and budget, and progress made aligned to the scorecard.

Community development and CSI

(Read more on page 104)

- Approved the Group's CSI activities and updated the Board on existing CSI projects.

Implementing our ESG framework

We tracked the Group's implementation of the ESG Framework, developed in 2024, and its performance against its selected SDG targets. The ESG Framework, which tracks our contributions to three primary SDGs and three secondary SDGs, is appropriate for the business and focuses our attention on the major ESG themes of environmental sustainability, social responsibility and corporate governance. As a Committee, we take a proactive rather than reactive approach and challenge management to think deeply about sustainability issues.

Environmental sustainability

We are pleased with the performance against our environmental targets and have successful strategies in place to reduce our energy consumption, manage food waste and favour more environmentally friendly packaging. Reducing our water usage, particularly at water-intensive facilities, remains a significant challenge. This is largely due to the high capex requirements for water recycling projects. At all our plants, we encourage the implementation of water monitoring and usage practices and initiatives to foster a culture of water conservation. We encourage management to consider the Group's contribution towards net zero and set appropriate GHG emissions reduction targets.

Social responsibility

Social responsibility at Famous Brands focuses on transformation, CSI and health and safety practices. We are pleased with our transformation performance and the achievement of a Level 1 B-BBEE status. This marks the culmination of years of progress and various approaches to address the different pillars of the B-BBEE scorecard. We are particularly proud of our support of Black-owned businesses and the procurement projects we developed over the past year.

Social and Ethics Committee report *(continued)*

Our CSI initiatives are closely tied to our brands and have a positive impact on the community through long-term partnerships with CSI partners. The Committee is guiding management to consider practices to better measure and understand the impact of our activities and tell a holistic Famous Brands community impact story.

The Group is dedicated to maintaining the highest standards of health and safety across all operations to protect our employees, customers and other stakeholders. In 2024, the Committee monitored the adherence to health and safety protocols and initiatives to foster a culture of safety awareness. We strive to strengthen our focus on leading indicators because they provide a proactive and predictive view of safety performance, enabling the identification of issues before they result in incidents. The Committee monitored performance against 11 leading indicators, our near-miss reporting system, and the refurbishment of the Lamberts Bay Foods plant to address health and safety issues related to ageing infrastructure. The working conditions at the plant are now considered satisfactory. We also noted improvements in health and safety, thanks to a dedicated role created to oversee this area.

Read more about our ESG performance on page 71.

Overseeing ethics

Famous Brands has well-entrenched measures to ensure that we provide appropriate ethics oversight and equip employees to address ethics breaches. The Group has the following in place:

- Published policies related to ethics are available on the Group's intranet.
- A whistle-blowing hotline is in place together with channels to report unethical behaviour.
- Regular internal communications campaigns on topics related to our core beliefs and ethics.
- Ethics training for managers and executives.

Priorities for 2026

Our Committee's focus areas for 2026 are:

- Overseeing delivery against targets outlined in the ESG Framework.
- Monitor the Group's net zero journey and provide guidance on appropriate GHG emission reduction targets.
- Overseeing our transformation strategy to maintain a Level 2 B-BBEE status or higher.
- Monitoring the Group's safety performance with a focus on leading indicators, including training completed, communications tools and compliance with safety protocols.
- Monitoring the implications of new regulation, including King IV, on the Committee's mandate and Terms of Reference.

Conclusion

The Committee is satisfied that it has fulfilled its responsibilities in accordance with its terms of reference for the year. I will be present at the AGM to answer any questions regarding the Committee's statutory obligations.

Alex Maditse
Chairman: Social and Ethics Committee

20 June 2025

Investment Committee report

As the Group's revenue comes under pressure in South Africa, we must invest in securing new sources of growth and carving our savings and efficiencies in our operations. We take a risk-aware capital allocation approach and favour capital-light investments outside of South Africa.

Fagmeedah Petersen-Cook
Chairman

Mandate

The Investment Committee supports the Board in discharging its oversight responsibilities regarding the Group's capital allocation decisions. The Committee assists the Board in considering investment opportunities, approving acquisitions, disposals and capex, and reviewing the performance of previous investments.

Attendance and composition

Members	Invitees	Relevant skills profile of members
• F Petersen-Cook (Chairman) (2/2) • NJ Adami (1/2)* • SL Botha (1/2)* • CH Boulle (2/2) • TF Mosololi (2/2) • WP Mzimba (2/2)	• CEO • Group Financial Director • N Halamandaris • Group Risk Executive • Company Secretary	Committee members are highly skilled in investments, business strategy, and finance

* *Stepped down from the Board in July 2024.*

Investing for sustainable growth and efficiencies

Consumer-facing technology investments

Consumer expectations regarding digital engagement are shaped by their experiences in other sectors, including banking and retail. Investing in consumer-facing technology remains a priority to meet these expectations, unlock efficiencies and upselling opportunities. In 2025, we made significant strides toward creating digital platforms that deliver a consistent experience across multiple brands and markets, while simplifying our technology landscape. This included enhancing our e-commerce capabilities and introducing digital menu boards and self-service terminals at our restaurants.

The 2024 strategic acquisition of a 45% shareholding interest in Munch Software, a POS provider, is yielding strong commercial benefits for the Group. This investment provides Famous Brands with strategic influence on the Munch Software development roadmap, cost savings for franchise partners, and more frequent software updates and standardisation across the SA CDR network. Importantly, the Munch Software POS provides future opportunities for vertical integration with our Supply Chain.

Read more about our consumer-facing technology investments on page 47.

Expansion outside of South Africa

The restructuring of our operations outside of South Africa into SADC and AME, completed in 2024, provided improved focus on the different capital risks in these regions. The AME markets are more difficult to manage, less profitable and require a different approach. We continue to invest in AME to set a foundation for future growth and sustainability. We remain optimistic about the medium to long-term prospects of this region.

The purchase of the Mauritius restaurants from a franchise partner, completed in 2024, has been successful. We have invested in operational stability and in capacitating employees to deliver consistently high-quality brand experiences. We are preparing the business for a sale, as we do not seek a Company-owned model in Mauritius.

Several African markets face economic headwinds and a decline in democratic principles. This requires that we approach investment decisions in these markets with caution, considering supply chain and execution challenges. Fortunately, the franchising model is relatively capital-light, and we share the risks with our master licensees and franchise partners.

Supply Chain investments

In June 2025, the project to redevelop the Midrand Campus was delivered on time and within budget. The project, for which we secured project financing in October 2024, will enhance our Logistics footprint and provide improved efficiencies for the Group and franchise partners. Our new cold storage facility is built using the latest technologies, which will reduce our energy consumption, a significant input cost for these types of facilities. We exited our Crown Mine cold facility lease at the end of May 2025.

This year, we completed the implementation of the warehouse management system across all distribution centres. The system delivers better business intelligence, planning, and scheduling capabilities. It also provides better business insights across the value chain to handle consumer demand and supply chain disruptions.

Manufacturing technology is an important lever to enable more efficient scaling, lower costs to serve, and greater innovation across our Supply Chain, ultimately benefiting both franchise partners and consumers. In 2025, we recommended the allocation of capital to technologies that provide automation capabilities, improve production yields, reduce waste and enhance the quality of raw ingredients. Many of these investments have short payback periods due to immediate cost savings and additional production capacity.

Ensuring operational resilience remains a priority through investing in solar installations. For 2026, this will include solar plants at our Midrand Campus and the Famous Brands Coffee Company. We are also investigating bolstering our water recycling, filtration and storage projects for our Manufacturing plants to safeguard against water supply and quality issues. A planned water recycling project at the Famous Brands Cheese Company will reduce our input costs in this water-intensive plant while supporting the Group in achieving its ESG targets.

In May 2024, the Investment Committee recommended the purchase of the remaining 38% shareholding of the Famous Brands Coffee Company for Board approval. The transaction, which was effective 1 March 2024, gives Famous Brands full operational control of a proven business with strong growth prospects. Importantly, it will also support the Group in managing price challenges and volatility in the coffee commodity space.

Read more about our ESG performance on page 71.

Our focus areas for 2025

During the year in review, the Committee evaluated and oversaw the following key investments:

- Consumer-facing technology projects and leveraging value from the Munch Software strategic shareholding.
- Monitoring the Midrand Campus redevelopment and construction of new cold storage facility.
- Overseeing Supply Chain investments, including the deployment of the warehouse management system and new manufacturing technologies.
- Recommending the acquisition of the remaining 38% shareholding in the Famous Brands Coffee Company.
- Supporting the Board in evaluating investment opportunities outside of South Africa.
- Allocating funding to our cell captive insurance vehicle to manage our high-incidence insurance risk.

Priorities for 2026

Our focus areas for 2026 include the following:

- Overseeing continued investment in consumer-facing technology.
- Monitoring Supply Chain investment aimed at unlocking further efficiencies and operational resilience.
- Assisting the Board in evaluating investment opportunities outside of South Africa.
- Evaluate implications of King IV and the JSE's proactive monitoring recommendations for the Committee Charter.

Conclusion

The Committee is satisfied that it has fulfilled its responsibilities per its terms of reference for 2025. I will attend the AGM to answer questions regarding the Committee's activities.

Fagmeedah Petersen-Cook
Chairman: Investment Committee

20 June 2025

Nomination Committee report

Succession planning at the Board and executive levels receives ongoing attention. We have leadership stability and a strong pipeline of successors for key positions.

Chris Boulle
Chairman

Mandate

The Nomination Committee ensures that the composition and structure of the Board and its Committees and the executive leadership team perform at their best to support the business and all stakeholders. The Committee also evaluates the overall performance of the Board and its individual members, and selects the best candidates for each Board seat.

Attendance and composition

Members	Invitees	Relevant skills profile of members
• C Boulle (Chairman) (2/4) • NJ Adami (2/4)* • SL Botha (2/4)* • AK Maditse (4/4) • BS Mathe (2/4)**	• CEO • Company Secretary	Committee members are highly skilled in governance, law and business strategy.

Resigned from the Board in July 2024.
** *Effective July 2024.*

Focus for 2025

The Committee reviewed and approved the annual workplan and Committee Charter. Our focus areas for 2025 included the following:

- Succession planning for Exco, Leading Brands, Supply Chain and emergency cover for various key positions.
- Succession planning for longstanding Board members and our Exco.
- Reviewed the Board composition and was comfortable with the balance between independent non-executive directors, non-executive directors and executive directors.
- Recommended the appointment of Busisiwe Mathe as Chairman of the Audit and Risk Committee.
- Recommended the appointment of Fagmeedah Petersen-Cook as Chairman of the Remuneration Committee.
- Considered the appropriate composition and rotation of Board members, as well as the composition of various Board Committees.
- Considered leadership structures by evaluating a schedule of subsidiary boards and directors.
- Evaluated the Board's performance and effectiveness (see page 110).

Priorities for 2026

We will continue to consider Board replacement and renewal opportunities for long-standing Board members while overseeing succession planning and development for our executives. We remain committed to ensuring that the Board operates with a high level of performance and effectiveness.

Conclusion

The Committee is satisfied that it has fulfilled its responsibilities in accordance with its terms of reference for 2025. I will be present at the AGM to answer any questions regarding the Committee's activities.

Chris Boulle
Chairman: Nomination Committee

20 June 2025

Remuneration report

We aim to provide our stakeholders with a transparent remuneration report that demonstrates good governance that influenced our 2025 remuneration decisions.

Landscape and eligibility

Our Remuneration Policy applies to the employees and directors of Famous Brands and does not apply to the employees of associates and franchise partners as franchises are independently owned and operated businesses. However, through our various brands, Famous Brands mandates the strictest levels of compliance with all legislation and best practices as stipulated by the Basic Conditions of Employment Act and the Labour Relations Act. Compliance with these is a requirement of our franchise agreements and franchise partners are provided guidance, training, information through NFF forums and newsletters and are subjected to regular audits in order to ensure compliance.

Fixed pay structure	Number of positions	Employment category	Variable pay structure
TCC = Base salary + medical insurance + retirement fund benefits	2	Executive directors	STI and LTI
	5	Exco	
	41	Senior management	
	177	Middle management	Discretionary bonus
		Other employees	
TCC per union agreement	2 840	Bargaining unit employees	13th cheque as per wage agreement

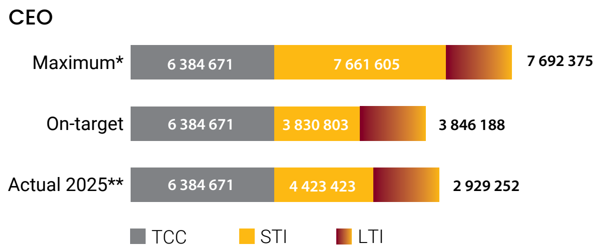
3 061 South African positions

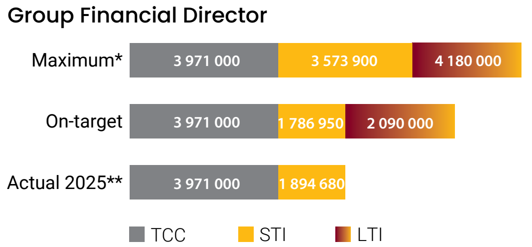
(Includes permanent and temporary SA employees and excludes UK, SADC, AME and Associates)

Remuneration summary for 2025

- 100% 13th cheques for bargaining unit employees.
- 80% discretionary bonus pool allocation for administration employee and executive bonuses.
- 6% annual increase for bargaining unit employees and 5% for administration employees.
- Non-executive directors' fee increase of 5%, subject to shareholder approval at the AGM.
- No malus or clawback provisions were triggered.
- Approved LTI awards, an overall average 5% salary increase subject to performance and STI payments to executive management.
- Reviewed and approved amended STI and LTI performance metrics.

Pay for performance: executive directors





* *Maximum LTI is depicted as the Famous Brands annual award quanta. LTI on target is depicted as 50% of the maximum.*

** *Actual 2025 values represent earnings for the reporting period.*

Compensation details are in the implementation report on page 149.

Important abbreviations and definitions

TCC: Total cost to company = Base salary + medical insurance + retirement fund + benefits

Base salary: TCC - medical insurance – retirement fund – benefits

STI: Short-term incentive

LTI: Long-term incentive

13th cheque: One month's TCC

SARs: Share appreciation rights

Executive directors: The CEO and the Group Financial Director

Executive Committee (Exco): For the purposes of the remuneration report, this excludes executive directors

Executive management team includes the executive directors and Exco

Financial indicators

HEPS: Headline earnings per share

ROCE: Return on capital employed

TSR: Total shareholder return

VWAP: Volume-weighted average price

WACC: Weighted average cost of capital

Background statement from the Remuneration Committee Chairman

Our remuneration approach supports the attraction and retention of highly skilled leaders and employees, while motivating them to achieve the Group's vision and realise its purpose. Our remuneration decisions are grounded in fairness and transparency, supporting the Group's efforts to deliver value to our stakeholders.

Fagmeedah Petersen-Cook
Chairman

Mandate

The Remuneration Committee assists the Board in discharging its oversight responsibilities on all compensation matters, including reviewing all components of remuneration, proposing measures for the STI and LTI schemes, implementing all relevant employee compensation policies, ensuring alignment with market best practices and compliance with King IV.

Attendance and composition

Members	Invitees	Relevant skills profile of members
• F Petersen-Cook (Chairman) (4/4) • SL Botha (2/4) * • CH Boulle (4/4) • WM Mzimba (2/2)**	• CEO • Company Secretary • Group Financial Director • Group HR Executive	Committee members are highly skilled in business and strategy, legal, risk and governance and finance.

* *Resigned from the Board in July 2024.*
** *Appointed to the Committee in July 2024.*

Focus areas for 2025

General

- Engaged extensively with material shareholders who were willing to engage, following the Remuneration Policy and implementation report failing to achieve a 75% advisory vote approval.
- Reviewed and approved the Committee Charter and annual Committee work plan.
- Reviewed and approved remuneration-related disclosures in the IAR and AFS and the remuneration report for presentation at the AGM for purposes of passing non-binding advisory votes.
- Noted the movements in Famous Brands' B-BBEE scorecard related to employment equity.
- Reviewed reports based on benchmarking studies to review Exco members' remuneration relative to the market (Page 137).
- Noted amendments to the Companies Act related to remuneration disclosures.

Remuneration matters

- Approved a 5% increase for administrative employees, effective 1 March 2024.
- Approved a bonus pool of 80% for administrative employees in December 2024.
- Approved increases and bonuses for Exco members in line with the STI Scheme.
- Approved the Executive LTI allocations in line with the Long-Term Share Plan rules.
- Considered and approved the decision to defer salary increase payments to admin staff and executives to 1 June 2024 pending final review of business performance in May 2024.
- Approved the vesting of LTI shares on 1 June 2024 and the purchase of shares by the Famous Brands Share Incentive Scheme to settle the number of shares due to participants.
- Appointed Deloitte to review our pay mix and provide recommendations to improve it.
- Engaged with dissenting shareholders following the 2024 AGM.
- Considered feedback from shareholders on the 2024 Remuneration Policy and Implementation Report.
- Reviewed and approved the STI and LTI Scorecards and Targets for 2025.

Background statement from the Remuneration Committee Chairman *(continued)*

Bargaining unit wage negotiations

Our two-year wage agreement expired in February 2025. In March and April 2025, management negotiated a new two-year wage agreement with the three unions. The details of the new wage agreement are as follows:

- 6% for year one and year two.
- All allowances to increase by 6%.
- 1.25% increase in provident fund contribution by the employer.
- 1.25% increase in provident fund contribution by the bargaining unit employees.
- Total provident fund contribution of the bargaining unit staff to increase to 15% (7.5% by the employees and 7.5% by the employer).
- Guaranteed 13th cheque.

Non-executive directors' fees

- Recommended a 5% increase in non-executive director fees subject to shareholder approval at the AGM.

Executive performance and pay

- Reviewed the performance of the CEO and Group Financial Director for 2024 and set their scorecards for 2025.
- In consultation with Exco members, the 2025 Group Scorecard was approved. The Exco members' scorecard applies similar principles to the CEO scorecard, with a focus on fiscal discipline and alignment with the three-year strategic objectives.

Succession and executive development

- Reviewed the CEO, Group Financial Director and Group HR Executive succession plans.
- Conducted a succession deep dive of all senior positions in the Group, across all areas.
- Noted management's proposed succession plan for executive and senior management roles.
- Oversaw the Leadership Development Programme to develop internal candidates for the CEO role.

Our operating context

Our operating environment for 2025 was characterised by a constrained trading environment, where consumers faced financial strain and reduced spending on restaurants. Our Brands' expansion plans were also hampered by high interest rates, as well as some current and potential franchise partners failing to qualify for bank funding. Within this context, our remuneration targets must be challenging yet achievable to motivate our people. This is especially relevant in Famous Brands as we have historically had a large weighting of remuneration to the variable pay components, rather than fixed pay.

We commissioned Deloitte's remuneration specialists to review our overall pay mix for the Exco. Work to address salaries of key Leading Brands positions began in April/May 2025. Many of these positions are highly specialised and scarce, and we have suffered losses of experienced skills in key functions, as our pay mix has become a constraint, given the economic headwinds to Group performance. Many of these regrettable losses are attributed to perceived inadequate remuneration, particularly in relation to guaranteed packages. We aim to revise our approach to ensure that we have a fit-for-purpose remuneration approach across the business.

External considerations	Internal considerations
• Shareholder views and recommendations. • Lower consumer disposable income and competitive pressures hampering revenue growth. • The labour market and pay gap between executive management and other employees. • South Africa's skills shortages. • Semigration and emigration have led to skills shortages of some geographical areas. These include in specialised areas of franchising, operations, marketing, POS and data and business analysis. • CPI and the rising cost of living. • Requests from bargaining unit representatives. • Market benchmarks for employees are premised on comparable job grades and selecting the appropriate peer group. • Benchmarks with similar attributes, including complexity, industry, size, and geographic spread. • The potential maximum total remuneration that each executive could earn, benchmarked against the market at the 50th percentile. • Skills shortages in the specialsed areas of franchising, operations, marketing, POS and data and business analysis. • Semigration and migration have led to a shortage of skilled resources in the industry in some of the geographical areas of our operations.	• Cash flow management and cost leadership. • Alignment between roles, including between the CEO and Group Financial Director roles and between executive roles across SA, AME and the UK. • Implementing the legal requirements regarding equal pay for equal work and employment equity considerations. • Adapting to the new employment equity requirements. • Executive recruitment and succession planning considerations.

Background statement from the Remuneration Committee Chairman *(continued)*

Key decisions and changes to policy

Focus area	Consequent decisions by the Committee
Exco and executive succession	The Committee will work strategically with management to close the gaps in key roles.
2025 STI and LTI Scorecards	Adjusted the targets and weightings of the elements of each scorecard, so that the financial metrics weighed more.
Administration employees' bonus pool	After considering the Group's financial performance, we decided to allocate a bonus pool of 80% for administration employees, which is lower than the 100% bonus pool allocated for 2024.
CEO and Group Financial Director's increases	Approved a 5% annual increase for the CEO and a 23% increase for the GFD (adjusted to the market median).
Executive salary increases	Average of a 5% annual increase.
Malus and Clawback Policy	No malus and clawback conditions were triggered.
2019, 2020 and 2021 LTI vesting	Shares purchased to settle shares due: 350 494. • Value of vested shares: R17.2 million. • No value for 2019 and 2021 SARs as the share price at the date of vesting was below the award price. • Performance conditions and weighting were attached to vesting of 2020 SARs awards.

Engaging shareholders on our remuneration

The Committee values continuous dialogue with shareholders to maintain a mutual understanding of the link between Remuneration Policy and the Group's performance and value creation. We do have a track record of engaging with shareholders on remuneration. For example, extensive engagements were conducted in 2022 and 2023, resulting in substantial changes to the Remuneration Policy, the LTI rules, and the STI scheme.

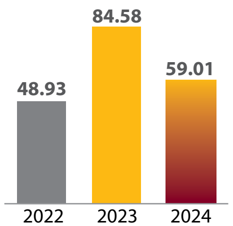
In line with our commitment to engage proactively with shareholders, in May and June 2024, Famous Brands invited shareholders to meet with the Chairman of the Remuneration Committee and the Company Secretary to discuss matters related to the remuneration report, including the Remuneration Policy and implementation report. The Chairman and Company Secretary further engaged with shareholders prior to the AGM in July 2024 on the resolutions outlined in the Notice of the AGM. The shareholder issues raised in these meetings were noted as:

- Concerns regarding the financial metrics used. Shareholders indicated a preference for greater stretch targets for revenue growth and total shareholder return. Some shareholders would like to see revenue growth included in the STI metrics.
- Some shareholders would prefer return on equity (ROE) measurement instead of return on capital employed (ROCE).
- Some shareholders would like to see higher weightings for TSR and ROCE. TSR and ROCE are measures included in the LTI.
- Concerns that the STI target linked to the Level 2 B-BBEE status is insufficiently challenging given the Group's achievement of this level in 2024.
- Some shareholders remain opposed to retention share awards as these are not linked to performance conditions.
- Concerns that the LTI metrics have removed Gourmet Burger Kitchen from the asset base due to the impairment, which inflates returns to the benefit of management.

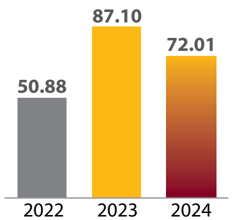
Following this engagement with shareholders, all resolutions tabled at the AGM passed with the requisite majority. However, two of our resolutions did not receive the requisite 75% support from shareholders. King IV and the JSE Listings Requirements stipulate that if non-binding advisory remuneration resolutions do not receive 75% support, the Board must engage with dissenting shareholders to understand their reasons for dissent. The Company must disclose the outcome of these engagements in its next remuneration report. Following the AGM, an invitation was issued to shareholders to contact the Company Secretary to schedule such meetings, and sessions were held with Camissa Asset Management, 36ONE Asset Management and the PIC during August and September 2024.

Shareholders view on our remuneration (%)

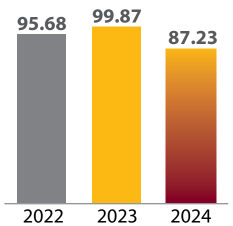
Remuneration Policy (%)



Implementation report (%)



Non-executive directors' fees (%)



Background statement from the Remuneration Committee Chairman *(continued)*

Shareholder concerns regarding remuneration

Shareholders expressed concerns with several key performance areas within our FY2025 STI and LTI scorecards. We reviewed these scorecards based on our engagements and our updated February 2026 Group Scorecard and the February 2026 LTI Scorecard can be found on page 144 and 145, respectively.

Shareholder feedback	Committee feedback and actions taken
Financial metrics • A greater emphasis on HEPS growth and operating profit growth is deemed necessary. • Financial performance should have a weighting of at least 50%. Some shareholders believe a 40% weighting is too low. Others would prefer a weighting of 60% for financial metrics. • Some shareholders believe that the financial KPIs are somewhat vague or too subjective and request that the objectives be defined more clearly.	Our FY2025 Group Scorecard has a 50% weighting for financial metrics (up from 40% in FY2024). Our selected financial metric is HEPS growth. We believe HEPS is an appropriate measure of our Group's quality of earnings. We believe that HEPS growth is not an objective measure.
Operational plan performance • Some shareholders believe that many of the operational plan targets are unnecessary, as the delivery against these targets should already be accounted for in the financial performance. • Some shareholders request greater transparency on certain metrics, such as operational plan performance.	We believe that our operational plan targets are valid, as achieving these targets is largely independent of financial performance. For example, the delivery of our new cold storage facility at our Midrand Campus will result in cost savings for our Logistics division. However, these will only be realised in our 2026 financial year.
Market share and consumers • Some shareholders would like to see greater focus on South African operations rather than offshore expansion. • Some shareholders have requested targets linked to like-for-like sales growth for restaurants.	In 2025, 65% of the weighting for market share and consumers is related to our South African operations.

Background statement from the Remuneration Committee Chairman *(continued)*

Shareholder feedback	Committee feedback and actions taken
Transformation and ESG • Some shareholders believe that the B-BBEE target, with the Group already at Level 2, is not sufficiently stretched. • Some shareholders would like to see an alternative ESG focus area, for example, a water reduction target, now that Famous Brands has achieved a high B-BBEE rating. • Shareholders would like to see a strong alignment with the ESG metrics selected and the Group's operations. • Shareholders are comfortable with a 10% weighting for transformation and ESG.	We believe that a Level 2 B-BBEE rating is sufficiently challenging. Maintaining a Level 2 B-BBEE rating demands focused attention and continuous significant spend every year. As we have no control over the ownership pillar, we must achieve a strong performance against the other four pillars of the scorecard. As a listed entity, our ownership scores for Black shareholders fluctuate as a result of ongoing share trading, and even minor changes can result in a lower overall score. We see strong commercial value in a high B-BBEE rating and believe that this target aligns with our business. The benefits include: • A transformed and diverse workforce will better understand the needs of our customer base. • Strengthens our position as a responsible corporate citizen with reputational benefits. • A focus on developing a strong, local supplier base that offers us protection against international supply disruptions. • A high rating is a crucial consideration when tendering for certain restaurant sites. This includes our sites within hospital networks, national parks, petrol stations and airports. We have selected two targets aligned with our five-year sustainability plan. These GHG emissions reduction and water consumption reduction targets were chosen because we are significant emitters and users respectively, and we recognise the need to reduce emissions and water consumption. Achievement of these targets, benefits the business by improving our resilience and reducing costs related to energy and water. Our injury on duty target is relevant given the health and safety risks within our Supply Chain operations.
Retention share awards • Some shareholders remain opposed to retention share awards as these are not linked to performance conditions.	For February 2026, the Committee decided not to award retention shares in the future.

Background statement from the Remuneration Committee Chairman *(continued)*

> **As a Committee, we are re-evaluating our remuneration targets weightings for both the STI and LTI to ensure that these are intelligent, aligned with our core operations, and achievable but sufficiently challenging. The Committee will engage with shareholders to ensure that our remuneration decisions are responsive, well-considered and find the right balance between diverse stakeholder interests.**

Should 25% or more of the shareholders vote against either the Remuneration Policy or the implementation report at the next AGM, the Committee will invite the dissenting shareholders in the SENS announcement, together with the results of the AGM, which will either:

- Invite shareholders to engage with Famous Brands and provide the manner, date and timing of the engagement.
- Notify shareholders of the intent to engage with them shortly (the details of which will be extended to shareholders as soon as is reasonably possible).

Other stakeholder considerations

In South Africa, the Companies Act mandates a remuneration policy for public companies to ensure transparency and accountability in executive compensation. This aligns executive interests with those of shareholders and promotes a more transparent and accountable corporate environment.

We believe that a successful and sustainable company will only create value for shareholders and executives if it serves the needs of its broader stakeholders. Our February 2025 Group Scorecard includes measures that demonstrate value to our stakeholders:

- Our Google ratings are a measure of consumer satisfaction and trust.
- Our Voice your View ratings are a measure of employee engagement.
- Our B-BBEE status target measures our contribution to transformation and upliftment in the communities we serve.
- Our ESG measures, related to reducing GHG emissions and improving water management, demonstrate our responsibility in preserving South Africa's natural capital and protecting the environment.

Remuneration consultants

Where appropriate, the Committee obtains advice from independent remuneration consultants. The Committee employs the consultants directly, with direct engagement from the Committee to ensure independence. In 2025, the Committee engaged Deloitte to review our pay mix and provide a proposal to recommend how our remuneration model could be enhanced to address the challenge of talent retention. The Committee is satisfied with Deloitte's independence and objectivity as an independent consulting firm with extensive experience in remuneration.

Amendments to South Africa's Companies Act

We have noted the amendments to South Africa's Companies Act and will continue to monitor it for any further developments.

While the provisions related to remuneration are not yet effective, we have decided to disclose the following in our implementation report:

- Total remuneration of the employee with the lowest remuneration.
- The average remuneration of all employees.
- The median remuneration of all employees.
- The remuneration gap, or pay ratio, showing the difference between the top 5% and the lowest 5% of employees.

Read more on page 153

Priorities for 2026

The Committee aims to ensure appropriate, fair and responsible remuneration across the Group. Our priorities for 2026 include:

- Engaging with shareholders to understand and address their concerns regarding remuneration.
- Ensuring management is appropriately incentivised in a constrained operating environment.
- Overseeing our Leadership Development Programme to develop successors for the CEO role.
- Internal succession planning and leadership development in a scarce skills environment.
- Reviewing Deloitte's recommendations regarding our pay mix.
- Where required, conducting peer benchmarking of our remuneration levels and practices to ensure that our decisions regarding remuneration and related matters are well-informed.

Conclusion

I confirm that the Committee is satisfied that it has fulfilled its responsibilities in accordance with its terms of reference for 2025. I will be present at the AGM to answer any questions regarding the Committee's activities.

Fagmeedah Petersen-Cook
Chairman: Remuneration Committee

20 June 2025

Remuneration policy

Our Remuneration Policy aims to align the interests of executives and employees with those of shareholders in achieving the Group's business strategy. Through this alignment, we also ensure that the Group continues to deliver value for all our stakeholder groups. The Remuneration Policy is subject to regular review and change.

Our remuneration philosophy

Our Remuneration Policy, setting out the Group's remuneration principles and practices, applies to all employees. It provides a high-level guideline for implementing the Group's remuneration strategies and designing and managing remuneration processes.

The policy was designed around the following themes:

- Support for the business strategy, objectives and long-term interests of Famous Brands and its stakeholders, aligned with the Group's core beliefs.
- Maintain a competitive reward system to attract, motivate and retain high-performing individuals, through industry-competitive packages.
- Apply consistent and responsible business and remuneration practices, sound and effective risk management and governance.
- Develop performance metrics that are both demanding and sustainable, covering all relevant aspects of the business.

The policy also considers King IV (principle 14), the Companies Act 2008, the Basic Conditions of Employment Act 1997, the Employment Equity Act 1998, and other applicable legislation.

The Remuneration Committee's mandate (refer to page 131) is to assist the Board in discharging its oversight responsibilities relating to all compensation matters.

The use of remuneration consultants

Where appropriate, the committee can obtain advice from independent remuneration consultants. The Committee employs and engages with them directly to ensure independence. The Committee reviews the consultants' independence annually.

The Committee typically engages consultants to perform the following services:

- Job evaluation and organisational design.
- Executive salary surveys.
- Benchmarking of the STI scheme as needed.
- Review of the LTI scheme.
- Advising on the remuneration report for the IAR.

Key principles of the Remuneration Policy

Our people are our greatest source of sustainable competitive advantage. We aim to attract, motivate and retain a skilled workforce through fair, responsible, transparent and competitive remuneration.

The Remuneration Policy is in place to support our remuneration approach and is based on the following key principles:

- Reward, retain, and, where necessary, attract talent through fair, transparent and competitive remuneration.
- Reward short-term and long-term performance by linking STIs to operational, financial and other targets; and LTIs to the achievement of Famous Brands' strategic objectives.
- Key focus areas are reflected in the scorecards of executive management and the annual performance evaluations for employees. Scorecards reflect key performance areas (KPAs) and the associated KPIs.
- We reward for value created, contribution and performance to ensure alignment with shareholder interests, balancing this across economic, social, and environmental aspects.
- Employee rewards are influenced by individual and Company performance, and employees' contributions are recognised through a discretionary performance bonus.
- Bargaining unit employees are subject to the terms of wage agreements and are part of a "basic plus benefits" remuneration scheme.

Fair and responsible remuneration

The remuneration principles are underpinned by a fair and responsible remuneration approach where:

- Remuneration must be free from any form of discrimination.
- Market benchmarking refers to the correct remuneration bands and levels with progression reflected for experience and accountability.
- Remuneration design and application must drive internal and external parity.
- All remuneration components are designed and implemented in accordance with applicable tax and regulatory requirements.
- Performance and value are defined and measured over the short, medium and long terms and protect our shareholders' interests.
- An overarching commitment to ethical and legally defensible remuneration practices.

Benchmark methodology

Famous Brands undertakes a total remuneration benchmark at least every two years, using reputable remuneration consultants. The one benchmark uses a database covering over 700 South African companies, extracting data from companies and creates a theoretical job match, based on the scope of the role, and sized relative to the actual CEO role . The second benchmark is from a specified comparator group of companies approved by the Committee, which is available on (Page 144).

Remuneration policy *(continued)*

Equal pay and gender equality

We focus on developing an equitable workplace. We commit to equal pay and gender equality in line with the JSE Listings Requirements and King IV.

Famous Brands conducts an equal pay for equal value of work audit as part of the annual salary increase exercise in March each year. We track our equal pay across both genders as a KPI within our ESG Framework (Page 69). As part of this process we adjust salaries based on the outcomes.

The following interventions were applied this year in response to findings from the audit:

- Nine African females had their salaries adjusted.
- Four African males had their salaries adjusted.
- One White female had her salary adjusted.
- One Indian female had her salary adjusted.

Definition: equal pay

The principle of equal pay applies to work that is the same, substantially the same or of equal value (referred to as work of equal value) when compared to an appropriate actual comparator of the same employer.

This means that where comparable work is of equal value, employees performing such comparable work should be paid equal pay, provided that any differentiation between them is based on a prohibited ground of discrimination or on arbitrary grounds.

Read more about our employees' remuneration for 2025 in our implementation report on page 149.

An overview of our remuneration components

The key components of remuneration at Famous Brands:

Total cost to company (guaranteed pay)		Variable pay		
Base salary	Medical insurance, retirement fund and benefits	Discretionary bonus/13th cheque	Short-term incentive	Long-term incentive

The remuneration structure for executives and employees in senior management positions comprises guaranteed (including benefits) and variable remuneration, collectively referred to as the pay mix. A different set of rules and guidelines are applicable to each remuneration component.

Pay mix

Famous Brands' pay mix aims to achieve a balanced mix appropriate for the job, level and performance and in line with market practice.

There is a balance between fixed and variable pay. For F-level positions (Executive committee, the CEO and his direct reports), fixed pay represents about 51% of total remuneration, which is deemed high enough to avoid employees becoming overly dependent on variable pay. We are completing a pay mix review for targeted positions within Leading Brands (Page 140).

This pay mix ratio aligns with the market remuneration mix.

Remuneration landscape and eligibility

	Employment category	Variable pay structure
TCC	Executive directors Exco Senior management	STI, LTI and legacy arrangements
	Middle management Other employees	Discretionary bonus
TCC per union agreement	Bargaining unit employees (Grades A1- B2)	13th cheque as per the wage agreement

Cost to company and bonus

Base salary

Salaries are reviewed annually in May and implemented following the release of audited financial results. The increase takes effect on 1 March of each year. Increases are informed by consumer price inflation (CPI) and business performance and adjusted upward or downward to recognise individual performance. Bargaining unit employee increases are based on two-year wage agreements and are processed in March.

The CEO makes recommendations regarding Exco's increases to the Committee. The Committee reviews the CEO's base salary.

The overall increase pool is expressed as a percentage agreed upon by the Committee.

Performance measures for executives

Individual performance is evaluated on a scale of 1 to 5, where 1 indicates that expectations are not met and 5 indicates that expectations are exceeded. The performance rating determines the percentage of the CPI increase pool that an executive will receive. Performance is measured against specific KPIs approved by the Committee.

Remuneration policy *(continued)*

Retirement fund

All Company-related funds are defined-contribution funds. Retirement funds vary depending on jurisdiction and legislation. Famous Brands optimises the tax efficiency of the retirement funding and other related benefits in each country, and any Company contribution is part of TCC.

Medical insurance

Medical funds vary depending on jurisdiction and legislation (some countries have national insurance). Any Company contribution towards a medical aid fund forms part of the total guaranteed package, in line with Company policy.

Benefits

Benefits are provided based on local market trends, ensuring overall competitiveness in the respective markets. Benefits can include life insurance, dread disease insurance, temporary and permanent disability lump sums and income benefits, accidental death insurance, funeral insurance, assistance with tax filing, cash in lieu of leave not taken (above legislated minimum leave requirements) and provisions under the executive travel guidelines.

Allowances

Allowances are linked to specific tasks, for example, a subsistence allowance for specific types of travel. Separate policies cover these types of allowances, or it is covered in the bargaining unit's recognition agreements. No discretion is applied.

13th cheque

The 13th cheque is part of guaranteed pay for bargaining unit employees and forms part of the wage agreement with the trade unions.

Long-service awards

All employees are eligible for long-service awards, except executives.

10 years	R10 000
15 years	R15 000
20 years	R20 000
25 years	R25 000
30 years	R30 000
35 years	R35 000
40 years	R40 000

Discretionary bonus

A bonus is provided based on individual performance, subject to the Company's performance criteria. It can only be up to 120% of one month's TCC, and a sliding scale adjustment is made to recognise individual performance. Performance ratings of less than 3 do not qualify for the discretionary bonus. This applies to all employees outside the bargaining unit parameters, but below the executive level.

Short-term incentives

The STI scheme, which applies to eligible employees at executive level, is designed to drive Famous Brands' short-term strategies, aligned with annual business plans and budgets, and ensure that participants deliver on the key priorities for the year. Performance ratings of less than 3 do not qualify for the STI. These have been designed to align and deliver on the Company and shareholder interests. The STI incentivises and drives participants' motivation, contributes to attracting and retaining scarce human resources, and rewards superior performance.

The STI, where applicable, is paid in total in June each year.

How it is calculated

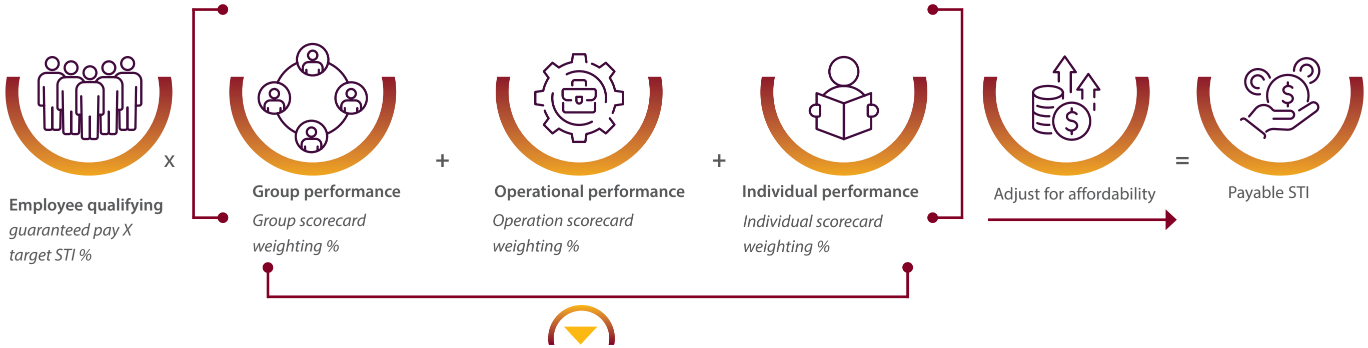
In 2023, Deloitte reviewed the STI scheme and recommended that the scheme rules be simplified and redesigned to remove the correlation between the weighted performance score and the amount of target STI earned. The scheme was redesigned so that the weighted performance score, ranging from 100% to 116%, determines the target payout, which falls between 100% and 200%. There is a payout of 50% of the STI threshold performance on the scorecard if achieved. The scheme incorporates leverage, with a maximum payout of 200% of the target.

The target STI is a targeted amount (a percentage of TCC) applicable to a person's Paterson grade. The actual STI earned depends on performance.

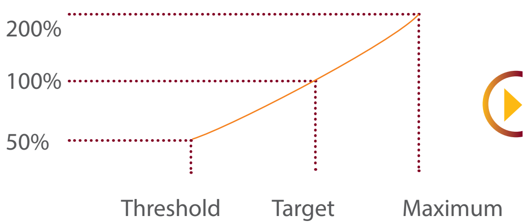
Target STI is determined by market-benchmarked targets and is regularly validated. The performance score is determined by individual and Group/operational performance relevant to the individual's role, creating a line of sight between business performance and individual reward. These are weighted and collectively provide a weighted score for the individual. Before the start of each year, the Board approves KPAs and associated KPIs.

Remuneration policy *(continued)*

In this design, the following formula applies:



Group/Operations incentive factor



Linear interpolation will be applied between threshold, target and maximum

STI % of guaranteed pay linked to level

Level	Threshold If threshold is achieved, a 50% factor is applied	Target If target is achieved, a 100% factor is applied	Maximum If target is achieved, a 200% factor is applied
F Upper (CEO)	30%	60%	120%
F Lower (Group FD)	22.5%	45%	90%
F Lower (Other)	17.5%	35%	70%
E	7.5%	15%	30%
D	5%	10%	20%

To drive line-of-sight principles, STI earnings are linked to areas where the executive is accountable and has the ability to influence. The percentages reflect the relative weighting of performance on the participant's ultimate combined scorecard.

Relative weighting of performance (%)

Position	Group	South African	Non-South African	Individual
CEO and Group Financial Director	70			30
Other Group executives	30			70
AME executive	10		60	30
SA divisional executives		70		30
UK/AME divisional executives	30		40	30

Individual performance is reviewed on a scale of 1 to 5. Performance ratings of less than 3 disqualify a participant from the STI scheme.

The combined outcome of individual performance and performance against the KPAs and KPIs results in the actual percentage of target STI earned, which has a maximum cap.

Rating	Score (%)	Outcome
1 or 2	0	No STI
3	100	
4	150	
5	200	Capped

The table below indicates how line of sight is achieved between combined performance and the individual's level of STI earned, supporting the principle of rewarding exceptional performance.

Scorecard outcomes	% of target STI
<50%	0
50%	50
60%	60
70%	70
80%	80
90%	90
100%	100
110%	110
120%	120
130%	130
140%	140
150%	150
160%	160
170%	170
180%	180
190%	190
200%	200

Remuneration policy *(continued)*

The criteria for the Group portion of the calculation for February 2025 are set out below:

Key performance area	Weighting
Financial performance	50%
Operational plan performance	10%
Market share performance and customer	20%
People performance	10%
Transformation and ESG	10%

The Group Scorecard

The Group Scorecard encompasses both financial and non-financial measures in evaluating overall corporate performance. Delivery against each pillar of the scorecard is reviewed by the relevant Board committee, with a formal recommendation submitted to the Remuneration Committee. The final assessment of corporate performance is made by the Remuneration Committee, taking these inputs into account and exercising its discretion regarding the quality of the overall corporate performance for the year. Read more about performance against the Group Scorecard on (Page 151).

The FY2025 Group Scorecard is:

KPAs	% Weighting	Sub-KPA
Financial performance	**50**	HEPS in cents
Operational plan performance	**10**	
	6	Build of Midrand phase 1 (cold storage facility) • on track for May 2025 (50%) • On budget (50%)
	4	Finance consolidation: SAGE X3 ERP implemented for Wimpy UK
Market share and customer	**20**	
	6	Google ratings – Leading Brands (excluding SADC)
	2	Google ratings – Fun Dining brands
	2	Google ratings – AME (excluding UACR)
	5	Leading Brands SA net store growth
	2	Leading Brands SADC net store growth
	2	
	1	AME net store growth (excluding UACR)
	1	UK net store growth
People performance	**10**	
	4	Voice your View score for administration employees
	3	Bargaining Unit Voice Your View
	1	Exco succession
	2	Executive stability ratio
Transformation and ESG	**10**	
	2	B-BBEE rating
	2	Management control (Employment Equity)
	1	Enterprise and supplier development
	1	Injury on duty (IOD)
	4 (split 50/50 across the two selected targets)	Meet sustainability targets set for year one of the new five-year plan as approved by the Social and Ethics Committee

Remuneration policy *(continued)*

The Group Scorecard for FY2026

The following Group Scorecard for FY2026 was approved by the Remuneration Committee and ratified by the below in February 2024.

The criteria for the Group portion of the calculation are set out below:

KPA	Weighting
Financial performance	85%
Transformation, Environment, Social & Governance	15%

Relative weighting of performance (%)

Personal scorecards are concluded individually and contribute as set out below:

Position	Group	Non-South African	Individual
Group CEO and Group FD	70%		30%
Other Group Executives	30%		70%
SA Divisional Executives (incl SADC)	70%		30%
UK /AME Divisional Executives		60%	40%

The Group Scorecard for FY2026 is as follows;

KPAs	% Weighting	Sub-KPA
Financial performance	**85**	
	65	HEPS in cents (c)
	20	Operating profit

KPAs	% Weighting	Sub-KPA
Transformation and ESG	**15**	
	4	BBBEE rating
	2	Management Control (Employment Equity)
	2	Enterprise and Supplier Development
	2	IOD
	4	Meet sustainability targets set for year 2 of new 5 year plan as approved at S&E
	1	Fully EPR compliant (SA)
Total	**100**	

Remuneration policy *(continued)*

Long-term incentives

The LTI is designed to drive Famous Brands' longer-term strategic and sustainable focus, ensuring alignment between the long-term interests of executives and shareholders. It serves as a wealth creation mechanism for executives, creating shareholder value when strategic performance drivers are met.

The 2023 Long-Term Share Plan

In February 2024, the Long-Term Share Plan replaced the previous 2015 LTI Scheme. The Long-Term Share Plan was approved by shareholders in May 2023. This was developed as a more appropriate LTI scheme to attract, retain and reward key senior management employees by allowing them to receive shares in Famous Brands. As a full-value share-based plan, it allows for varying performance per award cycle, which aligns better with market practice and King IV. It also offers greater alignment of management with shareholder interests. The awards granted in terms of the 2015 LTI Scheme will continue to vest and unwind, but new awards will not be granted in terms of this Scheme.

The 2023 Long-Term Share Plan provides for the following instruments:

Performance share awards: Annual awards of Famous Brands shares, the vesting of which is subject to the fulfilment of specific key performance vesting criteria over a set performance period, and the employee remaining employed by Famous Brands until the vesting date (three years in terms of the Rules of the Scheme unless terminated for retirement, retrenchment or death). The annual award will be made as a percentage of the employee's guaranteed package.

Restricted shares: Annual or ad hoc awards of Famous Brands shares, the vesting of which will be subject to the employee remaining employed by Famous Brands until the vesting date.
The Company may award the Restricted Shares for any of the following:

- In specific circumstances where new employees are compensated for a value forfeited by their previous employers.
- For retaining key talent and scarce, critical skills generally below the executive level.

Exco members at F Lower level and above do not qualify for Restricted shares and are only awarded Performance shares which are linked to specific key performance vesting criteria.

Performance and vesting criteria: The Remuneration Committee will establish appropriate performance vesting criteria, performance periods, and vesting dates for each award or grant, taking into account the business environment. These will include performance conditions to measure profitability, shareholder return, and environmental and governance performance. These details will be communicated to the qualifying employees in an individual award or grant letter.

The performance period and the duration between the award or grant date and the vesting date will be at least three years. There is no post-vesting holding requirement for Exco members. However, each Exco member must achieve a minimum shareholding requirement expressed as a percentage of their guaranteed package. The minimum shareholding requirement must be fulfilled within five years. To the extent that the MSR is not yet met, an executive director can only sell up to 50% of the vesting shares in any year.

The vesting structure in terms of the new share plan has been simplified. All share awards vest in year three, provided that the service and performance conditions that were set at the award date are met. (Refer to page 153).

The 2023 Long-term Share Plan award methodology

	On Target Multiple of TCC (as a %)	Performance shares
F Upper (CEO)	125%	100%
F Lower (GFD)	110%	100%
F Lower (Other)	90%	100%
E Upper (General Management)	65%	75%
E Lower (Senior Management)	52%	75%
D Upper (Middle Management)	39%	50%

HEPS was reintroduced in the new Long-term Share Plan in 2023 (defined as growth in HEPS vs. CPI). The target set for the awards issued in 2025 is CPI + 5%, with a stretch target of CPI + 7% (refer to page 144).

Share appreciation rights do not exist in the 2023 Long-term Share Plan.

Remuneration policy *(continued)*

Long-term Share Plan performance metrics and conditions for FY2025

KPI and weightings	Further details		Threshold 50% vesting	Target 100% vesting	Stretched 150% vesting
Profit (45%)	HEPS growth over the performance period	Three-year HEPS CAGR relative to the business plan	CPI[1]	CPI + 2%	CPI + 7%
Shareholder value (45%)	TSR (22.5%)	A relative measure of TSR against a bespoke comparator group[2]. (11.25%)	50th percentile	60th percentile	80th percentile
		A relative measure of TSR against the cost of equity (COE) (11.25%)	COE	COE + 2%	COE + 5%
	ROCE (2.5%)	Three-year return relative to the business plan.	150% of WACC	170% of WACC	200% of WACC
Doing business the right way (10%)	ESG	GHG emissions for SA business (3.33%)	Tons CO_2e emitted (direct and indirect), excluding generator power = 90% of target	Tons CO_2e emitted (direct and indirect), excluding generator power = (F2027 target)	Tons CO_2e emitted (direct and indirect), excluding generator power >110% of target
		Water for SA business (3.33%)	Kilolitre of water (direct) = 90% of target	Kilolitre of water (direct) = (F2027 target)	Kilolitre of water (direct) >110% of target
		B-BBEE/Transformation (3.33%)	B-BBEE score >80.00* (*Level 4 upweighted to Level 2 by YES Programme)	B-BBEE score >87.00* (*Level 4 upweighted to Level 2 by YES Programme)	B-BBEE score >90.00* (*Level 3 upweighted to Level 1 by YES Programme)

1 *CPI estimates*

Forecast	*2025*	*2026*	*2027*	*2028*
South African CPI	*4.00%*	*4.50%*	*4.40%*	*4.50%*

Source: Standard Bank Ltd

2 *The companies in the TSR comparator group would be weighted according to market cap, and the threshold, target and stretch outcomes would be based on the percentile positioning within the comparator group. Our TSR group includes:*

a. Bid Corporation Limited
b. Tiger Brands Limited
c. Spur Corporation Limited
d. Sea Harvest Limited
e. Oceana Group Limited
f. Astral Foods Limited
g. Libstar Holdings Limited
h. RFG Holdings Limited

Remuneration policy *(continued)*

LTI Share Plan metrics for FY2026

Following the shareholder engagement sessions, the Committee adjusted the weightings of the elements of the Long Term Share Plan Scorecard as well as the targets for FY2026 as follows:

KPA	Performance Condition (KPI)	Proposed weighting		Current Weighting	50% Vesting	100% Vesting	150% Vesting
Profit	Compound Annual Growth in Headline Earnings per Share (HEPS)	40%		45%	CPI + 2%	CPI + 5%	CPI + 10%
Shareholder value	Total Shareholder Return		11%	11.25%	50th percentile of the peer group	60th percentile of the peer group	80th percentile of the peer group
		50%	12%	11.25%	Cost of Equity	Cost of Equity + 2%	Cost of Equity + 5%
	Return on Capital Employed (ROCE)		27%	22.5%	150% of Weighted average cost of capital	170% of Weighted average cost of capital	200% of Weighted average cost of capital
Doing business the right way	Environmental, Social and Governance (ESG)		3.33%		Tons CO_2e emitted (direct and indirect), excl generator power >90% of target	Tons CO_2e emitted (direct and indirect), excl generator power = (F2028 Target)	Tons CO_2e emitted (direct and indirect), excl generator power >110% of target
	Water for RSA business	10%	3.33%	10%	Kilolitre of water (direct) >90% of target	Kilolitre of water (direct) = (F2028 target)	Kilolitre of water (direct) >110% of target
	Transformation		3.33%		B-BBEE score > 80 (Level 4 upweighted to Level 2)	B-BBEE score > 87 (Level 4 upweighted to Level 2)	B-BBEE score > 90 (Level 3 upweighted to Level 1)

Remuneration policy *(continued)*

The 2015 Long-Term Incentive Scheme vesting structure and methodology (2015 LTI Scheme)

The grants awarded for the 2015 LTI Scheme will continue to vest in accordance with the scheme's rules and performance conditions.

Initial vesting
33.33% – Year 3
33.33% – Year 4
33.33% – Year 5

Top-up vesting
No vesting period

Individual LTI earned = [TCC] X [Award multiple]

Therefore, top-ups are required to maintain TCC x multiple equation

Award value of unvested shares = [TCC] X [Award multiple]

LTI Split

SARs 75%	RSs 25%
Conditions:	Conditions:
Company performance (KPAs per award letter)	Service condition
Share price must increase over vesting period	Minimum performance rating: 3 (meets expectations)
Service condition	

	Target multiple to be held at a point in time		Annual Award of 0.33% of target	
Role/Grade	**SARs**	**RSs**	**SARs**	**RSs**
CEO	6.53	0.55	2.18	0.18
Group Financial Director	5.60	0.47	1.87	0.16
F-Lower	4.67	0.40	1.56	0.13
E-Upper	3.54	0.30	1.18	0.10
E-Lower	2.84	0.24	0.95	0.08
D-Upper	2.13	0.18	0.71	0.06

The 2015 LTI Scheme consists of two types of awards:

Growth shares in the form of SARs (Share application rights): allocated at 75% of the total share grant for any allocation and issued at a strike price based on the 30-day VWAP as at date of approval by the Board; and

Retention shares (RSs) in the form of full shares issued at R0 (zero) strike price are usually allocated at 25% of the total share grant for any allocation.

The 2015 LTI Scheme Performance conditions applied to determine the vesting of SARs

Company performance	Weighting	Outcome
HEPS	50%	Achieved
ROCE WACC determined at financial year end	20%	Achieved
Absolute TSR (30-day VWAP share price + cost of equity. Determined at financial year-end)	30%	Achieved

The last awards issued in terms of the 2015 LTI Scheme (SARs and Retention Shares) were in June 2022, and these will complete vesting in June 2027.

Malus and clawback

Famous Brands has malus and clawback provisions that enable adjustments to variable pay.

The Board may act on the recommendation of the Committee to reduce/cancel/adjust unvested variable remuneration (malus) or to recover (clawback) vested/paid variable remuneration where there is reasonable evidence that an executive director of Famous Brands materially contributed to, or was materially responsible for, but not limited to:

- Personally acting fraudulently or dishonestly or in a manner that adversely affects the Company's reputation or is characterised as gross misconduct.
- Directing an employee, contractor or adviser to act fraudulently, dishonestly, or to undertake other misconduct.
- Receiving an STI or LTI award because of fraud, dishonesty or a breach of obligation committed by another person.
- Receiving an STI or LTI award because of an intentional error in calculating a performance measure.

Remuneration policy *(continued)*

Recruitment, contracts and termination

Recruitment

When recruiting new executives, a comparative benchmarking exercise is done to determine the size, nature and complexity of the role and the availability of skills before making a competitive offer.

For new appointments, the Committee may consider compensation for remuneration forfeited by the appointee (STI, LTI, or any other relevant and valid element). The intention is not to grant more than what the appointee would have received from the Company in a 12-month period.

The Committee has the discretion to compensate at higher values if it can be demonstrated through a fair-value valuation that the forfeited amounts exceed the value of the grants. The Committee compensates the forfeitures through a combination of equity and cash.

Famous Brands has a formal Recruitment and Selection Policy.

Sign-on

Sign-on bonuses are paid at the discretion of executive management and the Committee.

Service contracts

All executive team members have permanent employment contracts that entitle them to standard Group benefits as defined by their specific region and participation in the Company's STI and LTI.

In exceptional situations, an executive team member can be appointed on a fixed-term contract.

Employee contracts contain defined termination notice periods, and the executive management team has a three-month notice period.

Termination

The executive management team typically does not have fixed-term contracts; their employment contracts are open-ended. Exceptions include where prescribed retirement ages apply or where specific circumstances justify the appointment on a fixed-term basis.

The incentive scheme rules are clear on the termination provisions by termination category. In the event of termination, the Company may allow the employee to either work out their notice period or pay the TCC for the stipulated notice period in lieu of notice.

Employment contracts do not obligate Famous Brands to pay special severance or compensation upon termination of employment contracts arising from failure or incapacity to perform, or underperformance against contracted objectives.

Voluntary resignation	Dismissal/termination for cause	Normal and early retirement, retrenchment and death	Mutual separation
Base salary			
Paid over the notice period or as a lump sum.	Paid up to the date of dismissal (exit date).	Paid up to the date of retirement or death or for a defined period based on policy and legislation governing retrenchment conditions. Death benefits are paid to the spouse (if relevant).	Paid over the notice period, as a lump sum, or per agreement to remain on the payroll until the agreed date.
Retirement fund			
Provident fund contributions for the notice period will be paid. The lump sum does not include provident fund contributions unless contractually agreed.	Contributions to the provident fund will be paid until employment ceases.		Provident fund contributions for the notice period will be paid.
Medical provisions			
Where applicable, medical provision for the notice period will be paid.	Medical provision/payment will be provided until employment ceases.	Medical provision/payment will be provided until employment ceases. Subject to the medical aid rules, the employee can become a direct paying medical aid member.	Medical provision for the notice period will be paid; the lump sum can include medical fund employee contributions if contractually agreed.
Benefits			
Applicable benefits may continue to be provided during the notice period but will not be paid on a lump-sum basis.	Benefits will fall away when employment ceases.	Applicable benefits may continue to be provided during the notice period.	

Remuneration policy *(continued)*

Voluntary resignation	Dismissal/termination for cause	Normal and early retirement, retrenchment and death	Mutual separation
STI			
No STI		No bonus, but Committee has the discretion to award pro-rata STI.	
Sign-on or retention deferred bonuses			
Lapse all deferred bonuses.		Pro-rata deferred bonuses based on the length of employment from the date of allocation.	The Committee determines whether a pro-rata portion may be granted. A work-back clause may not apply.
Sign-on bonus work-back clause will apply – i.e. if not worked back in full, pro-rata repayment.			
LTI			
Unvested shares will lapse in their entirety.	Lapse of all unexercised and unvested shares; vested shares will be unaffected.	Pro-rata unvested LTIs are based on the length of employment from the date of the offer. Performance conditions are tested over the full performance period and vest on the normal vesting dates. (In case of death, test performance as per the latest results applies immediate vesting).	The Committee determines whether a pro-rata portion may be granted (or the Board in the case of the executive directors). Performance conditions are tested over the full performance period and vest on the normal vesting dates.

Minimum shareholding requirements

Executive directors are required to build and maintain a minimum holding of Famous Brands shares. They may sell only up to 50% of their shares that vest until they have reached their minimum shareholding requirement. The CEO must hold 200% of their TCC, and the Group Financial Director must hold 100% of their TCC.

% of TTC

Non-executive directors' fees

Non-executive directors receive formal letters of appointment and are compensated in accordance with their role. The policy is applied using the following principles:

- Directors receive a flat fee and are not paid for meeting attendance.
- Fees are reviewed annually, and increases are implemented in June following approval by shareholders at the AGM.
- The level of fees is set using a comparable benchmark group derived from companies with similar size, complexity, and geographic spread.
- The non-executive directors are not eligible to receive any short or long-term incentives.

Implementation report

Our implementation report sets out our remuneration outcomes for 2025. We explain how our Remuneration Policy was applied during the year, as well as the linkage between pay and performance in our short-term and long-term rewards. This implementation report is subject to a non-binding advisory vote at the AGM in July 2025.

The implementation report provides a breakdown of the executive and non-executive directors' remuneration. The Committee applies the prescribed officer definition as "executive management" per King IV. It has been determined that of the Exco, only Darren Hele (CEO) and Nelisiwe Shiluvana (Group Financial Director) meet the definition. The Remuneration Committee confirms that there were no deviations from the Remuneration Policy in 2025.

Executive directors' remuneration and performance

CEO

Darren Hele (54)
BCom

As per the amendments to the Companies Act, we confirm that the CEO is our highest paid employee.

Individual scorecard

	Key performance measure (KPM)	Weighting	Review
1	Execute the Group's F24 one-year action plan, as signed off by the Board, on all agreed-upon deliverables and timeframes.	50	Met = 50
2	Oversee success of "Munch" investment in terms of groups wider consumer tech goals and financial constraints	5	Met = 5
3	Ensure alignment toward the Group's wider goals laid out in the approved three-year (F25-F27) plan.	25	Met = 25
4	Execute project Eskimo on time and in budget. If project does not proceed then alternate plan to be approved and agreed.	10	Exceeded = 12
5	Special projects	10	Not met = 8
Total		100	

Share appreciation rights

The final tranche of the 2019 SARS vested in June 2024 but were below the strike price and therefore could not be exercised. The second tranche of the 2020 SARs which were issued at a strike price of R34.96 vested on 1 June 2024 at a 30-day VWAP of R52.29 and were exercised. The 2021 SARS were issued at a 30-day VWAP of R56.66, which was below the strike price and therefore could not be exercised.

Retention shares

The vesting conditions in respect of the retention shares were met in respect of the 2019, 2020, and 2021 retention share grants.

Share options

The share options issues in terms of the 2012 Share Option Scheme lapsed in November 2024.

Total reward

Awarded (R'000)	2025	2024
Salary	**5 577**	5 335
Provident fund contributions and payments	**511**	485
Other benefits	**319**	376
Total fixed earnings	**6405**	6 196
STI	**4 423***	4 649**
LTI	**2 929**	4 684**
Total awarded remuneration	**13 759**	15 529

* *Relates to 2024 performance.*

** *Relates to 2023 performance.*

*** *Total RS and SARs that vested in June 2023.*

Implementation report *(continued)*

Unvested awards made to the CEO during prior years and 2025

Year awarded	Number of awards	Unvested number of awards	*Value at 28 February 2025 (R'000)
2020 SAR @ R34.96	222 070	111 036	2 821#
2020 RS	18 336	9 168	553
2021 SAR @ R56.66	205 530	137 020	508
2021 RS	16 970	11 314	683
2023 PS	112 668	112 668	6 802#
2024 PS	151 634	151 634	9 154#

* 30-DAY VWAP @ 28 February 2025 was R60.40.
\# Based on 100% vesting.

Group Financial Director

Nelisiwe Shiluvana (45)
CA(SA) with SAICA and ACMA, CGMA with CIMA

Individual scorecard

	Key performance measure (KPM)	Review
1	People management	Exceeded
2	Monthly results and budgeting	Exceeded
3	Enable business	Met
4	Maintain sufficient funding with the right profile and improved pricing	Exceeded
5	Financial reporting	Exceeded
6	Internal controls over reporting (IFCR)	Met
Total		3.73

Awarded (R'000)	2025	2024
Salary	**3 482**	1 943
Provident fund contributions and payments	**397**	222
Other benefits	**92**	52
Total fixed earnings	**3971**	2 217
STI	**1 894**	
Total awarded remuneration	**5 865**	2 217

* *Nelisiwe Shiluvana was appointed as Group Financial Director and executive on 1 August 2023. No LTI awards vested during the reporting period.*

Unvested awards made to the Group Financial Director during 2025

Year awarded	Number of awards	*Value at 28 February 2025 (R'000)
PSP – June 2023	12 207	737
PSP – June 2024	82 397	4 974
RS – 1 November 2021	1 331	80
RS – June 2022	2 467	149
RS – June 2023	4 069	246
SAR – 1 November 2021 @R61.16	15 802	0
SAR – June 2022	29 294	59

Implementation report *(continued)*

The Group Scorecard FY2025 performance outcomes

The Group Scorecard is used to determine STIs and includes financial and non-financial metrics. Our performance outcomes for FY2025 are included below.

KPAs	Sub-KPA	Performance outcomes
Financial performance (50% weighting)	HEPS in cents	Achieved (Threshold 95%) In FY2025, HEPS grew 11.7% to 519 cents (2024: 465 cents)
Operational plan performance (10% weighting)	Build of Midrand phase 1 (cold storage facility) on track for May 2025 (50%) On budget (50%)	Achieved The new cold storage facility was operational by 1 June 2025
	Finance consolidation: SAGE X3 ERP implemented for Wimpy UK	Achieved The implementation was completed
Market share and customer (20% weighting)	Google ratings – Leading Brands (Excluding SADC)	Achieved – stretch target The Leading Brands' portfolio achieved Google ratings of between 4.2 and 4.5 in South Africa
	Google ratings – Fun Dining brands[1]	Achieved – stretch target The Fun Dining portfolio achieved Google ratings of either 4.3 or 4.4
	Google ratings – AME (Excluding UACR)	Achieved Our top four markets achieved Google ratings of 4.1
	Leading Brands SA net store growth	Not achieved The net store growth for Leading Brands in South Africa was 78
	Leading Brands SADC net store growth	Not achieved The net store growth for Leading Brands in SADC was 18
	AME net store growth (Excluding UACR)	Not achieved The number of stores in AME declined by 7 by the end of FY2025
	UK net store growth	Not achieved The number of stores in the UK declined by two by the end of FY2025

1 *Our Fun Dining Brands are our bespoke CDR brands within our Signature Brands portfolio (Mythos, Lupa Osteria, Turn 'n Tender, SALSA).*

Implementation report *(continued)*

KPAs	Sub-KPA	Performance outcomes
People performance (10% weighting)	Voice your View score for administration employees	Not achieved – the score for 2025 was 77%
	Bargaining Unit Voice Your View	Not achieved – the score for 2025 was 56%
	Exco succession	Achieved – 6 successors in place for 8 Exco positions
	Executive stability ratio	Achieved
Transformation and ESG (10% weighting)	B-BBEE rating	Achieved a Level 1 B-BBEE status
	Management control (Employment Equity)	Achieved We received 17.69 points for management control
	Enterprise and supplier development	Achieved We received 38.98 points for enterprise and supplier development
	Injury on duty (IOD)	Achieved Zero fatalities and 8.2% reduction in LTIs and 10% increase in minor injuries vs FY2024 base
	Meet sustainability targets set for year one of the new five-year plan as approved by the Social and Ethics Committee	Not achieved Overall GHG emissions (Scope 1,2,3) reduced 4% to 51 077 888 tCO_2e
		Not achieved Water usage was 337 527 kilolitres. This was impacted by the decision not to implement a water recovery plant at Famous Brands Cheese Company.

Implementation report *(continued)*

LTI vesting in 2025

In June 2024, the 2019, 2020 and 2021 retention and SARs share allocations awarded in terms of the 2015 LTI Share Scheme vested. Both SARS and retention shares are subject to continued employment, while SARs are also subject to performance conditions as required by the rules of the scheme. Read more about the SARs performance conditions on page 146.

Famous Brands purchases the shares on the open market rather than issuing new shares based on feedback received from some shareholders that they would prefer the Company or scheme to purchase shares rather than issue new shares because of the potential dilutionary effect.

SARS awards

Vesting of the SARs awards requires an assessment of the vesting price (30-day VWAP to date of vesting) to determine if it exceeds the strike price and the performance conditions to determine if they have been met. If the vesting price exceeds the strike price and the performance conditions have been met, then the SARS vest and are exercisable.

The final tranche of the 2019 SARS vested on 1 June 2024 but were below the strike price. The second tranche of the 2020 SARs vested on 1 June 2024 at a 30-day VWAP of R52.29 and were exercised. The first tranche of the 2021 SARS vested on 1 June 2024 at 30-day VWAP of R56.66, which was below the strike price.

For the 2020 SARs grants, 87% of the performance conditions were achieved, and therefore, 87% of the 2020 SARs awards vested. The 646 793 2020 SARs grants awarded were exercised and 562 710 shares were purchased and issued to 35 participants at a total value of R8,873,935 (before tax).

Retention shares

The required vesting conditions for the retention share grants for 2019, 2020, and 2021 were met. In June 2024:

- For the 2019 retention shares awarded, 70 281 shares were issued to 29 participants at a total value of R3 565 355.13.
- For the 2020 retention shares awarded, 54 191 were issued to 35 participants at a total value of R2 133 145.77.
- For 2021 retention shares awarded, 39 451 were issued to 44 participants at a total value of R2 001 349.23.

Employee remuneration

In 2025, we paid our employees R1.14 billion in remuneration and incentives (2024: R1.09 billion). The Companies Amendment Act 16 of 2024 requires companies to disclose more details regarding employee remuneration. Although these provisions are not yet in effect, in the interest of transparency, we are disclosing the following employee remuneration statistics.

R76 316.97	Total remuneration[1] of the employee with the lowest remuneration
R391 816.91	The Group's average remuneration
R259 205.00	Median remuneration of all employees[2]
22 times	Our remuneration gap between the ratio of the top 5% and the lowest 5% of employees

Non-executive directors' fees

The Board determines fees to non-executive directors for membership on the Board and its Committees. The Board is of the opinion that such fees are market-related and commensurate with the time and effort required by the directors to undertake their duties. No additional consultancy fees were paid to non-executive directors in 2025.

Non-executive directors	2025 (R'000)	2024 (R'000)
NJ Adami*	**279**	625
SL Botha*	**504**	1 088
CH Boulle (Chairman)**	**1 261**	1 027
N Halamandaris	**675**	596
JL Halamandres***	**–**	151
AK Maditse	**869**	760
B Mathe	**822**	675
T Mosololi	**704**	636
WP Mzimba****	**734**	240
F Petersen-Cook	**986**	825
Total	**6 834**	6 623

* *Resigned from the Board on 26 July 2024.*
** *Appointed Chairman on 26 July 2024.*
*** *Resigned from the Board on 20 July 2023.*
**** *Appointed to the Board on 1 October 2023.*

1 *This refers to TCC as well as employer contributions to STIs and LTIs.*
2 *Median remuneration refers to the middle value when all employee salaries are ranked from lowest to highest. Half the employees earn less than this value, and half earn more.*

An invitation from our Chairman

> Our financial and operational performance for 2025 demonstrates our resilience in a challenging social and economic context. Despite these pressures, we continued to make strides towards achieving our key strategic objectives.

Chris Boulle

Dear shareholder,

On behalf of the Board, we invite you to attend the 2025 AGM, which will be held at 478 James Crescent, Halfway House Midrand, at 14:00 on Friday, 25 July 2025. Shareholders are encouraged to attend and participate in the AGM using the details set out in the Voting Process section.

This detailed Notice of AGM sets out the business to be conducted at the meeting. Also included in this document is the form of proxy and additional information to assist shareholders in their decision-making.

The AGM provides the Board with the opportunity to present the Group's performance for the 2025 financial year to our shareholders. The Chairmen of the various Board Committees, senior management and the Company's external auditors will contribute, and be available to engage with shareholders and respond to their questions.

Casting informed votes

The full audited consolidated AFS for the year ended 28 February 2025 is available on the Company's website at www.famousbrands.co.za. Read more about our financial performance for 2025 on page 49, execution against strategy on page 43, the performance of our Brands on page 55, and our Supply Chain on page 66.

Voting by proxy

The Board recognises the importance of our shareholders' attendance and encourages your participation at the AGM. If you are unable to attend and participate, you may vote by proxy in accordance with the instructions this Notice. The form of proxy is available on the Company's website: www.famousbrands.co.za.

Your questions

You are welcome to forward any questions you would like to address to the Board in advance. These will be responded to via email. Please send your questions through by 14:00 on Wednesday, 23 July 2025. Enquiries should be sent to the Group Company Secretary on: companysecretary@famousbrands.co.za or investorrelations@famousbrands.co.za.

Considering our commitment to limiting our environmental footprint, printed copies of our reports will only be made available to shareholders on request.

I look forward to welcoming you at the AGM.

Chris Boulle
Independent non-executive Chairman

20 June 2025

Notice of AGM

Famous Brands Limited
(Incorporated in the Republic of South Africa)
Registration number 1969/004875/06
JSE and A2X code: FBR ISIN: ZAE000053328
(Famous Brands or the Company)

Date of issue: 20 June 2025

Notice is hereby given in terms of section 62(1) of the Companies Act, No. 71 of 2008, as amended (the Companies Act) that the thirty-first (31st) Annual General Meeting of the shareholders of the Company will be held on Friday, 25 July 2025, at 14:00 (South African time).

This document is important and requires your immediate attention

If you are in any doubt about the action you should take, consult your broker, Central Securities Depository Participant (CSDP), banker, financial adviser, accountant or other professional adviser immediately.

The Notice is only available in English. Copies may be obtained from the registered office of the Company and the transfer secretaries, Computershare Investor Services (Pty) Limited (Computershare).

The purpose of the AGM

The purpose of the meeting is to:

- Present the Group's audited AFS for the year ended 28 February 2025, including the Directors' report, the Audit and Risk Committee report, the independent auditor's report, and the summary of the AFS.
- Present the Social and Ethics Committee report for the year ended 28 February 2025 in terms of regulation 43 of the Companies Act Regulations.
- Consider and, if deemed fit, pass, with or without modification, the ordinary and special resolutions as set out in this Notice.

Record date of proxies and voting

	Date
Date for publishing of Notice	Fri, 20 June 2025
Last day to trade to be eligible to attend and vote at the AGM	Tues, 15 July 2025
Record date to be eligible to participate in and vote at the AGM	Fri, 18 July 2025
Forms of proxy to be lodged with Computershare by no later than 14:00 on	Wed, 23 July 2025
Publication of results of the AGM	Fri, 25 July 2025

Quorum and voting requirements

For purposes of considering the resolutions to be proposed at the AGM, a quorum will consist of three shareholders of the Company, personally present or represented by proxy, and entitled to vote. In addition, a quorum shall comprise 25% of all voting rights entitled to be exercised by shareholders in respect of the proposed resolutions.

Every shareholder of the Company, present or represented by proxy, shall receive one vote for every share held in the Company by such a shareholder. The voting will be conducted by way of a poll.

Unless specifically stated otherwise, an ordinary or special resolution must be supported by more than 50% and 75% of shareholders, respectively. This includes shareholders present or represented by proxy at the AGM.

By order of the Board

Celeste Appollis
Company Secretary

20 June 2025

Part A – presentation of AFS, Audit and Risk Committee Report and Social and Ethics Committee Report

Presentation of the AFS and Audit and Risk Committee Report

To present the consolidated audited AFS of the Company and its subsidiaries as approved by the Board, together with the reports of the directors, Audit and Risk Committee, and external auditors of the Company for the year ended 28 February 2025.

The full audited consolidated AFS for the year ended 28 February 2025 is available on the Company's website at www.famousbrands.co.za.

Report of the Social and Ethics Committee

The report of the Social and Ethics Committee for the year ended 28 February 2025, as set out on page 124 to 126 of this report, is presented to shareholders as required in terms of Regulation 43 of the Companies Act.

During the review period, the Social and Ethics Committee, together with the Social and Ethics Working Group, worked on matters related to:

- Social, health and the environment
- Human capital and employment equity
- Preferential procurement
- Community development and CSI
- Reducing our environmental impact

Read more a on page 124.

Part B – Ordinary resolutions

Ordinary resolution number 1 – Adoption of the AFS

To receive and consider the audited consolidated AFS for the year ending 28 February 2025

"RESOLVED THAT the audited consolidated AFS of the Company and its subsidiaries, together with the auditors', Audit and Risk Committee's and Directors' reports for the year ended 28 February 2025, be and are hereby received and adopted."

The full audited consolidated AFS for the year ended 28 February 2025 is available on the Company's website at www.famousbrands.co.za.

Ordinary resolution number 2 – Re-appointment of external auditors

To re-appoint KPMG as the Company's independent auditors, to hold office until the conclusion of the next AGM. The Audit and Risk Committee has recommended the reappointment of KPMG as the Company's auditors. Ms Brenda Jajula is the lead audit partner and was appointed in 2025. The Audit Committee has concluded that the appointment of KPMG as the Company's auditors complies with the requirements of section 90 of the Companies Act and the regulations and accordingly nominates KPMG for re-appointment as the Company's auditors.

"RESOLVED THAT KPMG be and are hereby appointed auditors of the Company."

The auditor's profile can be found on page 161.

Ordinary resolutions number 3.1 and 3.2 – Election of directors

Mr Alex Maditse, Ms Busisiwe Mathe and Mr Nicolaos Halamandaris are obliged to retire at this annual general meeting in accordance with the Company's Memorandum of Incorporation (MOI). Having so retired, they are eligible for re-election as directors.

3.1 "RESOLVED THAT Mr Alex Maditse is hereby re-elected as a director of the Company."

3.2 "RESOLVED THAT Ms Busisiwe Mathe is hereby re-elected as a director of the Company."

3.3 "RESOLVED THAT Mr Nicolaos Halamandaris is hereby re-elected as a director of the Company."

Brief résumés of the directors up for re-election to the Board can be found on page 112.

Ordinary resolution number 4 – Election of the members of the Audit and Risk Committee

To elect the following independent non-executive directors as members of the Company's Audit and Risk Committee, to hold office until the end of the next AGM.

4.1 "RESOLVED THAT Ms Busisiwe Mathe be and is hereby re-elected as a member of the Company's Audit and Risk Committee with effect from the end of the AGM, subject to the passing of ordinary resolution 3.2."

4.2 "RESOLVED THAT Mr Thabo Mosololi be and is hereby re-elected as a member of the Company's Audit and Risk Committee with effect from the end of the AGM."

4.3 "RESOLVED THAT Ms Fagmeedah Petersen-Cook be and is hereby re-elected as a member of the Company's Audit and Risk Committee with effect from the end of the AGM."

Brief résumés of the Directors up for rotation onto the Audit and Risk Committee can be found on page 112.

Notice of AGM *(continued)*

Ordinary resolution number 5 – Election of the members of the Social and Ethics Committee

To elect the following directors as members of the Company's Social and Ethics Committee, to hold office until the end of the next AGM.

5.1 "RESOLVED THAT Mr Alex Maditse be and is hereby elected as a member of the Company's Social and Ethics Committee with effect from the end of the AGM, subject to the passing of ordinary resolution 3.1."

5.2 "RESOLVED THAT Ms Busisiwe Mathe be and is hereby elected as a member of the Company's Social and Ethics Committee with effect from the end of the AGM, subject to the passing of ordinary resolution 3.2."

5.3 "RESOLVED THAT Mr William Mzimba be and is hereby elected as a member of the Company's Social and Ethics Committee with effect from the end of the AGM."

5.4 "RESOLVED THAT Mr Nicolaos Halamandaris be and is hereby elected as a member of the Company's Social and Ethics Committee with effect from the end of the AGM, subject to the passing of ordinary resolution 3.3."

5.5 "RESOLVED THAT Mr Darren Paul Hele be and is hereby elected as a member of the Company's Social and Ethics Committee with effect from the end of the AGM."

Ordinary resolution number 6 – General authority

To authorise any director or the Company Secretary to execute and sign any documentation that may be required to be signed in order to implement resolutions passed at the AGM.

"RESOLVED THAT any director of the Company and/or the Company Secretary be and are hereby authorised to execute all documents and to do all such further acts and things as they may in their discretion consider appropriate to implement the ordinary and special resolutions set out in the Notice if approved by the shareholders."

Non-binding advisory resolutions

Resolution number 7 – Approval of the Remuneration Policy

To consider and approve by way of a non-binding advisory resolution, the Company's Remuneration Policy, as set out on pages 137 to 148 of this report. King IV and the JSE Listings Requirements recommend that a separate non-binding advisory vote should be obtained from shareholders on the Company's Remuneration Policy. This vote enables shareholders to express their views on the Company's Remuneration Policy.

"RESOLVED THAT the Remuneration Policy for the year ended 28 February 2025 be and is hereby approved."

The Remuneration Policy can be found on page 137.

Ordinary resolution number 8 – Approval of the Remuneration Implementation Report

To consider and approve by way of a non-binding advisory resolution, the Remuneration Implementation Report, as set out on page 149 of this report. King IV and the JSE Listings Requirements recommend that a separate non-binding advisory vote should be obtained from shareholders on the Implementation Report of the Company's Remuneration Policy. This vote enables shareholders to express their views on the extent of implementation of the Company's Remuneration Policy.

"RESOLVED THAT the Remuneration Implementation Report for the year ended 28 February 2025 be and is hereby approved."

Reason for and effect of non-binding advisory votes 7 and 8

These resolutions are tabled in accordance with the JSE Listings Requirements and the King IV recommendation that the Company obtains a non-binding advisory vote by shareholders at the AGM on the Remuneration Policy and the remuneration Implementation Report applicable to all employees and directors of the Company and any of its subsidiaries or divisions. Failure to pass these resolutions will not have legal consequences relating to the existing arrangements. However, the Board will take the outcome of the vote into consideration when assessing Famous Brands' Remuneration Policy and will engage with shareholders with a view of obtaining an understanding of shareholders' concerns with the Remuneration Policy and/or Implementation Report.

The Implementation Report can be found on page 149.

Part C – Special resolutions

Special resolution number 1 – Approval of remuneration payable to Non-executive Directors and the Chairman

To approve, by way of separate resolutions, the remuneration payable to non-executive directors and the Chairman of the Board as outlined below:

1.1 "RESOLVED THAT the remuneration payable to non-executive directors be R448 660 per annum."

1.2 "RESOLVED THAT the remuneration payable to the Chairman of the Board be R762 381 per annum."

1.3 "RESOLVED THAT the remuneration payable to the Lead Independent Director be R84 000 per annum."

1.4 "RESOLVED THAT the remuneration payable to the Chairman of the Audit and Risk Committee be R238 241 per annum."

1.5 "RESOLVED THAT the remuneration payable to the members of the Audit and Risk Committee be R169 946 per annum."

1.6 "RESOLVED THAT the remuneration payable to the Chairman of the Remuneration Committee be R171 534 per annum."

1.7 "RESOLVED THAT the remuneration payable to the members of the Remuneration Committee be R135 957 per annum."

1.8 "RESOLVED THAT the remuneration payable to the Chairman of the Nomination Committee be R 127 063 per annum."

1.9 "RESOLVED THAT the remuneration payable to the members of the Nomination Committee be R127 063 per annum."

1.10 "RESOLVED THAT the remuneration payable to the Chairman of the Social and Ethics Committee be R163 148 per annum."

1.11 "RESOLVED THAT the remuneration payable to the members of the Social and Ethics Committee be R135 958 per annum."

1.12 "RESOLVED THAT the remuneration payable to the Chairman of the Investment Committee be R46 746 per meeting."

1.13 "RESOLVED THAT the remuneration payable to non-executive directors attending Investment Committee or unscheduled Committee meetings be R31 764 per meeting."

1.14 "RESOLVED THAT the remuneration payable to a non-executive director who sits as Chairman of a partially owned subsidiary or associate company be R41 295 per meeting."

1.15 "RESOLVED THAT the remuneration payable to a non-executive director who sits as a director on a partially owned subsidiary or associate company be R25 402 per meeting."

1.16 "RESOLVED THAT the remuneration payable to a non-executive director for any additional meetings and/or consulting services rendered be R3 053 per hour."

The amounts in resolutions 1.1 to 1.15 are exclusive of VAT. For clarity, to the extent that VAT is applicable, the Company is authorised to pay the VAT in addition to the proposed remuneration. The above remuneration will be effective from 1 June 2025 and paid quarterly in arrears.

The fees in respect of special resolutions 1.1 to 1.11 are based on a fixed fee payable.

The fees in respect of special resolutions 1.12 to 1.15 are based on attendance only.

The fees in respect of special resolution 1.16 shall be subject to prior approval of the Board.

Reason for and effect of special resolution number 1

The reason for proposing special resolution number 1 is to increase the remuneration paid to non-executive directors, in respect of services rendered as directors in terms of section 66 of the Companies Act.

The proposed remuneration was proposed and accepted by the Board upon recommendation by the Remuneration Committee, which had considered the quantum of fees being paid to non-executive directors and to the Chairman. The proposed fees, therefore, reflect an increase of 5% on the fees paid in the previous year.

The Implementation Report can be found on page 149.

Special resolution number 2 – General authority to repurchase shares

"RESOLVED THAT the Company approves, as a general approval contemplated in section 48 of the Act, the acquisition by the Company (or by a subsidiary of the Company) of ordinary shares issued of the Company on such terms and conditions and in such amounts as the directors of the Company may decide, but subject always to the provisions of the Companies Act and the JSE Listings Requirements, which general approval shall endure until the next AGM of the Company (when this approval shall lapse unless it is renewed at that AGM, provided that it shall not extend beyond 15 (fifteen) months from the date of this special resolution, whichever period is shorter), subject to the following limitations:

- The repurchase of securities is implemented through the order book of the JSE's trading system, without any prior understanding or arrangement between the Company and the counterpart;
- The Company is so authorised by its MOI;
- The general purchase is limited to a maximum of 5% (five percent) in aggregate of the Company's issued share capital in any one financial year;

- The general purchase by the subsidiaries of the Company is limited to a maximum of 5% (five percent) in aggregate of the Company's issued share capital;
- The general purchase is not made at a price greater than 10% (ten percent) above the weighted average of the market value for the securities of the five business days immediately preceding the date on which the transaction was effected;
- The repurchase does not take place during a prohibited period as defined in paragraph 3.67 of the JSE Listings Requirements unless there is a repurchase programme in place and the dates and quantities of shares to be repurchased during the prohibited period are fixed (not subject to any variation) and has been submitted to the JSE in writing prior to the commencement of the prohibited period. The issuer must instruct an independent third party, which makes its investment decisions in relation to the issuer's securities independently of, and uninfluenced by, the issuer, prior to the commencement of the prohibited period, to execute the repurchase programme submitted to the JSE;
- The Company publishes an announcement after it or its subsidiaries has cumulatively acquired 3% (three percent) of the number of ordinary shares in issue at the time that the shareholders' authority for the purchase is granted and for each 3% (three percent) in aggregate of the initial number acquired thereafter; and
- The Company appoints only one agent at any point in time to effect any repurchases on its behalf. After considering the aggregate effect of the maximum repurchase, the directors of the Company are of the opinion that for a period of 12 (twelve) months after the date of this Notice:
  - The Company or the relevant company's subsidiaries (the Group) shall satisfy the solvency and liquidity test in the manner contemplated by the Companies Act and the JSE Listings Requirements;
  - The Company and the Group will be able, in the ordinary course of business, to repay their debt;
  - The assets of the Company and the Group, fairly valued in accordance with IFRS, will be in excess of the liabilities of the Company and the Group;
  - The share capital and reserves of the Company and the Group will be adequate for ordinary business purposes; and
  - The working capital of the Company and the Group will be adequate for ordinary business purposes."

Reason for and effect of special resolution number 2

The purpose of this resolution is to authorise the Company and its subsidiaries, by way of general approval, to acquire the Company's issued ordinary shares on terms and conditions and in amounts to be determined by the directors of the Company, subject to certain statutory provisions and the JSE Listings Requirements.

Material changes

There have been no material changes in the financial or trading position of the Group since the publication of the AFS for the year ended 28 February 2025 and the date of this Notice.

The full Group Annual Financial Statements for the year ended 28 February 2025 is available on the Company's website at www.famousbrands.co.za.

Directors' responsibility statement

The directors, whose names appear on pages 112 to 114 of this report, collectively and individually accept full responsibility for the accuracy of the information given in this special resolution number 2 and certify to the best of their knowledge and belief, that there are no other facts, the omission of which would make any statement false or misleading, that they have made all reasonable enquiries in this regard and that this resolution contains all information required by law and the JSE Listings Requirements.

Statement of intent

The Board will only implement a general repurchase of the Company's shares if all relevant prevailing circumstances warrant such a decision.

Special resolution number 3 – financial assistance to related and inter-related companies

"RESOLVED THAT the Board may, subject to compliance with the requirements of the Company's MOI, the Companies Act, and the JSE Listings Requirements, where applicable, (including but not limited to the Board being satisfied that immediately after providing the financial assistance, the Company would satisfy the solvency and liquidity test, as contemplated in section 4 of the Companies Act, and that the terms under which the financial assistance is proposed to be given are fair and reasonable to the Company), authorise the provision by the Company, at any time and from time to time during the period of 2 (two) years commencing on the date of approval of this special resolution, of direct or indirect financial assistance, (including without limitation by way of a loan, a guarantee of a loan, subordination of a loan/claim or other obligation or the securing of a debt or other obligation), as envisaged in section 45 of the Companies Act, to any 1 (one) or more related or inter-related companies or corporations of the Company and/or to any 1 (one) or more members of any such related or inter-related company or corporation related to any such company or corporation as outlined in section 2 of the Companies Act, for any purpose in the normal course of business of the Company, on such terms and conditions as the Board may deem fit."

Reasons for and effect of special resolution number 3

The main purpose of this authority is to grant the Board the authority to enable the Company to provide financial assistance, when the need arises, to the potential recipients envisaged in the special resolution in accordance with the provisions of section 45 of the Companies Act. The Company may not provide the financial assistance contemplated in section 45 of the Companies Act without a special resolution. The above resolution provides the Board with the authority to allow the Company to provide direct or indirect financial assistance, including but without limitation by way of the provision of warranties or the provision of indemnities or a loan, guaranteeing of a loan or other obligation or securing of a debt or other obligation, to the recipients contemplated in special resolution number 3.

It is difficult to foresee the exact details of financial assistance that the Company may be required to provide over the next 2 (two) years.

However, the Company must be able to organise its internal financial administration effectively. The general authority in special resolution number 3 will allow the Company to continue to grant financial assistance to the relevant parties in appropriate circumstances.

For these reasons, and because it would be impracticable and difficult to obtain shareholder approval every time the Company wishes to provide financial assistance as contemplated above, it is necessary to obtain the approval of shareholders, as set out in special resolution number 1. If approved, this general authority will expire at the end of 2 (two) years from the date on which this resolution is approved. It is, however, the intention to renew the authority annually at each AGM of shareholders.

It should be noted that this resolution does not authorise financial assistance to a director, a prescribed officer, or any company or person related to a director or prescribed officer.

Notice in terms of s 45(5) of the Companies Act

The following resolution was approved by shareholders at the 2024 AGM:

"RESOLVED THAT the Board may, subject to compliance with the requirements of the Companies MOI, the Companies Act, and the JSE Listing Requirements, where applicable, (including but not limited to the Board being satisfied that immediately after providing the financial assistance, the Company would satisfied that immediately after providing the financial assistance, the Company would satisfy the solvency and liquidity test (as contemplated in section 4 of the Companies Act) and that the terms under which the financial assistance is proposed to be given are fair and reasonable to the Company), authorise the provision by the Company, at any time and from time to time during the period of 2 (two) years commencing on the date of approval of this special resolution, of direct or indirect financial assistance, (including without limitation by way of the loan, guarantee of the a loan, subordination of a loan/claim or other obligation or the securing of a debt of other obligation), as envisaged in section 45 of the Companies Act, to any 1 (one) or more related or inter-related companies or corporations of the Company and/or to any 1 (one) or more members of any such related of inter-related company or corporation as outline in section 2 of the Companies Act, for any purpose in the normal course of business of the Company, on such terms and conditions as the Board may deem fit."

The Board has adopted a resolution approving the grant of financial assistance to Famous Brands Management Company (Pty) Limited, in the total sum of R1 781 million in the form of a guarantee provided under the Group debt facility agreement, and inter-company loans to related companies in the Group. The relevant provisions of the Companies Act and the JSE Listing Requirements, including the solvency and liquidity test, were satisfied each time a resolution of the Board was adopted for the provision of financial assistance by the Company. The terms under which the financial assistance was proposed to be given were fair and reasonable to the Company.

Special resolution number 4 – Amendment to the Memorandum of Incorporation

"RESOLVED THAT the existing Clause 21.6 of the MOI be deleted in its entirety and substituted with a new Clause 21.6, to read as follows:

21.6 "The annual general meeting of SHAREHOLDERS shall provide, at a minimum, for the following business to be transacted:

21.6.1 the presentation of —

21.6.1.1 the DIRECTORS' report;

21.6.1.2 the audited financial statements for the immediately preceding financial year;

21.6.1.3 an audit committee report;

21.6.1.4 social and ethics committee report; and

21.6.1.5 a remuneration report.

21.6.2 the election of DIRECTORS, to the extent required by the ACT and by clause 28.8 of this MOI;

21.6.3 the appointment of —

21.6.3.1 an auditor for the ensuing financial year;

21.6.3.2 the audit committee; and

21.6.3.3 the social and ethics committee; and

21.6.4 any matters raised by the SHAREHOLDERS, with or without advance notice to the COMPANY."

Reasons for and effect of special resolution number 4

The purpose of the special resolution in terms of Section 65(11)(a) of the Companies Act is to amend the provisions of the Memorandum of Incorporation ("MOI") of the Company in order to enable the Company to comply with the amendments to the Companies Act, as envisaged in the Companies Amendment Act 16 of 2024 and the Companies Amendment Act 17 of 2024, insofar as such amendments are effective from 27 December 2024.

Auditor profile

The Audit and Risk Committee appointed KPMG as the registered independent auditor for the financial year ended 28 February 2025 after satisfying itself that KPMG Inc. and Ms Brenda Jajula are independent as defined in the Companies Act and the Independent Regulatory Board for Auditors (IRBA) in terms of the Auditing Profession Act, No 26 of 2005 (Auditing Profession Act).

KPMG South Africa's professional services include audit, tax, legal and advisory services. Its clients include business corporations, governments, public sector agencies and not-for-profit organisations. They look to KPMG for a consistent standard of service based on high-order professional capabilities, industry insight and local knowledge. KPMG member firms can be found in over 140 countries. Collectively, they employ more than 145 000 people across a range of disciplines.

Through its audit quality plan, several market-leading initiatives have been implemented (Refer to the KPMG SA Transparency Report), including:

- A fully independent Board and three other fully independent non-executive members chairing board committees;
- A dedicated Audit Quality Committee to the Board; and
- Pro-active pre-issuance reviews of audits.

Ms Jajula has been a registered auditor with IRBA since 2017. She has been a member of the South African Institute of Chartered Accountants (SAICA) since 2010 and has 18 years of auditing experience. Client industries serviced include consumer markets (food and retail), hospitality, finance, technology, manufacturing, engineering and mining.

Voting process

Record dates, voting and proxies

Record dates

The record date on which shareholders must be recorded as such in the register of shareholders of the Company for the purposes of participating in and voting at the AGM is Friday 18 July 2025. The last day to trade in ordinary shares of the Company in order to be entitled to participate in and vote at the AGM is Tuesday, 15 July 2025.

Attendance, voting and proxies

Any member entitled to attend and vote at the AGM is entitled to appoint a proxy to attend, speak and vote on his/her behalf. The form of proxy should be completed by those shareholders who are:

- holding shares in certificated form; or
- "own-name" registered dematerialised shareholders.

All other beneficial owners who have dematerialised their shares through a Central Securities Depository Participant (CSDP) or broker and wish to attend the AGM, must instruct their CSDP or broker to provide them with a letter of representation, or they must provide the CSDP or broker with their voting instructions in terms of the relevant custody agreement entered into between them and the CSDP or broker.

Note that voting will be performed by way of a poll, unless before the vote is taken it is determined by the chairperson of the AGM that the vote be decided on a show of hands, so each shareholder present or represented by way of proxy will be entitled to 1 (one) vote for every ordinary share held or represented.

1. Attention is drawn to the notes attached to the form of proxy.
2. Forms of proxy must be lodged at, posted to, or faxed to the registered office of the Company at 478 James Crescent, Halfway House, Midrand, 1685 (registered office) or the Company's transfer secretaries, Computershare Investor Services Proprietary Limited, Rosebank Towers, 15 Biermann Avenue, Rosebank, 2196 or posted to the transfer secretaries at PO Box 61051, Marshalltown, 2107, South Africa (transfer secretaries), so as to be received by them by no later than 14:00 on Wednesday, 23 July 2025, provided that proxies which are not delivered timeously to the registered office or transfer secretaries, may be handed up to the Chairman of the AGM at any time before the proxy exercises any rights of the shareholder at the AGM. The completion of a form of proxy will not preclude a member from attending the AGM.
3. In terms of the Listings Requirements, as read with the Companies Act, and save where otherwise specified, 75% (seventy-five percent) of the votes cast by equities securities holders present or represented by proxy at the meeting must be cast in favour of the above special resolutions for them to be approved.
4. In terms of the Companies Act, a majority of the votes cast by shareholders present or represented by proxy at the meeting must be cast in favour of an ordinary resolution for it to be approved.
5. Section 63(1) of the Companies Act requires that meeting participants provide reasonably satisfactory identification. The Company will regard presentation of an original of a meeting participant's valid driving licence, identity document or passport to be satisfactory identification.

Transfer secretaries
Computershare Investor Services Proprietary Limited
Registration number 2004/003647/07
Rosebank Towers
15 Biermann Avenue
Rosebank
2196
South Africa

Private Bag X9000, Saxonwold, 2132, South Africa

Tel: +27 11 370 5000
Fax: +27 11 688 5248

By order of the Board

CD Appollis
Company Secretary

20 June 2025

Form of proxy

Famous Brands Limited
(Incorporated in the Republic of South Africa)
Registration number 1969/004875/06
JSE and A2X code: FBR ISIN: ZAE000053328
(Famous Brands or the Company)

For Famous Brands ordinary shareholders

- For use at the Annual General Meeting (AGM) of Famous Brands Limited to be held at 478 James Crescent, Halfway House, Midrand, on Friday, 25 July 2025, at 14:00, or any adjourned or postponed date and time determined in accordance with sections 64(4) and 64(11)(a)(i) of the Companies Act, No 71 of 2008, as amended (Companies Act).
- This form of proxy is not to be used by beneficial owners of shares who have dematerialised their shares (dematerialised shares) through a Central Securities Depository Participant (CSDP) or broker, as the case may be, unless you are recorded on the sub-register as an own-name dematerialised shareholder. Generally, you will not be an own-name dematerialised shareholder unless you have specifically requested your CSDP to record you as the holder of the shares in your own-name in the Company's sub-register.
- This form of proxy is only for use by certificated, own-name dematerialised shareholders and CSDPs or brokers (or their nominees) registered in the Company's sub-register as the holder of dematerialised ordinary shares.
- Each shareholder entitled to attend and vote at the AGM is entitled to appoint a proxy (who need not be a shareholder of the Company) to attend, participate in and speak and vote in place of that shareholder at the AGM, and at any adjournment thereafter.
- Please note the following – your rights as a shareholder at the AGM:
  - The appointment of the proxy is revocable; and
  - You may revoke the proxy appointment by (i) cancelling it in writing or making a later inconsistent appointment of a proxy; and (ii) delivering a copy of the revocation instrument to the proxy and to the Company.
- Please note that any shareholder of the Company that is a company may authorise any person to act as its representative at the AGM. Please also note that section 63(1) of the Companies Act requires that persons wishing to participate in the AGM (including the aforementioned representative) provide satisfactory identification before they may so participate. The Company will regard presentation of a meeting participant's valid driving licence, identity document or passport to be satisfactory identification.
- Note that voting will be performed by way of a poll so each shareholder present or represented by way of proxy will be entitled to 1 (one) vote for every ordinary share held or represented.

I/We, the undersigned:

(Name in block letter)

Of (insert address)

being a holder of shares in the issued share capital of the Company, entitled to vote

do hereby appoint:

or, failing him/her, the Chairman of the meeting, as my/our proxy to vote for me/us on my/our behalf at the AGM of shareholders of the Company to be held at 14:00 on Friday, 26 July 2025 and at any cancellation, postponement or adjournment thereof as follows:

* *(Indicate instructions to proxy by insertion of an "X" or the relevant number of votes exercisable by the member on a poll in the space provided in the table – see note 17.)*

	Number of votes		
Part B – Ordinary resolutions	***In favour of**	***Against**	***Abstain**
Ordinary resolution number 1 – adoption of audited consolidated annual financial statements			
Ordinary resolution number 2 – re-appointment of external auditors			
Ordinary resolutions numbers 3.1 to 3.2: re-election of Directors			
3.1 To re-elect Mr A Maditse as a director of the Company			
3.2 To re-elect Ms B Mathe as a director of the Company			
3.3 To re-elect Mr N Halamandaris as a director of the Company			
Ordinary resolution number 4 – election of members of the Audit and Risk Committee			
4.1 To elect Ms B Mathe as a member of the Audit and Risk Committee			
4.2 To elect Mr T Mosololi as a member of the Audit and Risk Committee			
4.3 To elect Ms F Petersen-Cook as a member of the Audit and Risk Committee			
Ordinary resolution number 5 – election of the Social and Ethics Committee			
5.1 To elect Mr A Maditse as a member of the Social and Ethics Committee			
5.2 To elect Ms B Mathe as a member of the Social and Ethics Committee			
5.3 To elect Mr W Mzimba as a member of the Social and Ethics Committee			
5.4 To elect Mr N Halamandaris as a member of the Social and Ethics Committee			
5.5 To elect Mr DP Hele as a member of the Social and Ethics Committee			
Ordinary resolution number 6 – general authority			
Non-binding advisory votes			
Resolution number 7 – approval of the Remuneration Policy			
Resolution number 8 – approval of the Remuneration Implementation Report			
Part C – Special resolutions			
Special resolution number 1 – approval of remuneration payable to non-executive directors and the Chairman			
1.1 Remuneration payable to non-executive directors			
1.2 Remuneration payable to the Chairman of the Board			
1.3 Remuneration payable to the Lead Independent Director			
1.4 Remuneration payable to the Chairman of the Audit and Risk Committee			
1.5 Remuneration payable to the members of the Audit and Risk Committee			
1.6 Remuneration payable to the Chairman of the Remuneration Committee			
1.7 Remuneration payable to the members of the Remuneration Committee			
1.8 Remuneration payable to the Chairman of the Nomination Committee			
1.9 Remuneration payable to the members of the Nomination Committee			
1.10 Remuneration payable to the Chairman of the Social and Ethics Committee			
1.11 Remuneration payable to the members of the Social and Ethics Committee			
1.12 Remuneration payable to the Chairman of the Investment Committee			
1.13 Remuneration payable to non-executive directors attending Investment Committee or unscheduled Committee meetings			
1.14 Remuneration payable to a non-executive director who sits as Chairman of a partially owned subsidiary or associate company			
1.15 Remuneration payable to a non-executive director who sits as a director on a partially owned subsidiary or associate company			
1.16 Remuneration payable to a non-executive director for any additional meetings ~ and/or consulting services rendered			
Special resolution number 2 – general authority to repurchase shares			
Special resolution number 3 – financial assistance to related and inter-related companies			
Special resolution number 4 – amendment to the Memorandum of Incorporation			

and generally, to act as my/our proxy at the AGM. (If no directions are given, the proxy holder will be entitled to vote or to abstain from voting as that proxy holder deems fit).

Signed at on 2025

Signature assisted by me (where applicable)

(State capacity and full name)

Each member is entitled to appoint 1 (one) or more proxy/ies (who need not be a member of the Company) to attend, speak and vote in place of that member at the AGM.

Please read the notes on the following page.

Notes to form of proxy

(Including a summary of rights in terms of Section 58 of The Companies Act)

- Each shareholder may participate in the AGM via electronic format.
  - At any time, a shareholder of a company may appoint any individual as a proxy to participate in, and speak and vote at, the AGM on behalf of the shareholder.
  - An individual appointed as a proxy need not also be a shareholder of the Company.
  - The proxy appointment must be in writing, dated and signed by the shareholder.
  - Forms of proxy must be forwarded to reach the Company's transfer secretaries, Computershare Investor Services Pty Limited, Rosebank Towers,15 Biermann Avenue, Rosebank, 2196, or posted to the transfer secretaries at Private Bag X9000, Saxonwold, 2132, South Africa (transfer secretaries), or sent by email to proxy@computershare.co.za so as to be received by them by no later than 14:00 on Wednesday, 23 July 2025, provided that proxies which are not delivered timeously to the transfer secretaries, may be sent to the Chairman of the AGM, care of the transfer secretaries at proxy@computershare.co.za at any time before the proxy exercises any rights of the shareholder at the AGM.
  - The appointment of one or more proxies in accordance with the form of proxy to which these notes are attached will lapse and cease to be of force and effect immediately after the AGM of the Company to be held on Friday, 25 July 2025, at 14:00, or at any adjournment/(s) thereof, unless it is revoked earlier in accordance with paragraphs 7 and 8 below.
  - A shareholder may revoke the proxy appointment by: (i) cancelling it in writing, or making a later inconsistent appointment of a proxy; and (ii) delivering a copy of the revocation instrument to the proxy/(ies) and to the Company at the registered office, for attention of the Company Secretary, to be received before the replacement proxy exercises any rights of the shareholder at the AGM or any adjournment/(s) thereof.
  - The revocation of a proxy appointment constitutes a complete and final cancellation of the proxy/(ies)' authority to act on behalf of the shareholder as of the later of: (i) the date stated in the revocation instrument, if any; or (ii) the date on which the revocation instrument was delivered as required in paragraph 7(ii).
  - A shareholder can appoint one or more proxy/ies for the purposes of representing that shareholder at the AGM of the Company and at any adjournment/(s) thereof by completing and signing the form of proxy to which these notes are attached in accordance with the instructions it contains and returning it to the transfer secretaries, so as to be received by them by no later than 14:00 on Wednesday, 23 July and may be sent to the Chairman of the AGM, care of the transfer secretaries at proxy@computershare.co.za at any time before the proxy exercises any rights of the shareholder at a shareholders' meeting.
  - If the instrument appointing a proxy or proxies has been delivered to the Company in accordance with the provisions of paragraph 9, then, until that appointment lapses in accordance with the provisions of paragraph 6, any notice that is required in terms of the Companies Act, as amended from time to time or the Company's MOI to be delivered by the Company to the shareholder must be delivered by the Company to:
    - the shareholder;
    - the proxy or proxies, if the shareholder has: (i) directed the Company to do so, in writing; and (ii) paid any reasonable fee charged by the Company for doing so.
  - Section 63(1) of the Companies Act requires that meeting participants provide reasonably satisfactory identification. The Company will regard presentation of a meeting participant's valid driving licence, identity document or passport to be satisfactory identification.
  - Documentary evidence establishing the authority of a person who participates in, or speaks or votes at the AGM on behalf of a shareholder in a representative capacity, or who signs the form of proxy in a representative capacity, (for example, a certified copy of a duly passed directors' resolution in the case of a shareholder which is a company, a certified copy of a duly passed members' resolution in the case of a shareholder which is a close corporation and a certified copy of a duly passed trustees' resolution in the case of a shareholder who/which is/are a trust) must be presented to the person presiding at the AGM or attached to the form of proxy (as the case may be), and shall thereafter be retained by the Company.
  - It is recorded that, in accordance with section 63(6) of the Companies Act, if voting on a particular matter is by polling, a shareholder or a proxy for a shareholder has the number of votes determined in accordance with the voting rights associated with the securities held by that shareholder.
- Any insertions, deletions, alteration or correction made to the form of proxy must be initialled by the signatory/(ies). Any insertion, deletion, alteration or correction made to the form of proxy but not complying with the aforegoing will be deemed not to have been validly effected.
  - A shareholder may appoint two or more persons concurrently as proxies and may appoint more than one proxy to exercise voting rights attached to different securities held by the shareholder.
  - The person whose name stands first on the form of proxy and who is present at the AGM will be entitled to act as proxy to the exclusion of those whose names follow. If no names are indicated, the proxy shall be exercised by the Chairman of the AGM.
  - A shareholder's instructions to the proxy must be indicated by the insertion of an "X" or the relevant number of votes exercisable by that shareholder in the appropriate box provided. An "X" in the appropriate box indicates the maximum number of votes exercisable by that shareholder. Failure to comply with the above or to provide any voting instructions will be deemed to authorise the proxy to vote or to abstain from voting at the AGM as he/she/it deems fit in his/her/its discretion.
  - When there are joint holders of shares, any one holder may sign the form of proxy, and the vote of the senior shareholder (for which purpose seniority will be determined by the order in which the names of the shareholders appear in the Company's register) who tenders a vote (whether in person or by proxy) will be accepted to the exclusion of the vote/(s) of the other joint shareholders.
  - The completion and lodging of this form of proxy will not preclude the shareholder who appoints one or more proxy/(ies) from participating in the meeting and speaking and voting in person thereat to the exclusion of any proxy/(ies) appointed in terms of the form of proxy should such shareholder wish to do so. The appointment of any proxy/(ies) is suspended at any time and to the extent that the shareholder chooses to act directly and in person in the exercise of any rights as a shareholder.

Shareholder spread and diary

	2025			
	Number of share- holders	**% of total share- holdings**	**Number of shares**	**% of issued capital**
1 – 10 000	6 767	94.26	2 691 175	2.69
10 001 – 50 000	203	2.83	4 488 064	4.48
50 001 – 100 000	69	0.96	4 743 539	4.73
100 001 – 1 000 000	115	1.60	37 384 710	37.31
Over 1 000 000	25	0.35	50 894 796	50.79
Total	**7 179**	**100.00**	**100 202 284**	**100.00**
Distribution of shareholders				
Individuals	6 123	85.29	7 902 494	7.89
Insurance companies	4	0.06	1 192 716	1.19
Investment trusts	265	3.69	6 736 050	6.72
Other companies and corporate bodies	787	10.96	84 371 024	84.20
Total	**7 179**	**100.00**	**100 202 284**	**100.00**

* *Pursuant to the provisions of Section 56 of the Companies Act, 2008, disclosures from foreign nominee companies have been included in this analysis.*

Shareholder type				
Non-public shareholders	**7**	**0.10**	**6 870 331**	**6.86**
Directors and associates (Direct)	6	0.09	1 141 376	1.14
Directors and associates (Indirect)	1	0.01	5 728 955	5.72
Public shareholders	**7 172**	**99.90**	**93 331 953**	**93.14**
Total	**7 179**	**100**	**100 202 284**	**100.00**
Fund managers greater than 5% of the issued shares				
Camissa Asset Managers		–	16 135 979	16.10
Public Investment Corporation		–	10 214 649	10.19
36One Asset Management		–	8 336 049	8.32
Total	**–**	**–**	**34 686 677**	**34.61**
Direct and indirect beneficial shareholders greater than 5% of the issued shares (excluding directors)				
Government Employees Pension Fund		–	15 102 977	15.07
36 One Asset Management		–	5 106 735	5.10
Panis Trust		–	5 728 955	5.72
Total	**–**	**–**	**25 938 667**	**25.89**
Total number of shareholdings	**7 179**			
Total number of shares in issue			**100 202 284**	

Share Price Performance	
Opening Price 01 March 2024	**R56.46**
Closing Price 28 February 2025	**R56.33**
Closing High for period	**R69.87**
Closing Low for period	**R47.74**
Number of shares in issue	**100 202 284**
Volume traded during period	**64 032 509**
Ratio of volume traded to shares issued (%)	**63.90%**
Rand value traded during the period	**R3 627 189 746**
Price/earnings ratio as at 28 February 2025	**11.64**
Earnings yield as at 28 February 2025	**8.59**
Dividend yield as at 28 February 2025	**4.46**
Market capitalisation at 28 February 2025	**R5 644 394 658**

Shareholder diary	
Financial year-end	**29 February 2025**
AGM	**25 July 2025**
Reports	
Announcement of annual financial results for the year ended 29 February 2025	**19 May 2025**
2025 Publication of the IAR for the year ended 29 February 2025	**20 June 2025**
Announcement of interim results for the half-year ended 31 August 2025	**22 October 2025**

Performance against our SDGs

Primary SDGs

	5 GENDER EQUALITY **Achieve gender equality and empower all women and girls**	**Status**	**2022**	**2023**	**2024**	**2025**	**Target 2026**
5.5	Increase female representation at junior (50%), middle (50%) and senior management levels (40%)	Target	Junior – 47%	Junior – 48%	Junior – 49%	**Junior – 50%**	Junior – 50%
		Actual	46%	47.2%	48.3%		–
		Target	Middle – 45%	Middle – 46%	Middle – 47%	**Middle – 48%**	Middle – 50%
		Actual	44%	45.1%	47.25%		–
		Target	Senior – 28%	Senior – 30%	Senior – 32%	**Senior – 36%**	Senior – 40%
		Actual	26%	32%	38%		–
	Ensure that 50% of women participate in development programmes that assist them in growing, performing, being recognised and being promoted	Target	44%	46%	47%	**49%**	50%
		Actual	42%	47%	49%		–
5.a	Female representation of 40% or more at Board Level	Target	30%	30%	35%	**35%**	40%
		Actual	30%	30%	36.3%		–

	8 DECENT WORK AND ECONOMIC GROWTH **Promote sustained, inclusive and sustainable economic growth, full and productive employment and decent work for all**	**Status**	**2022**	**2023**	**2024**	**2025**	**Target 2026**
8.5	Promote the hiring and promotion of disabled people within our Group – 3% of our workforce	Target	0.8%	1.2%	1.7%	**2.2%**	3.0%
		Actual	1.2%	2.25%	4.53%		–
	Increase the absorption of unemployed people trained into our workforce where possible. Employment should link to business requirements.	Target	42,5%	45%	47.50%	**50%**	55%
		Actual	0%	0%	YES Programme >88% learnerships >16.7%		–
	Equal work for equal pay exercise to ensure all women are being remunerated equally	Target	Annual review conducted. Less than 3% of employees impacted				
		Actual	N/A	2.70%	2.04%	**Completed in January 2025 0.70%**	–
8.6	Drive a youth focus for our talent and development programmes (Learnerships, internships, persons with disabilities)	Target	65%	70%	75%	**80%**	85%
		Actual	68%	85%	88%		–

Performance against our SDGs *(continued)*

12 RESPONSIBLE CONSUMPTION AND PRODUCTION	Ensure sustainable consumption and production patterns	Status	2022	2023	2024	2025	Target 2026
12.2	Total GHG emissions (Scope 1, 2 and 3) per year in metric tons of CO_2 equivalent.	Target	51 544 188	48 831 336	46 118 484	**43 405 632**	40 692 780
		Actual	52 602 130	52 144 460	53 724 735		–
	Total GHG emissions (Scope 1, 2 and 3) per year in metric tons of CO_2 equivalent, per case manufactured and shipped (tCO_2e/case)	Target	–	–	–	**0.00197**	0.00185
		Actual	0.00253	0.00237	0.00233		–
	Total litres of water withdrawn from the ground and used from a municipality	Target ('000)	349 952	331 533	313 115	**294 696**	276 278
		Actual	363 906	389 692	393 566		–
	Total volume of water per case	Target (Litre/Case)	–	–	–	**16.31**	15,50
		Actual	17.52	17.73	17.17		–
	Total litres of water recycled and reused	Target (Litre) ('000)	–	–	–	**24 000**	43 000
		Actual	0	0	0		–
	Total electricity kWh generated from renewable sources	Target (kWh)	–	–	–	**1 950 000**	2 400 000
		Actual	650 167	713 476	1 450 951		–
12.3	Reduce food avoidance waste from operations (excluding Lamberts Bay Foods and Famous Brands Cheese Company (Metric tonnes)	Target	NA	NA	NA	**176.8**	165.8
		Actual	0	221	178		–
12.5	Total volume of food waste not recycled/sent to landfill (Metric tonnes)	Target	–	–	–	**122.24**	91.68
		Actual	0	152.8	0.00		–
12.6	Total plastic reduction (%)	Target	NA	NA	NA	**93.5%**	94%
		Actual	0%	0%	92%		–
12.7	Spend with SMMEs with revenues between R0 to R50m (% of total spend)	Target (Max 30%)	–	–	–	**15%**	18%
		Actual	11.1%	14.7%	15.1%		–
	Spend with >51% - Black-owned companies (% of total spend)	Target (Max 40%)	–	–	–	**40%**	40%
		Actual	0%	0%	92%		–
	Spend with >30% Black women-owned companies (% of total spend)	Target (Max 12%)	–	–	–	**12%**	12%
		Actual	27.2%	31.8%	26.9%		–

Performance against our SDGs *(continued)*

Secondary SDGs

	End hunger, achieve food security and improved nutrition, and promote sustainable agriculture	Status	2022	2023	2024	2025	Target 2026
2.1 & 2.2	% spend of total CSI to promote social development in communities	Target	–	–	–	**10%**	10%
		Actual	–	–	11.7%		–
	% spend of total CSI to promote a better environment, better education and sport to support communities	Target	–	–	–	**55%**	55%
		Actual	–	–	57.9%		–

	Ensure healthy lives and promote wellbeing for all at all ages	Status	2022	2023	2024	2025	Target 2026
3.8	% spend of total CSI spend to achieve universal health coverage, access to quality essential healthcare services and access to safe, effective, quality and affordable essential medicines and vaccines for all	Target	–	–	–	**31%**	31.2%
		Actual	–	–	30.4%		–

	Ensure inclusive and equitable quality education and promote lifelong learning opportunities for all	Status	2022	2023	2024	2025	Target 2026
4.4	Number of unemployed learnership beneficiaries	Target	–	–	–	**60**	60
		Actual	55	57	62	**65**	–
		Target	–	–	–	**290**	330
		Actual	–	165	193	**300**	–
	Number or % of beneficiaries that are Black (African, Coloured, Indian, Chinese)	Target	–	–	–	**75%**	75%
		Actual	68%	70%	72.5%	**73%**	–

Glossary

AGM	Annual General Meeting
AME	Africa and the Middle East
AARTO	Administrative Adjudication of Road Traffic Offences
B-BBEE	Broad-based black economic empowerment
Capex	Capital expenditure
CDR	Casual dining restaurant
CEO	Chief Executive Officer
CRM	Customer relationship management
CSI	Corporate social investment
EBITDA	Earnings before interest, tax, depreciation and amortisation
ESG	Environmental, social and governance
Exco	Executive Committee
HR	Human Resources
HEPS	Headline earnings per share
IT	Information technology
KPI	Key performance indicator
LPG	Liquefied petroleum gas
LTI	Long-term incentive
NFF	National Franchise Forum
NOSA	National Occupational Safety Association of SA
ROCE	Return on capital employed
POPIA	Protection of Personal Information Act
QSR	Quick service restaurant
ROI	Return on investment
SADC	Southern African Development Community
STI	Short-term incentive
TSR	Total shareholder return
TCC	Total cost to company
UN SDG	United Nations Sustainable Development Goal
UK	United Kingdom
WACC	Weighted average cost of capital

Corporate information and directorate

Famous Brands Limited

Incorporated in the Republic of South Africa
Registration number: 1969/004875/06
JSE and A2X share code: FBR
ISIN code: ZAE000053328

Directors

Chris Boulle (Independent Chairman), Alex Maditse (Lead Independent Director), Nik Halamandaris, Darren Hele (CEO)*, Busisiwe Mathe, Thabo Mosololi, William Mzimba, Fagmeedah Petersen-Cook, Nelisiwe Shiluvana (Group Financial Director)*

** Executive*

Group Company Secretary

Celeste Appollis

Registered office

478 James Crescent, Halfway House, Midrand, 1685
PO Box 2884, Halfway House, 1685

Telephone: +27 11 315 3000

Email: investorrelations@famousbrands.co.za
Website address: www.famousbrands.co.za

Transfer secretaries

Computershare Investor Services Pty Limited
Registration number: 2004/003647/07
Rosebank Towers, 15 Biermann Avenue, Rosebank, 2196
Private Bag X9000, Saxonwold, 2132

Sponsor

The Standard Bank of South Africa Limited
Registration number: 1969/017128/06
30 Baker Street, Rosebank, 2196

Auditors

KPMG
Registration number: 1999/012876/07
85 Empire Rd, Parktown, Johannesburg, 2193

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